

Hindalco Industries Ltd. (HINDALCO)

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Corporate ID No: L27020MH1958PLC011238

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Sub:

a. Transcript of Q4 FY23 Earnings Conference call of Hindalco Industries Limited (“the Company”)

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

b. ISIN: INE038A01020 & INE038A08124

c. Our Intimation dated May 12, 2023

Pursuant to the above referred, the transcript of the Q4 FY23 Earnings Conference Call held on May 24, 2023 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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“Hindalco Industries Limited

Q4 FY '23 Earnings Conference Call ”

May 24, 2023

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF

EXECUTIVE OFFICER – NOVELIS

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL

OFFICER – HINDALCO INDUSTRIES LIMITED

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER –

NOVELIS
MR. SUBIR SEN – HEAD INVESTOR RELATIONS –
HINDALCO INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Hindalco Industries FY '23 Fourth Quarter Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference call over to Mr. Subir Sen, Head of Investor Relations at Hindalco.

Thank you, and over to you.

Subir Sen : Thank you, and a very good afternoon and morning, everyone. On behalf of Hindalco Industries, I welcome you all to the Earnings Call for the Fourth Quarter and Financial Year 2023. In this call, we'll refer to the Q4 FY '23 investor presentation available on company's website. Some of the information on this call may be forward -looking in nature and is covered by the safe harbor language on slide number two of the slide presentation.

In this presentation, we have covered the key highlights of our consolidated performance for the fourth quarter for the financial year 2023 versus the corresponding period of the previous year. A segment -wise comparative financial analysis of Novelis, India aluminium and copper business is also provided. This presentation covers our Indian operations aluminium upstream and downstream financials and operational performances separately to reflect individual business segment performances in this quarter, quarter 4 versus the corresponding period of the previous year.

The corresponding segment information of the prior periods have also been restated accordingly for a comparative analysis. Please note that our quarterly inter -segment sales from India upstream to the India downstream have been reinstated for earlier quarters of this fiscal and prior periods, which have been erroneously reported in the earlier quarterly earnings presentation of this fiscal.

Today, we have with us on this call from Hindalco's management, Mr. Satish Pai, Managing Director; Mr. Praveen Maheshwari, Chief Financial Officer. From Novelis ' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer.

Following this presentation, this forum will be open to any questions you may have. Post this call, an audio replay of this conference call will also be available on our company's website.

Now let me turn this call to Mr. Pai to take you through the company's performance this quarter.

Satish Pai : Yes. Thank you, Subir. Hello, everyone. Thank you for joining today's earnings call of Hindalco's performance for the fourth quarter of FY '23. On slide five and six of this presentation, you can see our achievements and progress towards ESG metrics in FY23 versus the prior year. So Hindalco continues to be aligned to its ESG commitments of 2050. We continue to work on green cover and biodiversity. And this fiscal year, we have successfully completed CII's Biodiversity index and carbon sequestration field study for six of our sites. We

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have also completed an all -season study under our biodiversity management plan and have already launched this at 4 of our units and 11 of our mine sites.

Hindalco continues to increase its share of recycling and reusing of waste. In the current fiscal year, 88% of the total wastes were recycled and reused versus 86% in the previous year. We achieved recycling of 124% of bauxite residue and 107% of ash this year, which is a significant achievement. In addition, we are single -use plastic free certified at 13 of our plant sites and will soon attain the certification for the remaining 4 sites to become 100% single -use plastic free certified company in India.

In terms of our progress in renewables, we have already implemented 109 megawatts until the last financial year and are progressing well towards the target of 300 megawatts by 2025. Further 141 megawatts of renewable hybrid wind and solar projects are under execution and to be completed over the next few years. Feasibility of an additional 40 megawatts of solar is also under finalization.

We are enhancing the co -firing of biomass in all our thermal power plants. We are currently

using 5% biomass in our Hirakud, Aditya and Utkal facilities. At the end of this fiscal year, aluminium specific greenhouse gas emission was recorded at 19.21 tons of CO₂ per ton of aluminium, clocking an improvement of 2.3% compared to the last financial year. We are committed to Zero Harm on safety at all our plant locations. The LTIFR in India was recorded at 0.25 in FY '23, which is among the best in the industry today.

We have taken several initiatives like our recent safety 360-degree which is an off-the-job safety program implemented across Hindalco with the involvement of employees, including their families and external stakeholders. This helped us in inculcate a safety culture, not only in our employees but also in their family. We are sad that there were two fatalities of contract workmen that were recorded in our Indian operations this financial year. We stay committed to our zero liquid discharge at all our sites and a 20% reduction in specific water consumption by 2025 from the base year of FY '19.

We are on our way to achieving net water positivity by 2050. We are not only implementing water audits for assessing rain water harvesting and recycling capabilities at our plant locations but have also initiated various desalination and other projects to achieve this growth. Our desalination project at Dahej is using approximately 910 million liters per day of desalinated water from the Arabian Sea and reducing the usage of freshwater in this facility.

On the water positivity front, our Samri mines has achieved a positivity rate of 1.49x this year. In addition to this, seven new projects with fresh water reduction potential of around 5 million cubic meters per annum is also under progress. This is in line with our target of achieving water positivity across all mines by 2025.

Let me now give you a glimpse of our quarterly consolidated performance in quarter four on Slides 8 and 9. This quarter's performance on a consolidated basis was impacted by higher input costs and unfavorable macros. But was partially offset by higher volumes in India operations

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and record performance of the copper business. Our quarterly consolidated revenue was ₹55,857 crores this quarter, which was flat compared to the quarter of the prior year.

Consol EBITDA was down 23% year-on-year at ₹5,818 crores, whereas the consolidated PAT declined by 37% year-on-year to ₹2,411 crores this quarter. Hindalco at the consol level maintained its strong balance sheet with a net debt to EBITDA went below 2x at 1.39 times at the end of March '23.

On the balance sheet side, our consolidated net debt stands at ₹33,959 crores. The Indian operations net debt was ₹288 crores and Novelis was at ₹33,671 crores at the end of March 31st, 2023. On our India head position in aluminium business, we are currently hedged at around 11% at a price of \$2,755 per ton. All our strategic capex in India as well as Novelis are mapped with the cash flow generation in the business and are in line with our capital allocation policy.

On our new mine status, Chakla mine is progressing well and is expected to be commissioned by FY '26, whereas for Meenakshi, we are still awaiting regulatory approval. Coming to our business-wise performance for this quarter. Novelis shipments were 936 Kt, down 5% year-on-year, largely on account of lower beverage can shipments,

customer inventory reduction and

lower shipments in specialties, mainly in the Building & Construction segment. This was partially offset by higher aerospace shipments and record automotive shipments this quarter. Novelis delivered a fourth quarter EBITDA of \$403 million, down 6% year-on-year on account of less favorable metal benefits from recycling, higher energy, cost inflation and lower volume. This was partially offset by higher product pricing and a favorable product mix. EBITDA per ton was recorded at 431 versus 437 in the corresponding period last year.

On Hindalco India's aluminium business performance upstream aluminium performance this quarter was impacted by high input costs and unfavorable macros. Shipments were down to 323 Kt, where revenue was down to ₹8,050 crores. Upstream EBITDA was 41% lower at ₹2,192 crores. EBITDA per ton was at \$825 per ton, whereas EBITDA margins were at 27% and continue to be one of the best in the industry in this current challenging business environment. The overall shipments of primary aluminium was 323 Kt of this third-party shipments was 251 Kt and 72 Kt was transferred to the downstream business this quarter.

The downstream aluminium business shipments were down 4% year-on-year at 90 Kt this quarter, whereas revenues were down 17% year-on-year at ₹2,738 crores. Downstream delivered an EBITDA of ₹112 crores, down 20% year-on-year on account of lower pricing, adverse sales mix and lower volumes this quarter. Our copper business delivered its best ever financial and operational performance with an all-time high metal and copper rod sales this quarter. The overall metal shipments were at 117 Kt, up 11% year-on-year of which CCR volumes were at 95 Kt, up 28% year-on-year.

Revenues were up 14% at ₹11,206 crores this quarter on account of higher volumes and higher

global price of copper. The quarterly copper EBITDA was at an all-time high of ₹598 crores, up 55% year-on-year on the back of market recovery highest ever volumes of CC rods and better TC/RCS. Let me also inform you that our copper smelter is currently under major planned maintenance shutdown with effect from 5th April, 2023 and will be back in operation by mid-June.

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Now let me give you a glimpse of the current broader economic environment. The global GDP growth is projected to moderate from 3.4% in 2022 to 2.8% in 2023 before rising to 3% in 2024 as per IMF. The 2 largest emerging market economies, India and China are expected to contribute around half of the global growth in 2023, with the rest of Asia Pacific contributing an additional fifth.

Current outlook remains uncertain amid financial sector turmoil, high inflation, tight monetary policy, ongoing effects of the Russian invasion of Ukraine and the aftereffects of three years of COVID. Global headline inflation is set to fall from 8.7% in 2022 to 7% in 2023 on the back of lower commodity prices. But underlying core inflation is likely to decline more slowly. Inflation return to target levels is unlikely before 2025 in most cases.

On the upside, COVID outbreaks intensity has reduced, commodity prices have moderated and China seems to be on a recovery path. Emerging market economies continue to lead the recovery. On the domestic front, the Indian economy continues to show resilience amid an uncertain global economic backdrop.

Aggregate demand conditions have been resilient with urban and rural demand indicators gaining some traction, but the momentum needs to be sustained. Rising public capital expenditure, high capacity utilization, buoyancy in contact-intensive sectors and moderating commodity prices should bolster manufacturing and investment activities. The RBI projects real GDP growth of FY '24 to be 6.5% from an estimated 7% in FY '23 with risks evenly balanced. However, slowdown

in external demand, protracted geopolitical tensions, tight global financial conditions, and financial market volatility do pose some downside risks to this outlook. While global commodity prices have moderated significantly and inflation expectations have also edged down the rising uncertainty in international financial markets and imported inflation pressures are being closely monitored by the RBI. RBI projects CPI inflation to moderate to 5.2% in FY '24 from 6.7% in FY '23, assuming an annual average crude price of \$85 per barrel and a normal monsoon in India.

Now talking about the aluminium industry outlook in the calendar year 2022, the global aluminium production grew 2% year-on-year, whereas global consumption was flattish, resulting in a marginal deficit of 0.1 million tons. In the calendar year 2022, China production increased in provinces like Yunnan and Inner Mongolia, whereas there was a decline in the production at Sichuan province on account of shortage and power supply. Hence, the overall production in China grew 4% year-on-year in calendar year '22 to 40.3 million tons. Chinese consumption in calendar year '22 grew marginally by 1% year-on-year at 40.6 million tons. As consumption was higher it led to a deficit of 0.4 million tons during this period.

In the world, excluding China, production increased in the Middle East, whereas it declined sharply in Europe due to rising energy costs. Hence, production was flattish at 28.8 million tons. Aluminium consumption faced headwinds across all sectors, except the automotive segment. As

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a result, consumption declined by 1% leading to a surplus of 0.3 million tons at the end of calendar year 2022.

On a quarterly basis, in Q1 calendar year '23, global aluminium production increased by 2% year-on-year, whereas consumption declined by 6%, resulting in a surplus of around 1.1 million tons. We have to remember during this period, the Chinese production grew by 4% to around 10 million tons. Historically, the consumption in this quarter is low due to the impact of the holidays on account of the Chinese New Year. In addition to this, overall demand in China was also weak due to ongoing construction slowdown in the country. Hence, the overall consumption has declined by 3% to 9.1 million tons, resulting in a surplus of 0.8 million tons at the end of Q1 calendar year '23.

In the rest of the world, in Q1, overall aluminium production growth was flattish year-on-year at 7.1 million tons, whereas consumption degrew by 6% to around 6.9 million tons resulting in an overall surplus of 0.3 million tons this quarter. Global aluminium prices in quarter 1 calendar

year '23 improved marginally to \$2,395 a ton as against \$2,324 a ton in the previous quarter. On a quarter -to-date basis, the global prices of aluminium this quarter are around \$2,317 per ton . In Q4 FY '23, the domestic demand is likely to reach around 1.17 million tons, a 13% growth year-on-year, whereas sequentially, this demand is expected to grow marginally by 1%. This sharp year -on-year growth is supported by strong demand from electrical and automotive segments. However, the consumer durable section demands -- the consumer durables demand was subdued on account of inventory destocking and demand in the building and construction segment was marginally impacted by the rising interest rates.

The global FRP demand is expected to grow by 3% in calendar year '23 versus a similar growth in the last calendar year . The global demand for resilient beverage can sheet is expected to grow in the long run at a CAGR of 3% to 4%, although customer inventory reduction is expected to continue in the near term. The automotive segment demand is expected to grow at a CAGR of 11% over the next five years. This growth is led by elevated levels of pent -up demand supported by growing consumer

demand for vehicles that use a higher share of aluminium like EVs and the easing of supply chain challenges and the availability of semi conductor chips that has led to a recovery in vehicle production levels.

The demand in specialties, especially in the building and construction segment showed some softness on account of seasonality and the macroeconomic environment as this demand broadly moves with the growth in the country's GDP and housing demand. This demand is expected to grow at a CAGR of 3% to 4%. The Aerospace segment is expected to remain strong with rising post-pandemic travel. Aircraft OEMs are forecasting a strong growth in the aircraft build rates over the next decade. In this sector, sustainability is also gaining importance, leading to higher consumption of aluminium .

In Q4 FY '23, Indian FRP demand is expected to grow marginally by 4% year -on-year due to a slowdown in the consumer durable sector. This demand is likely to pick up in the following quarters with stable consumption of aluminium in the Packaging and Building & Construction segment. Talking about the global copper industry, in calendar year 2022 ,overall global copper

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production grew by approximately 1.9%, whereas consumption grew by 1.6% year -on-year. Chinese production increased by around 3% and consumption grew by around 2%. On a year -on-year basis, in the world, excluding China, copper production increased by 1.1% and whereas the consumption grew by 1%, resulting in a marginal global deficit of 0.2 million tons in calendar year '22.

In the first quarter of calendar year '23, the overall global production of copper increased by 4.3%, while consumption grew by 1.8% year -on-year. In Q1, calendar year '23, Chinese production grew by 4.8% year -on-year, whereas consumption grew by 2.3%. In the rest of the world, the production of copper increased by 4% year -on-year, where consumption grew by 1.3%. This has resulted in a global surplus of 0.6 million tons in Q1 of calendar year '23.

In Q4 FY '23, the domestic demand for copper increased by 16% year -on-year at 199 Kt versus 172 in Q4 FY '22, on account of higher demand for wire and cables. This is higher compared to the pre -COVID demand at 192 Kt in Q3 of FY '20. On a sequential basis, in Q4, the market demand was up 7%, with domestic producers share reaching 73% in this quarter.

During this quarter, the spot TC/RCs remained under pressure, ~19-20 c/lb due to supply disruptions in mines at Chile, Peru and Panama. The resumption of operations at most of these mines has helped in improving overall market sentiment in the current quarter. Further, several other Chinese smelters are also due for maintenance through April and May, which shall lead to further availability of copper concentrate in the market and thereby leading to further improvement in spot TC/RCs.

Details of our operational and financial performance in each of the business segments this quarter compared to the corresponding period of last year, as well as the previous quarters are covered in further slides and annexures to this presentation. Now let me conclude today's presentation with some key takeaways.

We, as a company, are working proactively to mitigate the current macroeconomic headwinds, cost pressures and ongoing customer destocking. Our India business is almost net -debt-free providing strong financial prudence for our organic growth strategy. We also continue to focus on resource security by acquiring captive coal mines in India to thereby reduce our dependency on external sources.

Our copper business continues to deliver its best ever performance and contribute significantly towards margin expansion of the overall India business. We continue to focus on value-added products like the copper rods and also catered to niche segments of special alloys and high -purity copper rod

s and tubes.

Novelis is on a recovery path backed by improvements in product pricing and a favorable product mix. The factors impacting Novelis' current performance are transitory, this was reflected in the sequential improvements in margins this quarter. Novelis' robust cash generation and working capital relief will support its organic expansion projects under execution while keeping leverage to the committed levels.

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Our approach to ESG continues to be comprehensive across value chains and is in-line with our intent as well as long-term targets for 2050. With our strong balance sheet and fundamentals intact, we stay focused with our value-enhancing growth strategy directed towards organic growth, diversifying our portfolio to provide not products, but also solutions while expanding downstream businesses in both aluminium and copper. We continue to moderate and pace our new strategic capex, both in India and in Novelis to be in line with our generated free cash flow. Thank you very much for your attention. The forum is now open for any questions.

Moderator : We'll take our first question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Good evening, congratulations on good set of numbers and also a very impressive deleveraging towards the end of the year. Sir, my first question is on the cost direction. If you could just share what sort of cost reduction for the aluminium business you've seen in 4Q? And how is coming quarter is looking? And also, if you could just elaborate on the coal situation, how has it improved and the mix?

Satish Pai : Yes. I think, Sumangal, I had guided, at our Q3 concall, that our costs will come down by 5% or 6% in Q4. So actual Q4 costs were down by 6% from Q3 and this was largely because coal availability and increased coal prices that is now moderated but also CP coke, pitch, furnace oil, prices have started to come down. Now if I go to Q1 FY24 versus Q4, I'm going to be a little bit cautious and say that we are probably going to be at similar levels of Q4. Whereas some of the carbon prices have further gone down, but since we are now going in to the monsoon period with coal availability becoming tighter. So currently, we have around 22 days of inventory in all our plants. But I shall remain a little bit cautious. So I think probably Q1 FY24 overall cost of production is expected to be flattish to a little bit lower than this Q4.

Sumangal Nevatia : Okay. So that's a bit surprising because given the -- I mean what we read on the coal e-auction side and availability, expectation was that it will continue to decline further by maybe a few more quarters. So any reason why for this cautious commentary?

Satish Pai : So look, if you look at our coal prices in Q4, they dramatically corrected down, and I'm looking at the current e-auction premiums. They are sort of flattish with Q4. So I currently doubt that coal prices can come down dramatically, especially we are going into the monsoon quarter now. So we have so many years of experience that if rains come very heavily and all, coal availability can get tight. So at least from my side, my guidance, I'm going to be a little bit cautious. I think after the monsoon, again, you will see a reduction going down.

Sumangal Nevatia : Got that. Sir, and in the opening remarks, did we say Chakla now in FY '26, I think earlier we were like somewhere more in 3Q '25?

Satish Pai : Yes. So it's FY, so it would probably be like December -- between December to March of December '25 to March of '26. Between those 3 months will be starting.

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Sumangal Nevatia : Got it. And sir, my second question is with respect to our overall capex for '24 and '25, especially India business? And how should we see this aluminium downstream volumes ramping up with this capex being spent now?

minium downstream volumes ramping up with this capex being spent now?

Satish Pai : Yes. So first, in this FY '24, the 30-odd Kt of Silvassa extrusion will start to come in. So the plant has been commissioned, we are now going through the qualification processes that need to do. So that 30 Kt will add to the downstream. I don't think all 30 will come in by March of this year, but quite a lot will come in and by mid of next year, fully coming.

Our capex next year, we are guiding at around ₹5,000 crores. Last year, we spent around ₹3,000 crores. And a large part of the capex is going to be the rolling mill expansion in Hirakud and Aditya, which adds 170 Kt of sheet capacity and the Chakla coal mine. So -- next year, capex is going to be ₹5,000 crores. Now as per our planning, that ₹5,000 crores will be completely met with our generated cash flows during the year. Our treasury at the end of March '23 and '24 should be more or less at the similar levels.

Moderator : We have a next question from the line of Indrajit Agarwal from CLSA India. Please go ahead.

Indrajit Agarwal : First one broader macro question. When we look at overall your detail about the demand supply scenario. So how do you see aluminium prices trending in the next few months? And with that respect, do you think that we are now a little bit undercovered in hedges, and we could see a much higher impact on profitability versus some of the global peers who will see a significant downside on coal costs as well -- or power costs as well?

Satish Pai : So Our EBITDA per ton in the Upstream business this last quarter was \$825 per ton. Most of my peers are around \$500 -600 per ton in Q4, because we looked at all the announced results. So I think the interesting question is, I was expecting LME to be around \$2250 to \$2400 in the coming few months. This last week of course , LME has come down. But I think it's going to be a little bit dependent in my opinion on two factors, which have not -- have not really changed from the last quarter. What's happening in China and the strength of Chinese economy and Chinese aluminium demand and the second is what's happening in the U.S., interest rate, worries about recession, et cetera. So , I think that the market seems to be fluctuating quite a lot from all commodities on any plus or minuses on these two fronts. So it's good to be from a macroeconomic point of view, a little bit volatile.

Indrajit Agarwal: Sure. And my second question is on the downstream business, where -- profitability to be consistently coming down over the last 2, 3 quarters. Our calculated number is less than \$200 for this quarter. So when we look at the split, it is the conversion cost that has increased meaningfully. So just wanted to understand what goes what is the key component in that conversion cost? And how do you see the profitability of this business in the next few quarters?

Satish Pai : Yes. I don't -- I'm not that worried about the conversion cost because again, these downstream plants are a little bit like Novelis, the operating leverage is high, meaning the fixed cost. So volumes were down. And really what happened in India is that on the consumer durable segment , and I will focus directly on to Aluminium Circles, which goes into pressure cooker Hindalco Industries Limited
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manufacturers and all that. There was a bit of destocking happening in the segment . So during the month of November '22, volumes picked up by our customers were a bit low. Now that situation from April 23 onwards has turned around. So , you will see that in Q1 of this year, we will be going above the 90 Kt easily of downstream demand and the profitability will be back to the \$200 per ton. So we -- even in India, we had a little bit of destocking in the consumer durable side, and that is a high margin segment for us. That's why the EBITDA per ton in Q4

, as you rightfully pointed out, was down.

Indrajit Agarwal : Sure. And one last housekeeping question, if I may. What is our current Utkal capacity because we are running at a 2.2 million tons production run rate this quarter. So what is the operating capacity currently? And how can we see it towards the end of this fiscal?

Satish Pai : It's about 2.2 million, 2.3 million tons.

Moderator : We have a next question from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : Congratulations for a good set of numbers, Sir. I have a couple of questions. The first one, as you said that the copper smelter is undergoing major maintenance. So what kind of hit on EBITDA can we expect in Q4? And given we have seen copper over a period of several quarters, the run rate is now firmly above ₹550 crores odd every quarter. So what would be -- first of all, what are the sustainable drivers for the same? And whether this run rate can be maintained given the correct TC/RCs market?

Satish Pai : Yes. I think that generally, I think we have planned for about the sort of ₹450 to ₹500 crore levels that we keep guiding. I think in Q1 of this year, because of the large smelter one shutdown, we'll probably be in the range of ₹350 and ₹400 crore for Q1. By Q2, we'll be picking back up again to our original guidance pre-shutdown.

Amit Dixit : Okay. The second one is on essentially routine bookkeeping question again on coal sourcing mix in the quarter, linkage, production from our own mines individually and, of course, you indicated about the about the future mix. So I just wanted to get the mix for this quarter.

Satish Pai : Yes. The linkage for the Q4 was 52%, e-auction was 44%, our own mines was 3%, and the import and all was about 2%.

Amit Dixit : Sir, this was slightly surprising because your peers indicated a much better linkage materialization -- I mean whether they are in aluminium or zinc...

Satish Pai : Yes, I think our peers probably were in the NCL Odisha site. So our linkages in the Singrauli area, some of our old linkages had lapsed and new linkages are yet to be signed up. So that's why for us, we are at this percent. I mean we are getting more than 90% of the linkages we have. But the percentage of linkage in the total mix was 52%.

Moderator : We have our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : Just a couple of questions. One was actually on linkage coal actually . Can you maybe talk about how much linkage coal has, say it has expired? How much are you looking to renew the existing

linkage coal that you have, how much longevity we -- is there for that linkage coal, any tie to that would be if -- because of competitive intensity, some of the linkage coal auctions don't materialize. What is the alternate source you would look at?

Satish Pai : The alternate source is e-auction. So currently, we have about 3 million of Tranche 2 and Tranche 3 that had lapsed last year, and the auctions are going on as we speak. So we have already tied up some parts and the auctions will continue till middle of June.

Satyadeep Jain : And in addition to that, the existing linkage, I have, how much run rate do we have -- how many years of linkage coal for the existing linkages...

Satish Pai : The linkages are normally for about 5 years.

Satyadeep Jain : So the new one I understand, you in the process of signing. The older ones in addition to the 3 million tons, they would expire in?

Satish Pai : Another 3 years now, yes. See, our whole game plan is that within those other 3 years, our requirement for linkages should start to go down as Chakla comes online.

Satyadeep Jain : But after Chakla and Meenakshi, I know it's due 3 years on the line, but when Chakla comes online, you would still want to come into this 3 million ton of li

nkage coal. So in that case, you

may be looking at oversupply in the next two years, if you have linkage coal also in Chakla also?

Satish Pai : I think from our point of view, there is an oversupply of coal, we are quite happy because the prices will come down. Because we are not in the commercial coal business, so for us, coal is a cost. So you're right. I mean, if all the commercial mines in mining start to come in, hopefully, coal prices will go down further, and that's good for our business.

Satyadeep Jain : Second, on copper smelter, obviously, the business is actually generating very high ROCE at the level the entire business and one of your peers actually been talked about setting up a greenfield copper smelters on the coastal area. Would you -- is it mainly the other big environmental issues that would stop you from looking at a copper smelter -- or is there any other consideration? Or would you look at that sometime in the future, if the opportunity...

Satish Pai : We are looking at it any time. I think that if there is any company that can run things in an environmentally clean and sustainable manner, it is Hindalco. So -- but I think what we are doing right now, if you remember, is we have a copper inner grooved tube project, copper-alloy project that we are executing. We have also got clearance from our both for a copper scrap facility that will add about 50 Kt of copper along with associated minerals. And then we will also continue to look at the viability of a smelter as well. So as I said, these are now issues of capital allocation and capital phasing.

Moderator : We have a next question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : So Sir, I just want to know something on the EBITDA per ton bridge for the upstream operations, if it were, if you look at 4Q over 3Q, the impact of the LME price is about \$70 -odd if I'm not

mistaken, and the impact of the cost is about \$90 -odd as per your 5%, 6% odd figure you gave.

But the improvement in the EBITDA per ton is nearly \$130, if I'm not mistaken. So an additional \$30, \$40 has come from somewhere. I just wanted to get a figure. That was my first question.

Satish Pai : So look, I'm going to try to bridge out your last \$30, \$40. But I think overall, the LME was better. But for us, the single biggest impact Q3 to Q4 is on the coal prices going down. So coal prices were down by around 16% sequentially. So that was the single largest impact on the EBITDA per ton of the primary business. The macro impact was a smaller impact. The coal was the single biggest.

Rajesh Majumdar : Right, sir. And my second question is also linked to that. You earlier mentioned that Q1 over Q4 won't be a significant difference in the e-auction coal prices. But if you look at it and you're talking about the exit levels of Q1 -- Q4 versus Q1 -- if you look at the average e-auction prices of Q4 against what the current prices are, they are sharply lower. So wouldn't that there be an impact of that as well in the Q1 costs?

Satish Pai : So look, I mean our Q4 coal prices came down 16%. So depending on the areas where we got our e-auction prices, we got very good coal prices in Q4 itself. So maybe for some others, the Q4 prices were not as good as ours, they maybe -- they have an improvement. But I, again, giving you a data point, our coal cost sequentially Q3 to Q4 was down by 16%.

Rajesh Majumdar : Right. But it could still be sharply lower in Q1, in my opinion because the e-auction levels are much, much lower -- on an average basis compared to Q4.

Satish Pai : I hope you are right. I'm not going to argue with that. And I'm just saying that this is a monsoon quarter, so I don't want to give a guidance that is over optimistic.

Moderator : We have a next question from the line of Aditya Welekar from Axis

Securities. Please go ahead.

Aditya Welekar : So sir, earlier we were expecting that with the easing of the freight rate hikes and probable pauses in the hikes will support the aluminium prices. And then with the fair pivot, we could see some prices moving higher. However, the recent macroeconomic data such as contracting manufacturing PMIs in Europe and U.S. points towards the weakness in manufacturing activity. Thus, there are some reports of not very encouraging demand from China with social inventory still rising and some reports of dumping of Russian aluminium in the LME warehouses, probably distorting the LME prices. So, in that backdrop, sir, what is your thoughts on the LME, aluminium as a benchmark and its price trajectory going forward?

Satish Pai : Yes. I think as I said in my prepared remarks, there is a lot of macroeconomic uncertainty that is having this impact on the commodity prices. So I'm not so sure on one aspect. I have actually quite encouraged with the U.S. manufacturing activity, largely because of the IRA Act that the government has put in. And we have also started to see housing starts in the U.S. start to pick up now that the interest rates have sort of flattened. I think the bigger worry on the LME prices right now, is your last point on the health of the Chinese economy. This -- there is conflicting remarks because some people think the government is pumping it up and it should be okay and some people are worried. So I think that this is the one that worries me the most, that is the health of the Chinese. European demand is not getting any worse than what it was.

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And by the way, the other positive is European energy prices have sharply come down. And in fact, if you look at last week, they are sort of at the prewar levels.

Aditya Welekar : Okay. And sir, any comment on this Russian -- Russia dumping its LME dump in LME warehouses probably distorting the LME prices -- so there was some differential between LME prices and CME prices.

Satish Pai : So, the LME actually put out an interesting statistic that showed the percentage of Russian metal in LME warehouses over the last few years. So according to them, the percentage of Russian metal in the LME warehouses has not drastically increased. And general market commentary is that, yes, there has been some more metal going into the Asian exchanges because they can't put it everywhere else. But that nobody thinks that, that Russian metal led to LME prices going down. The Chinese demand is the bigger factor.

Aditya Welekar : Understood. The second point is on this -- in the previous call, you said that they -- we were witnessing some destocking in cookware segment for the Indian operations in consumer durables market. So is the destocking over now and we can see some improvement from that segment in from Q1 onwards?

Satish Pai : We have already started to see that in this current quarter that we are in -- so we are hoping for a good monsoon Diwali session this time.

Moderator : We have a next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta : Just wanted to confirm on the aluminium hedging position.

Moderator : Sir, we're not able to hear you?

Satish Pai : Yes, I can hear him. I can hear him.

Kirtan Mehta : Just wanted to confirm on the aluminium hedging positions. Have we increased beyond the levels that we had previously guided?

Satish Pai : Yes, we are now 11% hedged at \$2,755 per ton for FY24 . So we have set hedging that any time LME goes about \$2,500 , we try to catch it. I think we added a couple of percentage points from the Q3 levels for FY24 .

Kirtan Mehta : Right. And another question was about the other raw materials in the aluminium value chain like Coal -tar pitch and others, which are carbon-related costs. So do we expect that to continue to

come down over the next few quarters?

Satish Pai : So CP coke is sort of a little bit related to maybe carbon, but not really. But yes, we expect that these sort of prices we have seen have come down and could continue to go down. But you have to remember when I look at the absolute levels, they have come down. But if you look at it compared to last year, CP coke is still sort of up by more than 40%. So there's still a lot it can go down by.

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Kirtan Mehta : And in terms of our cost mix, what would be its proportion?

Satish Pai : It's about 20% when you put furnace oil, CP Coke, caustic , pitch, all that put together.

Kirtan Mehta : Right. One last question was on the roll mill additions that we are doing, what would be sort of how is the progress? And when do we see it commissioning?

Satish Pai : You're talking about the India project, right?

Kirtan Mehta : Yes.

Satish Pai : So that project now is in full swing. So we should start to see the first coils coming out of there somewhat towards the fourth quarter of FY '25.

Moderator : We have a next question from the line of Parthraj Gohil from Nirzar Securities . Please go ahead.

Parthraj Gohil : Yes, Go ahead . I have questions on copper business. So sir, can you please give us an outlook on TC/RC rates for the next year and also from where, at what price are we sourcing copper concentrate?

Satish Pai : Yes. It's already declared in November, December of last year. So this calendar year, the TC/RCs are 20-21 cents per pound. And we do long -term linkages for most of 80% of our copper concentrate, largely coming from Chile, Peru, Canada, Australia, and still getting some from Indonesia. They're not stopped yet.

Moderator : We have a next question from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead.

Ashish Kejriwal : Sir, my question is on coal sourcing. We acquire a round 16 million tons, and you said that 3 million tons of Tranche 1 and 2 has lapsed. And we are on work to renew that. So one question is 3 million tons when we are renewing it, how much additional cost we are bearing? And second is out of 16 million tons, how much we are expecting to come from the linkage quote in FY '24?

Satish Pai : So I hope to renew it with as little extra cost as possible. I mean, we have just started the first amount we got were at zero premium. So let's hope that, that trend continues . But -- if I take next year's plan, I mean, again, the linkage normally should be about 55% -- should be linkage.

Ashish Kejriwal : And sir, in this -- even if Coal India does not increase any prices under FSA, then also, do we think that the linkage coal prices will be more or less what it was in the first FY '23?

Satish Pai : Sorry, I didn't get it. Coal India does not increase prices, then the linkages that we already have, the price will not go up.

Ashish Kejriwal : No, I was talking about the 3 milli on Tranche because this 3 million Tranche coal, we have received at a lower price. And then one we are renewing it, are we getting at the same price or the prices are different? Or the one of the...

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Satish Pai : Notified price of Coal India applies to all coals that they provide. So if they increase it, it will apply to even previous linkages. The premiums are what we are talking about in the first round that we got was at a zero premium. I'm not sure we'll get all 3 million tons at that very low premiums. But I'm hoping -- let's see, we'll give you an update at the end of Q1 of FY24, because it would have been finished by that time.

Ashish Kejriwal : Sure. And sir, is it possible to share what we have got in the first round in terms of volume?

Satish Pai : No.

Moderator : Ladies and gentlemen, that was the last question for today. I would now

like to hand the floor

over to Mr. Satish Pai for closing comments. Over to you, sir.

Satish Pai : Yes. Thank you. I think that the point I wanted to make is that as we had promised Q4 versus Q3 sequentially, the Novelis business has improved, as we had said it would. We think the destocking will probably continue into Q1. And then after that, we should start to see the recovery as said by Steve, Dev in their call.

I think on the India business now, it all revolves around how the LME and coal situation plays out for aluminium . And I think that on the copper side, once the shutdown is over, we should have a pretty good year because the demand for copper products in India is very strong right now.

So overall, looking forward to this year, the macroeconomic uncertainty is the only cloud that we see right now. I think the rest of it is in our hands to deliver. So thank you very much for your attention.

Moderator : Thank you, sir. Ladies and gentlemen, on behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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August 12 , 2023

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Sub: Transcript of Q1 FY24 Earnings Conference call of Hindalco Industries Limited ('the Company')

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Regulations ');

b. ISIN: INE038A01020 & INE038A08124 and

c. Our Intimation dated August 01 , 2023

Pursuant to the above referred, the transcript of the Q1 FY24 Earnings Conference Call held on August 08, 2023 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely ,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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"Hindalco Industries' Q1-FY24 Earnings Conference Call"

August 08, 2023

MANAGEMENT : MR. SATISH PAI - MANAGING DIRECTOR , HINDALCO INDUSTRIES

MR. PRAVEEN MAHESHWARI - CHIEF FINANCIAL OFFICER , HINDALCO INDUSTRIES
MR. STEVE FISHER - PRESIDENT & CEO, NOVELIS
MR. DEV AHUJA - CHIEF FINANCIAL OFFICER , NOVELIS
MR. SUBIR SEN - HEAD OF INVESTOR RELATIONS , HINDALCO INDUSTRIES

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Moderator : Ladies and gentlemen, good day and welcome to Hindalco Industries FY24 1st Quarter Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference call is being recorded.

I now hand the conference call over to Mr. Subir Sen – Head of Investor Relations at Hindalco. Thank you and over to you.

Subir Sen: Thank you. And a very good afternoon, morning, everyone. On behalf of Hindalco Industries, I welcome you all to the Earnings Call for the 1st Quarter of the Financial Year 2024. In this call, we will refer to Quarter One FY24 Investor Presentation available on the Company's website. Some of the information on this call may be forward-looking in nature and is covered by the Safe Harbor language on Slide # 2 of the said presentation.

In this presentation, we have covered the key highlights of our consolidated performance for the 1st Quarter of the Financial Year 2024 versus the corresponding period of the previous year. A segment wise comparative analysis of India aluminum and copper businesses is also provided. This presentation covers our Indian operations, aluminum upstream and downstream financials and their operational performances separately to reflect their individual business segment performances in Quarter 1 versus the corresponding period of the previous year. The corresponding segment information of the prior periods has also been restated accordingly for a comparative analysis.

Today, we have with us on this call from Hindalco's Management; Mr. Satish Pai – Managing Director, Mr. Praveen Maheshwari – Chief Financial Officer; from Novelis' management we have Mr. Steve Fisher – President & CEO and Mr. Dev Ahuja – Chief Financial Officer. Following this presentation, this forum will be open for any questions you may have. Both this call and audio replay of this conference call will also be available on our Company's website. Now, let me turn this call to Mr. Pai to take you through our Company's performance in this quarter.

Satish Pai: Thank you, Subir. A very good afternoon and morning everyone. Thank you for joining today's earnings conference call of Hindalco's performance for the 1st Quarter of FY24. On Slide #5 and #6 of this presentation, you can see our progress across the metrics of ESG for this year versus prior year.

In our continuous efforts towards increasing green cover and biodiversity, we have successfully completed an all-season study under our biodiversity management plan for 12 of our mine sites
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and six units in Hindalco. We are also pursuing plantation drives across all our buffer zones. Hindalco continues to increase its share of recycling and reuse of waste. In this quarter 90% of total waste was recycled and reused versus 88% in the previous year. We have achieved recycling of 127% of bauxite residue and 105% of ash in this quarter, which is a significant achievement over the last year. In addition, we are now single use plastic free certified at 14 of our plant sites this quarter and progressing well to become 100% single use plastic free certified Company in India soon.

In terms of our progress in renewables, we have already reached 50% of our target of 300 megawatts by 2025 this quarter and completed 150 megawatts of renewables. Further 140 megawatts of renewable hybrid wind and solar projects are under execution and expected to be completed over the next few years. At the end of this quarter, our aluminum specific greenhouse gas emission was recorded at 19.45 tons of CO2 per ton of

aluminum, which was a bit higher than last year on account of higher power consumption at some of our smelters. This is expected to settle down with better efficiencies across our plants in the coming quarters. On safety, the LTIFR in India was recorded at 0.22 this quarter, reflecting an improvement over FY23 levels

and remains amongst the best in the industry. We have taken several initiatives to inculcate the safety culture, not only in our employees, but also in their families. In addition to this, we have taken digitalization initiatives to develop the contractor safety management and comprehensive safety audit and assurance software to further strengthen our systems to monitor safety with a target implementation date of October 2023. There were no fatalities recorded in our Indian operations this quarter.

We are on our way of achieving net water positivity by 2050. We stay committed to our zero liquid discharge at all our sites and a 20% reduction in specific water consumption by 2025 from the base year of FY19. On the water positivity front, two of our mines that is Samri and Bagru have achieved water positivity rate this quarter. All these initiatives are in line with our target of achieving water positivity across all mines by 2025. In addition to this our Silvassa and Taloja facilities have completed zero liquid discharge, erection and installation while its commissioning is underway. We are not only implementing water audits for assessing rainwater harvesting and recycling capabilities at our plant locations, but have also initiated various desalinization and other projects to achieve this goal. Our Dahej plant successfully commissioned its tertiary water recycling unit, leading to 700 kiloliters per day fresh water savings this quarter.

Let me now give you a glimpse of our quarterly consolidated performance in quarter four versus the previous quarter on Slide #8. This quarter's performance on a consolidated basis was driven by recovery in the Novelis and India, Aluminum India downstream businesses backed by a steady performance by the copper business. Our consolidated revenue was Rs. 52,991 crores this quarter, which was down 5% sequentially. Consolidated EBITDA was up 5%, Q-on-Q at Rs. 6,109 crores whereas the consolidated PAT was up 2% on a sequential basis at Rs. 2,454 crores this quarter. Hindalco at the consolidated level maintains its strong balance sheet with the net debt to EBITDA well below 2x at 1.73 at the end of June 2023. On the balance sheet, our

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consolidated net debt stands at Rs. 38,463 crore. The India operations net debt was Rs. 1,904 crore and Novelis was at Rs. 36,559 crore at the end of June 2023. In India aluminum business, we are currently hedged at around 11% at a price of \$2,755 per ton for the Financial Year 2024. All our strategic Capex in India as well as in Novelis are mapped with cash flow generations in the business and are in line with our capital allocation policy.

Coming to our business wise performance this quarter :

Novelis shipments were at 879 KT down 6% Q-on-Q largely on account of lower beverage can shipments and specialties, especially the building and construction segment. This was partially offset by record automotive shipments this quarter. Novelis delivered an EBITDA of \$421 million, up 4% year-on-year on account of better cost control and favorable product mix. EBITDA per ton was \$479 versus \$431 in the previous quarter, up 11% sequentially. On Hindalco's India aluminum business performance, upstream aluminum performance this quarter was impacted by unfavorable macros. Total upstream shipments were up 5% Q-on-Q at 341 KT, whereas revenue was flattish sequentially at Rs. 8,064 crore. Upstream EBITDA was 12% lower sequentially at Rs. 1,935 crores, EBITDA per ton was at \$691 per ton and EBITDA margins were at 24% and

continued to be one of the best in the global industry in the current challenging business environment. Total third-party shipments were 336 KT of which upstream was 255 KT and downstream was 81 KT this quarter. The downstream aluminum business shipments were down 9% Q-on-Q at 81 KT this quarter, while revenues were down 11% sequentially at Rs. 2,435 crores this quarter. However, aluminum downstream delivered an EBITDA of Rs. 147 crores up 31% Q-on-Q on account of better product mix this quarter. Our copper business continues to deliver consistent performance despite the impact of the planned shutdown we had this quarter. The overall metal shipments were at a record high of 118 KT up 1% Q-on-Q of which CCR volumes were at 98 KT, up 4% sequentially this quarter. Revenue was up 3% Q-on-Q at Rs. 11,502 crores on account of higher sales volume. The quarterly EBITDA was at Rs. 531 crores, down 11% Q-on-Q due to lower cathode production on account of the maintenance shutdown this quarter.

Let me give you a glimpse of the current broader economic environment :

After a resilient Q1 CY23, global economic recovery is losing steam amidst wide divergences across sectors and economy. High frequency indicators for the second quarter point to a broader slowdown in activity. As per IMF, global GDP growth is projected to moderate from 3.5% in 2022 to 3% in both 2023 and 2024. Slowdown is concentrated in advanced economies, where growth is expected to decline from 2.7% in 2022 to 1.5% in 2023. While emerging market economies are expected to grow at a steady pace of 4% in 2023. Restrictive monetary policy, slow recovery in China and sluggishness in manufacturing and trade activity are weighing on growth. On the upside, services sector expansion continues to drive growth. The battle against inflation is not yet over, with central banks focused on achieving sustained disinflation,

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from the war induced peak levels. Global headline inflation is expected to fall from 8.7% in 2022 to 6.8% in 2023 and 5.2% in 2024. However, core inflation is projected to decline more gradually. On the domestic front, economic momentum is holding up despite a challenging global environment. Economic activity remains resilient, albeit with some sequential moderation in the June economic data. Strong domestic demand, robust service sector activity and healthy public Capex momentum will drive growth in FY24. However, the impact of tighter monetary policy and slowdown in global growth may weigh on domestic growth going forward. RBI projects real GDP growth for FY24 at 6.5%, moderating from 7.2% in FY23, with risk being evenly balanced. Headline inflation has remained below 5% since April 23, driven by both core and noncore inflation. However, going forward, food price dynamics are likely to shape the headline inflation trajectory. RBI projects CPI inflation to moderate to 5.1% for FY 24 from 6.7% in FY22 on softer commodity prices and core inflation. RBI kept the policy rates unchanged in the last two meetings at 6.5%, stating durable disinflation in core inflation, stating that durable disinflation and core inflation would be essential for a sustained cost.

Talking about the aluminum industry outlook in the first half of CY2023 :

Global aluminum production grew at 2% year-on-year while global consumption grew by 2% resulting in a surplus of 0.7 million tons. In Q1 calendar year, 23 Chinese production declined in certain provinces like Yunnan and Guizhou and Shandong due to tight power supply. In Q2 of calendar year 23, with improved hydropower situation, the government has released power to the smelters, resulting in an increase in aluminum production, especially in the provinces of Yunnan and Guizhou. Hence overall production in China

grew by 3% year-on-year in the first

half of CY23 to 20.1 million tons. The Chinese consumption in H1 CY23 faced headwinds due to weak construction demand and led to a decline in consumption by 2% year-on-year to 20 million tons resulting in a surplus of 0.1 million tons. In the world, excluding China, production increased in South America whereas it declined sharply in Europe. Hence, production was flat at 4.3 million tons in the first half of CY23. Aluminum consumption faced headwinds across all sectors except the automotive segment. As a result, consumption grew by 7% to 13.7 million tons, leading to a surplus of 0.6 million tons.

On a quarterly basis in Q2, global aluminum production increased by 1% to 17.3 million tons, whereas consumption increased by 2% to 17.7 million tons, resulting in a deficit of 0.4 million tons. During this period Chinese production grew by 1% to over 10 million tons. Consumption improved to 10.8 million tons, up 6% year-on-year due to the base effect of the Zero Covid policy in the last year. Increased solar capacities and electrical vehicle production partially offset the demand weakness from other sectors during this period. This resulted in a deficit of 0.6 million tons in China. In the rest of the world, overall aluminum production grew marginally by 1% to 7.2 million tons, while consumption continues to weaken across all sectors except automotive which led to a 4% drop in consumption at 6.9 million tons, resulting in an overall surplus of 0.2 million tons this quarter. The global aluminum prices in Q2 CY23 fell to \$2,258 a ton against \$2,395 a ton in the previous quarter.

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On a quarter-to-date basis, the global price of aluminum is around \$2,150 a ton.

In Q1 FY24, the domestic demand is likely to reach 1.14 million tons at a 14% growth year-on-year, whereas sequentially this demand is expected to grow marginally by 1%. This sharp year-on-year growth is supported by strong demand from the electrical, building and construction sectors and a recovery in consumer durables. However, packaging and auto faced headwinds due to weakness in the export led demand.

The global FRP demand is expected to grow at 1% in CY23 versus a 3% growth in the last calendar year. The global demand for resistant beverage can sheet is expected to grow in the long run at a CAGR of 3%, although the customer inventory reduction now is largely complete. The return of promotional activities in North America shall boost consumption of beverages in the second half of FY24. The automotive segment demand is expected to grow at a CAGR of 11% over the next five years, driven by vehicle growth rates, lightweighting needs for fuel efficiency, performance and electric vehicle range. This growth is led by elevated levels of pent-up demand and EVs are gaining share of the vehicle mix.

The demand in specialties, especially in building and construction segment, showed some softness on account of seasonality and the macroeconomic environment. While some optimism is seen in US building and construction market, full recovery in specialty demand is depending

on the economic stabilization across regions. The Aerospace segment demand for premium aerospace plate and sheet is positive and is expected to remain strong. Aircraft OEMs are forecasting a strong growth in aircraft build rates over the next decade. In this sector, sustainability is also gaining importance, leading to higher consumption of aluminum. In FY24, Indian FRP demand is expected to grow marginally by 8% year-on-year due to stable building and construction demand and pick-up in consumer durable demand. This demand is likely to remain firm in the coming quarters.

With respect to the global copper industry, in the first half of CY23, overall global copper production grew by approximately 4% at 12.5 million tons, whereas

consumption grew by 4%

year-on-year at 12.4 million tons, resulting in a surplus of 0.1 million tons. On a half-yearly basis in CY23, China's production increased by 5% at 5.4 million tons, whereas consumption grew by almost 7% at 6.6 million tons resulting in a deficit of 1.2 million tons. The world, excluding China, increased their production by 3%, whereas consumption grew by 1% on a year-on-year basis. Resulting in a surplus of 1.3 million tons in H1 CY23. In the second quarter of calendar year 2023, the overall global production of copper increased by 3.4% year-on-year while consumption grew by 5.9% compared to the corresponding period last year, resulting in a deficit of 0.5 million tons. In Q2 calendar year, 23 Chinese production increased by 4.5% year-on-year, while consumption grew by 10.8, resulting in a deficit of 1.1 million tons. In the world, excluding China, production increased by 2.5% and consumption was flattish year-on-year, resulting in a global surplus of 0.6 million tons this quarter.

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In Q1 FY24, the domestic market demand increased by approximately 10% year-on-year to 190 KT versus 173 KT in Q1 FY23. On a sequential basis in Q1 FY24 market demand increased by 5% while domestic producers share was close to 73%. During Q1 FY24, spot prices of TC/RC are around 21 to 22 cents a pound that remained below the annual benchmark of calendar year 23, which is 22.5 cents per pound, owing to the supply disruptions due to adverse weather conditions in South America and export license delays in Indonesia. Spot activity remained subdued as smelters are being sufficiently well stocked. This was coupled with weak spot demand from China, mainly on account of delays in commissioning of committed smelter projects combined with extended maintenance shutdown. Easing of supply disruptions in the near term will lead to improvements in spot TC/RC during the second half of FY24.

Details of our operational and financial performance in each of the business segments this quarter compared to the corresponding period of last year, as well as the previous quarters, are covered in further slides and annexures to this presentation. But now, let me conclude today's presentation by some key takeaways. We as a Company are working proactively to mitigate the current macroeconomic headwinds and cost pressures. Our resilient India business is providing solid financial prudence with its strong balance sheet for our organic growth strategies. We also continue to focus on resource security in terms of coal and bauxite, thereby reducing our dependency on external sources while expanding our value streams in terms of downstream products.

Our copper business continues to deliver a consistent performance despite the impact of a planned maintenance shutdown this quarter. We continue to focus on our value-added products that will cater to the niche segments of special alloys and high purity copper rods and tubes. Novelis continues to show recovery, backed by better cost control and a favorable product mix. This is reflected in the sequential improvement in EBITDA and EBITDA per ton this quarter. Our approach to ESG continues to be comprehensive across value chains and in line with our interim as well as long term targets of 2050. We have already achieved 50% of our target of 300 megawatts in renewables by 2025. Our LTIFR continues to be among the industry best this quarter as well.

We continue to moderate and pace our new strategic CAPEX both in India and Novelis in line with our generated free cash flows. We stay focused with our value enhancing growth strategy directed towards organic growth and diversifying our portfolio to provide not only products but solutions while expanding downstream business in both aluminum and copper.

Thank you very much for your attention and the forum is now open to any

questions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Indrajit Agarwal from CLSA. Please go ahead, sir.

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Indrajit Agarwal: I have two questions. First on the Bay Minette cost inflation. In the last quarter's call, we had mentioned that we are expecting some support under the US Inflation Reduction Act. Any update on that, given that we have about \$200 million to \$300 million of cost inflation, will it be offset by that or it will be fresh out flow?

Steve Fisher: Sure. Not a large update. We have filed our requests under 48C. We will not have clarity as to any allocations towards either the Bay Minette project or Guthrie recycling project until probably the end of this fiscal year, that is March of 2024. And in the new Capex range of 2.7 billion to 2.8 billion for Bay Minette, it does not include any such funds that we might get allocated for this project.

Indrajit Agarwal: My second question is on the India aluminum business. So, we have seen global coal prices falling much sharply versus our coal cost being largely stable other than e-auction coal prices. So, in that respect and with other cost deflation, what kind of cost reduction, do we expect in 2Q and where does that put us in the global cost curve for aluminum?

Satish Pai: So, Q1 to Q4, cost came down by about 2% and Q2 to Q1, we expect to come down by a further 3%. So, most of the coal that we have been buying in the last few months, we have started to see quite a good reduction in coal prices. So, we are quite encouraged now, and we think that Q2 overall Costs is expected to go down by 3% from Q1 FY24. Now where we are on the cost front, Hindalco is very firmly in the left hand side of the first quartile. I mean if you look at our EBITDA margin of 24% in the aluminum business compared to most of our peers who have already declared, you will see that our EBITDA margins are much better than most of them.

Moderator: Thank you. The next question comes from the line of Sumangal Nevatia from Kotak Securities. Please go ahead, sir.

Sumangal Nevatia: Sir, my first question is with respect to our coal mix, if you could share what was it in 1Q and how do we see it changing in the coming quarters? And also on the cost front, if you see international thermal coal prices back to almost two-year low versus what we are kind of guiding for next quarter when maybe on a normalized basis is still much higher versus what we were say two years ago or three years ago before the Covid era? So, what is the change over the last year? Is there a significant mix change in coal and change in the cost of linkage coal as well?

Satish Pai: You have got quite a few questions there, so let me first start by your first thing was in Q1, our linkage was 41% and the e-auction was 53%. In Q2, we think that the linkage coal utilization is going to be like 57% to 60% range, which is why we are guiding that we will be cost wise down another 3% sequentially. Now your second point is international prices of coal, you have to remember went up much, much more than what domestic prices went up. International prices had gone up to \$240 per ton. They have since moderated down, but it's still quite patchy. So, the third part of your question is coal prices in India. You're right, are still a couple of Rs. 100 per million kilocal higher than what they were pre Covid. Now I personally believe that it's only Hindalco Industries Ltd

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after the captive mines that most of us in the steel and aluminum industry have got, once our captive mine starts, then only you will see the coal cost going back to those early levels. I think as long as we are participating in auctions, you are going to see ups and downs. Structurally, the

the cost shall change when our own mine starts in the coming years.

Sumangal Nevatia: Yes, sir. Sir, in terms of linkage coal, given that we participated in the auction, it is the cost which is getting consumed, now is very different from what it was 2-3 years back, is the premium elevated as well?

Satish Pai: It's not very different, but it is higher. 2-3 years ago what we got in linkage and today compared to what we have gone through in the last few quarters is much lower. But if I compare it to three years ago, it is higher. And you have to remember that generally in India there is at least a 6% inflation in Coal India notified price every year any way.

Sumangal Nevatia: And sir, what would be your, so you said 60% odd linkage from next quarter. Is that a normalized level or we'll see further increase in linkage proportion in coming quarters?

Satish Pai: I don't think so. I think that normally 60% is what our linkages are like because you have to remember these linkages are a rolling phenomenon. So, older ones get finished, new linkages starts, so that keeps going. So, if you go back and look, I think generally the best we have done is about 60-62% in a quarter.

Sumangal Nevatia: And sir, any update you would like to share on our coal mine, captive coal mines like Chakla and Meenakshi, where are we? Which approvals are pending and what's the latest timeline we are seeing?

Satish Pai: So, no real change. Chakla mine continues to move ahead as our plan. I think we have a box cut planned in FY25. That is next year somewhere in October. Meenakshi, we are still hoping for Meenakshi allotment, but maybe it is the time to tell you that last week we participated in Meenakshi West Coal mine, which is just sort of West of the existing Meenakshi mine and we

won that as well . So, we are still hoping to get the Meenakshi mine allocated, but we have a Plan B which is Meenakshi West that we won last week, which is another six to seven million tons per year coal capacity . So, at least, we are adequately covered and hopefully we can start Meenakshi West if this Meenakshi does not get allocated going forward .

Sumangal Nevatia: And sir, just one last question. So , what is the reason for this delay in allocation? Because we're seeing this across many companies? So, if you could just share , what is the issue here?

Satish Pai: There is a fundamental regulatory issue related to what they call land acquired under the Coal Bearing Act. So , to allocate a mine to a private industry besides the subsurface rights, you will have to allocate the land as well to a private Company and the law did not really allow the CBA land to be transferred from a public sector unit to a private. So , the government has had to deal

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with that regulatory aspect. That's why many mines are stuck on this. But I think it's getting resolved now.

Moderator: Thank you. The next question comes from the line of Pinakin Parekh from JP Morgan. Please go ahead.

Pinakin Parekh: Sir, I have only one question which is on LME aluminum prices . Now essentially this year was supposed to be a story of Yunnan production cuts, China deficit and sharply higher aluminum prices and there has been a complete reversal of that situation and the market worries is that without drought, Chinese aluminum production surges further from here, which could push aluminum well below the cost curve. So , at this point of time, how is the Company looking at aluminum prices for the next two to three quarters and is there any recalibration of the near-term CAPEX plan with the outlook on aluminum prices?

Satish Pai: Let me handle the second part first. There is no recalibration of Capex plan because most of our Capex is towards the downstream side of aluminum . We already have sufficient cash reserves to fund our Capex , so we are

not changing any Capex plan both in Novelis or Hindalco . Now to

go back to your outlook on LME, it will be fair to say that every month or every week is a new story when it comes to China. And it's sort of couple of weeks back, everyone got very optimistic that stimulus in China and every LME prices jumped up by a \$100-\$150. Today they are pessimistic, so I think , Pinakin, we can all speculate what China is going to do, but our feeling is that LME will be between \$2100 and \$2300. The good news for us is that cost curves are moderating, so we should be able to go through even if it's a tougher second half of the year. And I think that largely the outperformance of Hindalco will rest on its downstream businesses. Whether it's Novelis, whether it's India aluminum or it's copper, I think on the upstream side we will be compared to our competitors in much better shape, which is all the best we can do. I think from an LME side. It's going to be tough until the situation in China gets clarified .

Pinakin Parekh: So, just to continue with that, are you given the view of aluminum prices of \$2100 to \$2300 , as a Company , are you locking in more volumes as forward sales hedges at this price points or you have reduced your volume hedges for the next 12 months ?

Satish Pai: We made there is no change in our Hedging from the previous analyst call , so we are 11% hedged at \$2,755 a ton for FY24 . We don't think that current levels are worth hedging.

Moderator: Thank you. The next question comes from the line of Amit Dixit of ICICI Securities. Please go ahead.

Amit Dixit: I have a couple of questions. The first one is on downstream aluminum , so India business. So , if I look at downstream aluminum EBITDA is formally above US \$200 per ton, while you indicated in the prepared remarks that this was due to the better product mix and the last two quarters we have been highlighting that consumer durables and all the things were down. So,

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what is the change in product mix that we have witnessed in this quarter and do we expect this label to be sustained?

Satish Pai: So, our calculation is \$220 a ton. So, what had happened is the consumer durables which is the cookware and things like also went through a bit of a destocking . Actually, April was still a little bit tough, but May-June the volumes have bounced back. So, the product mix is that the consumer durable sector has come back, which is quite profitable to us . And what we are seeing in the July and even August is that the demand is quite strong. So, we are fairly comfortable that this 81 K T volume which is slightly on the lower side will cross 90 KT in Q2 and the EBITDA per ton will actually remain well above \$200 per ton . So, we are quite confident about Q2 in the downstream aluminum side.

Moderator : Thank you. The next question comes from the line of Pallav Agarwal of Antique stock. Please go ahead, sir.

Pallav Agarwal: Sir, so I had a couple of questions. First was, if I look at the slide on the India business, so the revenues over there, let's if I take Q1, let's say Rs. 20,230 crores, so they are higher than the standalone revenues. So, is this mostly due to the Utkal alumina external sales?

Praveen Maheshwari : No. So, you're asking whether the standalone revenue is higher than the consolidated India operations?

Pallav Agarwal: Yes, the reverse actually . I am asking the India consolidated revenues are higher than standalone ?

Praveen Maheshwari : Obviously , so Utkal gets added . Utkal has a third party alumina sale.

Pallav Agarwal: And the copper?

Praveen Maheshwari : Copper is there in the standalone also, but Utkal yes, Utkal gets added for the third -party sale.

Pallav Agarwal: So, primarily the Utkal alumina external sales that's being added over there.

Satish Pai: In Q1, we had 95 KT of third -party sales in

Utkal.

Pallav Agarwal: Is that come down because, I think probably in earlier quarters we have run rate of about 150 to 200 KT of external sales.

Satish Pai: Yes, it is lower because every sort of second half of March , 1st half of April, we have the annual shutdown of the calciners in Utkal for maintenance. Yes, that's why Q1 was a bit lower.

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Pallav Agarwal: Also, in the annual integrated report of FY23 , the Supplier 's Credit was at a level of about Rs. 5,600 crores. So, is this primarily on account of copper concentrate, this is a credit that we avail or it's also an account of some other supplier 's credit ?

Praveen Maheshwari : Yes, absolutely. So, that is a kind of a trade payables supported by financing arrangements. So, it's a supplier s credit.

Pallav Agarwal: For copper, is it?

Satish Pai: For copper concentrate.

Pallav Agarwal: And I'm assuming the discounting rate would be lower than the normal rates of interest that we would pay on other borrowings ?

Praveen Maheshwari: Interest rates are different for different kinds of borrowings. So, on project loans today, that is the most expensive one. Earlier, you remember we had the bonds which were the highest ones which we paid off last year .

Satish Pai : Leasing suppliers credit interest rates are lower .

Praveen Maheshwari: So, it's lower than the project loans. We have basically two types of loans only now.

Pallav Agarwal: Sure, Sir. So, if I could also just ask you we had mentioned that India was net debt free in our last call , but if I look at the annual report, there's still some amount of net debt there. So, is this because Utkal is net debt free or the whole India operations are net debt free?

Praveen Maheshwari : So, when we talk about India operations, we combine Utkal into that and then there was a small net debt, which was still there. So, we had I think 0.03 times as net debt to EBITDA with a net debt, of around Rs.300 crores at the end of fiscal 2023.

Moderator: Thank you. The next question comes from the line of Ritesh Shah of Investec . Please go ahead.

Ritesh Shah: Couple of questions. Sir , first is on Meenakshi, you use the word backup. Sir, why do you use the word backup specifically? I think the recent amendment it takes in to consideration the issue that you highlighted on the sub surface, right. And sir, if the allotment comes through, what will be the timeline that we'll be looking at? That's the first question.

Satish Pai: Yes, I think that Meenakshi, the strip ratio is very low. So, I think we should be able to get coal there in about 2 years. The reason I use the word backup is that until I have the paper in the hand, the mine next week came up for auction, so we decided to participate and take that.

Ritesh Shah: This is helpful. Sir, my second question is on Novelis . I think in the Q1 call for Novelis, what it was indicated is EBITDA run rate in second half of the fiscal at \$450 to \$500 . Earlier during the

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Capital Markets Day, we had indicated a number of \$525 , so just wanted to get a sense, was there any change in communication or the interpretation is not right from my end?

Dev Ahuja : No, I think our communication first of all is not inconsistent at all, Ritesh. We continue to say that as we close this fiscal year, which means in the Jan -March quarter . Our confidence has gone up even more as compared to what it was at the Capital Markets Day that we will be getting to \$525 per ton. Now until then, we had said that we should be prepared for \$400 to \$450 and as you would have heard at our earnings call , we are now saying that we will be confidently in the range of \$450 to \$500. So, in fact the journey has become a lot better compared to what we indicated at the capital markets day. So, there is no inconsistency

cy whatsoever , in fact looking at

the latest business environment and everything that is happening, we have actually come back to say that we will be better than what we said at the Capital Markets Day. So, I think there should be no confusion.

Ritesh Shah : Perfect, that helps. And last question for Mr. Pai . Sir, you have always emphasized a lot on operating leverage when it comes to Novelis . This quarter, they put it pretty decent set of numbers despite negative impact of operating leverage. Product mix was a little different and the recycling spreads not so of favorable. So, sir, if one had to balance each of those 3 variables and better appreciate the quality of earnings, if you could provide some color , that would be very useful sir. Thank you.

Dev Ahuja : So, Ritesh, again I don't think there should be much of any kind of ambiguity on why we are saying that there is a lot of dry powder when it comes to operating leverage . We are at a level of volume which is unprecedented on the low side post Aleris acquisition. So, the point we are making is that this quarter was like, the third quarter last year was a low point on EBITDA , we are telling you that this quarter is a low point on volumes and from here onwards we are pretty much seeing destocking behind us. So, that itself is a positive trigger when it comes to volume. So, basically the incremental volumes that will come in can in particular because auto is good , specialty in the given situation is also good. So, what will happen if that all the incremental volume from here onwards to bounce back to 900 Kt levels on volumes is going to bring in a very high operating leverage that should not be very difficult to sort of acknowledge because also can come with a relatively higher recycled content. So, we have a double positive here. One is the incremental volume and the other is the recycled benefit which is disproportionate with can ,even if the metal prices are not great at this point in time. So, that is really what is about to happen in the forthcoming quarters.

Ritesh Shah : So, last quick one for Mr. Pai . Sir, would you be keen on an inorganic chase, something on the copper smelter if at all? I know we have a capital allocation framework in place, but what will be our thought process if hypothetically some copper smelter is up for grabs perhaps at the right valuation?

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Satish Pai : Hypothetically, we will continue to look for any opportunity that makes sense for Hindalco and shareholders.

Moderator Thank you. The next question comes from the line of Anupam Gupta of IIFL Securities. Please go ahead.

Anupam Gupta: Couple of questions . Firstly, if you look at the India debt that has risen 4Q versus first quarter , any specific reason which drove the increase .

Satish Pai: You said the India debt has increased. Actually, India debt has not increased. I think there's been a little bit of a working capital block on the copper side that has impacted the Net Debt in Q1 .

Praveen Maheshwari : So, Quarter 1 typically is a quarter where we see some buildup of inventories etc. So, working capital debt does go up in the 1st Quarter , that's about it . There is no increase in the long term loans in India .

Anupam Gupta: And secondly on copper business, what will be the outlook for volumes for second quarter given that you had the shut down and there was no major impact on shipment ?

Satish Pai: It is not that there will be a much upside in volume, but what we have to tell you is that a large part of the volumes this time we had actually imported the cathode and then converted and sold.

So, the margins were not as good. So, in Q2 , it will be more with our own cathodes which we get from our concentrate route , hence the performance in Q2 will be better than Q1.

Anupam Gupta: And volume wise, it should be stable effective

y ?

Praveen Maheshwari : Sales volume will not be different , cathode production volumes shall go up .

Moderator: Thank you. The next question comes from the line of Satyadeep Jain of Ambit Capital. Please go ahead sir.

Satyadeep Jain: My first question is on the business update that you have given the press release on collaboration with Tata Motors to build aluminum cargo body for Tata Ace EV s. So, just wanted to know what kind of aluminum would go into maybe one car and what additional demand could we see from that section?

Satish Pai: So, look, the amount of aluminum is roughly about 55 to 60 Kgs to make that box at the back.

Now the second part you have to know is that when we get into these downstream businesses, it's not just the weight of the aluminum because we're actually doing some machining, welding to make that box. So, we're getting more and more, doing extra machining and things like that. We have year to date in the last six months delivered thousand and now the run rate is more like 200-300 per month. The next thing is that those last mile vehicles, everybody's electrifying it

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and hence need to lightweight it. So, we are in talks with another two or three clients who want to build more of these aluminum boxes on their last mile vehicles.

Satyadeep Jain: Thank you. And my second question is on the capacity expansion. So, we had 170 KTPA continuous casting plus cold rolling facility coming up at Aditya Aluminum. So, any update on its commissioning, timeline?

Satish Pai: We just reviewed the project last week, so it's going as per plan. I think the first coil should come out somewhere in end of FY 25, next year.

Moderator: Thank you. The next question is from the line of Gaurav Singhal of Aspek Management Hong Kong Limited. Please go ahead.

Gaurav Singhal: So, one is you mentioned that aluminum, you expect LME to be roughly around let's say \$2100 to \$2300 whereabouts which is only slightly lower than I think, where this average this quarter. So, for the India upstream business, should we expect like \$650 a ton to be like a normalized EBITDA level for this kind of LME price? And also, once our mines come online, how much can the cost reduction benefit on a dollar per ton basis to be in the upstream?

Satish Pai: So, I think that your first, I would say is roughly in the right ballpark. If it is in that range, the number that you had is more or less, right. I think how much you can get once the mine will come, it's better if we wait till the mines get commissioned and then we'll give you a more accurate number because the cost can come down by another 5% or 8% more with our own mines.

Gaurav Singhal: And then the second question more on the Novelis side. So, for the Bay Minette facility, where I understand, we have contracts with our customers. So, are these like take or pay contracts because let us say if macro weakens and for whatever reason the situation is very bad, how firm are these contracts? Like does the customer have to pay. Is it like a take or pay or is there a risk that may not get the price that we contracted at?

Steve Fisher: So, as we said on our call last week, we are fully committed with some contracts and it's very late stages of other contracts for two-thirds of the Bay Minette facility that will be for beverage packaging. We are also in line with our contracts on the auto sheet side. As relates to the contracts, these are multi-year contracts with like our current contracts and with take or pay arrangements.

Gaurav Singhal: And if I may ask like so when we sign these contracts, these are with the Can companies or is it like a tripartite arrangement with the ultimate brand owner as well or do we just sign with the Can Company and then the Can Company would sign separate contract with the brand owner? Hindalco Indus

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Steve Fisher: Yes, it's a combination in North America directly to some brand owners. We announced I think a couple of months ago, a long-term contract relationship with Coca-Cola Company and then also some contracts that are obviously attracting with the can makers. So, it's a mix.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: You mentioned that we are formally on the left side of the cost curve on the global aluminum market. Would you be able to indicate the advantage that we have on aluminum and coal versus the midpoint of the cost curve, some sort of quantitative indication on the numbers?

Satish Pai: No, I can't give you much more to say that probably our biggest part of the advantage is our alumina cost because we have Utkal, the alumina cost is certainly one of the big ones besides other benefits that we may have. So, a large part of our differentiation comes because of the cost of alumina.

Kirtan Mehta: Sure, sir. And in terms of from the perspective of the thermal coal has been sort of weakening in the international market, at this point of time are the sort of the global thermal coal still in the positive area or are there any sort of, I just want to understand how much the cost support we have at the current price level? Would you be able to give some indication around that?

Satish Pai: Look, a few of you have asked me, but let me tell you that international prices of coal and domestic prices of coal, while there could be some correlation, largely it's not. Both are not related because the Indian domestic coal market is driven by its own supply demand and what happened last year is it was a very hot summer, so a lot of coal got diverted to IPPs and hence the e-auction coal in India went up. Now, yes, coincidentally, the war in Ukraine happened and the international prices of coal went up, but it's not a direct one-to-one correlation. We in India, besides Dahej, which is on the coast, so takes imported coal. Large part of our aluminum is run on domestic coal and we do not normally import coal for our aluminum smelting needs. So, I am more interested in Coal India's production, how hot the Indian summer was, which was not so much availability of coal in India and hence e-auction prices coming down.

Kirtan Mehta: Thanks for clarifying this. I had a slightly different question in terms of, I wanted to understand for the global smelters who are running on the global prices of coal, are they currently profitable

at the current price levels or there is a n X percentage of the smelters . which are sort of at this rate?

Satish Pai: So, you see what happened in Europe is that most of the smelters shut down when gas prices went above \$15 per M MBtu and most of them remained shut down. There is quite a lot of Chinese smelters that are the closest to India, which run on coal and it depends on the coal prices in China and some of them are on the right -hand side of the cost curve. Large parts of the Middle East run on natural gas, which is provided by their governments, and Hydro and Rio Tinto run Hindalco Industries Ltd
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on hydropower. So, the basket of international smelting is quite varied. So, it's only India and China that are very much coal dependent.

Moderator: Thank you. The next question is from the line of Vikas Singh of PhillipCapital. Please go ahead sir.

Vikas Singh: I have just one question pending. Sir, like in Novelis , you said that you have taken a price hike in Europe after the energy cost appreciation. Is there any risk to repricing these to a lower range because now the energy costs have come down significantly, and you have to pass on certain benefits to the customers ?

Dev Ahuja: So, first of all, for the largest part , our contracts

are driven by PPI and a lot of the costs pass through happens through PPI clauses and they remain consistent. Second of all, we have long term contracts and so there is really no pricing volatility. Generally , the direction of pricing on the Canadian side is upwards and so on that front, we don't have any really concerns of any margin dilution. In fact, as inflation is settling down , we will see some accretion in margins . Now coming to the main point of your question , in the case of specialties, we have annual price negotiations and just given the overall discretionary environment , which includes energy deflation when it comes up for price negotiation, we will have to give some part of it and that includes some contracts where we had a specific indexation of energy. But what I can tell you is that net-net, we do not expect any margin dilution because with all the settling down of overall inflation, we will still be able to preserve our margin. So, all that I want to say is that we don't foresee any margin dilution even though there may be some price adjustment as we get into the next round of negotiations, given inflation is settling down . I hope that's a helpful answer.

Moderator: Thank you. The next question is from the line of Vishnu Kumar from Avendus. Please go ahead.

Vishnu Kumar: Most of my questions have been answered, but just on the CAPEX, capital expenditure number for full year for both Novelis and India, if you could just remind us the total number and how much has been spent for the 1st Quarter ?

Satish Pai: So, for India this year, we will be at roughly Rs. 4,000 crores to Rs. 4,500 crores for FY24 and of this we spent Rs. 800 crore plus in this quarter. Dev, your guidance for this year ?

Dev Ahuja: Yes. So, \$1.6 billion to \$1.9 billion is our annual guidance for Capex . And in the 1st Quarter , our CAPEX was around \$333 million. So, we expect that to go up as the growth projects including Bay Minette are ramping up .

Vishnu Kumar: My second question is on the India downstream side. What could be the theoretical number that we can do, assuming if we can full run full blast and when the new projects kick in from next year, I mean FY25 and FY26, where this theoretical number can get to?

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Satish Pai: So, the Silvassa 34 KT extrusion commissioning has started in the last few months. So, we will add 34 KT of extrusion and then the rolling capacity is 170 Kt. So, you will add another 200 Kt, we are roughly at around 400 Kt plus now. So, in the next two years , we will get to about 600 KT. EBITDA per ton is running north of \$200 per ton already. So, that's your numbers.

Moderator: Thank you. Due to the time constraints, that was the last question. If you have any other question , you can connect with the Investor Relations team for your further queries.

Moderator: With this, I would like to hand over the conference to Mr. Pai for any closing comments.

Satish Pai : I think that on behalf of Hindalco and Novelis, we thank you all for participating in the call and I hope we have managed to cover all the questions that you had and we look forward to talking to you in our next quarterly earnings. So, thank you.

Moderator: Thank you . Ladies and gentlemen, on behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Sub: Transcript of Q2 FY24 Earnings Conference call of Hindalco Industries Limited ('the Company')

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations');

b. ISIN: INE038A01020 & INE038A08124 and

c. Our Intimation dated November 2, 2023

Pursuant to the above referred, the transcript of the Q2 FY24 Earnings Conference Call held on November 10, 2023 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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"Hindalco Industries Limited

Q2 FY '24 Earnings Conference Call "

November 10, 2023

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

MR. SUBIR SEN – HEAD OF INVESTOR RELATIONS – HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER – NOVELIS

Moderator : Ladies and gentlemen, good day and welcome to Hindalco Industries FY '24 Second Quarter Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

I now hand the conference call over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you, sir.

Subir Sen: Thank you and a very good afternoon and morning, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the second quarter of financial year 2024. In this call, we will refer to the Q2 FY '24 investor presentation available on our company's website.

Some of the information on this call may be forward-looking in nature and is covered by the Safe Harbor language on slide number two of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the second quarter of the financial year 2024 versus the corresponding period of the previous year.

A business -wise comparative financial analysis of Novelis , Hindalco India aluminium and copper business is also provided. This presentation covers our Indian operations, aluminum upstream and downstream financials and operation performance separately to reflect the individual business segment performances in quarter 2 versus the corresponding period of the previous year. The corresponding segment information of the prior period will also be restated accordingly for a comparative analysis.

Today, we have with us on this call from Hindalco's management, Mr. Satish Pai , Managing Director; Mr. Praveen Maheshwari, Chief Financial Officer. From Novelis' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, our Chief Financial Officer.

Following this presentation, this forum will be open for any questions you may have. Post this call the audio replay of this conference call will also be available on our company's website.

Now let me turn this call to Mr. Pai to take you through the company's performance in this quarter.

Satish Pai: Thank you, Subir. Good afternoon and morning, everyone, and thank you for joining today's earnings call of Hindalco's performance for the second quarter of FY '24. At the beginning, let me wish all of you and your families a very happy Diwali.

On slide five and six of this presentation, you can see our progress across various ESG metrics for this year versus the prior year. In our continuous efforts towards increasing green cover and biodiversity, we have successfully completed an all -season study under our biodiversity management plan for 12 of our mine sites and 4 units in Hindalco. In addition to this , study at 2 sites and 1 mine clusters are also progressing well.

CII's Biodiversity Index and carbon sequestration ground assessment was completed in 6 of our units in the first half of this year. I'm also happy to share with you that Hindalco has won the UNDP Mahatma Award for Excellence in Biodiversity Management in 2023.

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Hindalco continues to increase its share of recycling and reusing of waste. In the first half of FY '24, 80% of total waste were recycled and reused, in line with the same period of the previous year. We achieved recycling of 108% of bauxite residue and 103% of ash in H1 of this year. On the emissions, Hindalco is now pursuing ozone -depleting substances i.e. ODS phaseout programs at all our sites and targeting to be ODS -free by FY '26. Our flue gas desulfurization projects at Mahan and Aditya power plants are now commission

ed.

At the end of the first half, our aluminum -specific GHG emissions were recorded at 19.58 tons of CO₂ per ton of aluminum, which is a bit higher than last year on account of higher power consumption at some of our smelters. This is expected to settle down with better efficiencies across our plants in the coming quarters. In terms of our progress in renewables, we have already

reached 50% of our target of 300 megawatts by 2025 this quarter and completed 150 megawatts of renewables. Further 50 megawatts of solar and wind are under execution and expected to be completed by Q1 of FY '25.

On the 100 megawatts of hybrid power project, the contract is executed with a target COD beginning in December 2024. On safety, the LTIFR in India was 0.18 in the first half, reflecting an improvement over H1 of last year's level and remains among the best in the industry. We have taken several initiatives to inculcate a safety culture, not only in our employees but also in their families.

In addition to this, we have taken digitalization initiatives to develop the contractor safety management and a comprehensive safety audit and assurance software to further strengthen our systems to monitor safety with a target implementation date of March 2024. There were no fatalities recorded at our Indian operations in the first half of this year.

We are on our way to achieve net water positivity by 2050. We stay committed to our zero liquid discharge at all our sites and a 20% reduction in specific water consumption by 2025 from the base year of FY '19. On the water positivity front, an additional 3 of our mine clusters have achieved water positivity in this quarter, taking the total to 5 as of September 2023. All these initiatives are in line with our target of achieving water positivity across all the mines by 2025. The civil work on the 5,000 kiloliters per day project at Renukoot is underway. We are not only implementing water audits for assessing rain water harvesting and recycling capabilities at our plant locations but have also initiated various desalination and other projects to achieve this goal.

As a result, our desalination project and tertiary water recycling units at Dahej enabled a significant drop in freshwater consumption from 18.5 cubic meters per ton of metal in H1 FY '23 to 10.4% in H1 FY '24.

I'm happy to share Hindalco's recognition as the world's most sustainable aluminum company for the fourth year in a row in the S&P Dow Jones Sustainability Indexes, Corporate Sustainability Assessment, CSA, ranking of 2023. This reflects our holistic approach to long-term ESG performance.

Let me now give you a glimpse of our quarterly consolidated performance in quarter 2 versus the previous quarter of this year on Slide 8. This quarter's performance on a consolidated basis

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was driven by strong recovery in Novelis and aluminum India downstream businesses, backed by a record performance by the copper business.

Our quarterly consolidated revenue was INR 54,169 crores this quarter, up by 2% sequentially. Our consolidated business segment EBITDA was up 14% Q-on-Q at INR 6,896 crores, whereas our overall reported EBITDA was flat sequentially at INR 6,096 crores this quarter. The consolidated PAT was down 11% on a sequential basis at INR 2,196 crores this quarter.

In India aluminum business, we are currently hedged at around 11% at a price of \$2,755 per ton for the remaining half of 2024. On the balance sheet side, our consolidated net debt stands at INR 37,613 crores. The India operations net debt was INR 1,174 crores, and Novelis was at INR 36,439 crores at the end of September 2023.

During this quarter, we prepaid a long-term debt of INR 2,120 crores in Hindalco India operation. Hindalco at the consolidated level continues to maintain a strong balance sheet with a net debt-to-EBITDA well below 2x at 1.66

x at the end of September 2023.

Hindalco has recently signed an MOU with Odisha Mining Corporation for a long-term supply of bauxite for its 2-million-ton alumina refinery and 160-megawatt captive power plant at Kansariguda in the Rayagada district of Odisha. Hindalco will invest around INR 8,000 crores in this project in 2 phases.

Our strategic capex in India as well as in Novelis are mapped to cash flow generation in the business and are in line with our capital allocation policy. Coming to our business-wide performance this quarter, Novelis shipments were at 933 Kt, up 6% quarter-on-quarter, primarily on account of higher beverage can shipments, which was up 12% sequentially, as destocking activity is largely behind us.

Novelis delivered a quarterly EBITDA of \$484 million, up 15% year-on-year on account of higher volumes and benefit on operating leverage along with better scrap utilization this quarter. The resulting EBITDA per ton stood at \$519 per ton versus \$479 in the previous quarter, up 8% sequentially.

On Hindalco's India aluminum business performance, upstream aluminum performance this quarter was impacted by unfavorable macros. Total upstream shipments were lower by 2% Q-on-Q at 334 Kt, whereas revenues were down 2% sequentially at INR 7,878 crores. Upstream EBITDA was up 7% sequentially at INR 2,074 crores, supported by lower costs. The resulting EBITDA per ton was at \$751 per ton, higher by 9% sequentially.

EBITDA margins were also higher at 26.3% compared to last quarter and continue to be one of the best in the global industry in the current challenging business environment. Total third-party shipments were at 338 Kt, of which upstream was 245 Kt and downstream was 94 Kt this quarter. The downstream aluminum business shipments were up 15% quarter-on-quarter at 94 Kt, while revenues were up 8% sequentially at INR 2,629 crores this quarter.

However, aluminum downstream delivered an EBITDA of INR 171 crores, up 16% quarter-on-quarter on account of higher volumes. Our copper business continues to deliver consistent

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performance this quarter as well. The overall metal shipments were at a record high of 134 Kt, up 13% Q-on-Q, of which CCR volumes were 100 Kt, up 2% sequentially this quarter.

Revenues were up 8% Q-on-Q at INR12,441 crores this quarter on account of higher sales volumes. The quarterly copper EBITDA was at an all-time high of INR 653 crores, up 23% Q-on-Q on account of higher shipments and normalization of production of cathodes post the maintenance shutdown in the last quarter.

Now let me give you a glimpse of the current broader economic environment on Slide 10. Global economic recovery remains resilient despite multiple challenges. IMF projects global GDP growth to moderate from 3.5% in 2022 to 3% in 2023 and to 2.9% in 2024. Advanced economic growth is expected to moderate from 2.6% in 2022 to an estimated 1.5% in 2023 and 1.4% in 2024, amid strong U.S. but disappointing European Union performance.

Emerging market economies have remained buoyant with growth projected to moderately decline from 4.1% in 2022 to 4% in both 2023 and 2024. In China, encouraging economic activity data since August 2023 and a strong GDP report in Q3 indicate economic recovery is gaining pace despite challenges in the housing sector. While downside risks remain moderating inflation without a major downturn in global activity and buoyant labor market are consistent with a soft landing scenario.

As per IMF, global inflation is expected to decline steadily from 8.7% in 2022 to 6.9% in 2023 and 5.8% in 2024. However, coal inflation is expected to decline more gradually.

On the domestic front, despite the challenging global environment, India's growth momentum is holding up driven by strong domestic fundamentals, robust consumption demand, infrastructure spending and s

ervice sector activity, which continue to drive growth. However, weakening global demand, rising geopolitical tension and tighter credit conditions pose downside risk. RBI projects real GDP growth to moderate to 6.5% in FY '24 from 7.2% in FY '23 with evenly balanced risk. RBI's forward-looking surveys indicate better demand conditions, employment opportunities and industrial output going forward. Inflationary pressures have also eased with CPI inflation expected to moderate to 5.4% from for FY '24 from 6.7% last year in FY '23 on softer commodity prices and lower core inflation. The evolving geopolitical situation and its impact on crude oil and India's inflation trajectory is being closely watched by RBI, which has kept the rates on hold since February 2023.

Moving on to the aluminum industry outlook on Slide 11 and 12. First, let me talk about China. In Q1 calendar year 2023, production in China declined in certain provinces like Yunnan, Guizhou and Shandong due to tight power supply. In Q2, with improving hydropower situation, the government released power to the smelters, resulting in increased aluminum production, especially in provinces of Yunnan and Guizhou.

In Q3, production continued to grow by 4% at 10.7 million tons. Therefore, year-on-year basis, the overall production in China grew by 3% year-on-year at 30.7 million tons. On the consumption side, Q1 faced headwinds due to weak construction demand that led to a decline of 2% year-on-year to 9.4 million tons. In Q2, the Chinese demand recovered sharply by 7% to Hindalco Industries Limited

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10.9 million tons. And in Q3, this demand improved further to 11.1 million tons. These demands were strongly led by solar and EV markets, partially offsetting the weak construction demand. Hence, on a year-on-year basis, the overall consumption of aluminum was at 31.5 million tons. As a result, the Chinese market was in a deficit of 0.7 million tons at the end of September 2023. This quarter, aluminum Chinese production was at 10.7 million tons and consumption at 11.1 million tons, leading to a market deficit of 0.4 million tons. In the world excluding China, in Q1 of this calendar year, production was flattish year-on-year at 7.1 million tons. In the subsequent quarters, that is Q3 and -- Q2 and Q3, production improved marginally to 7.2 million and 7.4 million tons, respectively. Therefore, on a year-to-date basis, overall production grew marginally by 1% at 21.7 million tons.

Moving on to consumption with rising interest rates. Except for automotive, all other segments faced some headwinds. As a result, consumption declined sharply by 10% year-on-year in Q1

to 6.8 million tons. In the subsequent quarters, consumption grew to 7 million each in Q2 and Q3. This decline was mainly due to headwinds in the building and construction sector as well as industrial machinery and consumer durables.

Hence, on a year-to-date basis, the overall consumption stood at 20.7 million and production was at 21.7 million tons, resulting in a surplus of 1 million. Therefore, on a year-to-date basis, with the overall global production at 52.4 million and consumption at 52.2 million, the market is in a surplus of around just 0.3 million tons.

In this quarter, both global production and consumption were at 17.5 million each, resulting in a balanced market. The global aluminum prices in this quarter were range-bound and averaged

at \$2,154 against \$2,258 a ton in Q2. On a quarter -to-date basis, the global price of aluminum is around \$2,200 a ton. In Q2 FY '24, domestic demand is likely to reach 1.3 million tons, reflecting a growth of 10% year-on-year and 13% sequentially.

This sharp increase was supported by strong demand from electrical, building and construction sectors. However, the packaging segment faces some headwinds due to weakness in export -led demand, and consumer durables

showed weakness in the cookware segment.

The global FRP demand is expected to decline by 3% in calendar year '23 versus a 3% growth in the last calendar year on account of softer macros. However, the FRP demand is expected to return in calendar year '24 to low to mid -single digits with demand recovery across all major sectors. The global demand for resilient beverage can sheet is expected to grow in the long run at a CAGR of 3%, although the customer inventory reduction is largely behind us now. The U.S. market demand is strong as promotional activities in North America will boost consumption of beverages in the coming months. The South America market is also strengthening as we proceed towards the summer with demand from beverages starting to pick up.

The automotive segment is expecting to grow at the CAGR of 11% over the next 5 years driven by vehicle growth rates and lightweighting needs for fuel efficiency, performance and electric vehicle range. This growth is led by elevated levels of pent-up demand and EVs are gaining

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share of the vehicle mix. The settlement of the UAW strike is a positive development for all auto sheet makers.

The demand in specialties, especially in building and construction segment, remains cloudy due to seasonality and the current macroeconomic environment. While some optimism is seen in the U.S. building and construction market with higher share of new home build rates and ongoing demand for repair and remodel.

The aerospace segment, demand for premium aerospace plate and sheet remains strong. Aircraft OEMs are forecasting a strong growth in aircraft build rates supported by multiyear backlogs of aircraft deliveries. In this sector, sustainability is also gaining importance, leading to higher consumption of aluminum. In FY '24, Indian FRP demand is expected to grow by 7% to 8% year-on-year, supported by growth in auto and packaging segment. This demand is likely to remain firm in the following quarters.

Turning to the global copper industry on Slide 14. On a year -to-date basis, calendar year 2023, overall global copper production grew by approximately 5% to 19.2 million tons. In contrast, consumption also grew by 2.8% year -on-year at 18.9 million tons, resulting in a surplus of 0.3 million tons.

On a year -to-date basis, in calendar year '23, China's production increased by approximately 11% at 8.6 million tons, whereas consumption grew by almost 7% to 10.6 million tons, resulting in a deficit of 2 million tons. The world, excluding China, increased its production by 1.2%; whereas consumption declined by 1.9% year -on-year , resulting in a surplus of 2.3 million tons on a year -to-date basis calendar year '23.

In the third quarter of calendar year 2023, the overall global production of copper increased by 4.6% year -on-year, while consumption grew by 1.8% compared to the corresponding period last year, resulting in a flattish growth year -on-year. In this quarter, Chinese production increased by 9.7%, while consumption grew by 4.6% year -on-year, resulting in a deficit of 0.8 million tons.

In the world, excluding China, production of refined copper increased by 0.8% and consumption declined by 1.8% year -on-year, resulting in a global surplus of 0.9 million tons this quarter. On the domestic side, in Q2 FY '24, market demand increased by 7% year -on-year at 201 Kt versus 187 Kt in Q2 FY '23. On a sequential basis, in Q2, the market demand increased by 3%, whereas domestic producer share was close to 72%. The copper concentrate market was balanced this quarter with mine production in line with demand from global smelters.

As a result, the spot TC/RC remained steady throughout the quarter, closely aligning with the benchmark TC/RC for calendar year '23 at \$0.225 per pound. Looking ahead to the next quarter , an upswing in buying activity is anticipated

due to the expected ramp-up and resumption of a few smelters, which were under maintenance in China. Details of our operational and financial performance in each of the business segments this quarter compared to the corresponding period of last year as well as sequential quarters are covered in further slides and the next years to this presentation.

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Now let me conclude today's presentation with some key takeaways. We, as a company, are working proactively to mitigate the current macroeconomic headwinds and cost pressures. Our resilient India business with a strong balance sheet is providing solid financial prudence to our organic growth strategy. We also continue to focus on resource security in terms of coal and bauxite, thereby reducing our dependency on external sources while expanding our value streams in terms of downstream products.

Our Copper business again delivered its best -ever performance this quarter. We continue to focus on value -added products that we cater to the lease segment of special alloys and high -purity copper rods and tubes. Novelis continues on a strong recovery path with higher can shipments, resulting in benefits of operating leverage due to higher volumes and also higher utilization of scrap this quarter. This is reflected in the strong sequential improvements in both EBITDA and EBITDA per ton.

Our approach in ESG continues to be comprehensive across value chains and in line with our interim as well as long -term target of 2050. We have already achieved 50% of our target of 300 megawatts in renewables by 2025. Our LTIFR continues to be among the industry best this quarter as well. We continue to moderate and pace our new strategic capex both in India and Novelis in line with our generated free cash flow. We stay focused with our value -enhancing growth strategy directed towards organic growth while expanding downstream businesses in both aluminum and copper. We stay committed to maintain a strong balance sheet position and focus on shareholder value creation in the long run.

Thank you very much for your attention, and we'll now open the forum up for your questions.

Moderator : Our first question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is, sir, with respect to the copper division. So if you can just elaborate, what are the drivers for such a strong performance? Is it value addition, by -product credits or better TC/RCs? And should we extrapolate this sort of run rate of both volumes and profitability in the future?

Satish Pai: So I think that it's a combination of all. It's certainly not higher TC/RCs because TC/RCs were not that high because we bought concentrate which were more richer in gold. So I think that the higher thing is because of higher volumes. So we took the opportunity of a higher market demand.

And besides our cathodes, Sumangal, we also imported cathodes and converted to rods. So if you look at the sales volumes that we achieved, these contributed to this very strong quarter, besides the other value streams that we have, which is gold, silver, sulfuric acid, et cetera.

Now on the run rate going forward, I think that we would stick to a guidance of INR 500-550 crores a quarter. I would not extrapolate from the INR 650 crores.

Sumangal Nevatia: Got it, sir. Sir, second, with respect to the aluminum division, is it possible to say how are we looking at the coal cost in coming quarters and overall other costs shaping up in the aluminum division in the next 1 or 2 quarters?

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Satish Pai: Yes. I think that, first, the coal cost Q1 to Q2 was 15% down sequentially. So our cost of production was down 6% Q2 to Q1. Now in the month of October what -- September, October, with power demand again going up, we have st

arted to see spot auction rates coming up again.

So we have looked at the mix of coal and the other input costs. I think coal is going to be slightly up in Q3, but some of the other input costs are continuing to trend down, like caustic, furnace oil, CP coke. So what we are guiding now is that in Q3, you should see a flattish cost of production versus Q2.

Sumangal Nevatia: Understood, understood. And just one last question. Last quarter, sir, you said your outlook in aluminum prices, and you set a range of 21 to 23, and looks like the prices is stuck in this range.

Incrementally, are you turning more cautious or bullish given the recent development of maybe Chinese weak demand and offsetting by some production cuts in Yunnan? Any incremental update on your thoughts on medium -term price outlook?

Satish Pai: So look, what is clear to me after the London Metal Exchange week is that demand for aluminum in China remains quite steady. So any down in the demand due to B&C seems to have been more than made up with solar and electric vehicle aluminum demand.

So I think that if you look at the supply -demand that I had in my prepared remarks, China is in a quite a big deficit for the metal. And in fact, it's being made up by the Rusal metal coming into China. So I personally believe -- and now Yunnan, again, the water has got less so they have had to announce production cuts.

So I think that, personally, the market seems to be very sensitive to any remarks coming out on either the Chinese economy or interest rates. So I think that till things settle down, I stick with our guidance of 2,100 to 2,300. I still believe that supply and demand remains very tight and that any clearing up of the macroeconomic environment, you should start to see a positive trend in the prices.
Moderator : Our next question is from the line of Indrajit from CLSA.

Indrajit : Two questions from my side. Following on from the earlier question, given that you are still positive on aluminum price outlook, any change in thought process or what is our current hedging in -- for FY '25?

Satish Pai: Good question. So, what we did is -- we don't believe that this is a time to take a forward position. So what we did for FY '25 is that we actually hedged around 5% taking a zero collar, the bottom at 2,200 and a ceiling of 2,517. So it's a -- we hedge for insurance, not to take a forward look. So for next year, we started at that 5%, taking this collar. So at one hand, we are protecting the downside at 2,200. And of course, we are accepting a ceiling at 2,517. So that's what we have done for next year, Indrajit .

Indrajit : Sure, sir. My second question is on -- again on cost of production. While you have given a very good outlook on how it is going to shape up in Q3. If you can help us understand, what is your actual cost of production for aluminum at smelter level , only for upstream, right?

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Satish Pai: Yes. We don't give that out, Indrajit. I'm quite sure with your model, you can back calculate, but I -- we don't give out the exact cost of production number.

Indrajit : Okay. Then I'll put it differently. At current levels, is there either a 2Q or a spot basis, where are you on the global cost curve?

Satish Pai: So look, we are firmly in the first quartile. And Aditya, Mahan, Renukoot are fully in the first quartile. And Hirakud the only one which is sort of on the right -hand side. So as a consolidated Hindalco, we are firmly in the first quartile and well to the left.

Indrajit : Sure. One last housekeeping question. If you can give the quantum of alumina sales...

Satish Pai: Yes. This quarter, we sold 138 Kt of alumina. I just wanted to remind you that our brownfield expansion of 350 Kt is now on stream. So I think you will start to see third- party sales in Q3 and Q4 being at a higher level.

Indrajit : So we are not lo

oking to take some shutdowns in the earlier legacy refineries?

Satish Pai: No. We'll evaluate that because what is happening in Muri is that even though the cost is higher there, we are not using it for smelters. We are actually selling it into the third -party market where there's a good demand for hydrate .

Moderator : Our next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka : On alumina, so you have mentioned that you plan to set up this 2 million ton facility. So could you just provide some more details around that, like -- as to when will that come up exactly?

And will that be fully for market sales? Or you plan to kind of back it up with some smelter capacity as well in the future?

Satish Pai: So look, this Aditya alumina refinery is actually a very old project. And we had actually put it on hold because the -- we did not have the bauxite mine security. Now what has happened is that with the Odisha government, we have signed an MOU to get that bauxite supply. And hence, we are putting it up because we think it makes great economical sense.

I think that the first 1 million tons will go in 2 phases: 1 million plus 1 million. The first 1 million is around slightly below INR 6,000 crores of capex that will come up in the next 36 months. Because we already have the land, we already have the environmental clearance, we have already done the public hearing, so that's done .

Now we -- our current plan is to sell it in the third- party market. As you remember, I have frequently reminded that until we try out the 100-megawatt of round -the-clock power in Aditya for next year, we will only expand aluminum capacity when we have more renewable power in the mix. It will not be coal- based.

Amit Murarka : Sure, sure. Got it. Also, regarding the Chakla coal mine, I believe you had said that this will start operating in October '24. So those time lines are still holding or we should...

Satish Pai: Yes. October '24 box cut, we are still holding that time line.

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Amit Murarka : Okay, okay. And any update on Meenakshi?

Satish Pai: The good news is we won Meenakshi West, which we have got notified and we'll start to work.

On Meenakshi itself, we are still awaiting the CBA land issue. We are optimistic about it, but we do not know when that will come. But the next door mine, Meenakshi West, we bid on it and

we have got the order and things like that. So we'll take a call -- if we get both mines, we will take a call on probably to keep Meenakshi. But at this stage, we are working with Meenakshi west.

Moderator : Our next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit : The first question is, if you can detail about the coal sourcing mix in this quarter?

Satish Pai: Yes, sure. So the coal mix impact, we had very good materialization of the linkage. So linkage coal was 53%, e-auction was 40%, own mines were 5%, and import and others were 2%. So I think that this was the mix that we had. And as I said, our coal costs were sequentially on a consumption basis down by 15%.

Amit Dixit : Sir, going ahead, since the Coal India's production is continuously increasing and they are also satisfying power demand fully, you expect a further materialization now -- further higher materialization of linkage? Or 33% is something that we are looking at the optimum level?

Satish Pai: No. You see 53% towards our mix. Our materialization of the linkages were nearly 90% this quarter. That's why we could get the coal costs down. So they are giving -- whatever linkages we have, they're giving -- in Q2, they gave a good materialization.

As I said, towards the end of September and in the month of October, the temperatures still were very high, the power demand in India was high. Then they again started to divert coals to IPP, which is why the spot auctions in October,

again, premiums jumped up.

So that's why we are a bit cautious and we are saying that in Q3, coal price could be a little bit higher. But we'll balance it up with the lower input costs from the other side, and we are guiding for a flat cost of goods production.

Amit Dixit : Okay. That's very helpful, sir. The second question is on the note number nine of the consolidated financial statement wherein you mentioned that in October '23, you have decided to close the cold-rolled and finishing line in the U.S. So just wanted to understand the -- what are the typical products for which segment they are being closed down? And when you have mentioned that the total expense would be \$25 million to \$35 million. Some of it is accelerated depreciation. So just wanted to understand the cash outgo out of the \$25 million to \$35 million.

Satish Pai: You are talking about the shutdown that we have announced of our plant in Clayton ?

Satish Pai: Guidance is that the cost of shutting down could be \$20 million to \$25 million. It's in one of the notes. So, Dev, if you can just give an update on that.

Dev Ahuja: Yes. So yes, I wasn't able to hear the question earlier. But basically, just as a full background. So this is a plant which economically simply does not make sense because of the kind of products

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we are making there. We don't see any future. It's an old plant with high fixed costs. And so most of the impairment or write-off is going to be basically book value of assets. And it's going to be a couple of million of severance costs. So it is simply good economics and just makes sense to get the Facility to closure.

As we announce the next quarter, we will give some more details. But the headline is that these products don't have too much of a future. They are in a highly competitive segment. Fixed cost is -- fixed cost savings is going to be extremely good in order to sort of really quickly pay back on the onetime cost that we are going to incur to close the plant. That's really what it is.

Amit Dixit : Are there any other sites that might be in your radar at this point in time that are having high fixed cost and uneconomical product that you might decide to close later on?

Dev Ahuja: Well, we keep looking at it. I mean there is -- we always keep looking at rationalization opportunities. And so it's like never say no. This is a continuous evaluation that we keep doing based upon market, based upon sort of really what makes sense in the overall strategy. So at this moment, this is what we have, but it's a continuous process of review.

Moderator : Our next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain : Just a follow-up on the alumina question, Mr. Pai. It seems like the company is increasingly going along alumina. What's the strategy or thought behind that? Do you see a shortage of alumina globally? Do you think the mines, the facilities you're looking at could be maybe lower cost compared to some of the other refineries? What's the thought process behind? Will you already long alumina and you're going further long. That's the first question.

Satish Pai: Yes, good question. I think that what we look at is a fairly regional market, largely taking the Middle East smelters into view. So if you look at the whole spectrum from EGA to Sohard, to Alba, I mean, for us to sell about 1 million to 2 million tons of alumina in this market. And we found that the pricing we get is linked to -- indexed to LME. And as you rightfully said, the cost of production of alumina that we can achieve, there is a very healthy return on these investments, so which is why we are doing it.

Satyadeep Jain : So on this new facility you're looking at and the new OMC, just tied to that would be there is no further potential to expand Utkal? And also the Baphlimali mine that you have is one of the

e cost -

competitive advantages you have in producing alumina at Utkal. Would you not have capability to use that mine? And if not, would OMC mine also have similar characteristics to be able to give you that kind of advantage?

Satish Pai: No. See, the issue with Utkal is we started, I think, the 1.5 million tons when we originally set up Utkal. Today, its capacity is already 2.5 million tons, so 2.5 million tons into 3 million tons.

So what is getting clear is that if you keep expanding in Utkal, the Baphlimali mine will run out very fast. So we wanted to preserve at least a certain mine life in Baphlimali and open up a new source of bauxite. This is really looking into the next 10, 15 years for the company, so which is why we did as much brownfield expansion, which is nearly 1 million tons we added to the Utkal capacity. And we think the time is right now.

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And by the way, as I said, it's not a new project. This was always in our plan ever since I joined Hindalco, but we didn't have that bauxite security, which is why we waited until we got that do this project. And alumina certainly seems to be a pretty safe investment and a good return right now.

Satyadeep Jain : Okay. Just one quick question on the linkage coal. I think a couple of quarters ago, you mentioned the 3 million ton of tranche 2 and 3 that expired, and you were in the process of auction, and maybe they will get settled by 1Q. What's the update on those auctions that we got those 3 million tons back?

Satish Pai: Yes, yes. We got tranche 2 and tranche 3. In fact, now we are focused on tranche 4, which is going to expire in January of next year and the upcoming auctions and all to secure that. So tranche 2 and tranche 3, we got and we got it at reasonably good prices. I mean it's slightly higher than what we had but not much.

Satyadeep Jain : And how much is tranche 4?

Satish Pai: So tranche 4 is another 3 million that will come up in January, largely in the NCL region. And we are working on securing that now.

Satyadeep Jain : Wish you all a happy Diwali.

Satish Pai: Yes. Thank you.

Moderator : Our next question is from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta : Going back on alumina, do you plan to enter into any long -term offtake agreement with the Middle East smelters that you're talking about? Or would you largely follow the spot model?

Satish Pai: No, no. We will do -- we have already been with the expansion that we did in Utkal. We are signing annual to bi -annual contracts, which are indexed prices to LME. You get a percentage of LME price. So we will be doing a reasonable amount of longer -term contracts. No, we will not be doing -- trying to sell 1.5 million tons on the spot market.

Kirtan Mehta : Right. Another related question was we have seen sort of the alumina capacity expansion in China and effectively, China turning into sort of an exporter rather than an importer. So looking forward over, say, 5, 7 years, do we expect aluminum market to still remain in deficit globally with...

Satish Pai: See, it's a little bit, as I was trying to explain, of a regional play. I don't think that China will become a big exporter of alumina per se. I do know that they are sending a lot to Russia now to Rusal. But for us, the market that we are looking at is really the Middle East. And the Middle East, we will be tying up with longer -term contracts, which they're quite happy to do.

Kirtan Mehta : Right . Sir, understood. One more question was about your accounts under the comprehensive income, where we are indicating the effective portion of cash flow has a loss of INR 2,272 crores.

Could you explain what does that pertain to?

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Dev Ahuja: So these are just MTM gains and losses on the cash flow hedges, which is the hedging that we

take. And this basically reflects the movement of LME or the currency, depending upon where the hedge lies. So this just goes to the other comprehensive income, and it does not have a direct impact on our P&L because it can change next quarter again.

Kirtan Mehta : This is the 5% hit that we have taken for 2025 or the 25% hedge that we had for '24? Corresponding entries are here marked-to-market?

Devinder Ahuja : It is for all the existing hedges that exists on the date of the balance sheet or, let's say, the quarter end.

Kirtan Mehta : But apart from the aluminum price hedges, do we hedge any other component as well?

Dev Ahuja: So basically, it's LME. Then we have currency hedges in certain cases, then we have sometimes

the furnace oil . So those are the hedges that we typically take, commodity hedges basically.

Kirtan Mehta : Is it primarily for the India operations? Or is it all for Novelis as well?

Dev Ahuja: So it includes Novelis as well because Novelis also takes hedges. These are offset hedges typically for their operations because they deal with aluminum.

Moderator : Our next question is from the line of Pallav Agarwal from Antique Stockbroking.

Pallav Agarwal : So the first question was on the Novelis term loan that we've taken. So given that interest rates are going up, so is it that the new borrowings are at a higher rate of interest than the earlier one?

So what exactly is the rationale for this new borrowing?

Dev Ahuja: Actually, that's at a more favorable spread. It's floating, right? So you are right that right now, SOFR and in general, interest rates are at an elevated level. But as far as the spread goes, we have refinanced our \$750 million at a more favorable spread on SOFR.

We also believe that sometimes starting middle of next year, interest rates will start coming down. But to your precise question, this has been refinanced on slightly more favorable terms.

And the rationale is basically that this term loan would have matured in early 2025. So we just wanted to refinance it well in time. So that's really what it is.

Satish Pai: The existing loan was also on a SOFR plus X basis points.

Dev Ahuja: Exactly . So it's had a more favorable spread on SOFR, basically.

Pallav Agarwal : So given that our credit metrics have improved substantially, so I guess that would also help get a more favorable rate of interest?

Dev Ahuja: Yes, you can say that.

Pallav Agarwal : Sure, sir. Sir, the other question was on the alumina expansion. Now if I look at probably the Chinese cost of production of alumina is probably north of \$300. So whereas we have very

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competitive cost of production at the Indian facilities. So is that something of an arbitrage that can sustain going ahead as well?

Satish Pai: Yes. I think the Chinese alumina -- the existing alumina they have is boehmitic . So it's not -- the high cost will remain. And then they have to bring in bauxite from Australia and out. So -- but you see, it's not a market that we export to. So the difference in alumina costs will remain, but it's not something that was a part of our decision-making. I repeat again, we looked at the market in the Middle East and which we are already selling to now based on the excess long alumina position we have.

Pallav Agarwal : Yes, yes. But that set that probably helped support global alumina prices as well, right, so the Chinese...

Satish Pai: Yes. So -- and the way our contracts are built is as a percentage of the LME aluminium price, so normally running at roughly 14% or 15%. So it is also linked to how aluminum moves.

Pallav Agarwal : Sure, sir. So also, if you could just throw some more color on the aluminum pricing because crude oil has come off significantly from the recent highs. So even though it's winter and probably natural gas prices could go up, but how do you see the

energy cost push playing out in the short term with respect to aluminum prices?

Satish Pai: So -- I'm sorry, I didn't get your question. Energy costs in India or in Europe?

Pallav Agarwal : Globally. I'm talking about crude oil prices have declined pretty sharply off late. So would that offset some of the cost push from higher natural gas prices?

Satish Pai: Not really. I mean we see crude oil comes down. The linkage for crude oil to us is a little bit of a linkage to the furnace oil, and furnace oil prices are also coming down, which is why I said in our Q3 cost/mix, even if coal goes up a bit, CP coke, furnace oil, caustic prices are down. So -- and the natural gas prices, the only effect for us is Novelis in Europe, which has no real linkage to crude oil prices. That's going to depend on how severe the winter is there.

Moderator : Our next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar : Sir, I had a couple of questions. One is on the working capital side. We have seen a release of working capital in this quarter, which was aided in our capital expenditure. So what is the outlook for that and whether we can see the same kind of run rate to complete all expansion project on time?

Dev Ahuja: I'm sorry, I was on mute. So we have a pattern where in the first 6 months of the year, we build inventory and we basically have use of cash when it comes to working capital. And in the second part of the year, most pronouncedly in the fourth quarter, we have a big release of converting capital primarily because of inventories going down. So we build up using capacity in the earlier part of the year while shipments are more weighed towards the end of the year. And so we have a release of working capital.

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So basically, what has happened this year is that there is a use of cash. And the use of cash is related to buildup of inventory, number one; number two, it is reduction of payables. Because we had purchased metal and we are now processing that metal and we are not replacing that metal, and so therefore, they don't build new payables. So that is really the dynamic. So it's basically a seasonal dynamic that happens. In short, that's really what it is.

Rajesh Majumdar : Right. And sir, at the company level, what is the guidance for capex for the next 2 years?

Satish Pai: So look, I'll go ahead and -- Dev give the Novelis and I'll give the India. Go ahead.

Dev Ahuja: Yes. So basically, at the Novelis level, we expect the capex now to be much lower than our earlier guidance. We expect the capex to be in the \$1.6 billion to \$1.8 billion and most likely, it will be at the lower end of the range. So basically, that is what we are at right now.

Satish Pai: Yes. And I think for India, this year, we will be between INR 4,000 crores to INR 4,500 crores. I think that for the coming year, we'll give you that guidance probably in the February call once we firm up our plan.

Rajesh Majumdar : Okay, sir. And sir, my last question on what is our cost of production of alumina and the current realization you've made for this quarter, alumina.

Satish Pai: We don't -- both for aluminum and alumina, we don't give you our cost of production. That's a little bit of a competitive information.

Rajesh Majumdar : But alumina also, you are in the first quartile? I'm just talking specifically the merchant alumina business in terms of COP.

Satish Pai: I think in alumina, it's not just the first quartile, but the number one rated lowest cost in the world for the third-party market we sell from Utkal.

Rajesh Majumdar : And could you share the realization for 2Q for aluminum and alumina that you can share in dollars per ton?

Satish Pai: Yes. I mean the NR realization for -- I think for alumina, it was in Q2 was about \$337 per ton was the metal bulletin price in Q2. And the alumina

NR for the quarter -- you, guys, have it handy? It's INR 199 per kg, the net realization of aluminum.

Moderator : Our next question is from the line of Aditya Welekar from Axis Securities.

Aditya Welekar : On the aluminum downstream side, sir, do we expect higher shipments next year as our Sambalpur FRP will come online? And also correspondingly, our EBITDA per ton will improve because in this quarter, it was almost flat sequentially despite the shipments rising by 15%.

Satish Pai: Yes, we are running at about \$220 per ton. So what will happen is that the Silvassa extrusion, which is a 30 Kt expansion we did and is ramping up, you will see all 30 Kt of that come in next year. The Sambalpur 170 Kt of FRP will start sometime end of next year. So you will only see that the year after.

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Aditya Welekar : Understood. One -- and the last one, if you can just confirm on the commissioning date of Bay Minette facility? And will it ramp up to the full 600 Ktpa once it gets commissioned? Or it will have some ramp-up time? And do we have all the downstream facility to consume that 600 Ktpa?

Steve Fisher : Yes. So the commissioning time frame is late calendar year 2025. That is what we guided to last quarter as well. The 600 Kt, we have all finishing equipment to be able to supply primarily the beverage packaging and the automotive markets.

Moderator : Ladies and gentlemen, that is the last question of our question-and-answer session. I would now hand the conference over to Mr. Pai for closing remarks.

Satish Pai: I just wanted to again reiterate that we had another steady quarter with great performance coming from Novelis, the Copper business in India. And based on a good cost of production performance, the upstream aluminum business, even though LME was down 5% we improved the EBITDA margin Q1 to Q2. So with that, I thank you for your attention, and wish you all a very Happy Diwali. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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February 20, 2024

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Sub: Transcript of Q3 FY24 Earnings Conference call of Hindalco Industries Limited ('the Company')

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations');

b. ISIN: INE038A01020 & INE038A08124 and

c. Our Intimation dated February 2, 2024

Pursuant to the above referred, the transcript of the Q3 FY24 Earnings Conference Call held on February 13, 2024 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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"Hindalco Industries Limited Q3 FY '24 Earnings Conference Call"

February 13, 2024

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL
OFFICER – HINDALCO INDUSTRIES LIMITED
MR. SUBIR SEN – HEAD OF INVESTOR RELATIONS –
HINDALCO INDUSTRIES LIMITED
MR. STEVE FISHER – PRESIDENT AND CHIEF
EXECUTIVE OFFICER – NOVELIS
MR. DEV AHUJA – CHIEF FINANCIAL OFFICER –
NOVELIS

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Moderator : Ladies and gentlemen , good day and welcome to Hindalco Industries FY '24 Third Quarter Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Subir Sen – Head of Investor Relations at Hindalco.

Thank you, and over to you, sir.

Subir Sen: Thank you, and a very good afternoon or morning everyone. On behalf of Hindalco Industries, I welcome you all to the Earnings Call for the Third Quarter of the Financial Year 2024.

In this call, we will refer to the Q3 FY '24 “Investor Presentation ” available on our Company 's website. Some of the information on this call may be forward -looking in nature and is covered by the Safe Harbor language on Slide #2 of the said presentation.

In this call, we have covered the “Key Highlights ” of our “Consolidated Performance ” for the third quarter of the Financial Year '24 versus the corresponding period of the previous year. A segment -wise comparative financial analysis of Novelis , India Aluminum, and Copper business is also provided. The corresponding segment information of the prior periods has also been reinstated accordingly for a comparative analysis.

Today, we have with us on this call from Hindalco's Management , Mr. Satish Pai – Managing Director; Mr. Praveen Maheshwari – Chief Financial Officer. From Novelis' Management , we have Mr. Steve Fisher – President and CEO; Mr. Dev Ahuja – Chief Financial Officer.

Following this presentation, this forum will be open for any questions you may have. Post this call and an audio replay of this conference call will also be available on our Company 's website.

Now, let me turn this call to Mr. Pai to take you through the Company 's performance in this quarter.

Satish Pai: Thank you, Subir. Good afternoon and morning everyone and thank you for joining today's earnings Con-Call for Hindalco.

Let me start with some good news :

Hindalco is among the top 1% in the aluminum industry in the recent S&P Global DJSI Sustainability Yearbook 2024. A total of 66 companies are in the top 1% out of the total 9,400 Hindalco Industries Limited

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companies that were assessed. And only two Indian companies are in the top 1% based on the ESG score in which Hindalco is one of them. This recognition emphasizes our unwavering commitment and a comprehensive strategy that we have towards our long-term ESG excellence. On Slide #6 and 7 of this presentation, you can see our achievements and progress across metrics of ESG for this year versus the prior period.

I will now take you through some “Key Highlights ” of this quarter :

We have successfully completed an all-season study under our biodiversity management plan for four more sites taking the total number to 20 sites now. The CII Biodiversity Index and Carbon sequestration ground assessment were completed in five additional units, taking the total number to 11 till date.

In the first nine months of FY '24, 84% of the total waste generated was recycled and reused. We have achieved recycling of 107% of bauxite residue, excluding Utkal and 106% of the fly ash in this period.

Our aluminum -specific GHG emissions was recorded at 9.46 tons of carbon dioxide per ton of aluminum, which is a bit higher than last year in the same period on account of higher power consumption

at some of our smelters. This is expected to settle down with better efficiencies across the plants in the coming months.

In terms of our progress in renewables : We have already achieved more than 50% of our target

of 300 megawatts by 2025 and have completed 152 megawatts of renewable till date. Further, 50 megawatts of solar and wind renewable projects are under execution and will be completed by Q1 of FY '25. A 100 megawatts hybrid power project is on course to be commissioned in Q4 Calendar Year '24. Two battery storage projects at two of our mining locations have also been commissioned during this quarter.

Our LTIFR in India, was recorded 0.21 in the first nine months of FY '24, showing an improvement against last year's performance, while remaining among the best in the industry. We continue to take digitalization initiatives and comprehensive safety audits to further strengthen our systems to monitor safety across our plant locations. There were no fatalities recorded at our Indian operations during the first nine months of FY '24.

We are on our way to achieving Net Water Positivity by 2050. We have recently collaborated with CII's Triveni Water Institute for certification at five of Hindalco's plants in line with our target of achieving water positivity across all mines by 2025.

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We have also initiated various desalination and other projects to achieve this goal. As a result of our desalination project and tertiary water recycling at Dahej, this enabled us to significantly drop the freshwater consumption from 17.74 -meter cube per ton of metal in the first nine months of FY '23 to 9.4 in the current period.

On "Research and Development ": We have started projects like removal of aluminum fluoride from affluent generated from our smelting operations and post trials will now go for upscaling. Let me now give you a glimpse of the last quarterly "Consolidated Performance " in Quarter 3 versus the same quarter of last year on Slide #8: This quarter's performance on a consolidated basis was driven by strong recovery at Novelis and cost control in the Aluminum India business, backed by a continuing record performance by the Copper business.

Our consolidated business EBITDA was up 36% year-on-year at ₹6,985 crores, whereas our overall reported EBITDA was up 61% at ₹6,322 crores this quarter. The consolidated net profit after-tax was up by 71% on a year-on-year basis at ₹2,331 crores.

In India Aluminum business, we have currently hedged at around 22% of the commodity at a price of \$2,636 per ton for the last quarter of the financial year 2024 and around 5% of the commodity for FY '25 at a zero collar with a bottom at \$2,200 and a ceiling at \$2,500 per ton.

On the "Balance Sheet " side: Our consolidated net debt stands at ₹34,835 crores. In the Indian operations, we have net cash of ₹3,632 crores, while Novelis net debt stands at ₹38,467 crores at the end of December 2023. During the period, we prepaid long-term debts of ₹4,370 crores in the Hindalco India operations.

Hindalco, at the consolidated level continues to maintain a strong balance sheet with a net debt-to-EBITDA well below 2 times at 1.43x at the end of December 2023, which is lower than last quarter as well as the same period of last year. All our strategic CAPEX in India is mapped with the cash flow generation in the business and is in line with our capital allocation policy.

Coming to our "Business -Wise Performance " this quarter : Novelis shipments were at 910 Kt versus 908 Kt in the prior period due to softer market demand and impacted by seasonality, but more than offset by re

covery in the beverage packaging and automotive demand.

Novelis delivered a quarterly EBITDA of \$454 million, up 33% year-on-year on account of favorable metal benefit from recycling, higher pricing, and lower operating costs this quarter. The resulting EBITDA per ton stood at \$499 versus \$376 in the previous quarter, up 33% YoY. On Hindalco's India upstream aluminum performance this quarter, shipments and revenue both were lower by 1% year-on-year. EBITDA was up 54% year-on-year at ₹2,443 crores, primarily Hindalco Industries Limited

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supported by lower input costs. The resulting EBITDA per ton was \$880 higher by 53% year-on-year. EBITDA margins were also higher at 30.7% this quarter and continue to be one of the best in the global industry.

This quarter, the India downstream aluminum business was majorly impacted by unfavorable product mix and lower realizations, which led to a 34% year-on-year decline in the quarterly EBITDA at ₹103 crores versus ₹157 crores in the prior period.

The resulting EBITDA per ton was recorded at \$137 per ton lower by 35% year-on-year basis.

This is transitory and is expected to recover in the coming quarter with domestic demand for aluminum growing at a CAGR of 6% to 7% across product segments. Our aluminum downstream continues to be an exciting space as we explore new solutions, particularly for new age mobility.

Our copper business continues to deliver consistent performance this quarter as well. The overall

metal shipments were at a record high of 119 Kt, up 9% year-on-year, of which the CCR volumes were at 93 Kt, up 6% year-on-year. The quarterly copper EBITDA was at an all-time high of ₹656 crores, up 20% year-on-year on account of higher shipments and robust operations this quarter.

Now, let me give you a glimpse of the "Current Broader Economic Environment " on Slide #11: As per the IMF, global growth is focused to remain steady at 3.1% in calendar year 2024, maintaining its 2023 pace. Advanced economy's growth is forecast to remain steady at 1.5% in 2024 from an estimated 1.6% in 2023, led by resilient growth in the U.S. and a mild recovery in the Euro area region.

Growth in emerging market economies is projected at 4.1% in 2024, mirroring the growth recorded in 2023. In China, growth is said to moderate from 5.2% in 2023 to 4.6% in 2024 due to deflationary pressures, a continued slowdown in consumption, and strains on the housing sector, thereby constraining investments.

Risk to the outlook is balanced at steady growth and moderating inflation paved the way for a soft-landing scenario. The upside risk to global growth projections is from faster than expected disinflation, leading to monetary policy normalization by major central banks.

Geopolitical tensions and political uncertainty due to the busy electoral calendar present key downside risk to the global growth outlook. As per IMF, global inflation is expected to continue its ongoing decline into the current year from 6.8% in 2023 to 5.8% in 2024. However, core inflation may prove to be stickier and is expected to decline more gradually.

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On the domestic front, despite several external headwinds, economic activity in India is expected to remain resilient. Going forward, the RBI projects the GDP growth to remain robust at 7% in FY '25, driven by private CAPEX and consumption demand compared to 7.3% in FY '24.

The downside risk from a deteriorating external environment as geopolitical tensions may lead to commodity price fluctuations and external demand remains weak. Assuming a normal monsoon and bearing further shock, inflation is projected by RBI to decline to 4.5% in FY '25 from 5.4% in FY '24.

The interim Union Budget FY '25 held good on fiscal consolidation. The budget announcements were focused on growth-enabling sectors like infrastructure, affordable housing, green energy and bode well for the private sector. Headline inflation impacted by fluctuating oil and food prices will be closely watched by the RBI, which has kept rates on hold at 6.5% since February of 2023.

Moving on to the "Aluminum Industry Outlook " on Slide #12 to #14: Let me first talk about China. In Q1 Calendar Year '23 , production in China declined marginally due to tight power supply in Yunnan -Guizhou . But in subsequent quarters, this production improved due to the government releasing power to the smelter and the improved hydropower situation in these provinces.

However, in Q4 Calendar Year '23 due to power -related shortages in Yunnan, production declined marginally. The resultant overall production in China stood at 41.5 million tons at the end of Calendar Year '23 , reflecting a growth of 4% YoY.

On the "Consumption Side": Chinese demand spurred by 5% year-on-year in Calendar Year '23 at 42.8 million tons, led by strong Solar and EV productions that were offset by the weak construction demand. As a result, Chinese market ended up in a deficit of 1.3 million tons in Calendar Year '23 .

In the world excluding China, production was flatish year-on-year in Q1, whereas production improved in the subsequent quarter. In Q4, production continued to remain flat, and overall production in calendar year 2023 stood at 29.1 million tons, reflecting a growth of 1% year-on-year.

On the "Consumption Side": Except for automotive, all other segments like building and construction, industrial machinery, consumer durables faced headwinds due to rising interest rates. Hence, in Calendar Year '23 , the overall consumption declined by 4% year-on-year, to 27.3 million tons, resulting in a surplus of 1.9 million tons at the end of Calendar Year '23 .

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So, the overall global production stood at 70.6 million , whereas consumption was 70.1 million, resulting in a surplus of 0.6 million tons in Calendar Year '23 .

The global aluminum prices in this quarter improved marginally to \$2,190 a ton as against \$2,154 a ton in Q3 of Calendar Year '23 . On a quarter -to-date basis, the average global price of aluminum is around \$2,200 a ton.

In Q3, Financial Year '24, the Indian aluminum demand is likely to reach 1.3 million tons, reflecting a growth of 9% on a year-on-year basis. This sharp increase is supported by very strong demand from the electrical sector and good demand from the building and construction and auto sectors. However, the packaging segment faced some headwinds due to weakness in the export-led demand, whereas consumer durables showed weakness in the Cookware and the Cooker segment.

The global FRP demand is expected to grow by 4% in Calendar Year '24 versus a 4% decline in the last calendar year, with demand recovery across all major segments of beverage packaging, automotive, specialty, and aerospace, giving a CAGR of 4% to 7% over the next three to four years.

The Indian FRP demand is expected to be flattish on a year-on-year basis as estimated growth in the automotive, building and construction, and consumer durables segment will be offset by ongoing weakness in the packaging segment.

Turning to the "Copper Industry" on Slide #15 and #16. In Calendar Year '23:

The overall global copper production grew by approximately 3.7% at 25.6 million tons. In contrast

, consumption also grew by 2.4% year-on-year at 25.4 million tons, resulting in a surplus of 0.2 million tons.

In Calendar Year '23, Chinese production increased by approximately 8.7% at 11.5 million tons, whereas consumption grew by almost 6.5% at 14.5 million tons, resulting in a deficit of 2.9 million tons of copper.

The world excluding China, production declined marginally by 0.1%, whereas consumption declined by 2.7% year-on-year, resulting in a surplus of 3.1 million tons in Calendar Year '23.

In the 4th Quarter of Calendar Year '23, the overall global production of copper increased by 0.4%, while consumption declined by 0.6% compared to the corresponding period of last year, leading to a deficit of 0.3 million tons.

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On the "Domestic Side": In Q3 FY '24, market demand increased by approximately 4% year-on-year at 198 Kt versus 190 Kt in Q3 of FY '23. On a sequential basis, market demand declined marginally by 1%, with domestic produce rs shares at 67%.

For the Calendar Year '24, the annual benchmark TC/RC settled at 20.5 cents per pound. This settlement reflects a decrease of 9% compared to calendar year 2023, benchmark of 22.6 cents per pound. During Q3 FY '24, the supply side faced challenges due to lower guidance from Anglo-American for the year 2024. This, combined with the closure of Cobre Panama led to the tightening of market conditions. The spot TC/RC this quarter was around 19 cents per pound. The ongoing strong demand from Chinese smelters coupled with tight supply, may influence the spot TC/RC further.

Details of our operational and financial performance in each of our business segments this quarter, compared to the corresponding period of last year, as well as the previous quarters, are covered in further slides and annexures to this presentation.

So, let me conclude today's presentation through some key takeaways and our way forward :

Our resilient India business with its strong balance sheet is providing solid financial prudence to our organic growth strategy. We also continue to focus on resource security in terms of coal and bauxite, thereby reducing our dependency on external sources.

Once again, our copper business delivered its best-ever performance as we continue to focus on value-added products in copper. Hindalco acquired land and began to work on India's first of its kind copper and e-waste recycling project in Dahej, Gujarat. Meanwhile, our Inner Grooved Tubes project, which is under execution, is expected to be commissioned by end of Calendar Year '24.

Novelis delivered \$499 per ton EBITDA this quarter despite the seasonal impact. Our Q4 guidance of delivering a sustainable \$525 EBITDA per ton remains intact as the market continues to recover in beverage packaging and other markets show resilience.

While the capital expenditure for the Bay Minette project has escalated primarily due to higher civil and construction costs than initially estimated, I have to repeat that the strategic rationale remains firmly in place. This investment provides a first-mover advantage with a highly efficient facility that is being built as a long-term investment. Once it is established, this capacity can be doubled in a cost and time-efficient manner as experienced in various other brownfield projects done by Novelis over the last few years.

Our approach to ESG continues to be comprehensive across value chains and in line with our 2050 ESG targets. Our first-of-its-kind energy transition initiative is on course to begin ramp up

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k Carbon -free power for our Odisha smelter by Q4 of

Calendar Year '24 . Our recent global recognitions are testimony to our ESG efforts as Hindalco continues to be among the top 1% in the aluminum industry in the S&P Global DJSI Sustainability Yearbook of 2024. Hindalco also recently won the Energy Transition Changemaker Award at COP28 for setting up one of the first round -the-clock renewable energy projects backed by pump hydro in the aluminum sector.

We stay focused with our value -enhancing growth strategy directed towards organic growth, while expanding downstream businesses in both aluminum and copper. We also stay committed to maintain a strong balance sheet position and focus on shareholder value creation in the long run.

Thank you very much for your attention and we will now open the forum for questions -and- answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have two questions. The first one is again on Bay Minette project. So, while you indicated that the cost escalation has been primarily due to civil contribution , so just wanted to understand if the scope of work has been increased or was this something we found during oil testing phase that we had to buttress it and whether we expect more escalation due to equipment ordering or, I mean, where are we on that? I just wanted to understand if there are any more contingencies that we could expect going ahead in Bay Minette?

Steve Fisher : So, as on cost increase , 80% of this is associated with increase in civil and structural costs on the total cost of the pr oject . . A lot to do with the soil condition where the location is, something that as we did more engineering under stood requirements of quantities of concrete, quantities of steel, quantities of piling . These are all things that have driven the cost up. As we have talked about, where we are at today at \$4.1 billion, we are confident that we have included appropriate levels of contingencies for a project at this stage. As I spoke yesterday, we have a P85 confidence level of bringing the project in at the \$4.1 billion. As it relates to equipment, something that we are honestly better off because of the brownfield expansion in the past, we are very close to our original estimates on equipment. We ordered all the equipment ahead of building completion . We have contracted and/or finished some part, some of the equipment as we speak, and everything is well on schedule at the various equipment, and I would not expect any further escalation on the equipment side.

Amit Dixit: My second question is essentially on domestic Aluminum upstream business. What was the cost? How did the cost change quarter -on-quarter in Q3 and guidance for Q4, please?

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Satish Pai: So, I was just saying that if you saw that this quarter, our EBITDA margins expanded. And largely, that's because I had thought that the cost would be flat, but the costs were down 3.3% Q3 to Q2. And a large part of that was coal costs coming down as well as carbon that is CP Coke, which is why with the flattish LME, our margins expanded. Now, in Q4, I am expecting the overall cost of production to remain flat with Q3.

Amit Dixit: Sir, just a follow -up on this. When I saw Coal India's numbers yesterday, their e-auction price , now, your coal cost has gone down possibly because of the inventory effect. Now, going forward in Q4, since e-auction prices, we know that at the entry of Q4 itself, they are down. So, wouldn't you expect some relie

f on coal cost front in this quarter?

Satish Pai: So, really, Amit, how it works is that if we procure the end of January, February, the consumption will happen in April, May, June. So, when I give you the cost, I give you on a consumption basis and not on a receipt basis. And currently, right now, normally another question gets asked . Our linkage coal percentage has been steadily going up, and it's now nearly 60% and the e-auction is 36%. So, I have a feeling that the coal cost, I hope they go down a bit more, but I am conservatively estimating Q4 to be flat. We will have to see what how Q1 pans out.

Moderator: Thank you. The next question is from Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Firstly, congratulations, Mr. Pai on your reappointment and extension of term. Sir, a couple of questions. Firstly, just want to understand, I mean, I am not able to clearly understand what is this 85% probability of no further increase in cost? Can you explain how do we arrive at this number? Number one. I am talking about Bay Minette. And second, since there is such a significant deviation, is it possible just for some more comfort to give some breakup of this \$4.1 billion? What is the civil structure costs, equipment costs, some breakup to kind of better appreciate this change?

Steve Fisher: So, to be clear, on the P85 confidence level, we have had both our EPCM, another engineering firm and a third firm take a look at the rebate lining that we have been doing over the past three months as it relates to completing the detailed engineering at a high level now. As that's completed, we are confident with where we are at from units in quantity and what we have ordered so far. From there, we would attach confidence levels as it relates to the stage of the project, the level of engineering done to be able to say, are we able to complete this project for \$4.1 billion that we had disclosed and on schedule that is in the second half of calendar '26. And this shows, with those analysis done three different separate ways and analyzed by the management team, that we are 85% confident that we can deliver at \$4.1 billion.

On the second, as we have said, 80% of this is associated with civil and structural. I won't give out specifics, but it's a larger needed quantities, whether it be tilings, whether it be concrete, whether it be steel, whether it be electrical throughout the plant. These are some of the categories

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of which we have seen significant increases in as we finish the engineering design work on it. And of course, what comes with that is the inflation and labor costs on top of that too. So, again, where we have a lot more experience associated with projects like this on the equipment side where we have not seen the equipment increase except for where we have had small amounts of increase in the type of equipment that we want to put into the plant to make sure that it is highly efficient.

Satish Pai: So, Sumangal, just to clarify, the EPC firms use this terminology like P85. So, where we are at P85 is a fairly good probability number is what I just wanted to add.

Sumangal Nevatia: And during what phase of this next three years of construction do we move to more closer to 100%? I mean, 90%, 95%, how is this timeline?

Steve Fisher: It's linear. Obviously, as we get larger parts of the construction completed, that contingency will continue to come down. And as we talked about yesterday, we will continue to update on a quarterly basis where we are, as it relates to the construction.

Sumangal Nevatia: And is it possible to get some sense

out of this \$4.1 billion, what is the percentage of equipment costs and other costs? I mean, just some breakup.

Steve Fisher: Yes. So, when you start to think about the other 20%, there is some small amounts of additional equipment that we put into the plant. You know, this is not huge amounts. It's additional piping electrical for the equipment layout as we finalize the equipment layout in the plant, its control system. It's, as I said before, the need for additional warehouses because the equipment is actually well on schedule, and it's going to come ahead of the plant construction itself because of the civil and structural engineering was behind. And so we have had some costs associated with storing equipment as well. And then, of course, as we lengthen the schedule, owners' costs as well.

Sumangal Nevatia: That's clear. One question I have for Mr. Pai, and this is more a common question we are getting from various investors during the day. I mean, given this substantial rise in CAPEX, structurally lower returns that we expect now at least from Phase 1, I mean, was there a discussion consideration of scrapping the entire project, writing off given that, I mean, it's such a huge commitment into some bit of uncharted territory. So, any consideration on these fronts happened within? Just want to understand.

Satish Pai: Yes, I mean it's fair to say we had a lot of discussions on this project. Sumangal, our view is the following. So, Novelis is the market leader. It's by far the largest rolling Company in the world.

North America is the one market in the world that is undersupplied and is actually importing can body sheets into the U.S. coming from Asia, China.

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All our customers wanted this. Based on this project, we managed to get the can pricing to substantially move higher, which benefits not just Bay Minette, but our whole can portfolio going forward, which is why I think yesterday, they already, you must have heard Dev and Steve talk about \$600 per ton EBITDA target going forward. So, I think that for us, the other, let's put it very purely financial metric is that a double-digit on a dollar return is still much better than the cost of capital that Novelis has. And then the next point, which you have seen, what has happened with Novelis over the last two or three years. This project, we can go from 600 Kt to double with the CAPEX of \$1,500 to \$2,500, depending on the mix and the finishing equipment we put in. So, you will see that the sort of double-digit can go as we go forward to much higher returns. And it puts a platform in the largest rolling market in the world, which is the U.S.

So, I think that for us, we are quite committed to getting this project forward. It's fair to say that the onus is on us to now execute and deliver this as we said. I know that we will not get any

more margin for error . That I accept .

Sumangal Nevatia: Just one last question . And thanks for the detailed explanation, sir. On the copper EBITDA, we have consistently been doing more than 600 odd crores on a quarterly basis. So, is there any structural tailwind and one should expect this kind of a run rate going forward? Or is it something cyclical here?

Satish Pai: I think that the copper business is going through some very good demand. The electrification sector is quite strong. So, I think that structurally, the copper is going to be good going forward. I do expect when the competition of some other people come in, we may see some pressures on the copper prices. But I think that, you know, that's why we have diversified our strategy and going

into the copper inner grooved tubes . We are going into copper recycling. So, I think that we will continue to take go more downstream in copper to make sure that we can maintain our leadership.

Moderator: Thank you. Next question is from Ashish Jain from Macquarie. Please go ahead.

Ashish Jain: Sir, I have two questions pertaining to Novelis. Now, like Steve highlighted that large part of the cost increase was driven by commodity like steel, electrical, tiling, those kind of stuff. So, is it like more volume at a better structure is what we have shifted to? Or is it that the quality of these commodities we have reassessed given the nature of the structure ? That's because , you know , these commodities driving such a steep increase in CAPEX cost, honestly, as an outsider, it's difficult to completely triangulate. And secondly, you know, one of your peers , I know this question was asked to Steve yesterday also. But their CAPEX with a similar capacity is nearly half of us. So, any comment on that will be very helpful to understand how we are different versus our peer?

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Steve Fisher: So, on inflation versus quantities, it is much more on the quantity side than it is on the inflationary side. I would say on the inflationary side, we had some views on cost savings that maybe were a bit ambitious, and that's coming back in now into the baseline here. But much more of it was the quantities as we started with a very low level of engineering and have built that engineering up on the same design , but on a very lack of understanding of, I think, the civil part, the soil conditions based on where we were at that has driven significant increases in quantities, as I said before, in civil work, pilings, concrete, and then ultimately steel. And so you should think about this much more on the quantity side. It's not that we have increased scope of the plant. It's unfortunate , we had a low level of engineering design done on the original estimate, and now we are at a high level of engineered design. On the second question, as it relates to the competition, again, as I said, yesterday , I won't really say much more . We can't speak to their estimates. We don't know their projects specifically. All we can do is reconfirm the diligence we put into our project and what we need for a large -scale project of this type. We have been in the aluminum industry for a long time and we are just very comfortable at the levels we are at now, and I can't really speak to theirs.

Ashish Jain: Steve, out of this \$4.1 billion, can you just highlight how much is civil and construction now? I think you gave earlier that you gave the breakup of the escalation in terms of 80% and 20%. But of the total number of \$4.1 billion, how much will be civil and construction ? Any ballpark number you can share?

Steve Fisher: Yes. Give me a minute. We will come back .

Satish Pai: Yes, we will come back and answer that one.

Moderator: Thank you. The next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: A couple of questions. Sir, first, I just wanted to understand what do we make of Inflation Reduction Act. I think there are multiple schemes over here, 48C, 45X. So, I think , Steve yesterday on the call did indicate that we could potentially qualify, and we will answer this in March. I am just trying to get our thoughts basically, where do we stand over here? What sort of delta it can have? And if at all, there was this CAPEX bump, which is there, which is a bit unfortunate, but will this IRA be beyond , say, 4.1 and not 2.5 billion, and hence, there will be some positive reports

on basically the remuneration profile?

Steve Fisher: So, on the first one, we have applied the 48C under the IRA Act. We think we have a very strong candidature for getting funds under this, but the decision will not be made ultimately on our application till we believe near the end of March. As we said yesterday, we have included nothing in this \$4.1 billion associated with any 48C that would be granted to Novelis. Again, we are positive, but don't , really can't tell you any directionally then what that could look like. Again, I will just repeat . We have done a lot of diligence around the \$4.1 billion .

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Steve Fisher: The application is already associated with what we have applied to and it's always the subset of the overall number anyway. So, that's much more on the equipment piece and some other things.

So, it will not necessarily change the calculation of what we can get.

Ritesh Shah: Fair enough. So, basically, if I understood it right, the IRA benefit is on the equipment part. It is not on the civil and construction part. So, whatever benefit, if at all, we get, that doesn't change because of this \$2.5 to \$4.1 billion capex. Is that right?

Steve Fisher: That is correct.

Ritesh Shah: And the second question over here is, what is the extent of benefit? Hypothetically, we can actually derive out of IRA. If I go through the fine print on the regulation, it says 30% ITC available on A, B, C, there are several variables over here. So, should one assume 30% of, say, 2.5 billion or say, if 2 billion is the equipment cost, then should one assume 30% on, say, \$2 billion?

Steve Fisher: You are reading the IRA correctly, but the last time this was done in the U.S., there was Caps put in. So, it's not easy to say that it will be 30%. It could easily be capped down. It can be any number of between 0% and 30% and that's why we just can't give you a number right now. We should know here in the next month and a half.

Ritesh Shah: Between 0% to 30%, that's useful. And I just want to crosscheck a data point. I think from the Alabama government, what we have got is around \$135 million. Is that number correct or what we pick up from the print media or is it something different?

Steve Fisher: We will come back and confirm that number with you. I don't have it right at my hands right now.

Ritesh Shah: This helps. Sir, my second question was specifically on the coal part when it comes to India. Can you highlight, sir, what is the status on Chakla as well as Meenakshi, I think Chakla earlier timeline, what we had indicated was December '23, if my notes are correct. I just wanted to get an update on both the blocks and how do we see...

Satish Pai: December '24, not December '23.

Ritesh Shah: I will correct myself. And sir, on Meenakshi, and I think there were two Meenakshi, right? So, any update over there?

Satish Pai: The Meenakshi West has been allocated to us, and it's sort of an exploration cum mining block. So, we have already started the regulatory clearances et cetera on Meenakshi West. On the other Meenakshi mine, we are still waiting for the allotment. So, that has not yet come through yet.

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Ritesh Shah: And sir, what is the EC for Meenakshi West? And if possible, in timelines?

Satish Pai: So, Meenakshi West will take about 2.5 to 3 years. And it's about 5 million tons of capacity.

Ritesh Shah: 5 million tons. Perfect. And sir, lastly, just with respect to ESG, when it comes to Novelis, the carbon intensity has increased because of change in accounting over there. Any comments specifically over

here? And given you also alluded that we have the opportunity to go from 600

Kt to 1.2 million on Bay Man nette project. How do we look at the UBC demand-supply equation specifically in North America or in U.S.? And are we looking at any specific change in regulations which will ensure that there is an adequate supply for UBC in the market?

Steve Fisher: So, our carbon intensity is decreasing. So, I just want to be clear with all the efforts we have put in and will continue to decrease as we commission Guthrie recycling facility and other overall million tons of carbon out of the system with that. We will continue to increase the overall recycled content of our products, including pushes in beverage packaging, auto, and other specialty products as well. So, we continue on that journey. We are in line with meeting our more near-term targets of 30% reduction off the baseline in 2026. As it relates to legislation, we are working actively with associations with consortiums, with governments directly to find ways to increase the amount of used beverage cans coming back in. The U.S. has a low recycling rates at less than 48% over the last several years. And it's very clear when you look, where there is some deposit schemes in place, the return schemes in place in those states, those recycling rates are north of 70%, and it's the remaining states that are dragging it down. So, we will continue that. That will take time, but certainly, we are very active on that.

Ritesh Shah: Sir, sorry, just I will push one more. If I go through the last annual report, the carbon intensity for Novelis has increased actually from 4.44 to 5.34 to 6.19. And to my basic understanding, what I got to understand, the quality of scrap, which we had processed, it was not of the right or optimal quality and that was one of the reasons where the carbon intensity has increased. That's the reason I specifically wanted to check on the scrap probability demand and supply, are we comfortable over there?

Steve Fisher: No, it's probably more of a product mix than it is anything as we went through a shift in mix, but I can tell you that the intensity is coming down, and we can follow-up on the specific questions

that you might have with Megan .

Satish Pai: Just to clarify, as the auto percentage goes up, the recycling rates are going down , and I think that's what you're talking about, because the auto percentage has now gone to 22% when it was much lower than that. So, the can is very highly recycled, but the autos, we still are on the various initiatives to increase the recycling rates there.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

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Indrajit Agarwal: I have a couple of questions. First, in terms of projects that we do in the greenfield, is it given out on a turnkey basis ? Or do we operate it ourselves?

Steve Fisher: So, in the U.S., with all the active construction, there is no turnkey at this point in time. We, as owners, will take on the risk associated with that, and we evaluated that at the beginning. We do have an EPCM firm in place , have been from the beginning , and are still with us aligned with other experts as well, but it is the owner's risk. By the way, today's industry, there is no big constructing firm that will take a turnkey EPC contract.

Indrajit Agarwal: That's helpful. Thank you. A couple of questions on the India business, housekeeping effectively. What were the external alumina sales this quarter?

Steve Fisher: The external alumina sales this last quarter was 167 Kt. And in Q4, we are expecting more li

ke

180, 190 Kt of alumina external sales.

Indrajit Agarwal: And that should be the run rate going ahead , right, given that we have ...?

Steve Fisher: Yes, we have got more capacity. If you remember, we did the brownfield expansion. So, yes, that should be more or less 180kt should be the average per quarter going forward.

Indrajit Agarwal: That helps. And in Chakla, any guidance as to how much we can end up mining in FY '26?

Satish Pai : Good question. I think we will do the box cut this year. So, next year, we will have to see how we can ramp it up. But I think at least in the first year, we should get past at least 1 million, 1.5 million in the first year.

Indrajit Agarwal: And lastly, with the elevated CAPEX in Novelis, does the \$100 million upstream of cash that we had earlier guided for still holds or that can be pushed back?

Satish Pai : No, I think that we have kept the capital allocation framework as it is. I think \$100 million doesn 't move anything one way or the other .

Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Just a clarification first. The engineering design was, as I understood, was done by some other firm and you got it done by some new firm recently . Can you maybe name the engineering design firm that you hired initially for the planning, and which is a new firm you have got it done with? And what is the EPCM firm that you employ for this?

Steve Fisher: No, we have had Fluor from the beginning all the way through, and they are still with us. My reference was that as we saw cost escalation, we wanted to have that audited by another firm.

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And so, we brought another firm in to ensure that, that we are in the right ballpark here. So, Fluor is still with as our EPCM.

Satyadeep Jain: Basically, saying the engineering design , the planning initially design done by Fluor . They underestimated all the civil and construction cost massively. Was it Fluor 's initial planning that way?

Steve Fisher: No, no, it was a combination of us as owners and Fluor. We announced the project because of what Satish had highlighted, customer pull for new contracts. We moved quickly as a first mover into the marketplace, and we collectively as owners with Fluor went with a very low engineered design at that point in time.

Satish Pai: In hindsight, we could have waited and done a much more detail and then given a CAPEX number , you can say.

Satyadeep Jain: Just the question on the return profile you mentioned for this capacity. I just want ed to maybe see if you can possibly quantify one of your peers, obviously, the one we talking about is talking about \$650 million, \$700 million EBITDA without recycling for a similar capacity range. Can we assume that or given you have recycling also in built into this, would \$700 million for, is it possible to quantify that EBITDA you are building in for the return expectation? And secondly, the bridge between the EBITDA for the new capacity in the existing capacity, you did talk about higher can pricing. Now, when we look at that \$600 million per ton EBITDA, what is the trajectory of pricing reset in the next two years so that we get closer to that \$600/ton and the gap between the new capacity in the existing one closes?

Dev Ahuja : So, Indrajit, let me just try and elaborate on all the questions that you asked. The return profile of the project remains attractive. Just as a reminder, we have said that this is a mid-teens IRR

project. We are saying that it has dropped a couple of points, but it is in double -digits and our confidence level of delivering double -di

gits against a single -digit cost of capital is very high.

Number one. Number two, that when it comes to sort of talking versus what a competitor has declared, we will not get into that. What we can tell you is that we have got significantly higher pricing on this, on top of a much lower operating cost as compared to conventional plan. This is a super -efficient plant compared to any cost benchmark of existing technology and existing plants. I am telling you, therefore, two things. One is a superior pricing. The other is a lower cost. And these two together make the returns profile justifiable and attractive. On top of that, as Satish and Steve both said, that if you think about it in the longer term, and our track record even today shows that every ton that we don't create these projects for like 10 years or 15 years, we create them with a view that we should be able to expand capacity, and we know that we will need expanded capacity in not-too-distant future.

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This is not going to be the end. It will be, again, a super -efficient expansion at a very low-cost profile per ton. So, when you bring all these things together, our confidence and sort of the emphasis on continuing and wanting to do this project remains very high. That is what we can tell you.

Satyadeep Jain: On the pricing reset trajectory, given this is now going to commission in latter half of CY '26 and you will have a lot of contract and we said before that, what CAPEX is that?

Management: And we will be able to meet all that. We will be able to meet all that because we have inter-regional flexibility. I mean, even today, North American capacities are out. We are using inter-regional flexibility from Asia to be able to meet the demand of North American customers. And if you have to do that a bit longer, we can do it. We can flex capacity out of specialties contracts because these are annual contracts. We will create the capacity because the return s profile of these projects, where contracts were committed and signed and we want to keep the, we want to honor all the obligations to the customers. We are not going to compromise on that.

Satish Pai: We have excess capacity in both Brazil and in Korea.

Dev Ahuja : And we are really even today using Asia as a supply base for North America. So, we are confident that we will not let down the customers on the timelines. This is very manageable.

Satyadeep Jain: My question would basically the pricing reset you see on the existing capacity. You can see tightness and which is giving a higher pricing. When you look at the trajectory of resets in the next couple of years, and that cadence of that \$600 per ton EBITDA, what I am trying to get is, can it be achieved before the new capacity comes online?

Steve Fisher: Yes. So, we laid out as we got to the \$525 sustainable EBITDA per ton in the 4th Quarter as we have guided, we also wanted to make sure everyone understood there is still margin accretion from the \$525. We laid out that we still have drivers of price that you are highlighting here, new capacities coming on, increased recycling content in our products, continued operational efficiencies, leadership in the growing automotive market. These are the drivers that drive us upwards of north of \$600/ton that we talked about yesterday. As it relates to specifically the pricing, as Dev said, the pricing of those contracts is already in place. And so, as we serve those customers and those contracts kick in over the next couple of years, we will already see that before Bay Minette comes in.

Dev Ahuja : We are telling Bay Minette commissioning. The prices ju

st keep coming.

Steve Fisher: Right. The efficiencies of Bay Minette that Dev talked about come with the ramp -up of Bay Minette.

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Satyadeep Jain: Just one quick question on the India alumina expansion. Given the experience with Dahej and Mahan, obviously, those were remote locations and coal challenges, and now the initial engineering design here, when we look at alumina expansion, it is right next to Utkal. Can there be confidence that the number you have given about \$1 billion for that expansion will be fairly reasonable? And given the cost inflation in the balance sheet you are looking at, could there be a delay in that expansion?

Satish Pai: So, I will tell you one thing that right now, the way we are learning from our lessons from the past is we are actually doing the full detailed engineering before we even start the project in a big way. So, currently, what's going on in Kansariguda is that we are doing the forest clearance, getting Stage 1, Stage 2, doing the R&R, and doing the engineering. And I think that as soon as the engineering thing has come because when I give you my annual India CAPEX outlook, then

I will clarify exactly how much we are spending.

Moderator: Thank you. The next question is from Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Just on the level of domestic aluminum hedging, so how much are we hedged and at what rates?

Satish Pai: As I said, in Q4, we have 22% hedged at \$2,636 per ton, and we have 15% of the currency at 85.19.

Pallav Agarwal: Also, I mean, we have given the guidance for FY '24 Novelis CAPEX at, I think, \$1.4 billion to \$1.6 billion. But given that the costs have escalated, so, is there any phasing of the balance outlay out of the \$4.1 billion over the next two, three years? What levels of CAPEX can we look at?

Dev Ahuja: So, good question. Let me just give you some guidance for your modeling. So, in the next 2 years, nothing has happened until the end of fiscal year '25 in terms of having to depend on any cash raise. But in the next, let's say, 2 years, we will raise some bridge finance. The CAPEX will be higher, and we will come back with guidance. We typically give guidance on CAPEX as we announce the full year. So, we will come back with guidance, but obviously, the CAPEX will be more elevated. But the guidance that I would like to give you is that, as we end this year, we will be at a net leverage of below 2.5x. Remember, we are at 2.7x now. We will fall below 2.5x. And from there, with the increasing CAPEX need and some bridge finance need, we will elevate it up to around 3x, that will come much later after about 2, 2.5 years. So, that's the best guidance I can give to you now. Assume that we will need to go around 3x on our net leverage as the project spending goes up. That's really the way to think and model.

Pallav Agarwal: And working capital, given that aluminum prices are range bound, so, we don't really expect, apart from any increase in volumes, working capital level should be broadly similar at this level?

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Dev Ahuja: I think we can assume that. And remember, if aluminum prices go up, our margins also go up. So, basically, it works both ways. So, we don't have any big concerns on that for the guidance that we have just given you on the net leverage.

Satish Pai: Steve, there was one question that people had asked. Of the total 4.1, what is the percentage of civil and what is the percentage of equipment and the rest?

Steve Fisher: So, approximately 65% of the project costs app

roximately are civil and structural. Then you

have equipment. Obviously, that's going to make up about 25%. A little bit more EPCM costs, owners' costs and other direct costs, warehousing and other things.

Moderator: Thank you. We move to the next question. The next question is from Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Sir, I just wanted to understand, given that now we have an inflated CAPEX on the Novelis side, does our plans on India, for example, the Aditya Mahan brownfield expansion of the aluminum plant would take a backstage?

Satish Pai: No, I would not say backstage. I think that, see, in India, we have actually quite a lot of strong cash generation. And I think that at this stage over the next couple of years, in fact, in my prepared remarks, I said we will stay within our cash generation for our CAPEX.

Vikash Singh: But that is more on the value-added side, right?

Satish Pai: No, no. That's in overall. See, we are sitting with about ₹11,000 crores of treasury. Normal treasury that we should keep is about ₹6,000, ₹7,000 crore. And the cash generation that we have, we have a capacity to easily do a CAPEX of about ₹6,000 crores, ₹7,000 crores a year without having to borrow.

Vikash Singh: Sir, just one more question on the coal side. Given that some of the competitors are a little bit ahead in terms of reaching full self-reliance, as per our plans, by when we think that we would be able to have a full captive coal which we are expecting?

Satish Pai: That's a good question. I think that probably it will take us at least two more years to get there.

Now, the only thing I will tell you is that overall, as more and more commercial coal comes in, Coal India prices and linkage prices are also going to stay soft. So, I think, overall, I don't think we will be at a disadvantage when it comes to coal going forward. The biggest challenge for the aluminum industry is to increase the amount of green aluminum and hence, what percentage of renewable can you get in the mix. Because you have to remember, going forward, you are not going to be able to export aluminum if it's not a low carbon metal.

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Vikash Singh: Yes, that's correct. Sir, just one more on the follow-upside. Once we have Chakla, Meenakshi all these kicking in, do we have chance to surrender the four coal mines which we have purchased on this first round of auction, and that was very costly to us?

Satish Pai: It's a good question. Thanks for reminding. So, Gare palma 4/5 has been legally returned and

accepted by the government already. And Dumri has also been returned and accepted. So, out of the four, two already been returned. So we have Kathautia and Garepalma 4/4 remaining. The next one we will probably return will be Kathautia.

Moderator: Thank you. The next question is from Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Going back to the Bay Minette, couple of more clarifications. Would you be able to also give a split of \$750 million that we are targeting to spend by FY '24? And second question was, we have discussed about sort of increase of the expansion being done at \$1,500 to \$2,500 per ton capital intensity versus the Phase 1, which is done at \$6,800 per ton capital intensity implied basis. So, what are the specific components of infrastructure that has been created in Phase 1? Could you give a bit more color around it? Land, civil infrastructure, what sort of things that we are already doing in the Phase 1, which will support lowering the capital intensity for the next phase?

Steve Fisher: So, I will a

nswer that question, and then I will let Dev come back to the \$750 million. So, in the \$1,500 to 2,500 /ton Capex, we have got many projects. You can see them on our slides over the history that we have been able to debottleneck the facility at much, much more efficient capital cost, what we have been traditional client brownfield cost. The entire infrastructure layout of this is already in place, electrical utilities, land is already there. What need in a hot mill that has more capacity, and that's the most expensive part of all the equipment that we have. And so what we have to do is add either equipment in front of the hot mill or on the back end of the hot mill depending on what product mix we want to get out in order to get more capacity out of the hot mill. The biggest equipment piece when we really want to size itself will be an additional cold mill. But when you start to think about \$1,500 to \$2,500, as I talked about civil and structural in a percentage, in a brownfield expansion, the equipment will be the majority costs associated with the expansion. That's why you can be so much more efficient in the brownfield debottlenecking. Hope that helps.

Devinder Ahuja: On the \$750 million that we expect to close by the end of this fiscal, you can take it that the largest part of this is civil because right now, you know, we are making the foundation pilings. We need steel. We need concrete. So, for all purposes right now, it is basically a construction stage, civil construction stage project, and you can take it that almost the entire spend is towards civil and construction.

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Devinder Ahuja: Equipments own payments, but that's relatively small. So, yes, civil and construction is a lot.

Kirtan Mehta: Thank you for this color. One more question on the India side, if I may. In terms of the EBITDA per ton that you have clocked around \$880 per ton, do you think that this sort of EBITDA run rate is sustainable over the next couple of years? Or is it sort of higher than the sustainable average that we are seeing?

Satish Pai: Well, I hope it can go higher. I mean, at \$880 and I think we can maintain this. See, right now, the costs are sort of, we have got to some lower costs. I think now we need for the EBITDA to go up, the LME to move up. So, really, right now, EBITDA per ton is more dependent on the LME than our cost structure. So, I hope, I think that over the next few years, all the projections and all do say that once the economies and geopolitical things get sorted out, both copper and aluminum prices should head up.

Kirtan Mehta: Or would the cost deflation make the aluminum price also sort of remain at this level? Do you see that as a risk by any chance?

Satish Pai: No, I don't think the cost of aluminum drives the demand for aluminum. I think aluminum is a traded commodity. It's given by LME trading, not from a cost-plus basis. So, I think it's supply and demand of aluminum that will drive the pricing of aluminum. As you see, supply and demand is very tight. The inventories are less than 10 million tons, which is of 50 days of consumption. It used to be 90 before. So, supply and demand is quite tight. I think it's a negative overhang of geopolitical events, slowdown in Europe. These are sort of holding the commodity price.

Moderator: Thank you very much. We will take that as the last question. Participants whose questions have not been answered or pending questions may get in touch with the Hindalco IR.

I would now like to hand the conference back to Mr. Pai for any closing comments.

Satish Pai: I thank you for your attention. I do think

that, you know, I want to reiterate that the quarterly performance that we just announced shows the trend of quarter-on-quarter operational performance that we have been putting. And I also do want to reiterate that whereas Bay Minette CAPEX has gone up, let's not lose sight of the overall big picture. This is still a very good project. It's giving double-digit IRR, which is better than the cost of capital. And it gives us a platform

that will cement Novelis' position as the largest aluminum player in rolled products in North America. So, with that, I thank you for your attention, and wish you the best

Moderator: Thank you very much. On behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2024

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May 29, 2024

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Sub: Transcript of Earnings Conference call of Hindalco Industries Limited ('the Company') for the financial results of quarter and year ended March 31, 2024

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations');

b. ISIN: INE038A01020 and

c. Our Intimation dated May 7, 2024

Pursuant to the above referred, the transcript of the Earnings Conference Call held on May 24, 2024 for the financial results of quarter and year ended March 31, 2024 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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"Hindalco Industries Limited

Q4 FY '24 Earnings Conference Call "

May 24, 2024

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

MR. SUBIR SEN – HEAD INVESTOR RELATIONS – HINDALCO INDUSTRIES LIMITED

Hindalco Industries Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Hindalco Industries' Financial Year 2024 Fourth Quarter Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference call over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you.

Subir Sen: Thank you, and a very good afternoon or morning, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the fourth quarter of financial year 2024. In this call, we will refer to the Q4 financial year '24 investor presentation available on our company's website.

Some of the information on this call may be forward -looking in nature and is covered by the safe harbor language on Slide number 2 of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the segment -wise comparative financial analysis of Novelis, India Aluminium and Copper business is also provided. The corresponding segment information of the prior periods have also restated accordingly for a comparative analysis. Today, we have with us on this call from Hindalco's management, Mr. Satish Pai, Managing Director; and Mr. Praveen Maheshwari, Chief Financial Officer. Novelis' management is not part of today's earnings call.

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Following this presentation, this forum will be open for question and answers. We will not take any questions related to Novelis, including the IPO filing, due to restrictions under the U.S. federal securities law and the associated quiet period. Post this call, an audio replay of the conference call will also be available on our company's website.

Now let me turn this call to Mr. Pai to take you through company's performance in this quarter.

Satish Pai: Thank you, Subir. Good afternoon and morning, everyone. Thank you for joining Hindalco's earnings concall today. Let me start with our achievements, progress and some key highlights across the metrics of ESG for this year versus the prior period on Slides 5 to 9 of this presentation.

In the financial year 2024, 84% of the total waste generated was recycled and reused. We achieved recycling of 109% of bauxite residue excluding Utkal, 108% of ash in this period. We now have 3 plants certified by Zero Waste to Landfill at the end of this year. Today, I can proudly say that 15 of our plants and 1 mine are now certified as single - use-plastic -free zones.

We are on our way to achieving net water positivity by 2050. We have initiated various desalination and other projects to achieve this goal. In this regard, in our Copper business this year, the Dahej desalination project and tertiary water recycling units enabled a significant drop in freshwater consumption from 17.22 million meter cube per ton of metal in the financial year 2023 to 6.7 million meter cube per ton. We recycled and reused wastewater of 18.91 million meter cube this year, which

accounts for 25% of the total water consumed during the year in our Indian operations.

On research and development, we started projects like arsenic precipitation and stabilization in glass form at our Dahej plant, where the trials have begun and are expected to be completed by August 2024. We have successfully completed an all -season study under our Hindalco Industries Limited
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biodiversity management plan at 12 of our mines and 9 plant locations at the end of financial year 2024. Th

e CII biodiversity index and carbon sequestration study is now completed at 11 of our plants till date. In terms of our progress in green energy, we have already achieved 57% of our target of 300 megawatts by 2025 and have commissioned 173 megawatts of renewables -- of solar and wind till date. Further 29 megawatts of solar and wind renewable projects are under execution and expected to be completed by Q2 of this financial year. A 100 -megawatt hybrid power project is on course and expected to be commissioned by Q3 of this financial year.

Our aluminum -specific GHG emission was recorded at 19.5 tons of CO₂ for each ton of aluminum, which was slightly higher than last year. This was mainly on account of higher power consumption at some of our Dahej smelters due to disruptions in power plants during the year. We expect this to settle down with improved efficiencies in the coming quarters.

Coming to safety. Our LTIFR was recorded at 0.22 this financial year, showing an improvement against last year's performance while remaining amongst the best in the industry. We continue to focus on digitalization initiatives and comprehensive safety audits to further strengthen our systems to monitor safety across all plants. We have successfully developed a virtual reality -based safety module to enhance internal training effectiveness at all our plants. We are sad that there was one fatality of a contract workman that was recorded at our Indian operations this last quarter.

Let me now give you a glimpse of our last quarterly consolidated performance in quarter 4 versus the same quarter of last year on Slide 11. This quarter's performance on a consolidated basis was driven by robust recovery at Novelis and better cost control in the Aluminium India business backed by continuous record performance by the Copper business. Our consolidated business segment EBITDA was up 27%
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year-on-year at INR7,907 crores whereas our overall reported EBITDA was up 24% year -on-year at INR7,200 crores this quarter. The consolidated net profit after tax was up 32% on a year -on-year basis at INR3,174 crores this quarter.

At the Hindalco India business level, excluding Novelis, our overall reported EBITDA was up 30% year -on-year at INR3,340 crores this quarter. The net profit after tax was up 67% on a year -on-year basis at INR1,963 crores this quarter. Our Indian Aluminium business is currently hedged at around 22% of the commodity at a price of \$2,550 per ton and around 15% of the commodity at a zero collar with a bottom of \$2,258 and a ceiling of \$2,539 per ton, and 11% of the currency is hedged at INR88.43 per dollar.

On the balance sheet side, our consolidated net debt stands at INR31,536 crores. In the India operations, we had net cash of INR3,439 crores whereas Novelis net debt stands at INR35,937 crores at the end of March 2024. During the year, we repaid long -term debt of INR4,495 crores and bonds of INR700 crores at our Indian operations.

Hindalco at the consolidated level continues to maintain a strong balance

sheet with net debt -to-EBITDA well below 2x at 1.21x at the end of March 2024, which is lower than last year. All our strategic capex es in India are mapped to the cash flow generation in the businesses and are in line with our capital allocation policy.

Coming to our business -wise performance this quarter. Novelis shipments were at 951 Kt versus 936 Kt in the prior period, up 2% year -on-year due to increased demand for beverage packaging. Novelis delivered a quarterly EBITDA of \$514 million, up 28% year -on-year, driven by favorable metal benefits from recycling and lower operating costs. The resulting EBITDA per ton stood at \$540 versus \$431 in the previous quarter, up 25% year -on-year.

On Hindalco India's upstream aluminum performance this quarter, shipments were up 4% year -on-year, a

nd revenues were up 5% year -on-

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year. EBITDA was up 24% year -on-year at INR2,709 crores, primarily supported by lower input costs and higher shipments. The resulting EBITDA per ton stood at \$967 per ton, higher by 17% year -on-year. EBITDA margins were also higher at 32% this quarter and continue to be the best in the global indus try.

This quarter, the Indian downstream aluminum quarterly shipments were up 17% year -on-year at 105 Kt in Q4 financial year 2024 on account of market recovery and better realization. EBITDA was up 36% year-on-year at INR152 crores versus INR112 crores in the prior period. The resulting EBITDA per ton was at \$174 per ton, 15% higher year -on-year, showing a strong recovery, which is in line with increasing demand of value -added products. Our aluminum downstream continues to be an exciting space as we explore ne w solutions, particularly for new-age mobility.

Our Copper business continued to deliver its best -ever performance this quarter as well. The overall metal shipments were at a record 135 Kt, up 16% year -on-year, of which CCR volumes were at 98 Kt, up 3% year -on-year this quarter. The quarterly Copper EBI TDA was at an all -time high of INR776 crores, up 30% year -on-year on account of higher shipments, better realization and stable operations this quarter.

Now let me give you a glimpse of the current broader economic environment on Slides 14 and 15. Global growth is expected to be -- remain resilient even in an environment where geopolitical conditions are not improving. The IMF has forecasted the global eco nomy to grow at 3.2% in 2024, steady with its 2023 pace.

Growth in advanced economies is expected to moderately accelerate from 1.6% to 1.7% in 2024, and growth in emerging market economies is projected to be 4.2% in 2024, moderating slightly down from 4.3% in 2023. U.S. growth is forecast to accelerate, and act ivity in the euro area is expected to recover from its lows of 2023. The Chinese economy is

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expected to continue to grow at a moderate pace given the sustained weakness in the housing sector and deflationary pressures.

Risks to the outlook are balanced. A pickup in the manufacturing sector in the first quarter of 2024, easing in supply chain impediments and an expected pickup in global trade growth in 2024 bode well for the global growth outlook. Higher -for-longer intere st rates due to the recent higher -than-expected inflation data and worsening geopolitical conditions present downside risks to the global growth outlook. The IMF forecasts global inflation to moderate from 6.8% in 2023 to 5.9% in 2024.

On the domestic front, the momentum for economic activity in India is set to continue. Going forward, the RBI projects GDP growth to remain robust at 7% in the financial year 2025 driven by a broad -based pickup

in the private capex cycle, strengthening in private consumption compared to 7.6% in the financial year 2024.

Assuming a normal monsoons and barring further shocks, the RBI projects inflation to decline to 4.5% this financial year, down from 5.4% in the financial year 2024. Headline inflation in India continues to trend downwards, but risks are from continuing geopolitical tension and adverse weather conditions impacting food prices. This will be a key consideration for the RBI policy rate decisions, which has been kept on hold at 6.5% since February 2023.

Moving on to the aluminum industry outlook on Slides 16 to 18. Let me first talk about China. On a yearly basis, the overall production in China stood at 41.5 million tons, at the end of calendar year '23, reflecting a growth of 4% year -on-year. On the consumption side, Chinese demand spurred by 5% year -on-year to 42.8 million tons. As a result, the Chinese market ended up in a deficit of 1.3 million tons in calendar year '23.

The overall production of the world, excluding China, in calendar year '23 stood at 29.1 million tons, reflecting a growth of 1% year on year . The overall consumption declined by 4% year -on-year to 27.3 million tons, resulting in a surplus of 1.9 million tons at the end of calendar year
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'23. The overall global production stood at 70.6 million, whereas consumption was at 70.1 million, resulting in a surplus of 0.6 million tons in calendar year '23.

On a quarterly basis, production in China increased by 5% year -on-year to 10.5 million tons in Q1 calendar year '24, led by increased production in Yunnan ,Guizhou and Inner Mongolia. On the consumption side, Chinese demand grew sharply by 10% year -on-year this quarter to 10.5 million tons, led by strong solar installation and EV production that was partially offset by weak construction demand. As a result, the Chinese market was balanced in Q1 calendar year '24.

In the world, excluding China, production grew marginally by 3% year -on-year to 7.3 million tons in Q1 calendar '24, led by increased production in Indonesia, Middle East and Canada. However, the consumption continued to remain flat at 6.8 million tons. Hence, the world, excluding China, recorded a surplus of 0.5 million tons this period.

So the overall global production in calendar year '24 Q1 grew by 4% to 17.8 million tons whereas consumption grew by 6% to 17.3 million tons, mainly led by strong demand in China. Thus, the global market saw a surplus of 0.5 million tons.

The global aluminum prices in Q4 were flattish sequentially at \$2,199 a ton. However, aluminum prices saw an increase due to new sanctions announced by U.K. and U.S. on Russian metals in mid -April this year. These sanctions led to a sudden spur in LME prices in excess of \$2,700, stabilizing later down to \$2,500. In Q4 financial year 2024, the Indian aluminum demand is likely to reach 1.2 million tons, reflecting a growth of 5% on a year -on-year basis. While the demand from electrical was strong, scrap imports saw a sharp decline, owing to supply tightness due to the Red Sea crisis. Hence, scrap imports declined sharply by 28% year-on-year this quarter.

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The global aluminum FRP demand is expected to grow by 4% in calendar year '24, with demand recovery across all major segments of beverage packaging, automotive, specialty and aerospace between a CAGR of 4% to 7% over the next 3 to 4 years. The Indian FRP demand in financial year '25 is expected to grow by 6% to 8% on a year -on-year basis, reflecting a flattish growth in financial year '24. This increase is

led by a strong demand from packaging, automotive and building and construction segment.

On a yearly basis -- turning to the copper industry in Slides 19 and 20.

On a yearly basis in calendar year '23, Chinese production increased by approximately 8.6% year -on-year to 11.5 million tons whereas consumption grew by 7.7% year -on-year at 14.6 million tons, driven by demand in infrastructure development for power grid capacity expansion. This has resulted in a deficit of 3.1 million tons.

In the world, excluding China, production declined by 0.3% year -on-year whereas consumption declined by 3% year -on-year, resulting in a surplus of 3.1 million tons in calendar year 2023. So the overall yearly global production grew by 3.6% to 25.6 million tons, and consumption grew by 2.8% year -on-year to 25.6 million tons, resulting in a balanced market.

On a quarterly basis in Q1 calendar '24, Chinese production increased by approximately 2% year -on-year at 2.9 million tons whereas consumption grew by almost 3.1% year -on-year at 3.2 million tons, resulting in a deficit of 0.3 million tons. In the world, excluding China, production declined by 1.

4% year -on-year whereas consumption

declined by 0.7% year -on-year, resulting in a surplus of 0.7 million tons in Q1 calendar year '24. The overall global production of copper increased by 0.1% year -on-year while consumption in the same period increased by 1.3% year -on-year, resulting in a deficit of 0.4 million tons in Q1 calendar year '24.

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On the domestic side in Q4 financial year '24, market demand increased by approximately 15% year -on-year to 225 Kt versus 196 Kt in Q4 financial year '23. On a sequential basis, market demand increased by 14%, with domestic producers' share at 70% this quarter.

During the fourth quarter of financial year 2024, spot market experienced a continuous decline due to a combination of disruptions in large copper mines in Central America, coupled with 4 to 5 new smelters that are being commissioned in Indonesia, India and China during this year. The concentrated market tightness is likely to continue for the next couple of years, resulting in subdued TC/RC levels in the short to medium term. Maintenance shutdown is planned by many Chinese smelters this quarter, which might offer some short -term relief to the spot TC/RC level.

Details of the operational and financial performance in each of our business segments this quarter corresponding to the corresponding period of last year as well as previous quarters are covered in further slides and annexures to this presentation.

Now let me conclude today's presentation with some key takeaways and our way forward. Novelis delivered \$540 per ton this quarter, reflecting a robust recovery as the market continues to remain strong for beverage packaging, automotive sectors. Our Bay Minette project is on track and expected to be completed by the second half of calendar year '26.

Once again, our Copper business delivered its best -ever performance this quarter, backed by a strong market and higher realization. We continue to focus on value -added products in Copper and are progressing well in India's first -of-its-kind copper and e -waste recycling facility at Dahej, Gujarat. Meanwhile, our Inner Grooved Tubes project is also on track and is expected to be commissioned by the end of calendar year 2024.

Our resilient India business with its strong balance sheet is providing solid financial prudence to our organic growth strategy. We also

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continue to focus on resource security in terms of coal and bauxite, thereby reducing our dependency on external sources in the coming year.

Our approach to ESG continues to be comprehensive across the value chain and in line with our 2050 ESG targets. Our first-of-its-kind energy transition initiative is on course to begin the ramp-up of 100 megawatts of round-the-clock, carbon-free power for our Orissa smelter.

Additionally, 200 megawatts of solar and wind projects shall pave the way towards a green energy source to produce low-carbon aluminum in India.

Our recent global recognitions are testimony to our ESG efforts as Hindalco continues to be among the top 1% in the aluminum industry in the S&P Global DJSI Sustainability Yearbook of 2024. Also, Hindalco recently won the Energy Transition Changemaker Award at COP28 for setting up one of the first round-the-clock renewable energy projects backed by pumped hydro in the aluminum sector.

We stay focused with our value-enhancing growth strategy directed towards organic growth projects of \$6.9 billion to be completed over the next 3 to 5 years in Hindalco and Novelis. We stay committed to maintain the strong balance sheet position and focus on shareholder value creation in the long run.

Thank you very much for your attention. The forum is now open to any questions you may have. Just as a reminder, we will not take any questions related

to Novelis, including the IPO filing, due to restrictions under the U.S. federal securities law and the associated quiet period.

Moderator: We'll take our first question from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Congratulations on excellent set of numbers. My first question is on the balance sheet. Now the India balance sheet is already net cash, and there could be further potential inflows in the near future. So how do we see Hindalco Industries Limited

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the capital structure over the next 2 years as far as India balance sheet is concerned? Are there any substantial inorganic opportunities or strategic investment opportunities? Or we look to run on net cash balance sheet, which, from a return perspective, is not very efficient and dilutive at the margin? So just some thoughts on our capital structure over next few years.

Satish Pai: Yes, I think that the way we look at it, we have this year -- and I'm sort of jumping a normal question I get, we have plans to spend about INR6,000 crores in capex this year. So we have 2 mines that are going to be opening. We have the alumina refinery and -- also starting. So if you take our plans over the next 3 years, both in Copper and Aluminium, we will have significant organic growth opportunities where we will be spending substantial capex. So I think that the strength of the balance sheet will allow us to do our planned organic capex expansion without resorting to borrowing. So that is our current plan.

Sumangal Nevatia: And sir, anything outside of India, internationally, are there any opportunities?

Satish Pai: So look, I think that we are currently very much focused on India because we have -- and I maybe just have to read out again the FRP 2 expansion, the battery foil project, the mines that we have, the copper tube project, the copper e-waste recycling project, the copper foil project that we look at, the smelter expansion with the round-the-clock power works in aluminum, the smelter in copper. We have lots of projects to look at domestically.

Sumangal Nevatia: Okay. Understood. Sir, on the aluminum business, is it possible to guide what sort of cost movement do we expect in the coming quarter and the -- yes, yes, sure.

Satish Pai: So just on the cost, I mean, the large part of the Q4 EBITDA margin, the \$967 per ton EBITDA, has all been because the costs have been quite low, especially coal costs. So I think in Q1, we'll probably be another

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a summer and a monsoon period, so -- and we are still dependent quite heavily on linkage and e -auction coal, whereas we have lot of stocks. So saying that today, the cost and the coal availability is very good. So our costs should be sort of 1% or 2% down compared to Q4.

Sumangal Nevatia: Understood. Understood. And just one last question. I acknowledge the disclaimer that you'll not talk about Novelis IPO. But from a Hindalco point of view, in case you're open to share, I mean, what's the thought process given our balance sheet strength? Is it only value unlocking or some other strategic reasons?

Satish Pai: So I think that at this stage, I again probably have to repeat that I cannot answer any questions related to the Novelis IPO filing right now.

Moderator: We'll take our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have a couple of questions. The first one is on again stretching Sumangal's point a little bit further. Now since balance sheet headroom is there, the progress on RE is also there. Coal availability is also -- we are opening our own mines. So how long do you think we wait for the smelting capacity to be expanded in India? Aluminum smelting, that is.

Satish Pai: Yes, yes, aluminum, I

understand. So we are doing the refinery first.

And just to let you know that we have started both in Copper and Aluminium, let me add, to do the studies and the scoping out work for smelter expansion. So the groundwork has already started in the last 6 months.

Amit Dixit: Just to follow up on this. So is there any benchmark you have for renewable power that, okay, when we achieve this much renewable capacity, 300 -megawatt or something, then we will see what we think of it and if you achieve this much coal security, then we will think of it? Or will it happen -- will everything happen in parallel?

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Satish Pai: It will happen in parallel because you see, we have already committed, if you remember that 30% of our aluminum production will be from low carbon sources by 2030. And the RTC power contract that is starting this year is one big part of it because if that works, we can upscale that 100 to 300 megawatts as per our contract. So I think that that's why we are doing it in parallel. We have already started preparing the engineering work, et cetera, for the smelter because we are quite hopeful that the renewable power will work.

Amit Dixit: Okay. Great, sir. And the second question is on Copper. Now if you look at Copper EBITDA, I mean, we have seen that for a very long period of time, the range has moved up. This quarter, of course, it moved up even further. Now how do we see it going ahead? Because some of these advantages that we see particularly related to volume, et cetera, might have changed. TC/RC, of course, is volatile, nobody's control. But I mean, if we are to have a guess, what could be the sustainable -- new sustainable EBITDA from Copper business? Will it be like upwards of up of INR3,000 crores per year? I mean how should we look at it?

Satish Pai: Yes. The Copper head is sitting here. Maybe I should let him take up. No, I think that we should -- you're quite right. I mean last quarter was a bit exceptional. And if you look at our sales level also, it was quite high. I would say that a more sustainable version is around the INR600 crores mark, it can go up and down a little bit, but I would go with that number on a quarterly basis.

Moderator: We'll take our next question from the line of Tarang from Old Bridge Mutual Fund.

Tarang: Sir, just looking at Hindalco India and looking at the balance sheet

profile of India, I just wanted to get a pulse on how are you looking at the IRRs of your India capex because the background that I have is, I mean, everything that you're doing around backward integration and alumina and coal both, I mean, very high IRR projects, hopefully.

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But there isn't a lot of clarity in terms of what's coming out of the copper recycling project or the foils project or, overall, I mean, the entire downstream bouquet, so to say. So how are you looking at it? And it becomes even more pertinent now because there isn't any leverage in the stand-alone business ?

Satish Pai: Yes. I think that the first thing you have to know is that our internal hurdle rate for any project is sort of mid-teens. So we don't do any project that does not give us a mid-teen IRR. Now some of the projects will be much higher. The alumina project is much higher. I have a feeling that the recycled copper one will also be much higher than the mid-teens. But you should be taking into account that none of our projects will be below the mid-teens.

Tarang: At a project level or you're talking about the consol capex for India?

Satish Pai: No, no, no, I'm -- the project-by-project level. And things like the coal mines and all have got a completely different profile because you are replacing the uncertainty of e-auction and linkage with a steady coal cost coming from your mine. So what that give

s you is that the volatility of your cost of production. See, if we are backward integrated in alumina, if we are backward integrated in coal, then the only thing left is CP coke and pitch. So you -- our cost of production really becomes much more flattish and predictable.

Moderator: We'll take our next question from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have a couple of questions. First, sir, can you give us some guidance on what is happening on CP coke, Coal-tar pitch, all those costs right now? Particularly given that aluminum, alumina both has elevated, have those costs also followed?

Satish Pai: Yes. In fact, CP coke, if I take a look at CP coke, let's say, on a year-on-year -- even quarterly -- or quarter, CP coke is down 8% year-on-year.

It's down -- full year down by 28%. Pitch is down by 27%. Caustic is

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down by 28% year-on-year. So all these input costs have come down.

So coal costs have remained under control. All these carbon-related costs have come down, which is why our cost of production is where it is, and that's why the EBITDA per ton has been high .

Indrajit Agarwal: And what is the kind of lag or contracts we have for this in the sense that spot prices would reflect like in next quarter? Or there is like a couple of quarters lag over there?

Satish Pai: It's a CP coke because quite a bit of needs to be imported as well. So there is a couple of quarters cover. Caustic is annual contracts. We largely buy from, as you may have seen from our related-party transaction is largely bought from our Grasim subsidiary -- not our subsidiary, sorry, Grasim's subsidiary. Furnace oil is also a couple of quarters of coverage. Pitch is also largely bought domestically, so they happen to be annual contracts.

Indrajit Agarwal: Sure. That's helpful. And any time lines or progress on the coal blocks?

Satish Pai: So we are expecting the Chakla box cut to happen sometime in Q3 of next year -- calendar year.

Indrajit Agarwal: Q3 CY '25?

Satish Pai: Yes.

Indrajit Agarwal: Okay. And lastly, on our downstream project, can you help us understand what is the kind of contracts we have, both in terms of

pricing and offtake? Like we understand Novelis broadly that there is the beverage can and other usages, which are longer -term contracts. So here, are the contracts more spot? Or there are some long -term contracts there?

Satish Pai: There are some long term. They -- like the litho contracts are long term.

More and more as we sign with auto, we are getting longer term. So I think that as our new capacity comes on stream, the projects are becoming a little bit more long term. There are some things like the Hindalco Industries Limited

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cookware contracts, circles are all long term. So there is a mix because we are playing on quite a wide spectrum of the downstream projects. But once the Aditya FRP project comes in, another 170 Kt gets added. So there, we will be having fixed longer -term contracts on can, foil stock, hard alloys. So I think that in a couple of years, we will be moving towards more long -term contracts and fewer products than what we have today.

Indrajit Agarwal: In that case, our earnings or profitability in downstream will be a lot more stable or predictable versus the volatility that we are seeing today? Is that correct?

Satish Pai: Yes. That's the strategy of why -- by the way, both in Copper and Aluminium, why we are going more and more downstream.

Moderator: Next in line is Satyadeep Jain from Ambit Capital.

Satyadeep Jain: Mr. Pai, first, I want to understand when you look at RE -RTC power, when you state that you want to try it and see if it works, what exactly are you trying to see in that contract? What is the unknown? What is the variable you're trying to solve?

Satish Pai:

Yes, good question. So RTC is a bit of a misnomer when you say round the clock. So what RTC power suppliers do, they guarantee you 85% load factor on an average, so it can go down to 50%. It can go, during the day, above 100%. So what you have to do, because the smelter cannot take any disruptions, is that you have to do a load management where we use our internal thermal power to balance out the RTC power we are getting in through the grid. So you can -- we have been doing that for a long time with smaller amounts of power. But when you start to get to 100, 200 megawatts, which is like 30% of what Aditya needs, so we just want to make sure that everything moves smoothly before we increase that.

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Satyadeep Jain: You're saying, let's say, the PLI of the power plant of the RE drops, then we have to ramp up your own power plant to offset that? Doesn't the provider also guarantee by procuring something from the grid or something? There's no contract like that?

Satish Pai: No, nobody gives you a guarantee of 100% renewable. So the -- because of the pumped hydro, they are giving you 85% on an average. Otherwise, what happens is that people just buy solar, which is a certain number of hours a day, and then they ramp up the thermal.

Satyadeep Jain: You basically want to try this out and see if the availability factor on this RE is low, can you ramp it up and have round -the-clock power availability for the smelters?

Satish Pai: Yes. So you see we are taking it into Aditya where we use 600 megawatts. We have 900 megawatts of installed capacity. So we'll take in 100 megawatts in the grid from Ayana now of round -the-clock RE. And then we will ramp down our turbines a bit during the high period of RE and then try to balance it out.

Satyadeep Jain: Okay. In the power you're purchasing under this 100 -megawatt contract, would this -- how much of a difference is it compared to the -- I imagine your captive power plant is going to be much cheaper?

Satish Pai: It's not much cheaper. The RTC power is a little bit more expensive than our captive now. But the advantage is the captive power rates are fixed for the next 20 years, whereas my thermal power plant with coal inflation will go up. So when you look at it over a number of years, it works out well. That's what we have seen. Plus, the benefits you get from lesser RPO obligations, et cetera.

Satyadeep Jain: Okay. The second question I want to ask on this was when you look at the brownfield, if this works out, then you're looking at possibly brownfield in Aditya and Mahan. I think in the last Investor Day, you mentioned 160, 180 Kt for \$760 million or somethin g, if I remember. That worked out to about \$4,000. But then that seemed very high for a Hindalco Industries Limited
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stand-alone brownfield smelter. Is that a fair number to assume since you've already done scoping studies and all and ...

Satish Pai: Yes. I mean right now, we are trying to get the latest cost numbers in. So you have to realize that there has been an inflation in the cost. So just bear with me because we will -- by next quarter, I will have much more accurate numbers on the capex . But we are looking at, as you rightfully said, 180 pots expansion in Aditya or Mahan. Both are the places where we have -- Aditya, we already have the environmental clearances, et cetera. So that's probably where we'll do it, and that's why the RTC power is also coming in.

But the capex number, I will get back to you. But it will be INR6,000 crores, INR7,000 crores type.

Moderator: We'll take our next question from the line of Amit Murarka from Axis Capital.

Amit Murarka: So like Chakla, you said, is now expected by Q3 CY '25. I believe like earlier, the guidance was for end of this year. So could you, first, have it explained why this delay h

as happened?

Satish Pai: Land, I mean, it's compensatory, a fforestation land in Stage 2 forest clearance. And we also had this recent elections coming in, in the middle. So yes, we have had some delays in getting those forest clearances.

Amit Murarka: Okay. But how long will it take to close the land acquisition now?

Satish Pai: I think that's why when I told you calendar year Q3, that is more like July, August, maybe just after monsoon next year. I think we are fairly comfortable that we have got most of it under control now. I mean land is the 90% of the issue in coal mines. So it's all about the land acquisition.

Amit Murarka: Sure. And Meenakshi West, what is the time line?

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Satish Pai: So Meenakshi West is probably going to be calendar year '26, not calendar year '25.

Amit Murarka: Okay. And any update on Meenakshi?

Satish Pai: Meenakshi is actually going quite well. That's sort of an exploration cum mining block. So we will, this year, finish the exploration part, get the mining lease finalized. That's our plan.

Amit Murarka: Got it. And also, like what was the alumina sales this quarter?

Satish Pai: So the alumina sales this quarter was about, yes, exactly 227 Kt. And in Q1, we think we'll sell about 160 to 170 Kt.

Amit Murarka: Okay. So when is the alumina brownfield expansion getting completed? It was supposed to be done around this time is what I remember.

Satish Pai: The brownfield is, I think, completed. We have -- that's why the production will ramp up. I think this year, the only issue that we have is for the steam boilers. If we take the boiler for -- uphauling, we may have to reduce for a month or so while we do the rehauling because we need an extra boiler that's coming up. Otherwise, the brownfield expansion

has already finished.

Amit Murarka: I missed the comment on aluminum COP this quarter. How did it do Q - o-Q?

Satish Pai: I think Q4 versus Q3 was flat.

Amit Murarka: Right. Any guidance for Q1?

Satish Pai: That's what I said, 1% down.

Moderator: We'll take our next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, first question is on bauxite. If you could just confirm on Baphlimali renewal that we recently had and what it means on the cost, that's one.

Satish Pai: Baphlimali is there already, like up to 204 8.

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Ritesh Shah: Sir, second question, on the RTC part, you did indicate that we were to upscale from 100 to 300 megawatts. And you also said that we are hopeful. Any time lines over here that we are looking at?

Satish Pai: I said the power will start to come in, in the third quarter of this year, October, November, December. And I think we will take a quarter or 2 to see how the stability works. So then in 2 quarters, we can then decide whether we want to upscale the contrac t.

Ritesh Shah: That's useful. And sir, lastly, on the hedges. Can you please repeat the number what you indicated? I just missed those.

Satish Pai: Yes. So we caught a little bit of the rally that happened recently as well. So now the average for FY '25 is 22% at \$2,550 per ton. And if you remember, we had done a zero collar much before with a bottom of -- that's for 15% at \$2,258 with a ceiling of \$2 ,539.

Ritesh Shah: Sure. That's helpful. And sir, lastly, on Copper downstream, there are incremental companies who are getting into the downstream space on the copper side and likewise on the aluminum side as well. So when we look at the incremental capital allocation, you did indicate about mid - teens ROCs. But how do you look at the local markets? Like is it large enough for us to go more downstream? Or is it something that you're targeting more on exports? Some thoughts over here on both aluminum as well as copper, please.

Satish Pai: No, I think that, lo

ok, the smaller companies always come in at the lower end of the value chain. They are mostly scrap -based people who do continuous cast, whereas we have been trying to position ourselves -- take, for example, copper Inner Grooved Tubes. This is quite difficult to make copper tubes for air conditioners. There are no small -scale guys playing on it. 100% of these tubes used to be imported into India. And we and there's another company that is setting up these copper tubes. So we positioned our downstream at the slightly higher value -added because as India is growing, the demand for these higher -end stuff is

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also growing. So there will always be space, just like the U.S. market, for scrap -based secondaries who are playing at the lower end. And for people like us who will be -- I mean, battery foil, you will not find small scale players playing battery foil for batteries -- EV batteries.

Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management.

Ashish Kejriwal: Sir, 2 things. One, is it possible to share how much quantity was hedged in Q4 and at what rate?

Satish Pai: You mean the Q4 that just finished?

Ashish Kejriwal: Yes, sir.

Satish Pai: Let me look at that. The Q4 hedge -- okay, what I can tell you I don't have the volume, but it led to a gain of INR263 crores in Q4 of '24.

Ashish Kejriwal: Okay. I'll ask the volume separately then. And sir, second thing is in terms of Meenakshi coal block, earlier, our plan was that we will give away one of the coal blocks. But now are we going ahead with both the

coal blocks? Or something else is there?

Satish Pai: No, that's a good question. The big Meenakshi is still not allocated. I think that the CBA land issue will probably get resolved post-election. And if we get Meenakshi, then we will speed up Meenakshi rather than Meenakshi West.

Ashish Kejriwal: So you would not surrender Meenakshi West then?

Satish Pai: I think we'll take that call after we have got Meenakshi, and then we'll look at it.

Ashish Kejriwal: Sure. And sir, lastly, is it possible to give some sense of our Copper profitability? See, because we understand that most of the profits for Copper business comes from our TC/RC margin. But the higher copper prices also helps us in terms of what free meta ls and free premium on that. So is it possible to share even on a percentage term, what could be Hindalco Industries Limited
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because of TC/RC margin? And the first or rest -- that means that increasing copper prices do have a direct positive impact on our profitability also?

Satish Pai: So look, no, I don't think we'll break it out, but whereas there is a positive impact of higher copper prices, but that is not significant to our profitability. I think the fact that we are selling more copper rods, which is where the demand is at copper rod, we get an extra premium for the conversion. And because of the higher sales, that is a bigger reason than the copper LME for us. And by the way, Q4 hedged quantity was 77 Kt.

Ashish Kejriwal: You're talking about aluminium?

Satish Pai: Yes, your previous question.

Ashish Kejriwal: And sir, at what rate?

Satish Pai: \$2,636.

Ashish Kejriwal: Okay. Okay. So sir, coming back to copper -only because every time we got a positive surprise, I'm unable to figure out what could be the next quarters, I mean, for copper. My simple question is, out of the total profits of copper, how much one can attribute to because of the TC/RC thing which is not going up?

Satish Pai: See, we don't look just at TC/RC because -- we look at it as copper and byproducts because there is a significant value chain of sulfuric acid, gold, silver that comes with it. So I think that we would not want to break that up right now. I think the Copper business has got multiple value

multiple value

chains. For us, the copper rod and our expansion over there is certainly helping because the demand has been very strong. And when the demand is strong, it gives us more of a premium on the copper rod.

Ashish Kejriwal: So is it possible to break down into copper rod and copper cathodes? Or that is also not possible?

Satish Pai: No, that -- we would not like to do that.

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Ashish Kejriwal: Okay. Because, sir, why I'm asking every time when we ask this question, obviously, when you give average EBITDA, that seems to be on a lower side for the last 4, 5 quarters. So even if 700 is sustainable or 600 is sustainable looks -- every time you get a positive surprise only. So we just want to get a sense on that.

Satish Pai: Yes. I think I would also be happy to continue to give you a positive surprise rather than the other way.

Ashish Kejriwal: And sir, lastly, a few quarters back also, we requested for guidance when we give on aluminum cost. Is it possible to give guidance on a per ton basis rather than percentage?

Satish Pai: No, I think that we are comfortable the way we are giving it. No, I would not like to go to giving you directly the percentage.

Moderator: We'll take our next question from the line of Pallav Agarwal from Antique Stockbroking.

Pallav Agarwal: Just a couple of questions. One was on we've seen a significant increase in the physical MJP premium. So has that also helped the Q4 profitability in the aluminum segment?

Satish Pai: I think that there's been a significant increase in MJP. I think it went to \$97 from \$70 -odd. So the MJPs tend to be between \$80 to \$110, \$120. So it does have an impact on the export part, not on the domestic. So I would not put that it was a big part of our increased profitability. I think the increased profitability when we have analyzed it both in Copper and Aluminium, the stable operations has played a big role because when you have your cost of production under control, then it allows a lot of the margin to drop through.

Pallav Agarwal: Sure, sir. And also just coming back to the copper downstream part. We've seen probably some cable manufacturers trading at very significant or relatively higher EV/EBITDA of 28, 30x. So something
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like Grasim's foray into the paints business, is that something that you is thought about of probably going into the cables business as well?

Satish Pai: I think we are currently in Hindalco at least focused on increasing our rod capacity to meet the demand. I would just leave it at that.

Moderator: We'll take our next question from the line of Kamlesh Jain from Lotus Asset Managers.

Kamlesh Jain: Congrats for strong set of numbers, sir. Just one question on the part of capex plan, like we had given a guidance of around \$3 -odd billion projects, like say, in last analyst day. So going forward, like say, is that on radar? Or are we going to increase further the capex guidance? Or how are we placed on that front?

Satish Pai: See, the one thing I'll be honest with you, there are a lot of projects to do. But the market also has got that much capacity to do projects. So if you look at it from EPC contractor point of view and all, we run into quite a lot of issues with getting people and contractors to do that. So we try to keep a balance between what we want to do and what the market actually is capable of doing.

So currently, I think one of the bigger impediments is that a lack of manpower to the EPC contractors. Our Aditya project has been struggling to get enough manpower to complete on time. So there is a tightness among the contractor things. So we could actually do maybe more projects faster, but we are also sort of held back by this problem.

Kamlesh Jain: On the copper side, are we looking to backward -in

tegrate those

operations as well because in the past, like we had bought mines in Australia but..

Satish Pai: Yes, we sold that off in 2017. So the Indian government has put up exploration blocks for copper and we have actually one mine called Minjari. So we are going to do the exploration for copper concentrate in India.

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Kamlesh Jain: Not anything on overseas, sir?

Satish Pai: Sorry?

Kamlesh Jain: Anything overseas? Overseas mining?

Satish Pai: No. Overseas is , no because everybody is running after them. With this price of copper LME now, no. We are not looking at mines overseas. We are looking in India.

Kamlesh Jain: Okay. And lastly, sir, if I may be allowed, on the hedging part, like we are putting up the smelters and all these smelters are coming at a speed or its one of the best alumina, aluminum pricing. So what is the thought process behind having such a large quantity? And when we are seeing the environment where so much of restraints or constraints are being put up on the new capacity and so much of anti -barriers in terms of duties

being imposed across the country? So why we are so adamant? Or is it about this hedging policy, is the reason this year we had roughly around a significant quantity, 22 -odd percent? Apart from that quarter is also there. So what is the thought process behind having such a large quantity?

Satish Pai: Always, I think people who have been on the call for a number of years, our strategy going into the year is to have at least 25% hedged as a risk mitigation. So when we find certain rates that can protect our EBITDA, so we try to do that because in this commodity business, it can go up and down.

By the way, I have analyzed the last 7 or 8 years. And you will see that majority of the times, it has played out. If the LME suddenly shoots up in 1 year, that's the only year where it goes off. But by and large, this policy for us has played out. So that's why we do it. And closer to the quarter, if we see a good rate, then we try to lock in for that current quarter like that. So if you take this year, we are at 22%. And I think that unless there is a big spike or something, we will stay at that. It's not a large -- I mean we have 75% open.

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Moderator: We'll take our next question from the line of Gopal Nawandhar from SBI Life Insurance.

Gopal Nawandhar: Congrats on good set of results. So my question is on the capex for copper tube business. And viability of this business, is it only dependent on the PLI we are putting the capex ? Or do we need any more policy support in terms of import duties and all from the government?

Satish Pai: No, I think, see, the government is trying to replace the imported, and it was all coming from Malaysia. The PLI scheme was put in place to encourage domestic manufacturers. So we have taken advantage of that. So no, we don't need any further government intervention. I think our project got slightly delayed because of environmental clearances, but it will be up and running in December. And the good news is all the capacity is already sort of committed because all the AC guys have been after us.

Gopal Nawandhar: So versus import prices will be better off?

Satish Pai: It's at the same level as import prices.

Gopal Nawandhar: Okay. Okay. And sir, on the power cost side, on green power, will it be cheaper versus what the cost we are incurring?

Satish Pai: So that's why I tried to explain in an earlier question that right today, when we start, it is slightly higher. But it's fixed for the next 25 years.

Whereas the price from the coal side, inflationary goes up. So over the period of time, it's -- it works out great for us. But today, when we start in October, if it starts, then the renewable power on the RTC is slightly high

er but not by a big margin.

Gopal Nawandhar: Okay. And this -- I think it is 200 megawatt or 100 megawatt?

Satish Pai: 100 we are starting with, with an option to increase by 200 more.

Gopal Nawandhar: And do we have any free power capacity?

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Satish Pai: Free power. I don't know what you've seen, but I have -- we have 900 megawatts in Aditya, whereas we require about 675. So there is one turbine. Because of the way boilers need to get refurbished, everyone has one boiler/turbine on standby or as a backup.

Gopal Nawandhar: Okay. Do we plan to utilize it to sell it in the merchant market?

Satish Pai: No. No, because for us, we would have to sell it to the grid, which we won't get a good price. We are not an IPP. We are a captive power plant.

Gopal Nawandhar: Sure, sir. And any thoughts on putting in expansion on the aluminum smelter side, sir?

Satish Pai: I think as we just mentioned, we are looking at expanding in Aditya, the

180 pots, but we will do it after we see how the renewable power works because we don't want to expand with coal -based power.

Moderator: Ladies and gentlemen, due to time constraints, I now hand over the call to Mr. Pai for closing comments. Over to you, sir.

Satish Pai: Thank you. I think that the Q4 was a great quarter, which capped off a good year for us. I think the good news going forward is our costs are under control, and the demand for both aluminum and copper looks pretty strong. So I think that we should be looking forward to a good '24-'25. So thank you all for joining this call.

Moderator: Thank you, sir. On behalf of Hindalco Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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August 20, 2024

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

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Scrip Code: US4330641022

Sub: Transcript of Earnings Conference call of Hindalco Industries Limited ('the Company') for the financial results of quarter ended June 30, 2024

Ref:

a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Regulations');

b. ISIN: INE038A01020 and

c. Our Intimation dated August 1, 2024

Pursuant to the above referred, the transcript of the Earnings Conference Call held on August 13, 2024 for the financial results of quarter ended June 30, 2024 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

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"Q1 FY'25 Earnings Conference Call "

August 13, 2024

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

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MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

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Moderator: Ladies and gentlemen, good day, and welcome to Hindalco Industries' Financial Year 2025 First Quarter Earnings Conference Call. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference call over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you.

Subir Sen: Thank you, and a very good afternoon or morning, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the first quarter of financial year 2025. In this call, we will refer to the Q1 financial year 2025 investor presentation available on our company's website. Some of the information on this call may be forward-looking in nature and is covered by the safe harbor language on slide number two of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the first quarter of the financial year 2025 versus the corresponding period of the previous year. The segment-wise comparative financial analysis of Novelis, Indian aluminum and copper business is also provided. The corresponding segment information for prior periods is also restated accordingly for a comparative analysis.

Today, we have on this call from Hindalco's management, Mr. Satish Pai, Managing Director; and Mr. Praveen Maheshwari, Chief Financial Officer. From Novelis' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer. Following this presentation, this forum will be open for question and answers. Post this call, an audio replay of this conference call will also be available on our company's website. Now let me turn this call to Mr. Pai to take you through the company's performance in quarter 1.

Satish Pai: Thank you, Subir. Thank you for joining Hindalco's earnings call today. Let me start with our achievements, progress and some key highlights across the metrics of ESG for this quarter versus the prior period on slide 4 to 8 of this presentation.

In the first quarter of financial year 2025, 97% of the total waste generated were recycled and reused. We achieved recycling of 138% of bauxite residue excluding Utkal, 106% of Ash in this period. We are steady fast in our efforts to reach net water positivity of 2050. Till date, we have initiated various projects, including desalination and other water recycling projects to minimize our freshwater consumption and maximize water reuse.

Specifically, in our copper business, we have seen remarkable progress. The Dahej desalination project, coupled with our tertiary water recycling units have enabled a significant reduction in freshwater consumption. We have successfully reduced freshwater usage from 19.5 million cubic meters per ton of metal in the first quarter of FY '24 to just 8.1 million cubic meters per ton, a notable achievement in our sustainability journey.

This year, we have recycled and reused 4.6 million cubic meters of wastewater, accounting for 24% of the total water consumed in our Indian operation. I'm also pleased to announce that Mouda has become the first plant of Hindalco to receive the prestigious CII GreenCo Water

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Neutrality certificate in this quarter. Furthermore, 15 out of our 19 plants now operate with zero liquid discharge (ZLD), a critical component of our water sustainability strategy. We are on track to commission the Kuppam ZLD project by third quarter of this financial year, further enhancing our efforts to minimize our environmental

impact.

In biodiversity, we have launched a pilot project at our Renukoot plant aimed at removing invasive species and reintroducing native plants. These invasive species are being sent to the paper mills for pulp production as a part of our commitment towards circular economy. As part of our ESG disclosure, we are set to publish our task force on nature related financial disclosures, TNFD report by the end of next quarter. In terms of our progress on renewables, we have commissioned 173 megawatts of solar and wind till date. Further 16 megawatts of solar projects are under execution and expected to be completed by quarter two and another 9 megawatts by quarter four of this financial year.

Our 100 megawatts hybrid power project is on course and expected to be commissioned by H1 calendar year 2025. Our aluminum specific greenhouse gas emission was recorded at 19.41 tons of CO₂ per ton of aluminum in this quarter, flattish compared to the same period last year. On safety, our LTIFR in India was recorded at 0.4 in the first quarter of the financial year 2025, which was a bit higher compared to quarter 1 of last year. We continue to focus on reduction of

LTIFR by continuously upgrading our safety enhancements and monitoring systems. We are sad that there was 1 fatality of a contract workmen that was recorded at our Indian operations this quarter.

Let me now give you a glimpse of our quarterly consolidated performance this quarter versus the same quarter of last year on Slide 10. This quarter's performance on a consolidated basis was driven by normalized demand for beverage packaging sheet at Novelis, better cost control in the aluminum India business backed by a continuous record performance by the copper business. Our consolidated business segment EBITDA was up 42% year -on-year at ₹8,578 crores, whereas our overall reported EBITDA was up 31% year -on-year at ₹7,992 crores. The consolidated net profit after tax was up 25% on a year -on-year basis at ₹3,074 crores. At the Hindalco India business level, excluding Novelis, our overall reported EBITDA was up 55% year -on-year at ₹3,840 crores. The net profit after tax was up 102% on a year -on-year basis at ₹1,957 crores.

Our Indian aluminum business is currently hedged at around 22% commodity at a price of \$2,550 per ton for the financial year 2025 and around 15% of the commodity at a zero collar with the bottom of \$2,258 and a ceiling of \$2,539 per ton. 11% of the currency is hedged at ₹88.43 per dollar. On the balance sheet, our consolidated net debt stands at ₹35,530 crores. In the India operations, we have net cash of ₹1,770 crores, while the Novelis net debt stands at ₹38,226 crores at the end of June 2024. Hindalco, at the consolidated level maintained a strong balance sheet with net debt -to-EBITDA well below 2x at 1.24 at the end of June 2024, which is lower than the corresponding period of last year.

All our strategic capex in India is mapped with the cash flow generation in the business and are in line with our capital allocation policy. Coming to our business -wise performance this quarter. Hindalco Industries Limited
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Novelis shipments were at 951 Kt versus 879 Kt in the prior period, up 8% year -on-year due to normalized demand for the beverage packaging sheet. Novelis delivered a quarterly EBITDA of \$500 million, up 19% year -on-year, driven by higher shipments and favorable product pricing. The resultant EBITDA per ton stood at \$525 versus \$479 in the previous quarter, up 10% year -on-year.

All our expansion projects, including the Bay Minette project in Novelis are on track with the new 240 Kt automotive recycling and casting center at Guthrie began commissioning this quarter. However, an unprecedented weather event in Novelis Europe at the end of June, caused

significant flooding at its Sierre, Switzerland plant. Fortunately, all of our employees were safely evacuated, though production has been halted since June 30. We currently estimate the plant to be back up and running at the end of the second quarter.

On Hindalco India's upstream aluminum performance this quarter, shipments were down 4% year-on-year and revenues were up 10% year -on-year. EBITDA was up 81% year -on-year at ₹3,493 crores, primarily supported by lower input costs and favorable macros. The resultant EBITDA per ton stood at \$1,273, higher by 84% year -on-year. EBITDA margins were also higher at 40% this quarter and continue to be the best in the global industry.

This quarter, the Indian downstream aluminum quarterly shipments were up 18% year -on-year at 96 Kt in this quarter on account of market recovery. EBITDA was down 19% year -on-year at ₹110 crores this quarter versus ₹135 crores in the prior period. The resultant EBITDA per ton was at \$138 per ton lower by 32% year -on-year this quarter, impacted by unfavorable product mix and lower realization.

Our copper business continued to deliver its best -ever performance this quarter as well. The overall metal shipments were at 1.19 Kt, up 1% year -on-year of which CCR volumes were at 100 Kt, up 2% year -on-year. The quarterly copper EBITDA was at an all -time high of ₹805 crores, up 52% year-on-year on account of higher shipments, better realization and robust operations. Now let me give you a glimpse of the current broader economic environment on Slide 12 and 13. Global economic growth remains resilient despite some moderation in pace. IMF projects the GDP growth to remain steady in 2024 at 3.2% compared to 3.3% in 2023 on moderating inflation, accommodative financial condition and rising global trade. Growth in advanced economies is projected at 1.7% in 2024 in line with 2023. And growth in the emerging market economies is projected at 4.3% in 2024, moderating slightly from 4.4% in 2023. While growth in the U.S. appears to be moderating from 2023 levels, growth in the euro area appears to have bottomed out and is expected to accelerate going forward.

Despite moderating activity in China, Emerging Asia continues to remain the main engine of global growth accounting for almost half of the global growth in 2024. IMF projects global headline inflation to moderate from 6.7% in 2023 to 5.9% in 2024. Disruptions to disinflation, past fiscal challenges, rising geopolitical tension and climate change remain key risks to

economic growth. On the domestic front, economic activity continues to be resilient. Going forward, the RBI projects GDP growth to remain at robust 7.2% in FY '25. High capacity utilization, healthy balance sheets of banks and corporates, sustained manufacturing and service

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activity and the government's continued thrust on infrastructure spending suggests a positive outlook.

Union budget's focused on fiscal prudence, job creation and capex will also continue to support this economic momentum. However, risk to outlooks arise from geopolitical tension, fluctuations in international commodity prices and geoeconomic fragmentation. RBI projects inflation to decline to 4.5% in FY '25 from 5.4% in FY '24. However, volatility in food prices and crude oil prices present downside risk to the disinflation process. Headline inflation has moderated from its peak, though not uniformly. The RBI does remain cautious and is committed to maintaining the 4% inflation target.

Moving on to the aluminum industry outlook on Slide 14 and 15. In Q2 calendar year '24, Chinese production remained steady at 10.6 million tons, while consumption rose to 11.3 million tons, resulting in a deficit of 0.7 million tons. This 3% growth in consumption was led by increase in solar installation, in EV production and electrical grid investments. Co

ming to the

rest of the world, Q2 calendar year production was at 7.3 million tons and consumption at 6.9 million, resulting in a surplus of 0.4 million tons. In Q2 calendar year '24, consumption declined by 1% due to ongoing softness in Europe, Middle East and Japan, offset by strong growth in India and a moderate recovery in North America. Therefore, the overall global production was at 17.9 million tons and consumption was at 18.2 million tons, resulting in a deficit of 0.3 million tons in Q2 CY '24.

In Q1 FY '24, domestic demand for aluminum reached 1319 Kt, marking a robust 15% year-on-year growth. This strong performance was primarily driven by increase in demand in the Electrical segment, particularly in cables and conductors as well as rising demand of aluminum in the solar sector. There was a significant rise in the domestic demand from the packaging industry, industrial machinery and consumer durable segments.

However, the automotive sector saw slightly muted demand primarily due to softness in passenger vehicles and commercial vehicles. The global aluminum FRP demand excluding China is expected to grow by 4% in calendar year '24 with demand recovery across all major segments of beverage packaging, automotive, specialty and aerospace between CAGRs of 4% to 7% over the next 3 to 4 years. Near-term demand in our latest end market, beverage packaging remains quite positive, particularly in North America and is improving in South America and Europe as well.

Global automotive demand remains broadly stable even amidst some ongoing macro challenges. Demand for premium aerospace plate and sheet remains solid over the long term, reflecting strength from the growing OEM build rates supported by multiyear backlog for aircraft deliveries. The Indian FRP demand in financial year '25 is expected to grow by around 7% to 8% on a year-on-year basis. This increase is led by strong demand from packaging, automotive and Building & Construction segments.

Turning to the copper industry on Slide 17 and 18. In Q2 CY '24, Chinese production remained flat year-on-year at 2.8 million tons, whereas consumption declined by almost 3% year-on-year at 3.8 million tons, resulting in a deficit of 1 million tons. In the rest of the world, production

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increased by 6% year-on-year at 3.6 million tons, whereas consumption was flattish year-on-year at 2.8 million tons, resulting in a surplus of 0.8 million tons in Q2 calendar year '24.

Therefore, the overall global production of copper increased by 3% year-on-year at 6.4 million tons while consumption declined by 1% year-on-year at 6.6 million tons, resulting in a deficit of about 0.2 million tons in Q2 calendar year '24.

On the domestic side, in Q1 financial year '25, market demand increased by approximately 4% year-on-year at 2.1 Kt versus 194 Kt in Q1 financial year '24. Domestic producer shares increased to 73% in Q1 FY '25 versus 71% in the same period of last year. In Q1 FY '25, the availability of concentrates remains constrained. On the demand side, numerous smelters are either advancing or prolonging maintenance shutdown and reducing utilization rates to reduce demand of copper concentrate. Looking ahead, the spot TC/RCs are suspected to stay low due to the ongoing limited supply of copper concentrate.

Details of the operational and financial performance in each of our business segments this quarter compared to the corresponding period of last year as well as previous quarters are covered in further slides and annexures to this presentation.

Now let me conclude today's presentation through some key takeaways and our way forward. We continue to scale up the aluminum downstream operations with our Silvassa extrusion plant ramping up successfully and our Aditya FRP expansion project remaining on track with the target commissioning in FY '26.

These expansions will take our downstream capacity to 6,000

Kt, reinforcing our commitments towards growth and margin expansion.

Our financial health remains robust, providing a solid foundation to support our organic growth.

Our strong balance sheet is a key enabler as we continue to invest in our organic strategic growth initiatives. Our major capital formation phase in downstream business is nearing completion and from here on, we will focus on growth opportunities in the upstream business in both aluminum and copper.

Sustainability remains at the core. I'm happy to say that we have now achieved 57% of our 300 megawatts target in renewables by 2026. Our current renewable energy capacity has reached 173 megawatts. We are on track to commission additional 100 -megawatt hybrid project, including storage by the first half of calendar year '25. The key focus for us is completions of Novelis Bay Minette project, which remains on schedule and is expected to be completed in the second half of calendar year '26.

This project will be a significant driver for our future growth and innovation. In June, we began commissioning a highly advanced automotive recycling center in North America that will increase our ability to utilize more pre and post consumer automotive scrap. And in July, we announced UBC recycling expansion at our Latchford U.K. recycling center. Both of these investments shall help to increase recycled content of our products while reducing carbon emissions. We continue making steady progress across a number of strategic capital investments that will strengthen our business for the future. With that, I'd like to thank you for your attention and open the forum up for any questions.

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Moderator: Thank you very much. We'll take our first question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on the cost side. Can you guide as to what is our expectation on movement of various cost items for the aluminum business over the next quarter?

Satish Pai: So on consumption basis our cost for Q1 compared to Q4 was down by 2%. And largely, that's because coal costs came down, but so did some of the carbon costs. I think that in Q2 versus Q1, it will be flattish to 1% up because normally during monsoons, the spot auction prices of coal tend to go up, and caustic prices have also gone up a little bit. So Q2 to Q1, I think, will be flat to 1%. But Q1 to Q4, we were down by 2%.

Sumangal Nevatia: Okay. Got it. Sir, what would be our mix of e-auction and linkage? And is there any further juice left in terms of cost reduction from coal as our linkage increases and e-auction reduces?

Satish Pai: So look, I don't think that in the near term -- we are about 48% linkage, about 49% to 50% e-auction. And I don't think that, that mix is going to change so much in the coming year. I think what's going to make a difference is when our own Chakla mine starts because that's the time when we will get some fixation on our coal costs on a steady basis is going forward.

Sumangal Nevatia: Understood. Understood. Sir, my second question is with respect to few upstream projects in aluminum division. I think last year, we had put it under future opportunities. But now given the balance sheet has become net cash, if you could just elaborate on which are the projects which we could take and what sort of capex on an annual basis we are looking at for FY '25, I think it is well guided but for FY '26, '27.

Satish Pai: Yes. I think that that's why I put in my prepared remarks, the downstream capex, both with Silvassa and the FRP phase 2. Now we will be looking at the alumina expansion in Odisha. We will be looking at a copper smelter -- I'm giving it in the sort of terms of priority. And then we are looking at 180 pot smelter expansion in Aditya with

the renewable hybrid starting there in

January. So these are the 3 large upstream projects that are on our radar screen now. And each one of them is about an ₹8,000 crores project.

Sumangal Nevatia: Okay. Okay. So is it happening one after the other, whenever we take it up? Or given our balance sheet strength, we can simultaneously work on these?

Satish Pai: No. I think that we have -- look, all of these require ECs, public clearance, statutory clearances. So it's not just the availability of the cash, there is a practicality of execution as well. So the alumina refinery is the first of the block. The second probably will be the copper smelter because

there's a real shortage of copper in the country. And in January, we will get the pumped hydro project starting in Aditya. So we will get clarity on the green power as well. So we are doing the engineer ring work in the background for the 180 pot expansion.

Sumangal Nevatia: Okay. And sir, if we start for FY '26, generally, it's going to be 2 to 3 years of construction time before commissioning?

Satish Pai: Yes. Yes.

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Moderator: We'll take our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a good performance. I have a couple of questions. The first one is on copper.

Now if I look at the copper's EBITDA trajectory evolution. I mean we were used to seeing EBITDA at ₹400 crores roughly a few quarters back, went to ₹500 crores, ₹600 crores and finally ₹805 crores. You mentioned in your prepared remarks that TC/RC margins could be under pressure because of constraints in concentrate availability. So first of all, what prompted this super performance? And what should be the sustainable EBITDA number that we should see going ahead?

Satish Pai: Yes. I think on the copper, what is important to note is that we are now selling a lot more copper rod. We are importing copper cathodes besides our own cathode. So if you look at our total sales in the copper for this year, we'll be selling more than 515 Kt, whereas our production of cathodes is about 380 to 400. So because the copper demand in the country is so high, and we have the copper rod capacity to make more rods. So we are taking full advantage of our capacity and selling more copper rod to the market at very good realization.

So that is an important part from a market point of view. And that increase thing means that from that 400 levels, we are quite clear now that the baseline for copper is going to be at the ₹600 crores level. The ₹800 crores, there is also some amount of derivative accounting numbers in there, which could probably change in the coming quarters. So I think that what you should be modeling going forward is more like the ₹600 crores. Copper has got quite a lot of derivative, we do offset hedging. So there will be some noise when the LME is fluctuating so much.

Amit Dixit: Okay. Sir, is it possible to quantify the gain from hedging copper division in this quarter?

Satish Pai: I don't know if I would cast just a gain because it can go both plus and minus. That's why I think that rather than give you the numbers quarter-to-quarter, I would rather say that you should model around ₹600 crores.

Amit Dixit: Okay. Understood. The second question is downstream aluminum. So EBITDA per ton has declined pretty swiftly if I look at compared to last quarter than last year, while you have mentioned that there has been little bit of challenge on certain sectors. If you could highlight which sector was it and the outlook going ahead for this particular division?

Satish Pai: Yes. So it was not any particular sector. What happened is the product mix. So we had to fulfill some orders of products that were at a lower conversion premium. Normally, we would have done it through outsourced vendors, but this time, we had to do it with our plant.

So that's why

the EBITDA per ton for those products went down. So the outlook for Q2 is extremely strong.

So we have already seen July. So you will see the EBITDA per ton bouncing back in quarter 2.

Moderator: We'll take our next question from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: A couple of questions. First, continuing on Amit's question on downstream. While we have commissioned everything, and we are at about, say, 600 Kt, what could be the steady-state profitability that we can look at just on downstream eliminating the metal price lag?

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Satish Pai: So once we have fully commissioned the FRP phase A and Silvassa is fully ramped up. So 600 Kt into \$200 per ton is roughly the number you should work with.

Indrajit Agarwal: Sure. And in bauxite, any clarity on availability as we head on to the next leg of alumina expansion? So is it likely from OMC? And what is the kind of contracts, have we entered into those contracts already?

Satish Pai: Yes. You remember, we had signed an MOU with OMC. So we are currently working on finalizing the bauxite contract from Kodingamali. And just to be clear, with that contract signed, then only we'll break ground for the refinery, not before.

Indrajit Agarwal: On an industry level, if you look at one of your competitors, the largest alumina producer in India is also expanding alumina capacity without captive bauxite, do you think at some stage, we would, as a country need to import more bauxite or run at lower utilization in the alumina facilities?

Satish Pai: I think honestly, I cannot comment for others, but I could just say that there is sufficient bauxite in India.

Indrajit Agarwal: Sure. Lastly, any update on commissioning of coal blocks, Chakla, Meenakshi?

Satish Pai: So we are working through it and let -- it'd fair to say that the going is quite difficult. I mean we are trying to get the Stage 1 and Stage 2 forest clearances, trying to get the CA land. We have actually just met the Ministry and the minister to ask for help in expediting this process. But it is, to be frank, quite a rather tough going to get all this Stage 1, Stage 2 forest clearances. So we are working through that.

Moderator: Next question is from the line of Satyadeep Jain from AMBIT Capital.

Satyadeep Jain: A couple of questions. First, Mr. Pai just wanted to check on the IPO, obviously, there was a thought behind it and it didn't go through. Just wanted to understand, I believe as we looked at the road show presentations, the thought was that being a market leader in all the other industries, market leaders command a significant premium. When you marketed and the response you got, was it a big disconnect between your ask and what the market you believe was giving you this?

And then unless you maybe get that ask in future the -- it's safe to assume that you will not go for a listing unless you have that valuation that you had in mind? That's is the first question.

Satish Pai: So I think the first thing I will say is that our whole target for this IPO, as you said, was to get a premium valuation for Novelis. I think what was clear is that at that time, with those market conditions going on, we were not able to get that valuation. And hence, we pulled it back because we were not doing it for cash. We didn't need it. We wanted it -- to do it for the valuation. So I think that the -- we will, at the appropriate time, reevaluate. And it will be fair to say that we would only list Novelis when we get the valuation we want.

Satyadeep Jain: Okay. Secondly, wanted to ask on the recent Supreme Court verdict. I mean, right now, we're waiting whether it's going to be retrospective or not. Just wanted to see, as you look at the orders

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in the past, is there any estimate, let's

say, it is indeed retrospective, what could be the potential

liability? Because like we couldn't see that in the report just wanted to see any continued liability.

Satish Pai: No, no. There is -- for us from a retrospective basis, we have negligible liability. I think that for us, we will only be concerned on an ongoing basis. Jharkhand has already announced some, so I'm quite sure other states will also do. So, I think that it's only on an ongoing basis where rate of taxes will go up. But from a retrospective basis, we are not -- no impact for us.

Satyadeep Jain: There's no demand to the bauxite, the Baphlimali mine or something. Any -- no demand basically in the past from -- through that mine?

Satish Pai: No. No.

Satyadeep Jain: Okay. Just one quick clarification question. It seems there is a delay on the RE RTC, maybe it's the Greenko's Pinnapuram project, there have been delays. So based on the discussions, it seems they've given you a revised time line of January. Is that fair? And I would believe after you test it out, maybe a few months of testing. After that, you would announce the next leg of expansion prospective?

Satish Pai: Yes. I think that January, they will start to provide the solar and the wind and the pumped hydro will come in, in a couple of months. So yes, I mean for us, we will see how that whole balancing works. As I mentioned in the earlier remark, we are already working in parallel for the engineering studies and the different clearances we will need. So yes, after we are sort of more or less clear about how the power will work, we'll announce the smelter.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, a couple of questions. First, sir, what is our total bauxite requirement at this point in time? And where are we sourcing it from?

Satish Pai: Total bauxite, see, for us, we are long in alumina by nearly 800,000 tons, largely because of Utkal. And the way our bauxite is sourced is we get 10% to 12% of the bauxite from Jharkhand and all the rest from Odisha. Odisha meaning Baphlimali because that's the biggest mine. So that's how we are -- now when we announce the Aditya Alumina, we have to sign the contract with OMC for bauxite supply for that refinery. We have signed an MOU and we will convert it to a firm contract.

Ritesh Shah: Sir, can you provide some color on OMC bauxite offtake? Because I understand there are peers also who are actually eying for this particular incremental supplies from OMC. So how well are we placed over here? And the other question was, I do understand we have won 2 mines, both are composite leases, pretty large in size 600 -hectares each. At what stage these mines are? And how it will help on the sufficiency part?

Satish Pai: You're talking -- the latter part of your question is the coal mine, right?

Ritesh Shah: No, sir, the bauxite mine. I did ask this question, I think, on the last or last to last call, I double - checked my data points. The 2 mines are in Chhattisgarh. One is...

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Satish Pai: Yes, yes, you're talking about Samri, you're right. We got 2 more mines in Samri. So those we are still doing the sort of evaluation work. But the Samri and all goes to Renukoot. So the -- unless we do an expansion there, we took those mines more for the longevity of the bauxite supply to Renukoot, not for any immediate demand. And for the OMC, whether others are there, OMC is a -- Odisha Mining Corporation, they have, I guess, many mines that they can access. So they have signed an MOU for us, which is the basis of our refinery project there. So we would just like to conclude our contract. I could not really comment on what others are going to get from OMC.

Ritesh Shah: But sir, do we have any assured offtake quantum over here that we have comfort and we can progress on?

Satish Pai: We

signed an MOU for a fixed -- because we wanted to put a 1 million ton alumina refinery, so we need to get 3 million tons of bauxite. So we signed an MOU for that. And then the second part is that we would go to 2 million tons of alumina and it will become 6 million tons. And OMC and us have to sign a binding supply agreement. Otherwise, we will not break ground.

Ritesh Shah: Yes, that's useful. And sir, just another question, just taking a leaf out of Satya's question. You indicated that you will start with solar and wind in Jan. And post that, it will be pumped hydro. What are the specific variables that we are looking at over here before we kickstart on the smelter part of the equation?

Satish Pai: See, really, the smelter requires 24/7 steady power. And what we are trying to get a handle on is that during a 24-hour period, you will have various power sources that need to be optimized to make that power to the smelter, steady, because solar will be for a number of hours very high, then wind will be there, then pumped hydro. And the delta will have to be backed up by thermal, which is our own captive. So we just want to run our existing smelter for a couple of months with this variability to see how we manage it all.

Ritesh Shah: Sir, my question was basically from a rupees per kilowatt hour standpoint or from a availability standpoint, are there any specific variables that we have in mind that we'll keep an eye on?

Satish Pai: No, no. The costs -- don't worry. The cost is -- we have already modeled it. It will be very much competitive with the existing costs. This is not a -- this experiment or whatever is not because of the cost. It's how to manage different sources of power to optimize it to get a steady power for the smelter. The cost is competitive.

Moderator: Next question is from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta: In terms of the aluminum cost metrics in our guidance, you mentioned that on the coal side, more or less, it's likely to be stable. I just wanted to understand on the carbon side, is there any juice left where we can see further reductions or those costs have also stabilized?

Satish Pai: It's difficult to say because the carbon price a little bit depends on what's happening with the oil prices, which are also a little bit subdued right now. So you could see a little bit lower carbon prices as well because it's a little bit tied to oil.

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Kirtan Mehta: Right. And second part was also about the Silvassa extrusion plant, where we have said that we have ramped up it successfully. So has it already reached utilization, 100% utilization that we are targeting or this will gradually ramp up now the sale volume?

Satish Pai: No, it will gradually ramp up. So actually, we are now running at about 35%, 40% capacity by the end of the year, the Q4 run rate will reach its capacity, which is 3,000 tons a month. We'll -- this quarter, we'll be running at about 1,500 tons a month there, because it does for B&C as well as auto. So there is a little bit of a qualifying process for the auto side.

Kirtan Mehta: Understood, sir. And the last question was about the ₹8,000 crores capex that we have guided for the upstream projects. Is it possible to split them across the 3 projects as well?

Satish Pai: No, no. I said each project is ₹8,000 crores. The copper smelter, the aluminum 180 pots and the refineries are all in that range, plus/minus a little bit.

Moderator: We'll take our next question from the line of Parthiv Jhonsa from Anand Rathi.

Parthiv Jhonsa: Sir, I have a couple of questions. The first question is pertaining to the coal blocks which we have got right now. So what is our current coal requirement? And about the Chakla block, once it's operational, can you quantify what kind of a cost saving are we expecting from that particular

ine?

Satish Pai: So I can't quantify the cost saving, but we consume 16 million tons of coal a year. Chakla gives 5.

Parthiv Jhonsa: All right. Also just -- okay. Just another -- just adding to that question. Sir, our current linkages have actually dropped down, say, from almost 55%, 60 -odd percent a couple of quarters back to it's now about 48%, and it has remained around same level over last 1 or 2 quarters. Do you feel that this would reverse once -- or even before Chakla comes on stream or that is still a couple of quarters down the line, where our linkages actually increase back to that original level?

Satish Pai: So look, the reason why we are careful is a linkage is a long -term commitment. So it's a question of the price of the linkage. So we would not want to lock in a long -term linkage where the price has gone up. So that is why this percentage sometimes goes down. So suppose linkages come up and we get it at a cost that's attractive, then we will take more linkage. Otherwise, generally, our feeling is that the coal market is well supplied and as more and more commercial mines come up, I think that the pricing should not go up. So we don't want to lock in linkages at a higher price.

Parthiv Jhonsa: Okay. And sir, my second question is pertaining to the current prices in spot that copper and aluminum both have come off from their recent highs. How do you perceive over next quarter or maybe 2 quarters, how do you perceive the price panning out to be? Would -- are you expecting the prices to remain at the same level? Or what is your take on it, sir?

Satish Pai: Very difficult because see I think the pricing of commodities is not being driven by supply/demand or inventory. It's being driven a lot by macroeconomics and geopolitical events. So the Q1 LME price of aluminum was \$2,500 on an average. Currently, it's running at \$2,300.

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And what happened? Chinese GDP came lower than expected. U.S. jobless report came in bad. So there is worry. So these type of things are having an impact on the commodity prices. So it's very difficult to predict, but the only thing you can say is that it will remain volatile.

Moderator: Next question is from the line of Tarang from Old Bridge.

Tarang: Okay. Three questions. One on the downstream business, sir, you spoke about reaching \$200 on a per ton basis. Do you believe at some point of time, the profitability in the downstream business could come closer to the profitability that you see in your Novelis business? Not talking from a like a year, 2, 3, 4 -year kind of avenue, but from a longer -term horizon because investment in these businesses is quite heavy. So wanted to get your perspective on that.

Satish Pai: Yes, it depends on the product mix. You see Novelis is a can, auto, aerospace, specialties and Novelis' key thing is it uses a good mix of scrap. And I think that in India, we are also going to increase the amount of scrap we use. And we are with Aditya FRP and all trying to go up the chain towards higher value products. So difficult to say when we will get there, but you should, as we go up the value chain and the mix of scrap keeps going up, the EBITDA per ton should go up.

Tarang: Okay. Second question on the copper smelter and aluminum 180 pots, the capacity envisaged would be 500 Kt for the smelter and about 180 Kt for the aluminum smelter, correct?

Satish Pai: No. I think on the copper, we are looking more like 280 to 300 Kt and the aluminum 180 is 180. Depend on the amperage, it can go up to 200 Kt as well.

Tarang: Okay. And the last question, sir, at some point of time, you had announced about investing heavily for materials with wagon for the railway program? And second was around the copper recycling. So any update on that? Copper and battery material recycling.

Satish Pai: Yes, the copper recycling project, the publ

ic hearing was concluded successfully 2 weeks ago.

So we are now expecting to break ground by October for the copper recycling project. So 50 Kt of copper recycling, it's in the Dahej area very close to our existing smelter. So all the technology selection orders have been placed. So the project execution breaking ground will start now post monsoons, probably around October. And sorry, on which other project you were asking about?

Tarang: There was a commitment with respect to producing specific materials for the railways, right?

Satish Pai: Yes. Yes. The railway wagon. So unfortunately, the aluminum train project from the central government, the contracts to Alstom or Hitachi have not been given out yet. So that project has not moved. But on the commercial vehicles, the EV, for passenger cars, that part has gone much faster than we expected. We are now more focused on the commercial vehicles and EVs than on the railways.

Moderator: Next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: A couple of questions. First on the upstream expansion. I'm referring to the 2023 Investor Day deck. There, our alumina expansion was pegged at close to \$590 million. And aluminum

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expansion 180 Kt was \$760 million. So both these are now closer to \$1 billion each. So what has changed? So -- and aluminum capacity remains same. So alumina are we guiding for a larger capacity?

Satish Pai: So to be very, very honest, I said it's roughly around ₹8,000 crores per project, but very specifically, when we actually cost the project, take into account current prices, then I will come back with the exact numbers. So don't catch me on that point right now. So I -- yes.

Indrajit Agarwal: No, sure. And on copper, it's a new project, right? It was not a part of the future growth opportunities that we highlighted?

Satish Pai: No, we -- I think we had it that we are thinking -- maybe I don't know, but copper smelter is a new project, yes.

Indrajit Agarwal: Yes. Okay. And lastly, on alumina, given that we are already 800 Kt long and even on aluminum expansion, we will need probably 360 Kt more. So ultimately, we will be close to 2.5 million tons long alumina, where do you see the global deficit over there? So what is the dynamic that you see evolving in alumina globally? And do you think -- of course, we are at the lower quartile, the lowest decile cost curve, but would that still be a profitable project for us, ROCE accretive?

Satish Pai: Yes, I think that the Utkal expansion probably has been the most profitable and ROCE attractive projects we have done in the last couple of years. And the reason why is that the Middle East is very short of alumina. So we are -- people are ready to sign long-term offtake agreements with us, whether it's EGA, Sohar, Alba, all of them. So I think we are -- 1 million, 1.5 million tons of alumina, we should be very -- I have absolutely no worry that we can sell those on long-term contracts.

Moderator: Next question is from the line of Somaiah V. from Avendus Spark.

Somaiah V.: I have a few questions. So on the downstream front, post reaching the 600 Kt. So what would be -- I mean, anything else in the pipeline for the next 1 or 2 years in terms of downstream expansion?

Satish Pai: No, there'll be much smaller what I would call additional machining, maybe coating these type. No, there won't be any very large projects because we'll be in a consolidate and harvest mode on downstream.

Somaiah V.: Got it, sir. And also this alumina project, what would be the time lines or milestones that we're looking at?

Moderator: I'm sorry. Mr. Somaiah, can you use your handset mode, please. Your voice is not very clear.

Somaiah V.: Yes, sure. My question was on alumina. Just want to understand the time line when we expect full production on this.

Satish Pai: So look

, we need to sign the contract that we are expecting to sign in the coming months, then we'll break ground, and we have done a lot of the parallel work already. So it will probably be another 24 to 26 months from that point.

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Somaiah V.: Got it, sir. And also on the copper smelter. So when will we be taking a final decision? Or it's like we have already taken the decision and when will the work start on this? Just want to understand when this can come potentially online.

Satish Pai: No, again, I think that wait for a couple of more months. We are still doing some evaluation on the technology, et cetera, and then we'll announce it. But any of these projects takes a minimum of 36 months to get it off the ground.

Somaiah V.: Okay, sir. Also in terms of capex, how would we be approaching this? Because as you said each of this is around ₹8,000 crores and also in Novelis side, we are expanding. So from an India standpoint, we want to keep within cash flows, what we spend in a year and then only asking more from a debt angle. So how would we approach these project? We'll be taking them up one by one? Or is there a case that the copper expansion as well as the aluminum side simultaneously they can happen?

Satish Pai: So again, I keep repeating that the plan to do any projects simultaneously or not is not just a financial decision. I think that it's very clear that execution risk is probably the one that I worry about the most. Getting clearances and all that is incredibly time-consuming. So whether we like it or not, I think these projects, I don't think will happen simultaneously. I just don't think so.

And even if we have the money to do it, I don't think they can just happen simultaneously. So I don't think you should worry about our balance sheet being stressed. I think we are generating good cash, we have ₹10,000 crores, ₹11,000 crores in treasury. We can easily afford ₹7,000 crores, ₹8,000 crores of capex. So, I don't think we'll stress the balance sheet at all in India.

Somaiah V.: Got it, sir. And also if you can just help us out with the capex numbers for this year and next year? And also on the Novelis side and India side, if you can just break it that should be helpful.

Satish Pai: So for the India side, this year, we'll be at ₹5,500 crores to ₹6,000 crores. Next year, we'll give you the numbers probably in Q4 of this coming year. And maybe, Dev, you can give the Novelis capex numbers for this year.

Devinder Ahuja: Yes, indeed. So for this year, we are guiding that's in the range of \$1.3 billion to \$2.1 billion. And right now, as we see it, we will be at the bottom end of this range, so closer to the \$1.8 billion number yes. So that's what you can take.

Somaiah V.: Sir, also more of a bookkeeping question this quarter in terms of debt movement. So if you can just help us with how much of capex was spent and was there any working capital impact that led to increase in debt?

Praveen Maheshwari: No, so it was largely working capital. The LME both copper and aluminum was higher. Also in Q4, typically, you see that the working capital is low. So Q1 actually sees a coming back of working capital. In addition, we had smelter shutdown planned this quarter in copper. So our working capital was at a lower level. So yes, we had some working capital requirement this quarter and therefore, a slight increase in debt were there, but that's not a sign of worry.

Moderator: Next question is from the line of Prateek Singh of DAM Capital.

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Prateek Singh: Sir, a couple of macro questions here. The first one is lastly on the cost curve, given where alumina is right now and aluminum prices have come up quite a bit. In your sense, what percentage of smelters right now globally would be above breakeven. Would it be like

75% or

lower than that. So any sense on that?

Satish Pai: I think that's difficult to say, I've not seen the latest CRU curves and so if you are at a 2,200 LME price and you are buying alumina at 435, I would assume that many of the smelters would not be profitable. So it really depends on whether you are integrated in alumina or not like us. If you are buying alumina at 440 and you're at 2,200 LME, you will be quite stretched, I can tell you.

Prateek Singh: Understood, sir. And I mean, obviously, aluminum has come down quite a bit now. But did you hear anything about global smelter restarts specifically in Europe when Aluminum was quite high? Or do you think that even they are going slow on this, restarting upward capacity?

Satish Pai: There is not even rumors of anything restarting in Europe, I can tell you.

Prateek Singh: Understood. And the second bit is on China. So given that China is already running in terms of production very close to their threshold of 45 million tons a year. Do you think there is a risk there that the Chinese government may loosen this threshold? Or like still, they'll continue to kind of maintain this and they continue to focus on lower pollution and hence, continue to maintain this threshold, any risk issue there?

Satish Pai: I mean, from everything that we have heard so far, they have no intention of lifting that cap, because they don't want a little bit like Hindalco, not all the companies. They don't want to expand coal-based smelting, anything new. And then if you go for greener energy, they have seen that in places like Yunnan or Guizhou, every 3, 4 months of the year, the water gets low, they have to turn the power off in the smelter. So I think that's -- I don't see immediately the Chinese government lifting that cap. Everything that we heard, they are going to stick to it.

Prateek Singh: And the last one is a bookkeeping question. While I understand that we are long alumina at 200 Kt a quarter, would you be able to quantify alumina external sales in this quarter?

Satish Pai: Yes. It was 162 Kt in Q1 and the plan for Q2 is 190 to 200.

Prateek Singh: And this does not include the special alumina which we have enveloped?

Satish Pai: No, no. This is just metal-grade alumina.

Moderator: We'll take our next question from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: Sir, just 1 question on the copper smelter. So just to understand supply chain. So where will we be sourcing the copper concentrate for that, given the backdrop that copper concentrate shortage is there? And the finished product from that where we will be routing it to our wire rods?

Satish Pai: Yes. I mean that what is driving our thinking on the copper smelter is that the copper demand in the country is going up very strongly. It is very clear to us that the smelter that is shut down is not going to restart. So I think that we think that to meet the demands and not allow other people

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to get in. We will have as a market leader to put capacity in. Now it will come up in a couple of years where we are expecting that mines that are there in the plans will also come in. So the next 2 years are going to be very tough on TC/RC, but if you see the projections of mine openings in 3 years, the TC/RC, again, should come back to good levels. So maybe we will time it right by

the time our new smelter comes.

Moderator: Ladies and gentlemen, due to time constraints, we take that as last question for today. I would now like to hand the floor over to Mr. Pai for closing comments. Over to you, sir.

Satish Pai: Yes, yes. Thank you, everyone, for participating on this call. So for us, I just wanted to reiterate that Novelis, Hindalco, aluminum and copper was very good performance in Q1, and I think the more important part is the market and the market demand for the products th

at we supply seem

to be also in good stead. So Overall, a good quarter for us, and I thank you again for your participation.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Hindalco Industries Limited

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November 18, 2024

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Earnings Conference Call held on November 12, 2024, for the financial results of quarter and half year ended September 30, 2024 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com.

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript of Earnings Conference call of Hindalco Industries Limited ('the Company') for the financial results of quarter and half year ended September 30, 2024

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations');

b. ISIN: INE038A01020 and

c. Our Intimation dated October 31, 2024

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"Q2 FY'25 Earnings Conference Call"

November 12, 2024

MANAGEMENT : M R. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER – NOVELIS

M R. SUBIR SEN – HEAD OF INVESTOR RELATIONS – HINDALCO

Moderator: Ladies and gentlemen, good day, and welcome to Hindalco Industries Financial Year 2025 Second Quarter Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-down phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Over to you, sir.

Subir Sen: Thank you, and a very good afternoon, morning, everyone. On behalf of Hindalco Industries, I welcome you all to this earnings call for the second quarter of the financial year 2025. In this call, we will refer to the Q2 financial year 2025 investor presentation available on our company's website. Some of the information on this call may be forward-looking in nature and is covered by the safe harbor language on slide number two of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the second quarter of financial year 2025 versus the corresponding period of the previous year. A segment-wise comparative financial analysis of Novelis, India Aluminum and Copper business is also provided.

The corresponding segment information of prior periods have also been restated accordingly for a comparative analysis. Today, we have with us on this call from Hindalco management, Mr. Satish Pai, Managing Director; and Mr. Praveen Maheshwari, Chief Financial Officer. From Novelis' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer.

Following this presentation, this forum will be open for question and answers. Post this call, an audio replay of this conference call will also be available on our company's website. Now, let me turn this call to Mr. Pai to take you through the company's performance in the second quarter of fiscal 2025.

Satish Pai: Thank you, Subir, and hello, everyone. Thank you for joining Hindalco's earnings call today. I'm happy to share an incredible milestone for Hindalco. We retained our leadership position in the S&P Corporate Sustainability Assessment ranking 2024 for the fifth consecutive year.

Our score of 87 out of 100 was an improvement over last year's score of 78 and our highest score till date. Our commitment to sustainability, responsible practices and innovation continues to drive us forward, and this recognition reflects the hard work and dedication of our teams across locations. On slide 5 to 9 of this presentation, you can see our achievements and progress across Hindalco Industries Limited
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metrics of ESG for this year versus the prior period. I will now take you through some of the key highlights in this quarter.

In Q2 FY '25, 79% of the total waste generated was recycled and reused. We achieved recycling of 111% of bauxite residue excluding Utkal and 99% of the ash in the year. I'm pleased to share updates on our sustainable water management initiatives key to our environmental goals.

In partnership with CII, Triveni and following NITI Aayog's water positivity framework, we are undergoing certification assessments at 5 sites: Aditya, Utkal, Hirakud, Alupuram and Belagavi. This is a vital step towards ensuring that these facilities actively contribute to regional water replenishment.

On zero-liquid discharge, 15 of our 19 sites now meet ZLD standards, eliminating wastewater discharge. Our projects at Kuppam and Renukoot are

on track with target completion in FY '25, enhancing our environmental performance. Additionally, we achieved a notable progress in water recycling in H1 FY '25.

We recycled and reused 9.34 million cubic meters of water, which is 25% of our total water usage of 37.7 million cubic meters, showcasing our commitment towards conservation of water. These initiatives highlight our dedication to our efficient resource management and our commitment to supporting sustainability in the communities where we operate.

On the biodiversity front, we have completed a pilot project at Renukoot to remove the invasive species of plants, replacing them with 2,000 native saplings. Additionally, biodiver

sity management plans are under assessment

for 3 plants and 11 mines. We have already BMPs at 21 locations covering 9 plants and 12 mines. These initiatives demonstrate our commitment to preserve and enhance local ecosystems across our operations.

Our total renewable capacity now stands at 183 megawatts primarily from solar and wind. Recently, we commissioned 10-megawatt solar project at Taloja.

We are set to add another 6 megawatts and 9 megawatts of solar projects and a 100-megawatt hybrid project with storage in the first half of calendar year '25. This aligns with our target to achieve 300 megawatts of renewable capacity by H1 of calendar year '25.

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Our aluminum specific GHG emissions was recorded at 19.62 tons of carbon dioxide for producing a ton of aluminum in this quarter, which was flattish compared to the same period last year. On safety, LTIFR was recorded at 0.29 in H1, which was higher compared to H1 of the last financial year. We continue to focus on reducing the LTIFR by continuously upgrading our safety enhancements and monitoring systems. We are very sad that we had one fatality of a contract workman that was recorded at our Indian operations this quarter. Let me now give you a glimpse of our quarterly consolidated performance this quarter versus the same quarter of last year on Slide 11.

This quarter's performance on a consolidated basis was driven by record beverage packaging shipments at Novelis and better cost control in the aluminum India business, backed by a continuous record performance by the copper business. Our consolidated business segment EBITDA was up 24% year-on-year at INR8,564 crores, whereas our overall reported EBITDA was up 49% year-on-year at INR9,100 crores this quarter.

The consol net profit after tax was 78% up year-on-year at INR3,909 crores this quarter. At the Hindalco India business level, our overall reported EBITDA was up 100% year-on-year at INR5,139 crores this quarter. The net profit after tax was up 135% on a year-on-year basis at INR2,850 crores.

In our Indian aluminum business for the second half of FY '25, we are currently hedged at around 30% commodity at a price of \$2,579 per ton, and around 15% of the commodity is at a zero collar with the bottom of \$2,262 and a ceiling of \$2,547 per ton, and we have hedged around 15% of the currency at INR88.

On the balance sheet side, our consolidated net debt stands at INR36,033 crores. In the India operations, we have a net cash of INR2,269 crores, while Novelis' net debt stands at INR39,261 crores at the end of September 2024.

Hindalco, the consolidated level continues to maintain a strong balance sheet with a net debt-to-EBITDA well below 1.5 at 1.19x at the end of September 2024, which is lower than the corresponding period of last year. All our strategic capex in India is mapped with cash flow generations in the business and is in line with our capital allocation policy.

Coming to our business-wise performance this quarter. Novelis shipment was at 945 Kt versus 933 Kt in the prior period, up 1% year-on-year backed by

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record beverage packaging shipments. Novelis delivered a quarterly EBITDA of \$462 million, down 5% year-on-year due to reduced metal benefits from

rising aluminum scrap prices and unfavorable product mix and a \$25 million impact from the flooding at our Sierre plant. The results in EBITDA per ton stood at \$489 versus \$519 in the previous quarter, down 6% year-on-year. All our expansion projects, including the Bay Minette Project in Novelis, are on track with a new 240 Kt automotive recycling and casting center at Guthrie being in the initial production and ramping up phase this quarter. On Hindalco's India upstream aluminum performance this quarter, shipments were down 2% year-on-year and revenues were u

p 16% year-on-year.

EBITDA was at 79% up year-on-year at INR3,709 crores, primarily supported by lower input costs and favorable macros. The resulting EBITDA per ton stood at \$1,349 per ton, higher by 80% year-on-year.

EBITDA margins were also higher at 41% this quarter and continued to be the best in the global industry. This quarter, the India downstream aluminum quarterly shipments were up 10% year-on-year at 103 kt on account market recovery.

EBITDA was down 1% year-on-year at INR154 crores this quarter versus INR156 crores in the prior period. The resulting EBITDA per ton was at \$179 per ton, lower by 11% year-on-year this quarter, impacted by unfavorable product mix. Our copper business continues to deliver its best-ever performance this quarter as well.

The overall metal shipments were at 117 kt, down 13% year-on-year, of which the CCR volumes were at 90 kt, down 10% year-on-year. The quarterly copper EBITDA was at an all-time high of INR829 crores, up 27% year-on-year on account of good operational efficiencies coming out of the shutdown in Q1, higher realizations in byproducts like sulfuric acid and higher sales of precious metals. This higher EBITDA includes a onetime favorable impact of derivative accounting as well.

Now, let me give you a glimpse of the current broader economic environment on Slides 13 and 14. Global economic growth remains resilient despite some moderation in pace in H2 of calendar year '24. Pace of global economic expansion remains uneven with the service sector growth holding up while Hindalco Industries Limited
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manufacturing momentum is moderating. While the U.S. is well positioned for soft landing, economic activity in China and the euro area continues to remain sluggish.

Going forward, IMF projects GDP growth to remain steady in 2024 and 2025 at 3.2%, moderating slightly from the 3.3% we saw in 2023. Growth in the U.S. is expected to moderate to 2.2% in 2025 from 2.8% in 2024, and in China to 4.5% in 2025 from 4.8% in 2024.

Downside risks from increasing geopolitical tensions, negative spillovers from the China slowdown and financial market volatility continues. This inflation is expected to continue with global headline inflation expected to moderate from 6.7% in 2023 to 5.8% in 2024 and further to 4.3% in 2025.

Geopolitical conflicts remain a key risk to this disinflation trajectory. On the domestic front, economic activity moderated to 6.7% in Q1 FY '25 from 8.2% in FY '24. Recent high-frequency indicators present a mixed picture. There has been some flattening of momentum with softening manufacturing growth and moderating urban consumer demand.

RBI, however, has retained its full year FY '25 growth of 7.2%, owing to encouraging investment activity, steady services growth and consumption spending shaping up for a festival season revival.

Central Bank expects growth to pick up to 7.4% in H2 of FY '25 compared to an estimate of 7% in Q2 FY '25. Risks to this outlook are geopolitical tensions, geoeconomic fragmentation and volatility in international commodity prices that continue to remain. RBI projects inflation to moderate from 5.4% in FY '24 to 4.5% in FY '25 with significant upside risk from adverse weather conditions geopolitical conflicts volatile commodity prices.

RBI just continues to remain cautious and is committed to maintaining the 4% inflation target. Moving to aluminum industry outlooks on Slide 15 and 16. Starting with Slide 15. In China, production rose to 11 million tons, while consumption held steady at 11.4 million tons, resulting in a deficit of 0.4

million tons in Q3 calendar year '24.

This steady demand was supported by strong drivers, including a 20% surge in solar installation, a 32% increase in new energy vehicle production and a 21%
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boost in electric grid investment and an 1

8% rise in semi-fabricated product

export. Despite this, the construction sector continued to face significant challenges.

Looking at the rest of the world, Q3 calendar year '24 production reached 7.5 million tons, while consumption was 7.1 million tons, resulting in a surplus of 0.4 million tons. Consumption remained soft in Europe and North America with continued challenges in the Middle East, particularly Turkey. However, growth in regions like India, Thailand, Vietnam, Brazil, South Korea and Taiwan remained positive. As a result, the overall global production and consumption were balanced in Q3 calendar year '24, maintaining equilibrium in the global market this quarter.

Moving to Slide 16. The domestic demand for aluminum in India during Q2 FY '25 is projected to reach 1433 Kt, reflecting a robust 7% year-on-year growth. This growth was largely driven by strong electrical demand spurred by increased cable and conductor requirements as well as rising solar energy demand.

Packaging demand also provided a boost, while building and construction sector remains stable. However, the automotive sector experienced some softness due to weaker demand in passenger and commercial vehicles. Additionally, imports excluding scrap, showed significant uptick driven by increased solar frame imports and an inventory buildup in anticipation of BIS certification requirements.

The global aluminum FRP demand excluding China is expected to grow by 4% in calendar year '24 and 6% in calendar year '25, with demand recovery across all major segments of beverage packaging, automotive, specialty and aerospace. Beverage packaging sector showed strong growth, driven by favorable consumption and sustainability trends.

Automotive growth reflects steady to positive outlook for aluminum in North America. Electric vehicles continue to gain share globally, but are growing at a more tempered pace. Specialty products aligned with global GDP, aided by a construction boost from lower interest rates, though automotive specialty demand is softer. Aerospace remains strong with high orders despite OEM supply chain constraints and labor issues.

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The Indian FRP demand in financial year 2025 is expected to grow by 7% to 8% on a year-on-year basis, led by strong demand from the Packaging segment.

Turning to the copper industry on Slide 18 and 19. In Q3 calendar year '24, the Chinese production reflects a growth of around 4.5% year-on-year, reaching 3.1 million tons, while consumption increased by 7.6% year-on-year at 4.1 million tons, resulting in a deficit of nearly 1 million tons.

In the rest of the world, production increased 1% year-on-year to 3.6 million tons, while consumption increased by 0.8% year-on-year at 2.7 million tons, leading to a surplus of 0.9 million tons in Q3 calendar year '24. As a result, the overall global production of copper increased by 2.6% at 6.7 million tons and consumption increased by 4.7% at 6.8 million tons, leading to a deficit of 0.1 million tons this quarter.

On the domestic front, in Q2 FY '25, market demand increased by 9% year-on-year at 218 Kt versus 201 Kt in Q2 FY '24. Domestic producer share decreased to 63% in Q2 FY '25 versus 73% in the same period last year. In the first half of FY '25, the concentrate availability was limited and spot TC/RCs remained at a historically low level.

However, recent global smelter disruptions have led to slight improvements in spot TCRCs. The annual TCRC benchmark negotiations calendar year '25 are

scheduled to commence during the World Copper Conference and the CESCO Asia Week in Shanghai. Details of operational and financial performance in each of our business segments this quarter compared to the corresponding period of last year as well as the previous quarters are covered in further slides and annexures to this presentation.

Let me now conclude today

my presentation with the way forward as India

business and the Novelis growth story. We are making significant progress to increase our downstream capabilities to meet the growing demand for high-value products in India. Our Aditya FRP project is set to commission in FY '26, taking our total downstream capacity to 600 Kt. We are also creating facilities to develop high value-added products in aluminum like AC coated fins, battery foil and, battery enclosures that are targeted towards enhancing our India downstream margins.

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On the upstream side, we have announced a smelter expansion of 180 kt powered by renewable energy sources, resulting in a total upstream capacity of 1.52 million tons, allowing us to boost our sales of low carbon aluminum in the coming days. With definitive agreements now signed with OMC, we are moving forward with our greenfield alumina refinery of 850 Kt that will supply low-cost alumina to our existing smelters and will also lead to substantial cost savings and improved margins. In addition, we are also in discussion for long-term partnership to export our surplus alumina that will result in strengthening our international presence in alumina sales.

In copper, our plan to expand the smelting capacity by 280 Kt to 300 Kt will lead to an upstream capacity of around 800 Kt, ensuring the full benefit -- full integration benefits of our CCR mills while capitalizing on India's growing corporate demand. In January of 2025, we are set to launch India's first 25 Kt greenfield Inner Grooved Tubes plant that will help in reducing the country's reliance on imports of IGT for manufacturing air conditioners.

In addition to this, we are also creating India's first e-waste and copper scrap recycling facility with a capacity of 50 kt that will drive a formal recycling ecosystem in the country. We are also building new capacity for high-performance alloy rods and battery foils that will help us -- help position us to capture the opportunities in these additional market segments in copper.

In Novelis, our 600 Kt greenfield Bay Minette project is on track with steel installation and equipment foundation work rapidly progressing. This is expected to be completed in the second half of calendar year '26 with 420 capacity targeted to beverage packaging, which is fully contracted. The near and long-term demand for beverage packaging across regions remains very strong, going at an approximate 4% compound annual growth rate through 2031.

Novelis' 240 Kt Guthrie recycling center is ramping up to enhance the overall recycling input that will help mitigate near-term pressures on cash supplies in North America. Thank you very much for your attention. The forum is now open for any questions you may have.

Moderator: Thank you very much. The first question is from the line of Sumangal Nevatia: from Kotak Securities. Please go ahead.

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Sumangal Nevatia: Congratulations on great set of numbers. My first question, sir, is on the capex. So on the slide, there's an announcement for the alumina smelter and even the copper. So just want to know all the 3 individually, what is the capex you're looking at? And over the next 2, 3 years, how is the scheduling of the spends lined up?

Satish Pai: Yes. So Sumangal, the 2 smelters, which I have to say are both brownfield because the aluminum smelter expansion is in Aditya and the copper smelter is in Dahej. So both these will be roughly 1 billion each. So on top of what we have already declared, if you put 2 billion, so we are roughly going to be

between 4 billion and 5 billion of declared projects.

And majority now are going to be on the upstream side because we finished most of our downstream projects and we are going to let them ramp up. Now these projects are going to happen over the next

3, 3.5 years. So we believe

that over these 3 years, we will probably use the cash we are generating, but also probably in India, we'll probably have to add debt of about INR1 billion to INR1.5 billion over these 3 years. This taking into account our sort of zero net debt-to-EBITDA place where we are now, should be fairly comfortable for us to manage.

But we believe that the way we are and the demand we see for aluminum and copper and the fact that we'll be largely doing brownfield expansions for smelting, I think we should take advantage of our strength of the balance sheet and our market positions.

Sumangal Nevatia: Sir, just to get some more details. So FY '29 is the year when you expect these projects to kind of come on stream, so 3 years of gestation, '26, '27, '28?

Satish Pai: Yes, I think that we are saying that the aluminum smelter should come on stream in October of '27, and the copper smelter will be in '29.

Sumangal Nevatia: Understood. And sir, the refinery?

Satish Pai: The refinery will be also more or less coming on stream in '27 calendar year.

Sumangal Nevatia: Okay, FY '28. Got it. Got it. And sir, given this smelter will be powered by renewable energy, what is the cost difference at the hot metal level we are looking at? And generally, for these 3 projects, what sort of IRR are we baking in?

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Satish Pai: Yes. I mean, as you know, Sumangal, the IRR will depend on what sort of LME you're assuming. But even with our conservative estimates, we will be in double-digit IRR. And I think the power cost, because 3 years out, when we look at the blended power cost in that whole Aditya complex, it's not going to be much higher than the inflated rate of coal cost that we had seen so far. So if you take our current power cost and you use the normal coal inflation of 5%, 6% that we see every year, this power cost is more or less in that same line. The only difference being the renewable power then gets fixed at the same rate for the next 20 years.

Sumangal Nevatia: Understood. Understood. If I may just ask one more question. That is on Novelis. So there's been a lot of investor concerns now after this caution on scrap spreads, which we spelt out at the time of Novelis results. Is it possible just to quantify in the near term what sort of pressure are we looking at in terms of impact on margins, EBITDA per ton at least in the near term, I mean, some quantification would be very useful, sir.

Satish Pai: Dev, do you want to take that?

Dev Ahuja: Yes. So, Sumangal, this is exactly where we don't want to go right now because we are the size of the situation. We want to be responsible, if we say anything. And if we force ourselves to quantify anything at this stage, we'll be making an error of being either the too aggressive side or too conservative side.

So we are trying to ensure, trying to size up the situation and see where spreads go. We need to see one of those cycles. So you'll have to hold off that. And as soon as we have some clear visibility, we will come back. I mean, once again, I only say this, that there are a number of mitigation action on at this time in pipeline, and we are going to accelerate action. But in terms of -- to give any quantification, we would rather wait.

Sumangal Nevatia: Understood. Understood. Just to stretch this point in a different direction. Scrap prices, which used to be around 60%, 65% of Midwest and U.S., is around 70%, 75% now, and this used to be the case 5 years back. So are we -- I mean, of course, the litigation efforts apart, are we looking at structurally over the next few years, scrap prices now being in the range of 75-odd percent like the previous review or we expect this also to go back to 60%, 65% of what we see during COVID years?

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Dev Ahuja: Well, so what we have is

short-term visibility on everything that we see on the macro with the range in the China policy. So in principle, if the China policy stays the way they are talking about it and reason to believe that they will pass away from that, then spread and scraps are going to stay elevated. There is also more competition coming for scrap which will also mean that there will be some pressure on scrap prices. So these are things that at least from all the visibility that we have will be there. Our job at this point is to just accelerate all the mitigation actions open our new sources of supply and thereby mitigate the insight. So without getting into specific quantification, which would not be very responsible on this stage, this is a direction I can give to you.

Sumangal Nevatia: Yes. And just one last thing. As a thumb rule, is it possible to explain the 5% or 10% higher scrap prices, how does it impact EBITDA per ton?

Dev Ahuja: No, due to specifics of that guidance, Sumangal. No. I mean, we don't want to get into that quantification.

Moderator: We have the next question from the line of Amit Murarka from Axis Capital.

Amit Murarka: Just going back to the Novelis question. A lot of our contracts are contract based on contracts, right? And if my understanding is not wrong, a lot of them are on a cost plus basis as well. So in that context, just wanted to understand like is it also a case or possibility that sometime down the line, the higher scrap pricing in a way is passed on to the refreshed contracts that happen with the customer, like how we saw for energy inflation?

Dev Ahuja: So are you asking if scrap prices are also going to have some pass-through impact? Is that your question?

Amit Murarka: Yes, yes, yes.

Dev Ahuja: Well, so I think that we need to be clear about the operating model. When it comes to inflation though, they are related to operations, as far as metal is concerned, we pass on the price metal cost and market premiums anyway to the customers. So, therefore, there is no case for passing on anything more than that. I mean the business model is really to pass on aluminum prices.

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Amit Murarka: Okay. Okay. So it's only the energy inflation at all, which is part of the contract and the scrap prices and the differential of the scrap prices basically all flows into your P&L then?

Dev Ahuja: Yes, it's not just energy inflation, by the way. I mean we have PPI clauses. So it is more overall inflation. We have specific energy inflation pass-through clauses, that's a fact. But the general way the contract is structured is that they have PPI clauses, which cover broader inflation rather than the energy inflation to the extent.

Amit Murarka: Understood. Understood. Okay. That's very clear. And also the guidance that was there for the longer term where you have said that you have visibility to \$600, does that also hold or you would also be willing to kind of reevaluate that and come back later on that?

Dev Ahuja: Yes. So as we have been saying that in the term, we did have a very clear understanding scrap prices will go up with more competition and all the other factors. So that was something that we have factored in, in our long-term projections. Our hedges are more because of the accelerate the scrap price increases that we have been seeing.

So to your point, in the longer term, we had factored in strengthening of scrap prices. So once again, as we see the markets evolving, we will come back if we want to talk about new, more particularly on the short-term guidance. On the long term, we have a lot more confidence because there are no new factors which we did not already take into account entering that guidance.

Amit Murarka: Sure, sure. That's very assuring. And just on asking question on the India business. Mr. Pai, this may be to you. So what was the COP in this quarter for aluminum? Looks

like it's fallen Q-o-Q. So could you just spell that out and also give a guidance for Q3?

Satish Pai: Yes. So as I normally give, I'll tell you that the COGS for this Q2 was down

by 1.6% versus Q1. The guidance for Q3 is that it could be up by about 1% to 1.5%. Largely, we are seeing the coal spot premiums go up a little bit. So I think that Q3 could be up by 1% to 1.5%.

Amit Murarka: Okay. And in terms of the captive coal mines, what will be the status of Chakla, the startup of that?

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Satish Pai: So, Chakla, we are right now in the sort of forest clearance stage 1. That's where we are. Meenakshi, we will be starting the exploration -- Meenakshi West, we'll be starting the exploration program in the coming months. And on Meenakshi itself, we are still waiting for the allotment to happen to us.

Amit Murarka: And any time lines for the start of the production from these lines?

Satish Pai: Yes. I think the Chakla, we are still hoping to do a box cut sometime in the latter half of next year.

Amit Murarka: Calendar year you mean?

Satish Pai: Yes.

Amit Murarka: And Meenakshi, maybe from the Meenakshi West, maybe '27, is it?

Satish Pai: Because that's an exploration block, yes.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a good performance. I have 2 questions. The first one is again on copper division. We have seen that the copper EBITDA as from INR400-odd crores per quarter, now it is upwards of INR800 crores for 2 quarters in a row. In your prepared remarks, you highlighted that there is 1 one-off gain. If you could reiterate that. And also, what kind of a sustainable performance should we consider for this division? TTRC is down, but still EBITDA just keeps going higher.

Satish Pai: Yes. I think that the copper chain, because it is so wide, I mean, this quarter, when the government reduced the duty on gold, we had quite a lot of extra gold sales. I mean, we cleaned out our inventory and selling the gold. Sulfuric acid prices were stronger than what we expected. So some of these tailwinds were there. So I think that still, we talked about this question. Q3, Q4, we stick to a guidance of around 650.

Amit Dixit: And what -- is it possible to quantify that one-off thing in this quarter?

Satish Pai: We don't really want to just give you an exact number for that. But if you sort of take that into account, our guidance going forward is around 650.

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Amit Dixit: Okay, very well. The second question is on downstream EBITDA return. Now while sales have gone up, you mentioned that market was favorable, but adverse product mix cost EBITDA per ton downstream aluminum to go down further. So just want to understand what could be the trough level? Are we really seeing the trough levels here? And what are the product mix pressure exactly in which all sectors we are seeing it?

Satish Pai: By the way, the EBITDA per ton, if you see sequentially and all, has been smartly going up. It's not been going down. I think that we are talking year-on-year, it looked a little bit lower. But I think that what you're going to see, what happened this quarter is a lot of imports came in because people were -- are expecting the QCO to have an impact on imports coming in. So there was a lot more imports. But I think you will start to see Q3 and Q4 this EBITDA per ton starting to pick up quite nicely because the local demand is quite strong.

Amit Dixit: Okay. Sir, is it possible to let us know the coal mix for this quarter mix.

Satish Pai: Yes. The coal sourcing linkage was 50%, e-auction was 47%, and our own mines was about 2%.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit: Congratulations on a good set of numbers. My question is on the alumina demand

supply balance globally, while you gave a great picture of what is happening in aluminum and to an extent in copper as well. So where is exactly the bottleneck in alumina globally? What is keeping prices elevated? And by when can we expect things to normalize at alumina level?

Satish Pai: Well, I think you must be following, Indrajit. So you had this disruption of bauxite supply from Guinea, then Alcoa declared a force majeure on their alumina project in Brazil. So all these have sort of caused that tightness to happen in the market. So unclear to know when it will get sorted out. But that is what has caused the alumina prices to jump to \$700 per ton right now.

Indrajit: And what is the kind of contracts that you have? Like is it how much is the long term? And if it is long term or contracted, what is the duration of that contract? In the sense that what is the kind of realizations we are seeing on alumina sales currently? And what can we see in the following 2 quarters?

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Satish Pai: Yes. I think that most of our alumina is on an N -1 pricing, which means benchmark minus 1 month and about 20% is on spot. So 80% is on that N -1. So I think that in this third quarter, you will start to see the full benefit of the higher prices.

Moderator: We have the next question from the line of Tarang from Old Bridge.

Tarang: Congrats on a very strong set of numbers. Couple of questions, one on Novelis and the second on the capex plans at Hindalco India. So on Novelis, while it's too soon to call out when the scrap dynamics might work against us. But structurally, there are negative changes in scrap dynamics. Then from a supplier's vantage, how amenable are customers in absorbing cost push going forward?

Satish Pai: Dev?

Dev Ahuja: So here's the thing, the fundamentals of the end markets are great. To your point about customers absorbing, well, I mean, we are having contracts ahead of us, which are at much higher prices. And that was all something we had already conveyed to all of you saying that we will see higher prices are coming. Probably, just give us the positive demand supply dynamics. There could be some more price upside as we look forward, particularly on the beverage packaging side. That is as far as the price side is concerned. The rest is what I said earlier. But we don't have so much worries around inflation and cost path. They're all built in into the contract as far as metal is concerned. Actually, as per the contract, the customers always pay us the cost of prime and local market premiums, that is about all that we can expect.

So that's really how the business structure works. For us, it is about really spurring the problem, but investing in new scrap sources, that's solution to the problem including investing in technologies and really first investment in supply chain. So that's really the solution to the problem, and that's exactly what it's working on. I hope that helps.

Tarang: Okay. I'll probably connect off-line because I was losing you in the middle, but I get a gist of the answer. But for more clarity, I'll connect offline.

My second question for Mr. Pai. Sir, India capex, there are 2 sets of capacities that are getting created. Your allocation towards, say, backward integration in Hindalco Industries Limited
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coal or the alumina refinery are actually fairly lucrative capacities from the point of your IRRs. But the same math probably doesn't hold to with all the downstream investments that are coming through.

And even for a copper smelter because at 300, 350 Kt, \$1 billion investment translates to about \$3,000 per ton, given that it's a reasonably working capital-intensive business at the current margins, the matches doesn't add up. So I understand that the blended IRR for all these projects is positive. But the question really is then would it not be more lucrative for the business to

probably focus on the upstream capacities like alumina and copper -- sorry, alumina and say, coal right now and hopefully wait before allocations to the other capacities. I mean how do you look at it strategically on the financial side? How are you looking at this?

Satish Pai: Yes, I think that's exactly the point. I mean we -- these projects are going to come on stream 3 years down the line. And if you look at the growth rates for

both aluminum and copper, copper is actually more stuck because India has got a big deficit. So we have a copper rod capacity of 500 Kt, and our copper smelting capacity of 350, and we are putting a new rod mill. Because India needs more and more copper rod. You cannot make rod if you don't have cathodes. And just today, cathodes are coming into India from Japan and elsewhere.

So if we look at the projected demand for copper in India, we are going to get some amount of copper from the recycling facility and some amount from the smelting because the downstream end of it, as you said, when you put together, it makes a lot of sense because of the rate at which the copper usage in India is going up.

Now, the 180 Kt of aluminum is the same story and the sense that we are going to make it with renewable energy, low carbon, high purity. And for that, again, there is quite a lot of demand and we're getting good premiums on that. So we think that these -- both these investments, when they come on stream 3 years plus. With the rate of growth for both aluminum and copper that we are seeing, we think we're going to be in a good position.

Tarang: So you're essentially looking at probably a reasonable amount of margin expansion by the time these capacities come through, and therefore, it's

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probably not prudent to look at it from a rearview lens. Would that be the right way to look at it?

Satish Pai: Especially for copper. If you take today's TC/RCs and say, are you putting up a smelter, it makes no sense. But if you look at it of taking that cathode-making copper rods and copper fuse and all the downstream, where the conversion premiums are high, then 3 years down the road when TC/RCs also pick up a bit to normal levels, you will see that it makes a lot of sense. In fact, I usually believe that the downturn is the best time to invest if you have the balance sheet strength. And that is what Hindalco has in India right now.

Tarang: Got it, sir. And sir, last question. I mean, if I look at China's demand supply balance for aluminum now, looking at the data for the last 18 quarters and for last 18 quarters, almost 17 of 18 quarters, they have been at a net deficit with demand far out shipping supply. Where you are -- whereas in the world ex China, you have a contrary positioning, where supply is far exceeding demand. Is there -- I mean, is there something that can be made out of this trend, what's happening there and what's not happening in the world, if you could give us a sense?

Satish Pai: So it's a very interesting question. So 2 important points there. One, you're absolutely right, China is running at a deficit. And that deficit today is being met by Rusal's 1 million tons of aluminum coming in from Russia.

The second point is that they are -- they seem to be quite serious about the 45 million cap, and they don't want to do more coal-fired smelting expansion. So what they have done, which has impacted Novelis is that they are now putting in lot more scrap melting capacity. So nearly 20 million tons of scrap melting capacity is being put up in China, and hence, a lot of scrap is being bought in there. So this is the 2 things that we have to make out.

Now, over time, China has been using more than 50 million, 60 million tons of aluminum. They will have enough scrap of their own. But in the short term, it is creating a tightness in

the scrap market because they're bringing this capacity on stream. So these are the sort of broad things that are happening.

Moderator: The next question is from the line of Parthiv Jhonsa from Anand Rathi.

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Parthiv Jhonsa: Just to take the Indian capex point forward. I believe somewhere a couple of quarters back, you are indicated in 1 of your analyst meet that the capex is around \$760 million, which has now been revised today to about, say, \$1 billion. So is that reading correct? Or am I missing something out here? Can you please explain this in detail?

Satish Pai: Yes. I think that, again, you're absolutely right. I think on the smelter side, we had put it at around \$800-or-so-million. And yes, as we get in the current pricing. I mean even this \$1 billion to, be fair, I'm just taking a round number. We are working on the capex. We have to get the quotes and then as we get clarity, we'll give you the exact number. But there is a certain amount of inflation on the equipment as well. So I think that as soon as we get the capex sorted out. And as we are using renewable energy, we do have to do some additional steps to use that renewable energy in Aditya. So all those are adding into the cost.

Parthiv Jhonsa: All right. Sir, I just wanted to get some clarity because I think I missed earlier in the remarks, the current hedge is around 30% at about 2,570. And then you have additional 3% at a bottom of 2,262 and a ceiling of -- what was the ceiling, sir?

Satish Pai: Yes. The ceiling is 2,547. It's a zero cost collar that we had put in quite early on, I think, last few quarters mentioning it. And on the hedging point, we have also now hedged about 14% for next financial year at 2,700.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is you explained nicely on the copper rods and hence, the need for the smelter. But then also there's a linkage to TC/RC. And TC/RCs, you did indicate that it has been actually dipping a bit. What gives us comfort on TC/RCs 3 years out specifically given and copper demand, it's just like a blue sky scenario? However, when it comes to concentrate supplies, is there comfort that we have, which gives us confidence and putting on the smelter looking at the value-add demand?

Satish Pai: In fact, very interestingly, some of the big miners are already in discussion with us to sign up long-term contracts for the smelter expansion because they need to -- they also want to diversify earlier from China.

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So there are new mining capacity coming in. So this is very cyclical. If you go back and look at TC/RCs, generally, they will go down for a period of time in this case, copper prices go up and a lot of new mining capacity comes in, and then TC/RCs picked back up to reasonable levels.

So from the outlook we have and talking to the miners, they are quite interested that in India, we set up this smelting capacity, and they are actually ready to give us long-term contracts with even a flow of the TC/RC in the initial years. Now, the other thing you will see is that some of these marginal custom smelters in Philippines and all will probably shut down due to this low TC/RC. Certain amount of that cleaning up will also happen.

Ritesh Shah: Sure. And sir, my second question was on scrap. You did indicate that China is looking to process some 20 million tons of scrap, I don't know, I think the year is 2025, 2026. So the question is, does China has this sort of scrap processing capacity? That is one.

Secondly, I think Dev did indicate that one of the mitigating variables as we focus on technology. I remember we have a recycling center in Germany, wherein we have like 18, 20 different types of scraps that we process. Is it something very differe

nt to everybody else in the world, which gives us an advantage of certain type of scrap wherein we will still enjoy a higher discount to LME? And is that number significant to help us tied through this particular crisis. And I have a related question, sir, first, if you please answer this one?

Satish Pai: Steve, do you want to take that on the different types for scrap and the impact?

Steve Fisher: Yes, sure. So on the first question, China has been setting up the recycling capacity over the years and continues to. And so the quantity increase continues to come online as they open up the border to take in more different types of scrap. So they will have the capacity, as Satish said, their cap on primary aluminum production at 45 million metric tons and start to produce downstream aluminum through recycled material.

As far as technology, yes, we do have new technology at our new automotive recycling center at Guthrie, working with Sortera. We have put new -- we worked with another company with robots that we put in at Berea. And so when you talk about different technologies, a lot of these technologies are sorting technologies in order to take on dirtier types of scrap or to be able to sort pre-

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and post-consumer automotive scrap to get the right alloys that today, if we could not take that sortation in. We would not have the ability to consume that scrap.

So it is increasing the different types of scraps that we can process at our facilities, which will make a big difference. It's just going to take some time for us to continue to scale these technologies and put them through -- put them into not only the new plant, but into other plants that we already have made existence.

So lots of work going on with our R&D and ops groups, partnerships across the world to find ways to continue to get more different types of scrap that we had not been consuming at Novelis, which does give us a competitive advantage.

Dev Ahuja: Sorry, keep in mind one more thing that there is like 750 to 800 kilo tons of scrap in the U.S. that goes into landfill, as demand for scrap goes up, economics of really preventing the scrap to go into landfill becomes very, very attractive.

And there is more investments coming in to prevent scrap to go into landfill.

And so we also expect that given the opportunity, there will be more opening up of this scrap that's now going into landfill, so that will start become available in any case. I mean, it's just attractiveness of doing that. So there are a number of mitigating factors besides all the things that we are doing, which will help.

Ritesh Shah: Right. Sir, just to scratch on this a little bit. You have always indicated that we did expect this coming. Now given we have the technology to process different types of scrap, can you give some broad numbers on total market sizing for scrap? And out of that 1 million tons, what part of that 1 million tons is something that is unique to us that we can also process, which is more dirtier or the competition can't process? Just trying to have some comfort on the sourcing and the underlying economics.

Steve Fisher: Yes, it's a significant amount of scrap, but -- go ahead, Dev.

Dev Ahuja: No. On the quantification, I'll just answer that question. So you can think about this that -- and we are talking about U.S. because a lot of the focus is on the U.S. markets like there would be about 1.5 million tons, half of it are going to landfill. And so the other half that typically comes into the market, which are

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grabbed by all the current convenience of scrap, the quantification of the scrap volume that we are talking about.

And then it's about the way you can further get out of the 750, that is not coming to us today. So that's really what it is. But let me hand it over

to Steve

to add anything more.

Steve Fisher: No, just besides what's going into landfill, there's other types of scraps that are getting down cycled post-trade vehicles that that's the sorting technologies that we're putting in to be able to take back some of the aluminum content that's in those vehicles back into our process. And so both pre and post-consumer automotive scrap types that are coming.

So there's a very sizeable amount of scrap out there that with the right technologies, we can bring into Novelis. But again, this will take time to scale into our operations. So it will take us some time.

Ritesh Shah: Sir, recently, I think there has been an amendment in Europe pertaining to regulation of paced shipments. I think that's also something, which is likely to alter the scrap trade patterns. How is it that we are looking at it? Are we looking at European spreads to be far higher as compared to North America going forward? How are we thinking about this?

Steve Fisher: Are you referring to scrap flows? Or are you referring to primarily aluminum flows?

Dev Ahuja: No, no, we're talking of the scrap flows from Europe that probably restriction that don't allow European scrap to come out.

Steve Fisher: Yes. I mean, we do expect a number of different protectionist activities that is

going to alter trade flows as it relates to scrap. And this is the other factors have gone into our thinking of we need to see stabilization of some of these trade flows as well to understand what some of those impacts are so that we can more articulate with our ability to tell you how and when the margins that we've achieved in our business will come back, ultimately bring this up to that \$600 per ton on a longer-term basis. But we anticipate there will be disruption in trade flows due to protectionist activities.

Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities.

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Ashish Kejriwal: Two questions, one is in light of our recent announcement of putting our smelters, aluminum and copper, what could be your capex guidance for FY '25, '26 for India?

Satish Pai: You're talking about the guidance for next year. I think, see, next year, it's going to be probably around -- we have not finalized the plans yet, but it's going to be more like INR7,000 crores, INR8,000 crores is what next years will be.

This year, if you remember, we have guided about INR6,000 crores, and I think we're going to be around that number.

Ashish Kejriwal: Okay. And sir, in this quarter, is it possible to quantify how much alumina we have sold and at what rate?

Satish Pai: Yes. We sold 170 Kt. Let me we just confirm. 197 Kt of third-party alumina we sold in Q2.

Ashish Kejriwal: And at what rate, sir? Blended rate, if possible?

Satish Pai: We don't give out blended rate.

Ashish Kejriwal: Okay. No issues. And lastly, sir, in this quarter, how much hedged volume was there? Because earlier, we used to have 22% at 2,550. So, is that the same in the second quarter, which we realized?

Satish Pai: Second quarter was the same, the percentage hedge was in Q2. Yes, 27%, yes.

Ashish Kejriwal: So 27% was hedged at 2,550 in this quarter?

Satish Pai: Yes, 2,539.

Moderator: The next question is from the line of Prateek Singh from DAM Capital.

Prateek Singh: The question is for Steve and Dev. So basically, first, I want to understand what is the kind of lag that we see between scrap procurement and that flowing into our numbers? So the reason I ask is, given that the scrap prices have gone up sharply of late only and you had earlier mentioned that this will flow through to 3Q and 4Q as well.

So from my understanding, in 2Q, we saw an impact of ballpark \$40 per ton due scrap tightening. Do we see it worsening further so they are perhaps maybe even \$50, \$60? Or do you think it would be even higher? I understand you're

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not doing any guidance, but the lag would kind of help us get a sense as to how much more impact would be on the coming quarters.

Dev Ahuja: I was starting to hear the question, at least the first part I mean broadly, what I understood was from the second part after whether we expect Q3 and Q4 impacts to worsen, but can you please clarify the first part of your question again?

Prateek Singh: Yes. The first part was largely on what kind of lag do we see between the spot scrap prices that we see right now between our procurement. So is it 1 or 2 months kind of a lag or a quarter kind of a lag so that would help us in kind of tracking the scrap pricing getting a sense as to what kind of an impact can be in coming quarters?

Satish Pai: So, Dev, he's asking from procurement to usage of scrap. What's the time difference, how many months?

Dev Ahuja: Okay. It was a lag. Okay. So between procurement and the scrap coming back, broadly, there's a 60- to 90-day lag can win in seasons, but let's say, 60 to 90 days is a reasonable time gap between the can leak and then coming back to us as we will see.

Prateek Singh: Sure. So which kind of needs that the scrap prices have gone up very recently over the last 1 month or so? The impact of \$20 per ton that we saw in 2Q can be worse in 3Q and 4Q? Not given any guidance, but just a bit of sense if I'm correct in that way.

Dev Ahuja: Yes. So to be clear, in the short term, we do expect some worse scrap prices. This is what we have been saying on our earnings call also, there could be some worsening.

We are watching. We are in uncharted territory right now that there's situation, so we will see where it goes. Keep in mind that what we will see in Q3 is also going to be a seasonality impact. Q3 low by now probably is a seasonally low quarter, given annual shutdowns just given that there is lower pull in this quarter. So keep in mind, Q3 will also have a seasonality factor, but to be very specific to your question, yes, we do think that there could be some working in Q3 and Q4 due to a bit of factors that we have discussed.

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Prateek Singh: Sure. And my last question is on my reading about the Europe flood impact. When you say that there's an impact of around \$25-odd million on 26 Kt of capacity, that kind of implies an EBITDA per ton of \$1000-odd per ton for that facility.

So given that Europe is not in a very great environment, can we assume that once Bay Minette comes in, we will have our price negotiations also, happened by that time, Bay Minette's profitability would be decently higher than what we are seeing at Sierre right now, which appears to be \$1,000-odd per ton, but -- or is that calculation not entirely correct on my part?

Dev Ahuja: Well, no, I think that you're kind of going in a bit of a tangent here on assuming the Sierre impact and the EBITDA per ton because that had a contribution element to it. I mean the fixed costs have gone below the line. So the \$1,000 per ton EBITDA would not be a right calculation.

Also, there is a blend in that of automotive, some specialties and some impact. So be careful before implying any calculations in that month. But let me go to the other part of your question, which is about Bay Minette. So in Bay Minette, we have been pretty consistent that Bay Minette comes at a much higher price, at a much lower in cost and will be significantly more profitable from a margin accretion perspective. I mean directionally, we have already said earnings call that about \$1,000 per ton is a very, very reasonable expectation from Bay Minette alone.

Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: I have a couple of questions. One is for the FRP, battery foil and closures that we are coming

up with capacities, what would be the margins for this and also in terms of capacity, would they be interoperable between AC coated or battery enclosures? Or how would it be? Could you explain a bit on this?

Satish Pai: So on the battery foil, aluminum battery foil in Aditya, it's about 25 kt. So that makes battery foil and can make other types of foils, which is fungible. And as far as the margins go, we think they are pretty good, but we are not going to give you the number there.

Pathanjali Srinivasan: Sure. So the overall addition is about 200 Kt. Is that correct?

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Satish Pai: No, 25 kt of aluminum battery foil plant that is being put up in Aditya. The battery enclosure plant, which is, we set up in Chakla in Pune is to make the enclosures for the batteries that go into SUVs. So that has just come on stream and starting to ramp up for one of our auto customers.

Pathanjali Srinivasan: Okay. Got it, sir. Sir, and one more thing. With respect to our coal prices, could you tell me like what was the increase in premium for us for e-auctions and all in the last couple of quarters. Is there any change? Because general thing, what we were noticing is that the auction prices are tapering down. So what you said was slightly different from what we are noticing.

Satish Pai: No, the Q2, actually, the coal prices were slightly lower in fact, I mean, they were flattish with Q1. So that's why our cost of production was quite good. In Q3, as we get in some of the auction prices, it's only in the NCL region, not in the MCL in the Orissa site. You remember we have Renuagar and we have Mahan. In those places, we are seeing a little bit of the auction premiums being higher than what we saw in Q2. It's not very much yet, to be fair.

Pathanjali Srinivasan: Okay, sir. Yes. Got it. And last question, just on the capex guidance that you've given. So can you just tell us what would be your capex guidance numbers for '26 and '27 for the India business?

Satish Pai: So I just -- I think previously, I said that next year will probably be about INR8,000 crores. '27, you'll have to wait because we have to see how these projects actually start and how the cash out happens. So this year's guidance of INR6,000, we will be around INR6,000. Next year, right now, we think it's going to be around INR8,000. The year after, you will have to wait.

Moderator: Ladies and gentlemen, due to paucity of time, we will take this as our last question. For further questions, you can connect with the Investor Relations team. I now hand the conference over to Mr. Satish Pai for closing comments. Over to you, sir.

Satish Pai: Yes. Thank you very much. I think that 1 point I probably wanted to highlight, I mean, we have gone through all the businesses. The India business is seeing pretty good numbers. Novelis, just to repeat, had a very good Q2 compared to most of its competitors. The forward-looking scenario on the scrap spread was a little bit not that good.

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But my point that I wanted to make is the integrated model of Hindalco between upstream and downstream means that some parts can have headwinds, some parts have tailwinds. And that's why when you look at our consolidated results, we are doing very well compared to most of our competitors in the industry. So just wanted to leave you with that comment, and thank you for your attention.

Moderator: On behalf of Hindalco Industries, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Hindalco Industries Limited

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February 19, 2025

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange Scrip Code: US4330641022

Pursuant to the

above referred, the transcript of the Earnings Conference Call held on Friday, February 14, 2025, for the financial results of quarter and nine months ended December 31, 2024 is enclosed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com.

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a Sub:

Transcript of Earnings Conference call of Hindalco Industries Limited ["the Company"] for the financial results of quarter and nine months ended December 31, 2024.

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ["Listing Regulations"];

b.

ISIN: INE038A01020 and

c. Our Intimation dated February 4, 2025.

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"Hindalco Industries Limited Q3 & Nine Months FY '25 Earnings Conference Call"

February 14, 2025

MANAGEMENT : M R. SATISH PAI – MANAGING DIRECTOR , HINDALCO INDUSTRIES LIMITED

MR. PRAVEEN MAHESHWARI – CHIEF FINANCIAL OFFICER , HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER , NOVELIS INC.

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER , NOVELIS INC.

MR. SUBIR SEN – HEAD (INVESTOR RELATIONS), HINDALCO INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Hindalco Industries' Financial Year 2025 3rd Quarter Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that

this conference is being recorded.

I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you and over to you, sir.

Subir Sen: Thank you and a very good afternoon/morning, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the 3rd Quarter of Financial Year 2025.

In this call, we will refer to the Q3 Financial Year 2025 Investor Presentation available on our Company's website. Some of the information on this call may be forward-looking in nature and is covered by the Safe Harbor language on Slide 2 of the said presentation.

In this presentation, we have covered the key highlights of our consolidated performance for the 3rd Quarter of Financial Year '25 versus the corresponding period of the previous year. A segment wise comparative financial analysis of Novelis, Indian aluminum and copper business is also provided. The corresponding segment information of prior periods has also been reinstated accordingly for comparative analysis.

Today we have with us on this call from Hindalco's management, Mr. Satish Pai, Managing Director and Mr. Praveen Maheshwari – Chief Financial Officer. From Novelis' Management we have Mr. Steve Fisher – President and CEO; and Mr. Dev Ahuja – Chief Financial Officer.

Following this presentation, this forum will be open for question and answers. Post this call, an audio replay of this conference call will also be available on our company's website. Now let me turn this call to Mr. Pai to take you through our company's performance for the 3rd Quarter fiscal 2025.

Satish Pai: Thank you, Subir.

Let me start this call by giving the good news that Hindalco is the only company to achieve the top 1% ranking in the S&P Global Sustainability Yearbook 2025 with the highest ESG score in the aluminum sector. This recognition emphasizes our unwavering commitment and a comprehensive strategy towards long term ESG excellence. On Slide 4 to 8 of this presentation, you can see our achievements and progress across metrics for ESG for this year versus the prior year.

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I will now take you through some of the key highlights in this quarter:

For the first nine months, 79% of the total waste generated were recycled and reused. We achieved recycling of 109% of bauxite residue, excluding Utkal, 101% of ash in this period. We are proud to share that Aditya, Mahan and Renusagar facilities have achieved Zero Waste to Landfill certification this quarter, taking Hindalco's total number of Zero Waste to Landfill certified units to six.

Water conservation remains a key focus area for us. As of date, 16 of the 19 Hindalco sites now meet Zero Liquid Discharge standards, with Kuppam facility successfully meeting the ZLD standard during this quarter. We also have made significant progress in water recycling with 14.37 million cubic meters of wastewater being recycled and reused. This is 26% of the 55.5 million cubic meters, which is the total water consumed in the first nine months.

Further, we are continuing our journey towards water positivity while working with CII, Triveni under NITI Aayog's Water Positivity Framework, for which the certification assessment for five of our manufacturing units at Aditya, Utkal, Hirakud, Alupuram and Belgavi are underway. These initiatives highlight our dedication towards efficient resource management

and commitment to support sustainability in the communities where we operate.

Our biodiversity conservation efforts remain strong. In Q3 FY25, we completed a pilot project at Utkal for the removal of invasive species of non-native plants. And 20 tons of these were sent to paper mills for them to utilize. Additionally, biodiversity management plans are in progress for seven of our plants and eleven of our mine. These biodiversity management plans have already been implemented across 22 of our location, covering 10 plants and 12 mines. While we continue to expand our green cover with accumulative total of 5.4 million trees that are planted till date, spread across 6,271 acres of greenbelt development across all our operations.

Our total renewable energy capacity is 189 megawatts, primarily solar and wind. Recently, we commissioned a 6.3 megawatts floating solar capacity at Mahan. We are set to add another 9 megawatts of solar and 100 megawatts of hybrid capacity with storage in the first half of calendar year '25. Post this, we are well aligned towards our target of reaching 300 megawatts of renewable capacity in the first half of calendar year '25. We are also developing another 20 megawatts hybrid capacity of solar and wind, which is expected to be operational in the second-half of FY '26.

Our aluminum-specific GHG emissions in the first nine months of FY '25 were recorded at 19.48 tons of CO2 per ton of aluminum. This was a bit higher compared to the same period last year on account of higher power consumption at some of our smelters that were impacted by disruptions in the power plant. We expect this to settle down with improved efficiencies in the coming quarters.

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Safety is a top priority at Hindalco, and I am pleased to report that there were no fatalities this quarter across all our operations. Our LTIFR in the first nine months stood at 0.28, slightly higher than the same period last year due to increased project related activities.

Let me now give you a glimpse of our quarterly consolidated performance this quarter versus the same quarter of last year on Slide 10:

Our consolidated business segment EBITDA was up 18% year-on-year at Rs. 8,246 crores, whereas our overall reported EBITDA was up 28% year-on-year at Rs. 8,100 crores this quarter. The consolidated net profit after tax was up 60% on a year-on-year basis at Rs. 3,735 crores this quarter.

At the Hindalco India business level, our overall reported EBITDA was up 69% year-on-year at Rs. 4,776 crores this quarter. The net profit after tax was up by 134% on a year-on-year basis at Rs. 2,885 crores. In our Indian aluminum business for Q4 FY '25, we are currently hedged at around 35% of the commodity at a price of \$2,600 per ton. And around 15% of the commodity at a zero collar with the bottom at \$2,262 and the ceiling at \$2,558 and currency is hedged at 16% at Rs. 88.

On the balance sheet side, our consolidated net debt stands at Rs. 41,818 crores. In Indian operations, we have a net cash of Rs. 1,952 crores, while Novelis' net debt stands at Rs. 44,716 crores at the end of December '24. Hindalco, at the consolidated level, continues to maintain a strong balance sheet with a net debt-to-EBITDA well below 2 times at 1.33 at the end of December 2024, which is lower than the corresponding period of the last year. All our strategic CAPEX in India are matched with cash flow generations in the business.

Coming to our business-wise performance this quarter:

Novelis shipment was at 904 Kt versus 910 Kt in the prior year, down 1% year-on-year. Novelis delivered a quarterly EBITDA of \$367 million, down 19% year-on-year due to high aluminum scrap prices and unfavorable product mix. The resultant EBITDA per ton stood at \$406 dollars versus \$499 in the previous year same quarter, down 19% year-on-year. All our expansion projects including Novelis' B

ay Minette project are progressing well and as planned. A new 100 Kt recycling center at Ulsan is being commissioned, and our automotive plant, Guthrie, is now fully operational.

On Hindalco India's upstream aluminum performance this quarter, shipments were up 1% year-on-year and revenues were up 25% year-on-year. This quarter we achieved a record quarterly EBITDA which was up 73% year-on-year at Rs. 4,222 crores, primarily driven by low input costs and favorable macros. The resultant EBITDA per ton was at \$1,480, which was higher by 68% year-on-year. EBITDA margins were also at a record high of 42% this quarter, and continued to be among the best in the global industry.

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This quarter, the Indian downstream aluminum quarterly shipments were up 10% year-on-year at 99 Kt on account of market recovery. EBITDA was up 36% year-on-year at Rs. 150 crores this quarter versus Rs. 110 crores in the prior period, driven by higher volumes and realization. The resultant EBITDA per ton was \$179, higher by 22% year-on-year this quarter.

Our copper business continues to deliver strong performance this quarter as well. The overall metal shipment were at 120 Kt, up 1% year-on-year of which CCR volumes were at 95 Kt, up 1% year-on-year this quarter. Our quarterly copper EBITDA stood at Rs. 777 crores, up 18% year-on-year on account of higher byproduct realization and favorable macros.

Now, let me give you a glimpse of the current broader economic environment from Slide 12 and 13:

In 2024, the global economy witnessed resilient growth, with inflation moving closer to central bank targets. For FY '25 and '26, global GDP is projected to remain steady at 3.3, up slightly from 3.2 in 2024 as per IMF.

Growth prospects vary significantly across regions. Growth in the US is expected to remain resilient, with GDP growing 2.7% in 2025 versus 2.8% in 2024. And the euro area is expected to recover moderately from 0.8% in 2024 to 1% in 2025. In contrast, China's GDP growth is expected to moderate further to 4.6% in 2025 from 5% in 2024. However, the outlook is tempered by fragmented and protectionist trading environment and inward-looking policies, which may dampen economic activity and drive inflation up with repercussions for emerging economies. Monetary policy easing, therefore, will be carefully calibrated to ensure inflationary pressures are durably continued.

The extent of easing will remain data dependent and cognizant of geopolitical risk until underlying inflation fully subsides. Global headline inflation is expected to moderate from 5.8% in 2024 to 4.2% in 2025. Amidst a challenging global environment, Indian economic growth moderated to

6% in the first half of FY '25. Growth slowdown was led by moderation in investment in urban consumption. Recent high frequency indicators present a mixed picture with economic activity expected to moderately pick up in the second-half of '25, driven by festive demand. The RBI projects FY '26 GDP growth at 6.7% driven by recovery in household consumption and industrial activity from an estimated GDP growth of 6.4% in FY '25. Headline inflation is projected to ease to 4.8% in FY '25 and further to 4.2% in FY '26, gradually aligning with central bank's target. Headwinds from adverse trade policies, financial market uncertainties and volatility in commodity prices are key downside risks to this outlook. By this, FY '26 has been able to carefully balance consumption, CAPEX and fiscal consolidation with a clear focus on ease of doing business, which is expected to provide a positive flip to growth. Given the growing inflation dynamics, RBI reduced policy rates by 25 bps to 6.25% in its latest Monetary Policy Review.

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Moving to the aluminum industry outlook on Slide 14 and 15:

Starting with Slide 14, in China, production increased

reased to 10.9 million tons, while consumption

increased to 11.6 million tons, resulting in a deficit of 0.7 million tons in Q4 of calendar year '24.

This demand growth was driven by three key factors, surge in solar installation, strong growth in new energy vehicle production, and a 24% increase in semi fabricated products export in anticipation of the cancellation of 13% VAT rebate on exports. However, challenges persisted in the construction sector where investments continued to decline this quarter.

Moving on to the rest of the world:

The production in this quarter increased to 7.5 million tons while consumption stood at 7 million tons, resulting in a surplus of 0.5 million tons. Consumption in Western Europe remained weak, whereas markets such as India, Thailand, Vietnam, Brazil, US, Turkey and Mexico exhibited growth. As a result, the overall global aluminum market recorded a marginal deficit of 0.2 million tons in quarter four of calendar year '24.

Turning to India on Slide 15, aluminum demand in Q3 FY '25 is projected at 1,403 Kt, reflecting a robust 11% year-over-year growth. The key demands are in the electrical segment, especially cables and connectors, solar panels. Strong demand in the packaging and consumer durable segment, and a stable demand in building and construction segment. However, in the automotive sector, demand was moderate due to weaker offtake in commercial vehicle.

Imports, excluding scrap, increased primarily on account of higher imports of solar frames, and in primary aluminum in the form of alloy ingots and wire rods. The global aluminum FRP demand, excluding China, is expected to grow by 5% in Calendar Year '25, with demand recovery across all major segments of beverage packaging, automotive, specialty and aerospace between a CAGR of 4% to 6% over the next three to four years. Beverage packaging sector showed strong growth driven by favorable consumption and sustainability trends.

Automotive growth reflects the steady to positive outlook for aluminum in North America. Electric vehicles continue to gain share globally but are growing at a more tempered pace. Specialty product is aligned with the global GDP growth supported by a strong building and construction backlog, though tempered by high interest rates and softer automotive specialty products demand. Aerospace remains strong with high orders despite OEM supply chain constraints impacting the production of new aircraft. The Indian FRP demand in financial year FY '25 is expected to grow by 20% on a year-on-year basis, led by strong demand from the packaging and consumer durable segments.

Turning to the copper industry on Slide 17 and in 18:

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In Q4 Calendar Year '24, Chinese production reflected a growth of 3% year-on-year reaching 3.1 million tons, while consumption increased by 6% year-on-year at 4.1 million tons, resulting in a deficit of 1 million tons. In the rest of the world, production increased by around 3% year-on-year at 3.7 million tons while consumption increased by 2.7% year-on-year at 2.8 million tons, leading to a surplus of 0.9 million tons in Q4 Calendar Year '24. As a result, the overall global production of copper increased by 2.8% year-on-year at 6.8 million tons, and consumption increased by around 4.8% year-on-year at 6.9 million tons, leading to a deficit of 0.1 million tons this quarter.

On the domestic front, in Q3 FY '25 market demand increased by 4% year-on-year at 206 Kt versus 198 Kt in Q3 of FY '24. The domestic producer share increased to 76% in Q3 FY '25 versus 67% in the same period last year. The concentrate TC/RCs remain under pressure due to continued deficits expected in 2025. Major Chinese smelters settled the 2025 annual TC/RC benchmark with

large global miners at 5.45 cents per pound, representation a 73% year-on-year decline from 20.5 cents per pound in 2024. Uncertainty remains

ins whether her smelters outside China will adopt the same benchmark terms. The issuance of export permits for Indonesian copper concentrate, as and when granted, will increase the concentrate supplies in the market and shall help support the spot TC/RCs in the shops up.

Details of the operational and financial performance in each of our business segments this quarter compared to the corresponding period last year, as well as the previous quarters, are covered in further slides and annexure to this presentation.

Let me now conclude today's presentation with some key takeaways:

Our Indian operations continued to deliver strong results driven by robust market condition, better efficiencies and disciplined cost control. In this quarter, we achieved a record quarterly aluminum EBITDA, alongside consistent performance by our downstream business. To further enhance resource securitization and cost efficiency, Hindalco has successfully secured the Meenakshi coal mine with a capacity of 12 million tons per annum. This strategic move shall significantly improve our self-sufficiency, ensuring a stable and continuous supply of captive coal to our captive power plants.

On our organic expansion projects in India, the Aditya FRP project remains on track for commissioning in FY '26, which will increase our total downstream capacity to 600 Kt per annum.

We are also set to commission the 25 Kt copper inner grooved tube plant this month. This will help enhance our product portfolio and strengthen our position in the growing value added segments in both aluminum and copper.

Coming to Novelis:

Our 600 Kt greenfield Bay Minette Project remains on schedule with completion expected in the second-half of calendar year 2026. Of the 600 Kt, 420 Kt is now fully contracted to beverage Hindalco Industries Limited

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packaging, and the balance 180 Kt is primarily allocated for automotive application with flexibility for other flat rolled products. Despite muted demand in the specialty and European/Chinese automotive segment, beverage packaging shipments continued to grow strongly, helping to balance our overall performance.

We remain focused on expanding our recycling capacity and leveraging new technologies and strategic partnerships to increase our recycled inputs. At the same time, we are also engaged in cost control measures and initiatives to improve operational efficiency to mitigate the ongoing pressure on scrap prices. In January 2025, Novelis successfully issued \$750 million in senior unsecured notes due in 2030. This will help further strengthen our financial flexibility and support long-term growth.

Thank you very much for your attention. The forum is now open for any questions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes. Thank you for the opportunity. And congratulations on another consistent strong performance. First question, sir, is on coal. If you could share what was the coal mix? How do we see the coal cost changing in the coming quarter? And then if you could just update us with respect to our two captive coal mines' timelines?

Satish Pai: The coal cost Q2 to Q3 was flattish, linkage coal e-auction is around 50%, so more or less the same mix as Q2. We have adequate coal stocks and probably quarter four coal will also be more or less similar, maybe little bit lower than Q3. So that's on the coal cost. And if I look at the mines now,

Chakla box cut still we should be doing this calendar year sometimes in Q3 to Q4. So Chakla is on track. Meenakshi, we have just got allocated, so now we have to start the environmental clearance, forest clearance, so it will be about two years. But this mine is significantly crucial to Hindalco's long term coal pricing and security.

Sumangal Nevatia

: Okay. So sir, Meenakshi would be more of FY '28 volume?

Satish Pai: Yes.

Sumangal Nevatia: Okay. Understood. Sir, the second question is on the CAPEX. So we are looking to spend almost Rs. 40,000-odd crores in India, can we give some more detailed at this stage in terms of what capacities are we looking at in upstream, downstream? How do we phase out these CAPEX? And what would be the capital intensity of these smelters?

Satish Pai: Yes. So the two projects that have already got EC and broken ground are the Aditya alumina refinery for 850 Kt in Odisha and the 50 Kt copper recycling plant in Gujarat. So the refinery is about Rs. 7,500 crores to Rs. 8,000 crores, the copper recycling plant is about Rs. 2,700 crores. So Hindalco Industries Limited

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these have broken ground and FY '26-'27 you will see most of this CAPEX coming in. The two projects where we have now filed for environmental clearance is 180 Kt aluminum smelter expansion in Aditya, and the 300 Kt copper smelter expansion in Dahej. So these are the two projects. So what will happen is FY '26-'27-'28 is where all these CAPEXs will play out. FY '26 CAPEX should be around Rs. 8,000 crores, FY '27 it will go higher, '27-'28 will probably be at the peak.

Sumangal Nevatia: Okay. And sir, these volumes at least from the smelter would come in FY '29, right?

Satish Pai: Yes.

Sumangal Nevatia: Okay. So apart from then the refinery, on the aluminum side, we are not expecting any major change in the volume, earnings are largely going to be a factor of commodity prices, right, and a little bit of downstream better volumes.

Satish Pai: Yes. So downstream is, Sumangal, quite significant because we were running at 400 Kt, so with Silvassa and the Aditya we will get to 600 Kt by sort of June of next year, calendar year '25. So this is going to be also fairly significant. The copper inner grooved tube 25 Kt comes in. So there small, small, quite a lot of downstream coming in across aluminum and copper, which should add. But yes, upstream volumes will remain flat till the smelter expansion comes in.

Sumangal Nevatia: Got it. Alright, thank you so much sir. I have more questions, I will join back the queue. Thank you and all the best.

Satish Pai: Thank you.

Moderator: Next question is from Tarang Agarwal from Oldbridge. Please go ahead.

Tarang Agarwal: Hi. Good evening, sir. A couple of questions. The first one, sir, once Meenakshi kicks in, I mean, you get great raw material security, but how does it make the cost structure more efficient? I mean, what are the cost savings that you are expecting to do? A broad cut would be helpful. The second is on TC/RC, TC/RC is from 20.4 cents per pound to I think 5.6 cents per pound, and there are various aspects to this business, right, downstream percentage, silver, gold, sulfuric acid and TC/RC. So how should we really capture this reduction in TC/RC for your copper business going forward? I mean, would that be Rs. 2,500 crores number that you are operating at, on an annualized basis, would that be maintained? Or you see a downside to it? Just wanted to get a sense of how should we look at it.

Satish Pai: So let me just take the second part first. So TC/RCs are going down, and as you said, we have a varied chain. So our guidance would be that we expect next year the quarterly copper EBITDA to be around Rs. 600 crores, so that's how we would model it. I know this year it has been much higher than Rs. 600 crores, running consistently Rs. 700 crores, Rs. 800 crores, but next year with

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our modeling, we would be around Rs. 600 crores of quarter. That's the guidance we can give. You have to remember that our copper tubes, copper rods, all these three premiums are fairly high and the demand is high. And sulfuric acid, like in Q3 our copper results were quite buoyed by sulfuric acid prices.

So, we are confident that we will be able to maintain that around Rs. 600 crores of quarter. The first part of the question was on, I forgot.

Tarang Agarwal: Sir, Meenakshi.

Satish Pai: Yes, Meenakshi. So if you take coal prices to be at today's level, and remember that these coal prices on the auction can go up and down. Meenakshi coming in would reduce those coal prices from current levels by up to 30%.

Tarang Agarwal: Did you say 30% from the current levels?

Satish Pai: Yes.

Tarang Agarwal: Okay. Got it. And sir, last on the copper piece. So, if TC/RC were to be 5.6 cents per pound for this quarter, how would the EBITDA have moved from Rs. 775 crores that has been reported for this quarter?

Satish Pai: I have not calculated that, but I can only tell you that in Q4 you will still not see the full impact of that five, because we will be operating with the concentrate that's already in inventory. So, this impact of this 5 cents per pound you will see from the first quarter of FY '26.

Tarang Agarwal: Okay. Thank you, sir.

Satish Pai: Thank you.

Moderator: Thank you. The next question is from Ashish Jain from Macquarie, India. Please go ahead.

Ashish Jain: Hi, sir. Good evening. My first question is actually on Novelis. On the Novelis call, Dev and Steve had referred to their confidence that they will be getting exemption on the import duties in the US.

So I actually missed that call, is it possible to kind of elaborate a bit more on that? And how come we are so confident about getting an exemption, what's the rationale behind that?

Steve Fisher: Yes. So first of all, it's very early stage as it relates to where these tariffs will ultimately settle out, both what the US has done to-date and what other countries might do. But the historical precedence that we have seen of getting exemptions as we have imported to support our project abatement has been positive. We think we are doing exactly what the US government wants in domesticating supply chain and in building the downstream facility in the US with employment to supply the beverage packaging and automotive markets.
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As it relates to primary aluminum, which primarily comes in from Canada into the US, the US is short of aluminum. And it would take years and years and a lot of investment to bring that supply into the US. And if you go back and look at what happened back in 2018, I think rationally you understand that the flow of metal from Canada to the US is something that ultimately is needed. And we think longer term, we will see a relief associated with that. We can not predict in the short term when that relief will occur, but we do believe that on a medium to longer term basis we will see relief associated with the import on primary as well.

Ashish Jain: Got it, Steve. Thanks. But fair to say that there is a chance that this time it is different given clearly the approach seems to be more aggressive, given the levies on pretty much any import in to US and all, is that the way to think? Or we are actually very confident about an exemption? I know it's a very tough question to answer as nobody knows the right answer to it.

Steve Fisher: Yes, nobody knows the right answer, but I think we have to take a view. And I think as we think of a rational view, our view is that the prevailing requirements of primary aluminum coming in from Canada to the US and what we are doing at Bay Minette are the right longer term solutions for the market but anything could happen, but that's our view.

Ashish Jain: Got it. Sir, coming to India, just on the aluminum and copper project, the upstream projects, where are we in terms of hitting the ground on those?

Satish Pai: So, I just described that, so the alumina refinery and the copper recycling ground broken construction started. The aluminum smelter expansion and the copper smelter, we are in the process,

we have filed for environmental clearance.

Ashish Jain: Okay, okay. Got it. Thank you so much, sir. And best of luck.

Satish Pai: Thank you.

Moderator: Thank you. Next question is from Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi. Thank you for the opportunity. I again have a question on Novelis. Fundamentally, what happens to scrap prices in case of tariff? And in turn, what happens to scrap spread as a result? I mean, we understand this time it could be different, but how does that flow through?

Satish Pai: Steve?

Steve Fisher: So, again, early on. But as we understand today, scrap would not be subject to the tariffs coming into the US under section 232. So therefore, the short scrap position in the US would be filled from other markets because it will become very attractive with higher overall local premiums rising, the Midwest premium. But then the other international markets will also come under pressure, whether it be Europe, Asia or South America that we do business in. Again, a complicated question, but
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the nearer term would be that there would be a flow of scrap into the US to fill the short position in the US, and with the capable pricing that would be there.

Indrajit Agarwal: And the pricing of scrap, is it generally as a percentage of LME or percentage of LME plus Midwest premium, how does the pricing generally work?

Steve Fisher: Yes, in the US, it trades as a percentage of LME and Midwest premium, so a combination.

Indrajit Agarwal: Sure. Thank you. That's all from me.

Steve Fisher: Yep.

Moderator: Thank you. The next question is from Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes. Hi. Good evening, everyone. And thanks for the opportunity, sir. And congratulations for a great set of numbers. A couple of questions from me. One is that how did the aluminum cost of production move in this quarter? And if you could highlight the prospective sense also that how it is likely to move in Q4? That is the first question.

Satish Pai: Okay. The Q3 to Q2 was flattish. I think Q3 to Q4 will be similar. I mean, there are some upward pressures coming in caustic, furnace oil, CP coke, but we think balancing around, coal prices, we may see a little bit of softening. So we think Q4 will be more or less flattish, would not be more than 1% or 2% off from where we are.

Amit Dixit: And in terms of coal sourcing, sir, when both Meenakshi and Chakla come on-stream, and

assuming we are able to extract the full EC limit, so whether you will need linkage and e-auction coal then due to technical or logistical reasons? Or we will meet our entire requirement through captive, provided coal prices remain where they are?

Satish Pai: So we will still need to get coal for Dahej, which is in Gujarat. That's about it. Otherwise we should be self-sufficient.

Amit Dixit: Okay. And 30% you said is including Meenakshi and Chakla, just to be clear?

Satish Pai: Yes.

Amit Dixit: Okay. Great sir. That's it from my side. Thank you and all the best.

Satish Pai: Yes. Thank you.

Moderator: Thank you. Next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

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Satyadeep Jain: Hi, thank you. Just both questions on CAPEX. Firstly probably on US Novelis, your offline CAPEX in India for the next two years. We already have guidance for this year. If you can maybe talk about how much CAPEX could be there annually for '26-'27 in Novelis? And one of the peers, obviously, the other peer is putting up capacity during this call, say, they are putting up EAF in steel and aluminum rolling. But they said aluminum rolling, everything is known, there is Chinese suppliers, so there is hardly any room for surprises, generally in EAF where they thought there were surprises. But to me it seems to indicate that that is

a fairly homogeneous supply chain and all.

So what has led to the supply for Novelis on that capital cost and delays which the other player is saying it's very relatively easy equipment supply chain and all? So this two-part on overall CAPEX guidance at least for next two years

Satish Pai: Yes, you are talking about the Bay Minette Novelis CAPEX, I will let Steve answer. Just to let you know, the other person is new entrant to the aluminum industry, so quite impressed with their confidence of the aluminum supply chain. But Steve, go ahead.

Dev Ahuja: I can take the CAPEX question.

Steve Fisher: Yes, go ahead, Dev. I did not catch the full question either. Please go ahead.

Dev Ahuja: Yes. So to your point about how much CAPEX to expect in '26 and '27. So the way to think about it is that over three years, FY '25, '26, '27, the average CAPEX is \$2 billion a year and this year will be more around \$1.8 billion, next year will be a little over \$2 billion. So you should think about a cumulative CAPEX altogether, including Bay Minette, of about \$6 billion over three years. So that's the answer to your specific CAPEX question. Can you just repeat exactly what was the second part of the question, so between Steve and I, we just want to be clear on that.

Satyadeep Jain: Sir, the other player, the new entrant into the industry, it's putting up two, there are two CAPEX items, one is the aluminum rolling mill, and the other one is a different kind of EAF where they use different sorting stack but the delay has actually been there on certain, not on the aluminum. So when asked, they said the equipment supply chain comes from China, it is really standardized, so there is less room for surprise. Actually on the EAF where they are saying more surprise, because it's a kind of a proven technology. So, that seems to indicate that the room for supplies on aluminum CAPEX is worse in that supply chain. So just wanted to understand what has Novelis experienced from what they are saying?

Dev Ahuja: Steve, you want to take that?

Steve Fisher: So I guess, even I was trying to understand. So when we went from our original guidance of 2.7, 2.8 to 4.1, we had explained that because we had moved sites and our civil costs had gone up substantially compared to what we had estimated in the budget. So that was I think about one year ago, and we are now at the 4.1 and we are committed to do this project at the time and at the budget

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that we had put in. I think commenting on what the other person is saying and the supply chain from China and all, I am not sure that we have much more to say on that.

Satyadeep Jain: Okay. Second question would be on the India CAPEX. On the alumina one also, I think initially from what we understood was this is going to be a 2 million tons refinery and the CAPEX for 2 million tons was going to be about \$1 billion was our understanding, because there's already infrastructure, the land is right next to Utkal, there is already surplus land which has been acquired over time. So now it's \$1 billion for 850 Kt, is that understanding correct? And was it earlier misunderstanding on our side of estimating \$1 billion for 2 million tons refinery in two different stages?

Satish Pai: We never said \$1 billion for 2 million tons, because it's me who is making the comments. So I think what, let me tell you, it's about Rs. 7,000-odd crores, I rounded it off to \$1 billion. But what we set in place is like Utkal,

this will be built for a 3 million tons refinery. So a large part of the infrastructure, the conveyance systems, the residue handling areas, everything we will build for a 3 million tons refinery. But we put the first line in place, so that's why it's around Rs . 7,000 odd crores.

Satyadeep Jain: Okay. So when you look at three different projects, I think lastly just on execution, it's a very broad plate with three

different large projects in India, and obviously Bay Minette is ongoing. How do you try to de-risk execution? I mean, I am just going back in history when there were multiple projects that risk of execution. So now you are in a phase where you have multiple projects simultaneously, how do you try to de-risk on that front?

Satish Pai: No, that's a very fair question. And I think, if anything, I wanted to tell you that in many ways at Hindalco, we are going to cut out all the other distraction. We are not going to look at any other new opportunities. So the whole management team is focused on these four projects. We have set up a project monitoring team, a project execution team, we have taken external help of some consulting agencies to do that. So, we are very focused that these projects we are going to bring in on time and on budget. And I think that we will be able to do it because we are extremely focused on it now. There is no other thing in the business we will be looking at besides these projects.

Satyadeep Jain: Okay. Thank you and wish you all the best.

Moderator: Thank you. Next question is from Pathanjali Srinivasan from Sundaram Mutual fund. Please go ahead.

Pathanjali Srinivasan: Sir, thank you for the opportunity. I just wanted to get a few things clarified. So you mentioned that the total CAPEX would be \$6 billion, so could you give me this breakdown, what are the assets that we are talking about for the \$6 billion?

Satish Pai: You are talking about the Novelis CAPEX breakdown that he gave over three years, right?

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Pathanjali Srinivasan: Yes, yes.

Satish Pai: Dev?

Dev Ahuja: Yes. So, no, that's not so complicated. So basically if you consider that we have as on date spent about \$1.3 billion when it comes to the Bay Minette CAPEX, we still have around \$2.8 billion to go. And that is going to happen a little bit in the fourth quarter, but most of it will come in the next two years. So, let's say, it's somewhere in the range of about \$1.4 billion is that itself, maybe a little less because this quarter we will spend some more. And then \$300 million to \$350 million is maintenance CAPEX. And then there are other ongoing improvement projects, the debottlenecking projects which are in the pipeline for which cash still has to go out. I mean, there is Logan debottlenecking, there is Oswego for which some cash has to go up. And also, some cash has to go out for some of the recycling projects like the Ulsan project which we have just commissioned, but cash kind of trails a little behind. So there are other improvement projects, debottlenecking projects, ongoing projects which is forming the rest. So that's really how the math works.

Pathanjali Srinivasan: I think you have covered all this in our presentation, it adds up to \$4.5 billion, so I am not able to get the math on the remaining \$1.5 billion that is being spent. And also when you say \$6 billion, is it accumulative of the current year spending? Are you saying next two years and the current year together is \$6 billion, or is it for '26, '27 and '28?

Dev Ahuja: No, what I am saying is that '25, '26, '27, you can take it as cumulative of \$6 billion.

Pathanjali Srinivasan: Okay. And the difference between \$6 billion and \$4.5 billion, can you tell me where the split is going?

Dev Ahuja: Yes. So once again, so we are talking about three years' CAPEX of \$6 billion, so let me try again.

This is '25, '26, '27. We had spent only about \$700 million at the end of last year. So again, I am starting from fiscal year '25, right? So that really means that we have to spend \$3.4 billion out of the total \$6 billion CAPEX in three years, right? So, that is really a big part of it, \$3.4 billion. And the rest, about \$2.6 billion is basically things like maintenance CAPEX, which you can take it about \$1 billion, right. And the rest is other ongoing projects, which i

s debottlenecking expansions, which I already listed earlier. So that's how it all adds up.

Satish Pai: Sir, I think the \$4.5 billion you are confusing with just the strategic CAPEX. What Dev is telling you is that the strategic CAPEX plus maintenance CAPEX plus others is roughly \$6 billion, including the current year we are on and FY '26 and '27.

Pathanjali Srinivasan: Got it, sir. Thank you.

Dev Ahuja: All right.

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Moderator: Thank you. Next question is from Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: Thank you. Could you please repeat the hedge bit again, I missed that earlier on the call.

Satish Pai: So the hedge bit, this current Q4 FY '25, we have 35% of the commodity hedged at \$2,600 per ton. And we had ongoing 15% zero collar with the bottom at \$2,262 and a ceiling at \$2,558. The currency for the quarter is 16% hedged at Rs. 88. And just to round it off, for next year we have

12% of the commodity hedge that \$2,700 per ton and 13% of the currency at Rs. 87.33 per dollar.

Raashi Chopra: Thank you. Then what was the alumina volume that was sold during this quarter?

Satish Pai: Sorry?

Raashi Chopra: Alumina volume, alumina sales.

Satish Pai: Oh, the alumina sales. Alumina sales was 165 Kt in Q3, will be about 180 Kt to 190 Kt in Q4.

Raashi Chopra: On the coal you said that when both Chakla and Meenakshi start then the call cost should go down by about 30%, is that correct?

Satish Pai: From today's level, because it's always important where the baseline you are considering, yes.

Raashi Chopra: And both should start like in about two years from now, like proper coal mining?

Satish Pai: No, no, Chakla box cut is this year. Meenakshi we just got, so it take us two more years to get all the clearances and start.

Raashi Chopra: When you say this here you mean calendar '25 or like now?

Satish Pai: Calendar year '25, FY '26. So, we should be, say, in October, November we are planning for the opening of mine. So coal will start from, let's say, February, March of calendar year '26.

Raashi Chopra: Once both these mines are ramped up fully then you are pretty self sufficient, right, I mean, theoretically?

Satish Pai: That's the plan.

Raashi Chopra: Okay. And just last thing on the CAPEX, India a CAPEX you mentioned would be Rs. 8,000 crores for next year. This year what would be the number and what have you done in nine months for India?

Satish Pai: It's about Rs. 6,000 crores. I think in nine months we have spent Rs. 4,400 crores.

Raashi Chopra: Okay. And the India current cash balance you said was Rs. 1,944 crores, right?

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Satish Pai: Sorry?

Raashi Chopra: Net cash.

Satish Pai: Yes, net cash, yes, because we have about Rs. 14,000 crores in treasury and Rs. 12,000 crores gross debt.

Raashi Chopra: Okay. Thank you.

Satish Pai: Thank you.

Moderator: Thank you. Next question is from Parthiv Jhonsa from Anand Rathi. Please go ahead.

Parthiv Jhonsa: Thank you, sir, for the opportunity. Sir, my first question pertains to the downstream aluminum business, it has been quite a flattish Q-on-Q. By when do you expect this number to start giving over \$200 or \$210 kind of dollar EBITDA number, any words on that, sir?

Satish Pai: Yes, I think in Q4 we should be getting close to that number. And next year I am really bullish on the whole thing because the FRP 2A project will also commission, Silvassa will be ramping up quite well. So the \$200 number we should be getting close to it in Q4, and next year we should be well into those numbers.

Parthiv Jhonsa: Okay. So my your second question pertains to alumina, it has come off quite a bit from the recent highs. Just wanted to understand your take on it, how do you expect it to go going forward?

Satish Pai: Yes, I mean, the \$700 was due to sort of a post majeure type of situation that h

appened with the

Guinea bauxite. I think currently the indexes are around \$500. So, I don't know, it's going to be in that. \$400 Kt to \$500 range. You have to remember the sort of more traditional pricing is more like between \$350 and \$400. So we will have to see the tightness still remains, but currently it's at around \$500.

Steve Fisher: Alright, thank you. Thank you so much.

Satish Pai: Yes. Thank you.

Moderator: Thank you. Next question is from Prateek Singh from DAM Capital. Please go ahead.

Prateek Singh: Hi, thanks. So Mr. Pai, just a question on alumina itself, did we see a flat kind of a price in this quarter on a Q-on-Q basis for sales, because the EBITDA improvement that we are seeing adjusted for the provision of Rs. 97 crores coming in business? Kind of feel like-to-like movement of the change in selling price of aluminum like \$200, would have expected that because we are selling alumina and alumina prices were significantly higher in this quarter, the impact of it would have

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come a bit more. So, for us the transfer pricing or sales pricing for alumina was flat on Q-on-Q basis?

Satish Pai: No, I think the transfer prices in Q3 were higher on a transfer pricing basis. The consolidated or the integrated cost internally we take out any advantage of the thing, but the transfer pricing will follow the market pricing. I think the other one point that has not come up, but I think it was there in our disclosures, and I just want to highlight that for the aluminum upstream business we took Rs. 197 crores of provision related to electricity duty in Mahan on the auxiliary. So this was something that came towards this quarter and we had to take a provision. So the Rs. 197 crores is sitting in the aluminum upstream EBITDA line which you will have to take into account. Then it gives you probably a better picture. The other second thing is the RPO obligations have also gone up. So in Hindalco we take a full provision for the RPO every quarter on the metal prices. So these are the two things that are there in the aluminum upstream EBITDA.

Prateek Singh: Understood. And the second question is lastly on Novelis. So hypothetically, my understanding is that, even if the assumptions are not there, the tariffs are largely neutral for us, right, because the Midwest premium would remain high in that case. Is that the right understanding that even if there are lower tariffs are neutral for us, apart from near term disruptions or noise around it?

Satish Pai: Steve?

Steve Fisher: Yes. So when you say that even if the exemptions are not there, there will be some compensation from the higher Midwest. Yes, we would like to believe that. With the higher Midwest, it does help us widen the spread. So that is directionally the right thinking. We simply do not see a scenario where either between the countries; Canada, US, Mexico, Korea, we simply do not see a scenario that there will not be a settlement soon around reciprocal tariffs, because if you are following what's the latest discussion that is happening, it is about reciprocal tariffs. So, the door has been opened wide open between the countries to discuss reciprocity. And we feel like this is a signal that there will be a solution in the coming weeks. So, we do not see a scenario where this is not going to get resolved through some discussions and negotiations. But if you still want to believe that there will be no exemptions, we do see that the higher premiums will basically help to offset a very large part of the damage from not getting any refunds.

Prateek Singh: Thanks, Dev. Just a follow-up on this. So if you can just remind me what happened last time, so were Novelis and few other players were specifically exempted or it was a part of the entire injunction for Canada which happened later that Canada entirely was exempt, so everybody benefited and not just us? So is it like this time we are applying for the exemption so specifically it would be us, or it would be countrywide like thing for Canada, then we also will be benefited?

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Steve Fisher: Well, so between the US and Canada there was a settlement and duties were kind of exempted for movement of products between Canada and the US entirely, as part of the broader MCA settlement. And when it comes to imports from some of our inter-regional sites like Korea, it goes through an exemption process. Whether everybody benefited from that is difficult for me to say. But basically between US and Canada, it was a broad exemption. And when it comes to countries like Korea, it was basically a specific exemption, continues to be a specific exemption on application. So that's the way it moves.

Prateek Singh: Understood. Thanks a lot for this.

Steve Fisher: You are welcome.

Moderator: Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Hi, good evening. Just I wanted to check what is the hedging gain in nine months of FY '25 for you and was there some hedging booked in Q3 as well?

Satish Pai: Q3 was sort of I think was a wash, it was about Rs. 26 crores negative.

Amit Murarka: Okay. And also, the alumina external sales volume, so you have 1 million ton of excess is what I understand, maybe more than that actually. So, why is that the run rate is still 150 Kt to 200 Kt quarterly?

Satish Pai: We do not have 1 million excess, we have about 700 Kt excess that we sell.

Amit Murarka: You would have what 3.73 million, 3.8 million tons of alumina capacity, right?

Satish Pai: We do have annual maintenance shutdowns in all these refineries as well. The total amount we can produce and what we sell, roughly, it's around 700 Kt.

Amit Murarka: Sure. So this is the optimal run rate what you are at then?

Satish Pai: Yes. I think that we are putting in a boiler in Utah. So when that comes in, then we will get more closer to the 850 Kt that we will be able to sell.

Amit Murarka: And 1 million ton alumina project will commission by when?

Satish Pai: Sorry?

Amit Murarka: The first leg of the alumina expansion, that should get commissioned by when?

Satish Pai: It is somewhere in December of '27. So, on the hedging I have just been corrected. The Rs. 700 crores gain was last year, this year in the first nine months the gain has been Rs. 90 crores. So
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really because of the high aluminum prices, I think, we are more or less running at a wash right now.

Moderator: Thank you. Next question is from Somaiah from Avendus Spark. Please go ahead.

Somaiah V.: Thanks for the opportunity, sir. I have a few questions on Novelis. So first one in terms of Novelis margins, we had alluded three reasons which will help us to kind of revert back to somewhere close to Q2 levels. So one was on contract pricing, the other one was on higher recycling and then operating leverage. If you can give a broad sense of which of these is the largest in terms of drivers which would help us take back?

Dev Ahuja: I missed some words, but were you asking about the Q3 versus Q4, was that your question?

Satish Pai: No, no. He was asking that between scrap, operational efficiencies, the margins are down, which is the biggest impact. I think it's scrap, right, Dev?

Dev Ahuja: Scrap, yes. I mean, it is really scrap which is the most leading cause. We can attribute it entirely to scrap.

Somaiah V.: Sorry sir, my question was on our expectations for Q4 where we expect margins to kind of revise, for which we are alluded three reasons. One is the contract pricing, you also mentioned about higher recycling and then you had said about operating leverage, because we were around close to 400 and then 475, 480 Q2 levels. So just trying to understand which would help

help us larger in terms of quantum in getting back there.

Dev Ahuja: Yes. So clearly we get a big boost from operating leverage because the volume for Q4 are going to be meaningfully higher. As we keep saying that you can expect Q4 volumes to be more around the lines of Q2, we had 904 Kt in Q3, that will be one. Second, after that pricing is going to provide us a meaningful upside, and the rest will come from, let's say, more scrap consumption and other factors. So that is really how I would say it. So I would say that volume, operating leverage therefore, and pricing are the two big factors in Q4 versus Q3.

Somaiah V.: Got it. So this is because we are able to pass on some higher cost, because earlier we used to have this cost indexation and here we are able to pass it on. Is it cost-led take back from customers, or is it the market environment allows us to take a higher pricing at this point in time?

Dev Ahuja: We have new contracts, higher priced contracts which are taking effect from January 1, and that is what is helping us. So, I am not talking about the inflation indexation here, I am talking about the repriced contracts in particular.

Somaiah V.: So these are existing contracts that have come up for renewal of these are completely fresh contracts where we are able to have a higher price?

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Dev Ahuja: No, these are the contracts that we have entered into. We have been saying that beverage contracts will continue to give us a higher pricing. So these are contracts which have become effective. And these are long-term contracts on higher pricing. So you can call it contracts which are renewed, but at a meaningfully higher price.

Somaiah V.: Understood. The reason why I am asking this that the contracts are typically three to five years, which means maybe 20%, 30% of the contracts come up for renewal in a year. Which means a similar exercise something that's possible next year when we again come for a renewal, that's the reason I want to understand this.

Dev Ahuja: Yes. So, again, what we have been saying is that the contracts that we have entered into now are much longer tenure contracts generally. So yes, I mean, generally I can only say the same thing that our contracts are now coming at higher prices in beverage packaging. And some contracts will come every year for renewal, but a big bulk of the contracts have really been renewed at higher pricing right until the end of the decade. So overall, the key message here is that, can has been repriced, will continue to get repriced. And that benefit will be seen. Has been seen, but will be seen starting again from Q4 as new contracts come in.

Somaiah V.: Understood, sir. Sir, also on the scrap outlook, so just keeping the tariff aside, so in general you see now two, three months of this change in regulation in terms of imports for China. So, how are we feeling next six months or one year? Have we seen the max impact of scrap prices going up? Or the demand for scrap will only continue to go up and the prices will only continue to go higher?

I am keeping the tariff aside. So in general, I mean, is oversupply in to the market going to be more secondary than primary, and then it's going to certainly keep the market higher? Just your thoughts on that.

Satish Pai: Dev, you want to take that?

Steve Fisher: Yes, sure. So, I mean, in the short and medium term, it is hard to predict. As we said on our call earlier in the week, we do think that the overall scrap pricing in the market is starting to peak out.

Now, how much it moderates back in the short term, medium term is hard for us to predict. We do think that we will be at new levels, higher levels of scrap pricing on a longer term basis. What will moderate that back down is, new technology, efficiency in collection of scrap until your scrap's being used in processes, higher recycling rates and so forth,

that will take time to ultimately see the overall impact into the marketplace.

What we at Novelis are doing to protect our margins is to address this headwind that we see is more structural through looking at cost efficiencies, operating efficiencies, portfolio optimization, procurement savings. And we have a number of initiatives that we have launched and are in process. We are not in a place to talk specifically about the total impact of all those projects and the timing, but in the early April time frame we will be able to lay out in a bit more detail what

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some of those are, so that you can better understand how we progress back towards our longer term EBITDA per ton of \$600 per ton over the next several years.

Moderator: Thank you. Next question is from Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead.

Ashish Kejriwal: Yes. Hi. Good evening, everyone. So is it possible to share the revenue aluminum which we have sold?.

Satish Pai: Sorry?

Ashish Kejriwal: Is it possible to share the revenue of alumina which sold? We have given the volume, but we haven't shared the revenue, is it possible to share that?

Satish Pai: No, we do not give out that, we can only give you the volume, sorry.

Ashish Kejriwal: Okay. So to put it differently, is it possible to share how much alumina price changes for you in this quarter versus last quarter? I do not want the absolute number, but even if the change if you can give, because we sell on spot as well as on contract basis. So I was just wondering what kind of change we have seen in alumina prices for 3rd Quarter versus this quarter.

Satish Pai: You are talking about Q2 to Q3 what was the alumina price movement, is it?

Ashish Kejriwal: Yes, yes, for us.

Satish Pai: Q2 to Q3, I think it followed the index. I think the index was around \$375 in Q2 and the index has been around \$700 in Q3. So that broadly should tell you the pricing. And as I was saying, currently in January, February it's running at \$500.

Ashish Kejriwal: Understood. But do you think that we sell everything on spot basis or there's a contract basis also?

Satish Pai: No, no. Quite a lot of it is on a contract basis, and some parts of it have even got linkage to LME.

So you are absolutely right, unlike NALCO or something, we do not have the full advantage of the index.

Ashish Kejriwal: So that's what sir I was asking, is it possible to share the delta which we have witnessed in our average alumina price.

Satish Pai: No, we do not share it. We would rather not give that.

Ashish Kejriwal: No issues, sir. Sir, the second question is our alumina refinery that's coming on December 2027, and we have already signed with OMC. So this is for 1.5 million tons bauxite, how much volume, is it 2 million tons, or the entire 6 million tons we have signed MoU with them?

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Satish Pai: We have signed for 3 million tons of bauxite, that is enough for 1 million tons of alumina.

Ashish Kejriwal: Okay. And any pricing also we have signed, or this will be decided on something different basis?

Satish Pai: So there is a formula for the pricing. I will get Subir maybe offline to explain that to you.

Ashish Kejriwal: Sure, sure. And thirdly, in terms of Novelis when Dev and Steve was talking about scrap prices.

Is it fair to assume that the high scrap prices have already hit or will hit in our P&L in fourth quarter? And thereafter, maybe, assuming that further scrap prices do not move, that will not change on an increasing trend from first quarter onwards?

Satish Pai: I think that is what Steve just answered in the previous question. I mean, it's difficult to say, but he thinks it has peaked, the scrap prices.

Ashish Kejriwal: So, sir, pricing is different, sourcing is also getting difficult, or we are able to source it at a higher price also?

Satish Pai: Steve, you want to take that?

Steve Fisher: Yes. So we are not worried about sourcing, from a volume standpoint we are getting what we need

in the marketplace, it is just more about the pricing itself. As Dev said, one of the drivers in the fourth quarter is our ability to process more scrap metal through the system in our fourth quarter, which still even at the pricing that we see today is an advantage from an overall operating cost efficiency standpoint.

Ashish Kejriwal: Understood. And sir, lastly on this only, when we are saying that normally we are recycling 61% of the volume, and we have commissioned few recycling plants also. So any guidance which we can give for FY '26 that how much we will produce it through the recycling rate?

Steve Fisher: Yes. So as you know we are commissioning our auto recycling facility at Guthrie, Kentucky, that's underway and progressing. So that will increase the overall volumes throughout 2026 as we get to full capacity of 240 Kt. And then the other one that we are commissioning is our 100% owned UAL recycling facility that started in the month of January, and again will progress over the following several quarters. So there is a good momentum in both operating efficiency at our current facilities and new capacity coming online to absorb more scrap volume.

Moderator: Thank you very much. Due to paucity of time, we will have to take that as the last question.

Participants may connect with the Investor Relations team for further questions. I would now like to hand the conference back to Mr. Satish Pai for closing comments.

Satish Pai: Yes. Thank you, everyone, for your attention. I guess this quarter sort of shows the benefit of our integrated business model between upstream and downstream, because as you see the downstream

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has a little bit of headwind, the upstream has tailwinds. So the consolidated results come out quite well. So, with that, I thank you for your attention.

Moderator: Thank you very much. On behalf of Hindalco Industries Limited, that concludes the conference.

Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

Hindalco Industries Limited

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May 26, 2025

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Earnings Conference Call held on May 20, 2025, for the financial results of quarter and financial year ended March 31, 2025 is enclosed herewith.

The above details along with the audio recording of the Earnings Call are also available on the website of the Company i.e. www.hindalco.com.

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a Sub: Transcript of Earnings Conference call of Hindalco Industries Limited ["Company "] for the financial results of quarter and financial year ended March 31, 2025.

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ["Listing Regulations"];

b.ISIN: INE038A01020 and

c.Our Intimation dated May 8, 2025.

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"Hindalco Industries Limited Q4 FY '2025 Earnings Conference Call "

May 20, 2025

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR , HINDALCO INDUSTRIES LIMITED

MR. BHARAT GOENKA – CHIEF FINANCIAL OFFICER , HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT & CHIEF EXECUTIVE OFFICER , NOVELIS INC.

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER , NOVELIS INC.

MR. SUBIR SEN – HEAD, INVESTOR RELATIONS , HINDALCO INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Hindalco Industries 4th Quarter Results for FY '25.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you, sir.

Subir Sen: Thank you, and a very good afternoon or morning, everyone. On behalf of Hindalco Industries, I welcome you all to this earnings call for the 4th Quarter of Financial 2025.

In this call, we will refer to the Q4 Financial Year '25 Investor Presentation posted on

our Company 's Website . Some of the information on this call may be forward -looking in nature and is covered by the Safe Harbor language on Slide # 2 of the said presentation.

In this presentation, we have covered the key highlights of our consolidated performance for the 4th Quarter of Financial Year ' 25 versus the corresponding period of the previous year. A segment wise comparative financial analysis of Novelis and our Indian aluminum and copper businesses is also provided. The corresponding segment information for prior periods have been restated accordingly for a comparative analysis. Today, we have with us on this call from Hindalco's Management Mr. Satish Pai – Managing Director; and Mr. Bharat Goenka – Chief Financial Officer. From Novelis' Management , we have Mr. Steve Fisher – President and CEO; and Mr. Dev Ahuja – Chief Financial Officer.

Following this presentation, this forum will be open for questions -and-answers. Post this call, an audio replay of this will also be available on the Company 's website.

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Now , let me turn this call to Mr. Pai to take you through the Company 's performance and key highlights of the 4th Quarter Fiscal '25.

Satish Pai: Yes. Good afternoon and good morning, everyone. Thank you for joining Hindalco's Earnings Call today.

On Slides # 4 to #10 of this presentation, you can see our achievements and progress across various metrics for ESG for this year versus prior periods.

Let me take you through the key highlights :

So let me reiterate and start with the good news. Hindalco has been recognized as the world's most sustainable aluminum Company for the fifth year in a row, achieving highest -ever ESG scores in the S&P Global CSA ranking. It's the only metal Company of the four Indian companies to be placed in the top 1% of the DJSI Sustainability Yearbook 2025.

Safety is a top priority at Hindalco, and I am pleased to report that there were no fatalities this quarter across our Indian operations. Our LTIFR in the Financial Year 2025 stood at 0.26, slightly higher than last year due to increased project -related activities. In the Financial Year 2 025, 85% of the total waste generated was recycled and reused. We achieved recycling of 111% of bauxite residue excluding Utkal, and 102% of ash this year. We are proud to share that our Belgavi and Muri plants have achieved zero waste -to-landfill certifications this quarter. Hindalco's total number of zero waste -to-landfill certified units has reached 8 out of a total of 19 units.

Water conservation remains our key focus. As of date, 16 of 19 Hindalco sites met zero liquid discharge standards. Our downstream facility in Chakan has successfully met the zero liquid discharge standards this quarter. We also made significant progress in water recycling, with 18.26 million cubic meters of wastewater being recycled and reused this year. This is 25% of the 73.53 million

cubic meters of total water consumed in Financial Year 2 025.

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Further, we continue our journey towards water positivity with CII Triveni under NITI Aayog's Water Positivity Framework. The certification assessment for five of our manufacturing units, Aditya, Utkal, Hirakud, Alupuram and Belgavi are underway. These units are being assessed under the Aspiring category and has an identified potential to save 17,512 cubic meters of water. This will lead to an annual reduction of 5 million cubic meters via rainwater, harvesting, process optimization and recycling. These eff orts show our strong commitments towards efficient resource management and broader responsibility towards the community at large.

Our commitments towards biodiversity remain strong, restoring natural ecosystems in and around our area of operation. In this quarter, our biodiversity management plans were now implemented across 22 of our manufacturing locations, that is 10 plants and 12 mines. The biodiversity management plans are now being implemented additionally at seven of our plants and 11 mines. We have also initiated pilot projects focused on offsite plantation and habitat restoration, including degraded land rehabilitation. As a part of our afforestation efforts, 5.33 lakh trees were planted during FY '25.

Our total renewable energy capacity, primarily solar and wind, stands at 189 megawatts. Recently, we commissioned 6.3 megawatts of solar capacity at Mahan. We are set to

add another 9 megawatts of solar and 100 megawatts of hybrid capacity with storage in the first half of Calendar Year '25. Post this, we are well aligned towards our target of reaching 300 megawatts of renewable capacity in the first half of Calendar Year '25. Our aluminum -specific GHG emissions in Financial Year 2025 was recorded at 19.39 tons of CO2 for producing a ton of aluminum . This was flat compared to the last fiscal. Let me now give you a glimpse of our quarterly consolidated performance this quarter versus the same quarter of last year on Slide #1 2:

Our consolidated business segment EBITDA was up 24% year -on-year at Rs. 9,774 crores this quarter. The consolidated net profit after tax was up 66% on a year -on-year basis at Rs. 5,284 crores this quarter.

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At Hindalco India business level, our business segment EBITDA was up 56% year -on-year at Rs. 5,671 crores. The net profit after tax was up 63% on a year -on-year basis at Rs. 3,208 crores this quarter. In our Indian aluminum business , for Q1 FY '26, we are currently hedged at around 15% of the commodity at a price of \$2,695 per ton, and hedged 13% of currency at Rs. 86 per dollar .

On the balance sheet side, our consolidated net debt stands at Rs. 35,332 crores . In the Indian operations, we have a net cash of Rs. 7,187 crores, while Novelis' net debt stands at Rs. 43,485 crores at the end of March 2025. Hindalco , at the consolidated level , continues to maintain a strong balance sheet with a net debt to EBITDA well below 2x at 1.06x at the end of March 2025, which is much lower than last year. All our strategic CAPEX in India are mapped with cash flow generation in the business and are in line with our capital allocation policy.

Coming to our business -wise performance this quarter :

Novelis' shipments were at 957 KT versus 951 KT in the prior period, up 1% year -on-year. Novelis delivered a quarterly EBITDA of \$473 million, down 8% year -on-year due to higher aluminum scrap prices and operating costs. The resultant EBITDA per ton stood at \$494 per ton versus \$540 per ton in the previous quarter, down 9% year -on-year.

All our expansion projects including Novelis' Bay Minette project are progressing well and as planned. We have also maintained the recycled content of our products at 63% in fiscal 2025. We are actively implementin

g initiatives and technologies to diversify our scrap input types, which we believe will help address current elevated scrap costs while continuing to deliver the high recycled content aluminum solutions our customers prefer.

On Hindalco's India upstream aluminum performance this quarter, shipments were down 2% year -on-year and revenues were up 22% year -on-year. This quarter, we achieved a record quarterly EBITDA, which was up 79% year -on-year at Rs. 4,838 crores, primarily driven by lower input costs and favorable macros. The resultant record

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EBITDA per ton stood at \$1,684, which was higher by 74% year -on-year. EBITDA margins were also at a record high of 47% this quarter and continue to be the best in the global industry.

This quarter, the Indian Downstream Aluminum business delivered a record performance. Quarterly shipments were flat year -on-year at 105 KT. Aluminum Downstream delivered an all -time high quarterly EBITDA of Rs. 219 crores, up by 52% year-on-year this quarter versus Rs. 144 crores in the prior period, driven by higher realizations and favorable product mix. The resultant EBITDA per ton stood at \$240 a ton, higher by 46% year -on-year this quarter.

On Hindalco's copper business performance this quarter, our overall metal shipments were at 135 KT, flat year -on-year, of which copper rod volumes were at 109 KT, up 12% year -on-year. Our quarterly copper EBITDA stood at Rs. 614 crores, down 21% year-on-year on account of lower TcRc.

Now let me give you a glimpse of the current broader economic environment in slides 15 and 16. After a resilient 2024, the global economy entered a phase of renewed uncertainty with the recently announced US tariff measures. The impact is expected to be seen on other economies, particularly emerging markets, through channels such as trade, slower global growth and weakening consumer and investor confidence. As per IMF, global GDP growth is projected to slow down from 3.3% in 2024 to 2.8% in 2025

amid US trade policy and rising trade tensions between US and China. GDP growth in both US and China is expected to moderate to 1.8% and 4%, respectively, in 2025, a 1% drop from 2024 levels.

However, going forward, the extent of the impact will be determined by US bilateral trade negotiations with major economies. Recently, both US and China agreed to cut tariffs bilaterally for a 90 -day period, temporarily easing trade tensions. Despite the headwinds, the global headline inflation is expected to ease from 5.7% in 2024 to 4.3% in 2025, even though inflation is expected to rise. Monetary policy will require a careful

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balance with central banks likely to approach rate cuts cautiously to support growth without driving inflation.

Amidst a challenging global environment, India's economic momentum has remained resilient. High -frequency indicators present a mixed picture. Looking ahead, RBI forecasts GDP growth to hold steady at 6.5% in FY '26 versus FY '25, with growth expected to moderate slightly in the second half of FY '26. Improved demand in both rural and urban and a resilient service sector bode well for growth outlook. While headwinds from global trade disruptions pose a downward risk to growth, the impact will depend on the extent to which US tariff actions are dilutive to bilateral trade negotiations.

Headline inflation is expected to ease to 4% in FY '26, down from 4.6% in FY '25, moving closer to the RBI's medium -term target. As per RBI, growth is still moderating and recovering, and there is a need for monetary policy to nurture domestic demands to give further impetus to growth momentum. In response to the evolving growth inflation dynamics, RBI has further reduced policy rates by 25 bps to 6% in its latest Monetary Policy Review.

Moving on to the aluminum industry outlooks on S

lides # 17 and #18:

Starting with Slide #1 7, in China, production in Q1 Calendar Year ' 25 reached 10.6 million tons, with consumption increasing to 10.7 million tons, resulting in a deficit of 0.1 million tons. The growth in demand was primarily driven by a 31% rise in solar installation and a 50% increase in new energy vehicle production. However, the construction sector continued to face challenges with declining investment. Moving on to the rest of the world, production was at 7.3 million tons, while consumption was slightly lower at 7 million tons, resulting to a surplus of 0.3 million tons this quarter. While demand in Europe was weak, countries such as India, Indonesia, Brazil and Turkey showed growth. As a result, the overall global aluminum market recorded a marginal surplus of 0.2 million tons in Q1 Calendar Year ' 25.

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Turning to India on Slide #1 8:

The aluminum demand in Q4 FY '25 is expected to reach 1.435 kilotonnes, reflecting an 18% year -on-year growth. The key demand drivers were strong growth in the electrical segment, particularly cables and conductors, along with robust demand in packaging and consumer durables. The building and construction segment demand remained stable.

Global FRP demand remains resilient, with strong momentum across key end markets. Beverage packaging continues to witness robust growth globally, supported by rising consumption and a clear shift in packaging preferences towards sustainable solutions such as aluminum .

In the automotive segment, light -weighting remains a key demand driver, particularly in North America , where a favorable vehicle mix of SUVs and trucks support higher aluminum usage. However, growth in China has moderated to a shift in vehicle mix , while tariff uncertainties in Europe and North America are adding to near -term volatility.

In the Specialty segment , we are seeing seasonal pickup in building and construction demand. The US housing market remains structurally undersupplied, and potential favorable trade rulings could further benefit the domestic light gauge market.

Aerospace demand remains robust backed by multi -year OEM order backlog and a rising focus on sustainability. However, supply chain constraints continue to limit OEM production ramp -up. Additionally, geopolitical tensions and trade policy uncertainties remain key watch factors.

Overall, while certain regions face policy -related headwinds, the medium to long -term outlook for global FRP demand across the end -use sectors remains positive, driven by strong sustainability tailwinds and secular growth drivers. The Indian FRP demand in Financial Year ' 25 is expected to grow by around 17% on a year -on-year basis, led by a strong demand from packaging and consumer durables.

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Turning to the copper industry on Slide #20 & #21:

In Q1 Calendar Year ' 25, Chinese production reflected a growth of around 1% year -on-year, reaching around 3 million tons, while consumption increased by around 6 million year -on-year to 3.5 million tons, resulting in a deficit of around 0.5 million tons. In the rest of the world, production degrew by 3% year -on-year at 3.5 million tons, while consumption increased by around 2% year -on-year to 2.9 million tons, leading to a surplus of 0.7 million tons this quarter. As a result, the overall global production of copper degrew by around 1% on a year -on-year basis at 6.5 million tons, and consumption increased by around 4% year -on-year at 6.4 million tons, leading to a surplus of 0.1 million tons this quarter.

On the domestic front, in Q4 FY '25, market demand, including domestic supplies and scrap, increased by 1% year -on-year at 224 KT versus 222 KT in Q4 of FY '24. Domestic producer s' share increased to 83% in Q4 FY '25 versus 70% in the same period last year. The annual TcRc

benchmark for 2025 settled at 5.45 cents per pound, representing a 73% year -on-year decline from 20.5 cents per pound in 2024. Concentrate markets continue to be extremely tight, resulting in declining spot TcRc terms.

The market is expected to remain under pressure in the short to medium term until market rebalances through potential smelter closures or through new mining capacity additions.

Details of the operational and financial performance in each of our business segments this quarter compared to the corresponding period of last year as well as previous quarters are covered in further slides and annexures in this presentation.

Now let me conclude today's presentation with some key takeaways :

Hindalco is future -ready aligning to its core philosophy of Engineering Better Futures. Our strategic focus to double down on upstream capacities in both aluminum and

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copper , and our target to quadruple our downstream EBITDA by FY '30 from the base of FY '24 remains intact. Hindalco delivered a record -breaking performance in FY '25 across value streams, driven by strong operational resilience, cost discipline and sustainability leadership.

Our India operations continued to show exceptional performance, achieving an all-time high EBITDA and industry -best margins in the Aluminum Upstream business. Our cost position is expected to strengthen further as we progress towards enhancing resource security through our captive coal and low -cost alumina. All our major expansion projects are progressing well and on schedule. The Chakla and Meenakshi coal mines, Aditya smelter expansion, along with the new Kansariguda alumina refinery, copper smelter expansion projects are advancing swiftly in line with our strategy.

The proposed acquisition of the Bandha coal mine by Hindalco, subject to shareholders and other regulatory approvals, aims to meet the Company 's strategic objective of securing resources for its aluminum smelter. This coal mine has a life of around 45 years and is within 20 kilometers from our Mahan smelter and will help build a sustainable coal supply chain in the foreseeable future.

On the aluminum downstream front, we delivered the highest ever profitability for the quarter and full year FY '25. Our Specialty Alumina business delivered record shipments this year and is now scaling up its capacity to 1 million ton supported by differentiated high margin product portfolio in this segment.

Our state -of-the-art battery enclosure facility in Chakan has delivered 10,000 enclosures to a leading Indian automotive OEM for its eSUVs, reinforcing our strategic entry into the fast -growing EV component space. Our Aditya FRP project remains on track with target commissioning in FY '26, taking total downstream capacity to 600 KTPA.

Our copper tubes, including the inner grooved tubes plant, is now ready to commission

to serve India's electrification drive. Our Specialty Alumina precipitated hydrate value-added product project at Belgavi remains on track and is expected to commission this May 20, 2025

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quarter. Novelis achieved an all-time high beverage can shipments, though EBITDA for the year was muted due to the impact of tighter scrap spread.

Looking ahead, we are structurally transforming our cost base to protect margins and strengthen our profitability in Novelis. Our 3x30 Vision drives this commitment to increase recycled content to 75% by FY '30, reducing carbon intensity and boosting returns to strategic investments in Bay Minette.

Novelis maintained a strong 63% recycled content this year, driven by successful commissioning of two advanced recycling centers at Guthrie in the US with 240 KTPA capacity and at Ulsan in Korea with 100 KTPA capacity. These assets will not only expand our scrap processing capacity but also reinforce our sustainability

edge,

enabling an estimated 1.5 million tons of carbon savings annually.

We also make good progress on structural cost improvement and efficiency plans by idling one of our auto finishing lines in China due to subdued regional demand. And exiting two North America specialty facilities to consolidate capacity and drive higher asset utilization. Our 600 KT greenfield rolling and recycling facility at Bay Minette is progressing steadily with over 90% of engineering now complete.

Alongside our ongoing high-return debottlenecking projects, our total rolling capacity will reach 5 million tons, and our EBITDA per ton is expected to reach \$600. Our disciplined capital allocation, superior execution and focus on high-value segments will help deliver sustainable growth regardless of near-term market volatility. Hindalco is not just prepared for the future but is advancing into its next phase with its scale, purpose and confidence.

Thank you very much for your attention, and we now open the forum up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Amit Dixit from ICICI Securities. Please go ahead.

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Amit Dixit: Yes, hi. Good evening, everyone, and thanks for the opportunity. Congratulations for a good performance. I have two questions. The first one is on downstream aluminum business. After quite a few quarters, we have seen that the EBITDA per ton has increased quite, I would say, quite sharply. I just wanted to understand, Part A, the kind of product mix change that you were talking about, if you could explain it a bit. And secondly, is it the new structural EBITDA per ton that we should expect or there could be some volatility around this?

Satish Pai: So, I think that over the next few quarters, Amit, you are going to see the product mix gradually improving and stabilizing. So, in the short term, in Q4 there was a lot of packaging, foil stock that added, and foil stock demand was very high so the pricing was also very good. We also started to put more value-added engineered products like the battery enclosures. And you are going to see things like aluminum AC fin, and on the copper side IGT. So, all that is going to come out in FY '26. So, we are fairly confident that in FY '26 and going forward, the downstream EBITDA is going to steadily increase. Yes, there could be some sort of short term, depends on market conditions. But I would be very confident in saying that the downstream EBITDA and downstream product mix is going to steadily increase from this point onwards. Also, the second point is that 160 KTPA FRP in Lapanga is also commissioned. Silvassa Extrusion 36 KT will fully commission this year. The copper IGT plant is commissioning this quarter, and the aluminum AC fin is also commissioning this quarter. So we have quite a variety of higher product mix, products both on aluminum and copper coming into the market.

Amit Dixit: Got it, sir. The second one is on, a little bit intrigued by your greenhouse gas emission intensity. Now, if I look at it, despite our various endeavors putting up solar capacity progressively, it has actually remained constant year-on-year. And in fact, if I compare it to FY '23, it has gone up slightly. So just wanted to understand why is it so? And is it the peak greenhouse gas intensity that we have hit?

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Satish Pai: See, if you have got 90% coal around that 19 is the theoretical number that you can get to. So, until our 100 megawatts of round-the-clock renewables kicks in in Aditya, that's when you will start to see the first phase, and then we are going to add 200 megawatts more. So, as that renewable goes in, then you will see the carbon intensity going down. But you have to realize, let's take alumina

a, Belgavi for more than half the year was running completely on renewables. So our alumina carbon footprint has dramatically gone down. Now, if you take Dahej and copper, we now have a hybrid power being fed in. So the carbon intensity of the copper has also significantly gone down. So the real challenge for us is the aluminum smelter, and that will only go down as more round the clock power starts to come in renewables.

Amit Dixit: Okay. So, just for the sake of clarity, this aluminum intensity that you report, that does not include alumina, it's only aluminum?

Satish Pai: It's only aluminum, yes.

Amit Dixit: Okay. Thank you so much. I have other questions. I will get back in the queue.

Satish Pai: Thank you.

Moderator: Thank you. Our next question comes from the line of Prateek Singh from DAM Capital. Please go ahead.

Prateek Singh: Hi, sir. Congrats on a good set of numbers. The first question is largely, if you can elaborate a bit further on the EMIL mining acquisition and also the note about getting an offer about Novelis Fairmont sale.

Satish Pai: So let me take the first part. So, in our coal security, if you remember, we got Chakla, which we had planned for Renuagar. We got Meenakshi West, which was for Aditya and Hirakud smelters. And the only smelter that we were still exposed was Mahan. And Mahan is in the Northern Coalfields where coal availability over the years has been going down. And Northern Coalfields' main customer is the IPPs in North India. So, we have been eyeing how to get that coal security.

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And now, as per the regulations, and as we said we still got some more clarifications to get from the government, but Bandha has now got its mining lease, that means FC1, FC2, EC have all been done. And hence, as per the regulations, we can take over the subsidiary at cost, which is what we have today presented to the Board and we are progressing with, and we will take shareholder approval. But once we get Bandha, Mahan is secured, because Bandha is 18.5 kilometers from Mahan. So, the future of Mahan, any further expansion of smelter in Mahan, we are now secured from a coal point of view. So it's a fairly significant event for Hindalco.

Prateek Singh: And about the Novelis Fairmont?

Satish Pai: Yes, Dev, Steve, you want to take the Fairmont question?

Steve Fisher: Yes. So, on Fairmont, after announcing that we were moving towards closing the facility in late March, we were approached in early April, we have entered into a non-binding letter of intent to see if we can sell the property. That time period is coming to an end, and we will see if we can get to an agreement or not. If not, we will move forward with the closure of Fairmont over the next few months.

Prateek Singh: Understood. And my second question, sir, is about Slide #18. On Slide #18, it kind of seems that over the last two years, while demand is up at a CAGR of 12%, imports, excluding scrap, have risen quite sharply, around 55% plus over two years, while scrap imports have largely remained flat. So what kind of imports are these? I would assume these are in primary aluminum. Are these finished goods, which currently Indian players are not producing or are not capable of producing? If yes, would a downstream capacity expansion help substitute these?

Satish Pai: So, very specifically, this sudden splurge was because of aluminum coming to make solar panels. So there was a big demand for solar panels that were being assembled, and a lot of that aluminum came in at cheap price from China. Government has subsequently put tariffs and duties on it. And I do not think you are going to see that. But it was this sudden splurge from about 1 million to 1.2 million, a large part of it was aluminum for solar frameworks.

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Prateek Singh: Unders

tood. But is it aluminum --

Satish Pai: It would not continue, because now the duties have been put in on the solar , so they have to manufacture it in India, so it's not going to continue going forward.

Prateek Singh: Understood. Thanks, and all the best , sir.

Satish Pai: Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes, hi. Thanks for the opportunity. So I had a couple of data questions first. Like, what was the alumina sales volume in Q4? And also , what was the hedging gain that you booked in the quarter?

Satish Pai: What was the hedging gain?

Amit Murarka: Yes, yes, the hedges that you run, what was gain on that? And what was the alumina sales volume?

Satish Pai: So the hedging gain was a wash. I mean, we did not gain or did not lose on the hedging side.

Amit Murarka: Yes, right. Yes, of course , I can understand.

Satish Pai: And the alumina sales, we sold 172 KT in the last quarter, and we will be selling about 190 KT in Q1.

Amit Murarka: Okay. So generally, like, to understand the alumina business a bit better, these sales that you make are all on spot basis, or there are some contracts also that go in it?

Satish Pai: No, we have quite a lot of contracts. So I think the last quarter also I had mentioned that when spot prices spiked, we did not get the full benefit, because we have long -term contracts. And some of these contracts are sort of 50% based as a percentage of LME

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as well as the Platts Premium, which is the index for alumina. So because we sell about 700 KT, 800 KT, we have thought it prudent to have some longer -term contracts , we are not fully on the spot.

Amit Murarka: Understood. And also, could you guide us on the aluminum COP for Q1? And what was the number in Q4?

Satish Pai: In Q4 we were 1% down versus Q3. And looking at Q1, we could be flat to 1% up, because CP coke prices have gone up , coal looks okay for now. So, flat to 1% up in Q1.

Amit Murarka: Sure. Understood. And lastly, on the Aditya FRP, by when that should start contributing to volumes.

Satish Pai: June. Already we have sold about , I was there the day before yesterday , we have started to sell about 20 coils of foil stock already. June will be where the volumes will pick up.

We are planning about 60 KT to 70 KT of commercial sales this year.

Amit Murarka: Got it. That's all from my side. Thank you.

Satish Pai: Thank you.

Moderator: Thank you. Our next question comes from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes. Good evening, sir. Thank you for the opportunity, and congratulations on very strong numbers. Sir, the first question is on Slide #3 2. If you see quarter -on-quarter, alumina or aluminum EBITDA per ton has gone up by \$200. Is it possible to share some sort of a bridge as to what has led to this \$200 increase? How much is cost? How much would be the top line value addition? And maybe what is the alumina sales contribution ?

Satish Pai: So I do not have the bridge, but I think you have been touching all the points. So the cost was 1% lower . Alumina sales contributed. The specialty chemical sales did well.

So, all this is in the upstream EBITDA.

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Sumangal Nevatia: Okay. Everything was not tying up. So just on alumina's sale, did we benefit a lot because of some land price increase versus what the spot was? Is it possible to share what realization was alumina versus 3Q in 4th Quarter ?

Satish Pai: No, I think if you remember, Sumangal, in Q3 I had said that many of our prices are sort of M -minus -1 or Q -minus -1. So the higher prices in Q3 , I remember some of you asking me we did not get the full impact, whereas one of our competitor had a record quarter.

Well, some of the Q4 sales benefited from that higher pricing that was there in Q4.

Sumangal Nevatia: Understood. So for our calculation one quarter lag is what we should kind of --

Satish Pai: It's not one full quarter lag. That's not the way I would put it. Because we sell every

month some shipments , the ones that came in January took advantage of the higher pricing, whereas by March we were back to when the index came down to 350 , we were back down.

Sumangal Nevatia: Understood. That's very clear. Sir, on the downstream EBITDA, I mean , so you said you expect a steady increase. Any medium -term guidance should be kind of take something like a \$300 on a quarter basis going forward or gradually maybe in few quarters?

Satish Pai: I have been sort of internally guiding \$250 to \$300. It depends a little bit on how the FRP ramps up, how Silvassa gets commissioned. But I think it's between \$250 to \$300 this year. I think after this year, going forward, we will be comfortable giving a much more tighter range.

Sumangal Nevatia: Got it. And sir, what is our captive coal from Chakla expectation in terms of volumes in FY '27 -'26?

Satish Pai: So, Chakla, the box cut we are expecting to be somewhere around March, April of next year. So the coal production should start probably by December of next year.

Sumangal Nevatia: Okay. And another one year to ramp up gradually?

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Satish Pai: Yes, yes. I think FY '28 will see the full benefit because even Bandha, the new mine that we should be getting, actually the box cut starts even earlier, but the stripping ratio is high. So by FY '28 you should have both Chakla and Bandha running, which will be a major relief to Hindalco.

Sumangal Nevatia: Understood. And just one last thing on copper , should we expect this Rs. 600 crores kind of run rate on a quarterly basis given the new TcRcs have set in?

Satish Pai: Yes, I think, in the past we have been guiding Rs. 600 crores and doing more. But this time we will guide Rs. 600 crores and probably do Rs. 600 crores , Sumangal.

Sumangal Nevatia: Got it. Thank you so much, sir. And all the best.

Satish Pai: Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you. First question , there's a slide on the project progress where you are stating that alumina upstream refinery are on track on status. Just wanted to check where is the engineering ordering and all that gives you confidence that the projects are on stage ? I just wanted to understand from capital cost, timeline, where have you progressed on this?

Satish Pai: Refinery, majority of the engineering is complete. All the big lead items have already been placed. So on the Aditya refinery, we are fairly comfortable as to where the project is going and what time it will commission as per our plan , so nothing there. The copper recycling plant also land broken, all major equipment orders put, engineering more or less complete. So the two projects that are advanced we are quite comfortable. Do not expect any surprises there. The two newer projects, which is the aluminum smelter and the copper smelter , that we are in getting the EC stage and doing engineering etc. going on now.

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Satyadeep Jain: So those projects, there could be an element of surprise , because you were mentioning these are on track on status , just wanted to know, the engineering is still not complete so those two projects, there could be some surprises here or there ?

Satish Pai: So Satyadeep, I do not think so. I think that the confidence on being 100% is when the engineering is done. So that's the only thing we are saying. It does not mean that the smelter just because we are doing the engineering, we expect a

surprise , that's not the way I would look at it.

Satyadeep Jain: Okay. On the Essel Mining Bandha coal block, just wanted to understand. Because I have seen Essel Mining over period they lost all the iron ore block after 2020 merchant auction . More or less it seemed like coal was the way to go, and these are rated bonds that they sponsor also. So, with Hindalco taking away the coal blocks on a cost basis, this is a related party transaction that's why I am trying to understand what is the rationale for Essel Mining ? Is it just to develop coal blocks and give it away to other entities at cost ? And how would the lenders also look at this?

And then tied to this would be , when you look at Hindalco between Chakla, Meenakshi and now Bandha coal block, I mean, the Company is going with coal and on the other

hand there is also the intent to lower emissions in the RE -RTC. So how does all these coal acquisitions tie up with that RE -RTC that the company has.

Satish Pai: Good questions, so let me try to go one by one. I think for Essel Mining, because of the CAPEX spend and all required, I think that they are quite happy that we take over the CAPEX . And they will continue to be the MDO operator of mine . So Essel today, if you know, is the MDO operator of Amelia, which is just next door to Bandha. So I think for them, they will remain a service provider on the mining side, whereas companies like us with the resources will be providing the capital and having the ownership of the mine. So that's the first part of the answer.

The second is , how does it fit in with the overall renewable strategy and what we have committed on Hindalco ? So, as we have been very clear, the base load of any of the smelters for the foreseeable future still has to come from thermal. So while even in Hindalco Industries Limited
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Mahan we are going to add 100 , 200 megawatts of renewables over the coming years, we still have to make sure that the base load is secure. So I think that having these three mines secures the base load for the smelters existing and the expansions that we told you during the analyst meet that we had. Both Mahan and Aditya were built for 720 KT capacity. And over the next five, seven years, we will be going to that capacity. So the way to look at it is that we will be increasing the renewable mix, but at the same time balancing it out with the base load. I think many people have realized that if you do not have a proper base load and just have renewables, you are going to have your grid crash on you. So that is the way we look at it.

Satyadeep Jain: Thanks for the clarification. The second is just one quick question , that's on Novelis. Apologies for asking Novelis question on the call. So we have got some investor questions that at the last earnings call I think the expectation was that the tariffs would be net positive if you net out both direct and Midwest. But now it seems like it's a net negative impact. So just wanted to understand what changed between those quarters. There's too many moving news items on tariffs and all , was there any negative surprise on tariffs after 3rd Quarter ? Just the guidance seems different versus 3Q.

Satish Pai: Yes, Steve?

Steve Fisher: So I think that we have been pretty, pretty consistent about the fact that we see trade deals happening. We see, in our view, timing to be determined. But we think that there will be a USMCA 2.0. And really, when we said neutral to positive, it was taking into account that some trade deals are bound to happen. The timing of it is becoming a bit of a factor of volatility. And the reason why it is negative for the time being is awaiting some of these deals to happen. So I think that there is some positivity. I mean, you saw what happened with the UK deal. You saw the deal coming through with China. The rest of the deals, we are pretty sure, are happening, i

n the works. And as soon as we

have some of those, particularly the USMCA 2.0, we will be going in that direction. So you have to take this negative impact as something for the time being.

Satyadeep Jain: Okay. Thanks for the clarification, sir. Thank you so much, and wish you all the best.
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Dev Ahuja: Yes.

Moderator: Thank you. Our next question comes from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.

Pallav Agarwal: Yes, good evening, sir. So just a question on the CAPEX guidance for the domestic operations , could you just give us the FY '26 and '27 guidance?

Satish Pai: So this current year the guidance is about Rs. 7,500 crores to Rs. 8,000 crores. I think the next year will be peak when we will start to have many of the upstream projects kicking in. But let me give you that guidance towards 3rd Quarter of this year when we know exactly what the cash out will be. But this year, our guidance is about Rs. 7,500 crores to Rs. 8,000 crores. Last year we spent Rs. 6,500 crores, just for comparison.

Pallav Agarwal: Sure, sir . I mean, India's net cash, so this can be easily funded without any debt being taken on.

Satish Pai: Yes.

Pallav Agarwal: Yes. Also on the aluminum domestic FRP, the shipments have increased during this year. So given that our capacities would start coming on stream, so any guidance on what type of volumes we can look at?

Satish Pai: So it's a little bit complicated in the sense that the FRP 2A, 60 KT will be sold this year.

60 KT to 70 KT, that's additional. And Silvassa, the full ramp -up should slowly happen, so maybe 15 KT more of extrusion. The copper IGT should be about 20 KT. The aluminum AC fin should be about another 20 KT. But you see, many of these 20 KTs, etc., are coming on top of rolling and extrusion. So what you have to realize is that we are now getting more and more engineered products. So it's not just a volume game anymore. I prefer that you start to monitor the EBITDA of the downstream going forward. Because we take an aluminum extrusion then we make it into a battery enclosure, so you do transfer pricing, and then you charge further for the battery

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enclosure. So those type of EBITDAs will start to come into the downstream mix. But I have tried to give you the volumes that I know straight away.

Pallav Agarwal: Sure. So basically what you are saying is the EBITDA per ton will expand, even if the volumes would not grow that much?

Satish Pai: Yes. I mean, the volumes are growing in the sense that 160 KT of FRP is going to come in. I said about 60 KT to 70 KT this year, the remaining next year. So we get to that 600 KT of downstream that we had committed to. But then on top of that, that 600 KT will get further engineered, and there will be more EBITDA that way.

Pallav Agarwal: So over the long run, could we actually bridge the gap between the India FRP and Novelis, which probably is closer to \$500 per ton, or that some differential will always remain?

Satish Pai: Well, we will try to. Let's see how it progresses going forward. But certainly, we are aiming for the \$300-plus EBITDA per ton in India in the mid-term.

Pallav Agarwal: Right. Yes, thank you so much.

Moderator: Thank you. Our next question comes from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. Sir, first question is on bauxite, can you highlight what is our total requirement? And where are we sourcing it from? And specifically on OMC, if we have any long-term tie-up, if you could highlight the tonnage and pricing over there. And again, a second derivative question over here, we have won a couple of composite leases, including Damchua and Surbena. The hectareage over here is quite significant. Just trying to understand where

are we on those two leases as well. That's the first question on bauxite, sir.

Satish Pai: Sorry, what was the second part of the question?

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Ritesh Shah: Sir, Damchua and Surbena, these are the two composite leases that we have won, so wanted to understand what's the status.

Satish Pai: I have never heard of these two.

Ritesh Shah: Okay. I will send you, sir, the fine print that we have. So probably, sir, you can take the first part of the question on OMC and overall sourcing.

Satish Pai: The first part of the question. So, we produce about 3.5 million tons of alumina, so roughly into 3, so 7 million tons of bauxite is our requirement. So 100% of the bauxite required for our alumina smelters that provide metal-grade alumina are from internal sources, we do not buy any. The only plant that needs to buy bauxite is Belgavi. And for Belgavi, we buy some part domestically and some part from imports. Now OMC, currently we have no bauxite contract for delivery, though just last month we did take some amount of bauxite for Belgavi. Going forward, when Aditya refinery comes in place, we have a long-term MOU with OMC to provide the 3 million tons for the 1-million-ton refinery we are putting in place, but that's two years out from now.

Ritesh Shah: But sir, this is something which is done and dusted, the long-term arrangement for 3 million tons from OMC?

Satish Pai: Yes, it is a signed agreement with the Orissa government.

Ritesh Shah: It's a signed agreement, okay. Sir, my second question was on coal. I think to the earlier participant, you indicated that probably EMIL would not want to undertake the CAPEX, and the lease has been transferred at cost to the Company. Just trying to understand, sir, what will be the incremental CAPEX? Based on the debt documents, I figure it's around Rs. 3,000 crores to Rs. 4,000 crores. So, we are trying to get a sense of that.

Secondly, I picked up that the premium which was paid over here was around 21%, so what would it mean on a rupees per Kcal basis? The reason to ask this is we have

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surrendered a few leases in past wherein they were not economically viable for us. So just trying to understand from CAPEX as well as OPEX standpoint how Bandha fits in.
Satish Pai: Yes. I think you got the numbers right. So we are buying it at Rs. 48 lakhs, which is the share capital, plus the Rs. 1,000 crores debt that they have on the books to bring mine to this point. And we probably will spend another Rs. 4,000 crores over the life of mine . So that is the CAPEX for Bandha. The rupees per million Kcal of Bandha will be lower than what we get from get from NCL today. Now the bigger worry for us of why Bandha is important is that the NCL coal is steadily diminishing and the premiums are going up. And most of the coal from NCL is being allocated to IPPs. So , that is why Bandha has become very critical. But to your specific question, it is better than the price we get today from NCL.

Ritesh Shah: Sure. Sir, I think there are two more leases under EMIL , Amelia which you indicated and there is one more Subhadra. Is there a need for the Company to probably transfer this at a future date? Or is this something which you are done with?

Satish Pai: No, no. See, there is a subsidiary of Essel which we are taking over that has got Bandha and has got Radhikapur East. Radhikapur East has already been surrendered. So this is the subsidiary we are taking. Subhadra, Amelia are MDO contracts that Essel runs under their main legal entity , we are not touching those.

Ritesh Shah: Sure. And sir just the last question. Sir, for full year what was the sourcing mix for linkage, e -auction and import at? And how do you see this for the next fiscal?

Satish Pai: So full year, the linkage coal was 50%, e

-auction was 47%, own mines was 2%. I do not see this mix fundamentally changing in FY '26. I think the real change will start to happen when Chakla and Bandha get commissioned.

Ritesh Shah: Sure. This is very useful, sir. Thank you so much. All the very best.

Moderator: Thank you. Our next question comes from the line of Somaiah V from Avendus Spark. Please go ahead.

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Somaiah V: Well, thanks for the opportunity, sir. Sir, first question is on Novelis , that \$40 million per quarter impact , just wanted to understand the different moving parts there. So, one, in terms of can sheet imports or in terms of primary aluminum imports, in terms of scrap imports, or the gains that we can have or the backward integration because Midwest premium has gone up, if you could just touch upon how each of them is kind of having a say on this impact ?

Satish Pai: Yes, Steve, Dev?

Steve Fisher: Yes, yes. There are multiple impacts that you are highlighting , so I will just try and take them one at a time. One impact is the primary aluminum that comes into the United States , because two-thirds comes from Canada into the US, as the tariff's got put on, Midwest premium has risen. With a higher Midwest premium, we are seeing a better spread as it relates to our recycling business due to that.

Offsetting that, we do have a Canadian facility that serves primarily the auto and specialties markets. And so the coils being imported from that facility back into the US has an impact of 25% to 32%. And then our IR shipments to support the beverage packaging market in the US, where the US has zero capacity, we are importing roughly 150 KT annually, primarily from South Korea but also some from Brazil as well. And so that's being impacted right now as well.

And so when we talk about the \$40 million, we are netting those together right now. We are saying it's near term because, as Dev said earlier, we do think there will be continued movement in the tariffs and trade deals. But we also think we are in the right place from an exemption or exclusion, right? We are serving a US market that does not have any supply today for can sheet. And we are building a facility, the largest private sector investment in Alabama's history, adding jobs , and believe that's exactly what the administration is looking to accomplish. So we think that we do have a good targeted exemption for some of this as well that we are working on with the administration.

Somaiah V: Sure, sir. This is quite helpful. Just a couple of clarifications here. So , one, in terms of this can sheet imports that we are doing , so we do not have a cost where we can pass it

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on to the end consumer , so that's why the negative impact is on us. That's the first thing. And second, when we say there's \$40 million net impact, so we are getting a Midwest premium benefit for 60% of our backward integrated. So this benefit is taken into consideration. Over and above that, we are looking at a \$40 million per quarter impact. Is that the right understanding?

Steve Fisher: Yes. So on the first one, yes, we signed contracts back when we announced Bay Minette long-term contracts in which we do not have the ability to pass through the 232 tariffs.

And so that's something we are , as I said before, working with the administration on.

The second question, do you want to handle that, Dev, on the Midwest premium increase on recycling net \$40 million?

Dev Ahuja: Yes. So, as Steve said that we have all these moving parts , so think about it as follows.

That the elevated Midwest helps us to pretty much mitigate, to a very significant extent, the import tariff burden of the inter -region flows of metal that happen from Asia or South America to service the North American markets . And by the way, we get arbitrage as well. For exa

mple, if we buy at MJP and we sell at Midwest, we get an arbitrage. So basically that does not bother us as much from the point of view of being able to net these things off.

The one that really is very high on the radar is the importation that we have to make from Kingston, Canada. And that is why I made specific reference to USMCA 2.0. Because if that gets taken care of, in principle, these tariffs will stop bothering us. The arbitrages will take care of the elevated Midwest, which will still be there, will take care. So, in other words, the thing that is highest on our radar is really the Canadian tariffs, which if they go away through a deal, will be very, very helpful in neutralizing the impact.

Somaiah V: Sure, sir. Quite helpful. Thanks for the clarification. Just one more question on Novelis.

So when we are saying our scrap markets could be heading tighter , so the concern, is it because incrementally China is going to go more towards scrap? Or within the US

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market itself the availability of scrap because of some more plants starting up, it's going to get tighter ? So, if you could just help us.

Dev Ahuja: Yes. So , a couple of things here. Very clearly demand for scrap is going to go up because of new capacities that are coming in. A lot of industry is following the model that we have been implementing over the last decade. We ourselves will need more scrap as we commission new capacities , for example, as we have commissioned Guthrie ; on the other end of the world, as we have commissioned the 100 KT expansion in Korea. All this means that we ourselves will need more scrap, and demand is going up faster than the supply. And we are working on them , that's exactly what we are working on, opening up new sources. So to the point about our view on strengthening of scrap prices, I mean, these are the macros that will influence the strengthening of the prices. And again, these are what we are working on in terms of mitigation actions.

Now, remember one thing, I mean, to be amply clear. As we see the trends, I said it at our last earnings call, if you go back. Right now we are in the phase of cycling over last year. We do not see any worsening of the situation as compared to the last two quarters.

I mean, it is just that we need two more quarters of cycling over the strengthening of the scrap prices. So at this time, in fact, Q4 was actually an improvement on Q3 and the elevated premium, particularly the Midwest premium, is coming to be of help. So to be clear that things are not getting any worse. I would rather say that things have gotten a bit better. But that is just to give you the total context on where we are.

Somaiah V: Helpful, sir. Thank you.

Dev Ahuja: Sure.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take one last question from the line of Prateek Singh from DAM Capital. Please go ahead.

Prateek Singh: Hi. Thanks for taking my question again. This is for Steve and Dev. On tariffs itself, so just hypothetically trying to understand if the USMCA 2 happens and Canada is exempted, would not it also mean that the Midwest premium should also fall given the

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fact that Canada is a major supplier? In that case, we lose the arbitrage versus MJP, but still need to pay higher tariffs on Asian imports as long as they are not exempted. So,

is that understanding correct here? Or am I missing something? That was the first question.

Steve Fisher: Yes, we were referring to how it works under the USMCA previously, which at that time the primary 10% was left on. Everything else was then excluded. And so that's where Dev's targeted a big shift for the products coming out of Kingston down into the US. Obviously, there's work that still needs to be done on just overall 232 for primary as well, but that

would be a secondary issue.

Dev Ahuja: Yes, exactly. I mean, really what needs to kind of get captured is that overall FRP capacity is short in the country. And therefore, downstream needs to be treated with growing demand. Downstream needs to be treated very differently to meet the country requirements and lack of capacity. That's what we are sort of aiming to see it recognized as the MCA 2.0 happens.

Prateek Singh: Understood. And the last question is on alumina. Two sub-questions here for Mr. Pai.

So first, any reason for giving alumina field guidance only for the next quarter? I mean, is this number very volatile and changes on a Q-o-Q basis depending on maintenance and shutdowns or safe to assume that we can do 700 KT to 800 KT in '26?

Satish Pai: Safe to assume that we can do 700 KT to 800 KT. They asked me for a quarter, so I gave a quarter. But yes, safe to assume 700 KT to 800 KT.

Prateek Singh: Understood. And how do we see alumina pricing going ahead, sir, given such a sharp fall that we have seen and then slight recovery? I would assume that some of the loss-making European and Chinese smelters would now have come back to green. So, is there any risk of smelters restarting if aluminum prices remain here? Or do you see aluminum prices rising up a bit once all this volatility is behind us?

Satish Pai: Prices are between \$350 to \$400. The reason it's spiked is because of what Guinea did, because it's such a large supplier of bauxite to China and many alumina refineries. Only

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thing I can say is Guinea remains a completely volatile country. So it can always happen. But when we do our planning and budgeting, we assume that it's going to be between \$350 and \$400.

Prateek Singh: Understood. Thanks a lot for taking my questions again.

Satish Pai: Thank you.

Moderator: Thank you. Thank you, ladies and gentlemen. For any unanswered questions, you can connect with the IR team. I would now like to hand the conference over to Mr. Pai for closing comments.

Satish Pai: No, thank you for your attention during this call. So I just wanted to reiterate that this quarter and this year have probably been the highest ever EBITDA impact for Hindalco in our history. And I think in some ways, it indicates our integrated business model and our commitment towards adding more and more value-added products, along with expanding the upstream. And I think that, on the Novelis side, we are focused on commissioning Bay Minette and getting that done. And on the India side, I think you are going to see now a big upstream CAPEX in the next couple of years that will bring in new volume as we have secured the basic ingredients of our aluminum smelters, which is bauxite and coal. So with that, I thank you for your attention.

Moderator: Thank you. On behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

Hindalco Industries Limited

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August 18 , 2025

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Q1FY26 Earnings Conference Call held on August 12 , 2025, for the quarter ended June 30, 2025, is enclosed herewith.

The same is also available on the website of the Company i.e. www.hindalco.com .

This is for your information and record .

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript of the Q1FY26 Earnings Conference Call of Hindalco Industries Limited ["Company"] for the quarter ended June 30 , 2025.

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ;

b. ISIN: INE038A01020 and

c. Our Intimation dated August 5, 2025 .

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"Q1 FY26 Earnings Results Conference Call "

August 12, 2025

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. BHARAT GOENKA -- CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER – NOVELIS

MR. SUBIR SEN -- HEAD OF INVESTOR RELATIONS – HINDALCO INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference call of Hindalco Industries Limited First Quarter Results for FY '26. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Over to you, sir.

Subir Sen: Thank you, and very good afternoon, morning, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the first quarter of financial year 2026. In this call, we will refer to the first quarter financial year '26 investor presentation posted on our company's website. Some of the information on this call may be forward-looking in nature and is covered by the safe harbor language on Slide number two of the said presentation.

In this presentation, we have covered the key highlights of our consolidated performance for the first quarter of this financial year versus the corresponding period of the prior year. A segment-wide comparative analysis of Novelis and Indian aluminum and copper business is also provided. The corresponding segment information of prior periods have also been restated accordingly for a comparative analysis.

Today, we have with us in this call from Hindalco's management, Mr. Satish Pai, Managing Director; and Mr. Bharat Goenka, Chief Financial Officer. From Novelis' management, we have Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer. Following this presentation, the forum will be open for questions and answers. Post this call, an audio replay will also be available on our company's website.

Now let me turn this call to Mr. Pai to take you through our company's performance and key highlights for the first quarter.

Satish Pai: Yes. Thank you, Subir. Good afternoon, and morning, everyone. Thank you for joining Hindalco's earnings call today. On Slides 5 to 9 of this presentation, you can see our achievements and progress across quarterly metrics of ESG for this year versus prior periods. I will now take you through the key highlights of these initiatives.

At Hindalco, safety is always the highest priority. During the quarter, we unfortunately recorded one fatality across our Indian operations. We deeply regret this incident and are committed to taking all necessary corrective actions to prevent such occurrences in the future. Our LTIFR for this quarter stands at 0.25, showing significant improvement over the previous year.

At Hindalco, we continue to make strong progress on circularity and responsible waste management. In this quarter, 98% of the total waste generated was recycled or reused. We achieved 135% recycling of bauxite residue, excluding Utkal, 98% recycling of ash and 113% recycling of copper slag this quarter. In Q1 of FY '26, we recycled and reused 26.4% of the 19.37 million cubic meters of water consumed across our operations, reflecting our continued commitment to water circularity. To further enhance water efficiency, we are installing a 100

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kiloliters per day tertiary water recycling unit at our Hirakud facility, which shall reduce our freshwater usage. Additionally, our Belagavi unit is developing an 80,000 cubic meter rainwater harvesting system that is expected to meet nearly 13% of our total freshwater demand in this region.

We remain deeply committed to preserving and enhancing our biodiversity in and around our areas of operations. In this quarter, biodiversity management plans have been implemented at 39 out of the

41 manufacturing and mining locations, demonstrating our systematic approach to ecosystem restoration and conservation. As a part of our ongoing afforestation efforts, 28,380 trees were planted during this quarter.

Our total renewable energy capacity, primarily solar and wind, stands at 189 megawatts, and we are aligned towards our target of reaching 300 megawatts of renewable capacity by Q3 FY '26. Our aluminum-specific GHG emissions in this quarter were recorded at 19.4 tons of CO₂ per ton of aluminum. This was flat compared to the same period of the last fiscal.

Let me now give you a glimpse of our quarterly consolidated performance this quarter versus the same quarter of last year on Slide 11. Our consolidated business segment EBITDA was flat year-on-year at INR 8,539 crores this quarter. The consolidated net profit after tax was up 30% on a year-on-year basis at INR 4,004 crores this quarter that underscores the resilience of our

integrated business model.

At Hindalco India business level, our business segment EBITDA was up 13% year -on-year at INR4,982 crores this quarter. The net profit after tax was up 45% on a year -on-year basis at INR2,847 crores this quarter.

In our Indian aluminum business, we are currently hedged around 20% of the commodity at a price of \$2,666 per ton and hedged 18% of the currency at INR 87 per dollar for the second quarter of FY '26.

On the balance sheet side, our consolidated net debt stands at INR 34,257 crores. In the India operations, we have a net cash of INR 18,657 crores, while Novelis' net debt stands at INR 46,923 crores at the end of June 2025. Hindalco at the consolidated level continues to maintain a strong balance sheet with net debt -to-EBITDA well below 2x at 1.02x at the end of June 2025, which is much lower compared to the corresponding period of last year. All our strategic capex es in India are mapped with cash flow gener ation in the business and are in line with our capital allocation policy.

Coming to our business -wise performance this quarter, Novelis shipments at 963 Kt versus 951 Kt in the prior year was up 1% year -on-year. Novelis delivered a quarterly EBITDA of \$416 million, down 17% year -on-year due to elevated scrap prices and net negat ive tariff impact. The resultant EBITDA per ton stood at \$432 versus \$525 in the prior year same quarter, down 18% year -on-year. While Novelis' adjusted EBITDA in this quarter was impacted by higher aluminum scrap prices and tariff, strong beverage packaging demand, improving scrap spreads and accelerated cost reduction benefits to flow through the second half of FY '26 will help address the impacts of tariff and hence improve margins.

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We have completed the first round of organizational redesign, footprint optimization and process improvements and are on track to exceed over \$100 million of cost savings target for this year. All our expansion projects, including Novelis' Bay Minette proj ect, are progressing well and as planned.

On Hindalco's India upstream aluminum performance this quarter, while shipments were down by 1% year -on-year and revenues were up 6% year -on-year, our quarterly EBITDA was up 17% year-on-year at INR 4,080 crores, primarily driven by lower input costs. The result in EBITDA per ton stood at \$1,467 per ton , which was higher by 15% year -on-year with the cost of production this quarter being the lowest for the company in the last 15 quarters, as benefits from operational excellence flow through the value chain.

EBITDA margins were at 44% this quarter and continue to be the best in the global industry.

This quarter, the Indian downstream aluminum business delivered a record performance.

Quarterly shipments were up 6% year -on-year at 101 Kt. Aluminum downstream del ivered an all-time high quarterly EBITDA of INR229 crores, up 108% year -on-year this quarter versu

s

INR110 crores in the prior period, driven by higher value additions on innovations like battery enclosures and premiumization. The result in EBITDA per ton stood at a record \$264 a ton , higher by 92% year -on-year.

On Hindalco's copper business performance this quarter, our overall metal shipments were at 124 kt, up 4% year -on-year, of which CCR volumes were at 104 Kt, up 4% year -on-year. Our quarterly copper EBITDA stood at INR 673 crores, down 16% year -on-year on account of lower TC/RCS, offset by better realizations in byproducts and operational efficiencies.

Now let me give you a glimpse of the current broader economic environment on Slide 13 and 14. As per IMF's July 2025 update, global GDP is projected to moderate to 3% in 2025 from 3.3% in 2024.

Growth in both advanced and emerging economies is expected to moderate in 2025 to 1.5% versus 1.8% in 2024, and 4.1% in 2025 versus 4.3% in 2024, respectively. Growth in the U.S. is expected to moderate to 1.9% in 2025 from 2.8% in 2024, weighed down by ri sing trade policy uncertainty and weakening private demand, while target fiscal incentives are expected to provide a partial cushion.

China is projected to grow at 4.8%, driven by robust exports and supportive fiscal measures.

Global trade developments will continue to play a crucial role in shaping the economic outlook.

Despite some deescalation, tariffs remain at historically elevated levels. Trade policy uncertainty is likely to persist as only a limited number of countries have secured bilateral agreements with the U.S. Global headline inflation is expected to ease fur ther from 5.7% in 2024 to 4.2% in 2025, with core inflation showing signs of moderation. However, inflation in the U.S. is expected to remain elevated due to tariff pass -through and fiscal expansion.

Amidst a fluid global environment, India continues to maintain economic stability. Real GDP growth held strong at 6.5% in FY '25. The growth is expected to be further supported by strong agricultural output, healthy rural demand and a revival in urban cons umption. High frequency
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indicators point to a broad-based recovery with services activity remaining robust, recovery in manufacturing and investment activity gaining traction.

Looking ahead, the RBI projects GDP growth to remain at 6.5% for FY '26. Headline inflation is expected to moderate further to 3.7% in FY '26, down from 4.6% in FY '25, driven by easing food and fuel prices and benign core inflation. However, geopolitical tensions along with global trade and weather-related uncertainties remain key downside risk.

In response to the evolving growth inflation dynamics, RBI reduced the repo rate by 50 bps to 5.5% in June. The monetary policy stance has now shifted from accommodative to neutral with the RBI committed to supporting growth while maintaining price stability.

Moving on to the aluminum industry outlook on Slides 15 and 16. Starting with Slide 15. In China, production in Q2 calendar year '25 reached 11 million tons with consumption increasing to 12 million tons, resulting in a deficit of 1 million tons. The production in China in the first half of calendar year '25 saw 2% growth to 22 million tons, led by growth in production in Yunnan, Sichuan and Inner Mongolia, resulting in a deficit of 1 million tons. And consumption grew by 4% to 23 million tons, primarily driven by sharp rise in solar installations and a 50% increase in new energy vehicle production. However, the construction sector continued to face challenges with declining investments.

In the rest of the world, production grew marginally in Q2 calendar year '25 to 7.5 million tons, while consumption was flattish at 7 million tons, leading to a surplus of 0.5 million tons. With the surplus in the rest of the world that is offset by deficit in China, the overall global aluminum market had

ad a marginal deficit in Q2 calendar year '25.

In the first half of calendar year '25, production remained flat at 15 million tons, while consumption grew marginally by 1% to 14 million tons, driven by strong demand in India and Brazil, but offset by weaker demand in Europe and North America, resulting in a surplus of 1 million tons.

Turning to the demand of aluminum in India on Slide 16. Q1 FY '26 demand is expected to reach 1.44 million tons, reflecting a 10% year-on-year growth. The key drivers of this demand are due to strong growth in the electrical and solar panel segments. The global FRP demand continues to be resilient, supported by long-term sustainability trends and structural demand drivers across key markets.

In beverage packaging, sustainability preferences are clearly influencing packaging choices, driving a steady shift towards aluminum. Demand remains strong across regions, underscoring

aluminum's growing relevance as a preferred sustainable solution. In the automotive sector, the focus on lightweighting and innovation to enhance vehicle performance remains a key growth lever.

While macroeconomic weakness in China and Europe is leading to slower growth in build rates, North America continues to benefit from a favorable vehicle mix, particularly SUVs and trucks, which typically use a higher share of aluminum. However, ongoing tariff-related uncertainties are impacting near-term demand momentum.

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The specialty segment remains mixed, whilst the structurally undersupplied U.S. housing market provides a long-term tailwind. Demand in building and construction remains stable but somewhat subdued. Broader macroeconomic and policy uncertainties, including tariffs, and a slower-than-expected EV rollout are also muting demand in specific segments like batteries, truck and trailer and light gauge products.

Aerospace demand remains strong with persistent orders and multiyear OEM backlogs continuing to support sectoral growth. Sustainability is also gaining prominence in aerospace material selection. However, high inventory levels and global tariffs are impacting parts of the supply chain, adding to complexity in ramping up production.

Overall, while near-term challenges persist in some geographies and segments, the medium- to long-term outlook for global FRP demand remains positive, underpinned by secular trends in sustainability, lightweighting and innovation across industries. The India FRP demand in financial year 2026 is supposed to grow by around 6% to 7% on a year-on-year basis, led by a strong demand from the construction, packaging and consumer durables section.

Turning to the copper industry on Slides 18 and 19. In quarter 2 calendar year '25, Chinese production reflected a growth of around 8% year-on-year, reaching 3.2 million tons, while consumption increased by around 8% year-on-year at 4.4 million tons, resulting in a deficit of

around 1.2 million tons .

In the rest of the world, production grew by around 2% year -on-year at 3.7 million tons , while consumption increased by around 1% year -on-year at 2.9 million tons , leading to a surplus of 0.7 million tons this quarter. As a result, the overall global production of copper grew by around 5% year -on-year at 6.8 million tons and consumption increased by around 5% year -on-year at 7.3 million tons , leading to a deficit of 0.5 million tons this quarter.

On the domestic copper market, this quarter demand, including domestic supplies and scrap, increased by 19% year -on-year at 423 Kt versus 356 Kt in the prior period. The annual benchmark TC/RCs for 2025 was finalized at \$0.054 a pound, reflecting a steep decline of 73% from 2024 levels of \$0.205 per pound.

The global concentrate market remains under significant supply pressures with spot TC/RCs dropping to record lows, driven by intense competition and aggressive bidding by traders. That

said, spot smelters buying terms now appear to have stabilized around the negative \$0.10 per pound.

Details of the operational and financial performance in each of our business segments this quarter compared to the corresponding period of last year as well as the previous quarters are covered in further slides and annexures to this presentation. Let me conclude today's presentations with some key takeaways.

Hindalco is future -ready aligned to its core philosophy of engineering better futures. Our strategic focuses to scale up capacities across both aluminum and copper upstream and to quadruple downstream EBITDA by FY '30 from the 2024 baseline remains intact.

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In quarter 1 FY '26, we delivered a global industry-leading aluminum upstream EBITDA per ton, reaffirming our position in the first quartile of the global cost curve. This performance reflects our strong operational efficiency, cost discipline and consistent execution. Our key upstream expansion projects like Chakla and Meenakshi Coal Mine, Aditya Alumina Refinery, Aditya aluminum smelter and copper smelter are progressing well and remain on schedule.

On the downstream front, Hindalco reported its highest ever quarterly aluminum downstream EBITDA and EBITDA per ton . Aluminum downstream EBITDA grew by 108% year -on-year

in Q1, supported by strong volumes and better product mix. We have begun the commissioning of key projects, including the Aditya FRP facility and the copper tube plant with inner group tube capabilities.

In line with our strategy to build high -margin differentiated platforms, we announced the acquisition of 100% equity stake in U.S. -based alumina chemicals manufacturer, AluChem, at an enterprise value of \$125 million that is subject to statutory approvals. This marks an important step towards strengthening our global specialty alumina portfolio. Our copper e -waste and recycling projects also remain on track for FY '27 commissioning, reinforcing our commitment to sustainability -driven growth.

In Novelis, despite a tough macroeconomic environment, our business continues to hold steady, delivering a 1% growth in shipments this quarter. Beverage packaging, our largest end- use segment, remains a key growth driver, registering a solid growth of 8% year -on-year. Other end markets have remained relatively stable even amid mounting economic pressures.

To mitigate margin pressure and drive long-term profitability, we are moving swiftly on our 3-year \$300 million structural cost reduction program. The early actions include organization restructuring, streamlining our manufacturing footprint and process enhancements are already delivering results.

Based on accelerated progress, we have now raised our FY '26 exit savings target to over \$100 million, up from the earlier estimate of \$75 million. Moreover, improving scrap spreads, accelerated cost reduction benefits in FY '26 will help address the impact of tariffs leading to improved margins going forward.

On the investment front, we are staying ahead by building capacity aligned with long- term growth in sustainable aluminum demand. Our Bay Minette greenfield rolling and recycling facility in the U.S. is progressing on schedule. At the same time, we are ramping up operations at Guthrie, Kentucky, and Ulsan, South Korea, both of which were commissioned late last fiscal year.

Additionally, this quarter, we started commissioning a hot mill debottlenecking project at our Logan JV plant in the U.S., which will unlock an incremental 80 Kt of hot mill capacity once fully ramped. Our disciplined capital allocation, superior execution and the focus on high-value segments will drive sustainable growth regardless of near -term market volatility. Hindalco isn't just prepared for the future, but is advancing into its next phase with scale, purpose and confidence.

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Thank you very much for your attention, and we will now open the forum up for any questions you have.

Moderator: The first question is from the line of Mr. Amit Kumar Murarka from Axis Capital.

Amit Murarka: So on the downstream aluminum business, you have like posted a strong margin yet again at \$264 a ton. Just wanted to understand what is driving that? And also with Aditya FRP starting, what can we expect the margin to be in the coming quarter and year?

Satish Pai: So what is driving the downstream EBITDA improvement is we are moving up the value chain. So we, instead of just selling extrusions, are now selling battery enclosures to EV manufacturers. So that gives us a margin on the extrusion as well as a further margin on the end product, which is fabricated. So we have a number of examples like that where we are starting to move up the value chain and hence, the EBITDA per ton is increasing.

Now the other point to note is we are roughly shipping about 100 Kt on the aluminum downstream in India. And once the FRP 2A comes in and the Silvassa plant reaches capacity, we should be shipping 150 Kt because our capacity then goes to 600 Kt. So over the next quarters, you're going to steadily see the volumes going up and the EBITDA per ton improving. Amit Murarka: Okay. So in that case, can we expect like a \$300-plus number kind of coming through maybe sometime by end of this year or next year?

Satish Pai: I think that's our target. I think that it will be between \$250 and \$300.

Amit Murarka: Sure. And on FRP now, what is the scheduled commissioning status? And what is the volume that we can expect this year and next year?

Satish Pai: So this year, we are targeting roughly 70 Kt. So we have started selling commercial from June, July months already, and the ramp-up is going well. We planned for about 70 Kt, but I'm hoping we can do a bit more if the ramp-up goes smoothly.

Amit Murarka: Got it. And also on the aluminum COP, could you give guidance for Q1 -- sorry, Q2 and like how was it in Q1?

Satish Pai: So Q1, we were pleasantly happy that the cost was down 3% versus Q4, and the reason was because we got a much higher amount of linkage coal. Some of it was due in NCL region, which is our most difficult area. So linkage coal was around 63%, and we got the linkage coal. So our cost was down 3% versus Q4.

I think Q2 is traditionally our most difficult quarter for coal because it's the monsoon. So I think that our costs will go up by about 3% in Q2 versus Q1 because of the monsoon and the coal impact. Also, CP coke prices have gone a little bit higher. So Q1 was a very pleasant surprise

for us with the cost coming down by 3%, but Q2 probably will go back to Q4 levels of pricing -- cost.

Amit Murarka: Sure. And just lastly, could you provide the alumina sales volume in the quarter as well?

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Satish Pai: So the alumina sales in Q1 was 170 Kt and in Q2 should be more like 190 Kt to 200 Kt.

Moderator: The next question is from the line of Mr. Ritesh Shah from Investec India.

Ritesh Shah: Sir, my first question is, earlier on the call yesterday, we gave a number of \$60 million specific to the tariff impact. I wanted to understand what is the underlying Midwest and LME assumption that we are baking in over here? And if you can provide any sensitivity around that would be great.

Satish Pai: Steve? Dev?

Steven Fisher: Yes, I'm here. So the \$60 million takes in all factors that we talked about yesterday on a per quarter basis with the tariff rate of 50% today. So that includes coils coming from Korea, Brazil, its implications on our China business itself. The underlying aluminum assumption is not the most sensitive part of the equation.

You can roughly think about it at current LME prices. The more sen

sitive is the premium, the

Midwest premium associated in the North America marketplace and then some of the offset drop in premiums in the other regions. But the underlying aluminum assumption itself isn't the most sensitive piece of the equation.

Ritesh Shah: So what is the Midwest premium that we have assumed over here? Is it closer to \$1,500 when we give this number of \$60 million negative impact?

Steven Fisher: It is. It is close to \$1,500.

Ritesh Shah: Okay. And would you like to give some sensitivity around the Midwest premium?

Steven Fisher: The Midwest premium, I mean, historically trades in the \$400 true basis premium. As you think about the setting of the 232 tariffs going from 25% up to 50%, most of the flow of aluminum

comes from Canada down into the U.S. And so in essence, the majority now of the 50% 232 tariff is embedded into the Midwest premium plus the logistics premium.

Ritesh Shah: Sure. And just a follow-up over here. When we give this number of \$60 million, are we also factoring in the adverse impact of price elasticity of demand and the product mix will be definitely less desirable than what we would have anticipated?

Steven Fisher: No, that is not part of the \$60 million. So demand destruction, as we've talked about in the overall consumer demand to date. North America markets, beverage packaging stayed strong. We do continue to see a healthy auto business, especially with what we're selling into with larger vehicles. Ford had a very positive quarter itself, our largest customer. The specialties markets are kind of stable and going sideways. So this is not factoring in any potential inflationary factors that could cause economic headwinds and demand destruction in the second half of the year.

Ritesh Shah: Sure. That's helpful. My second question is for Mr. Pai. Sir, you indicated on copper-based recycling. Is it possible to indicate what sort of cash flows can we expect from this particular business given it's not very far now?

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Satish Pai: Yes, the ROCE -- I mean, most of the IRRs on these projects are higher than mid-teens in the copper recycling. And the margins are 2x to 3x of the smelting business. Of course, fair to say TC/RCs are fairly low now. But because it's a scrap-based copper production, the margins, let's say, are going to be very, very healthy.

Moderator: The next question is from the line of Mr. Sumangal from Kotak Securities.

Sumangal: Sir, first question is on the captive coal mines. So given that now we are nearing, is it possible to share what is the commercial -- what is the volumes we are looking at in FY '27, '28, '29 from captive coal mines, all the 3 put together, Chakla, Meenakshi and Bandha.

Satish Pai: Right. What's the 3-year projection. So let me tell you, the box cut is going to be this year for both Chakla and Bandha. So commercial coal will start somewhere February, March, April of next year. And I think that Chakla in the first year should be producing, we are hoping around 0.5 million tons to 1 million tons. Bandha, because the stripping ratio is so very high, the first coal will only come towards the end of FY '27. Meenakshi, of course, because we just got it, there the production is more like late FY '28. The 3 mines put together...

Satish Pai: I was just saying the 3 mines put together roughly will give us around 20 million tons of coal when they are running fully.

Sumangal: Okay. So '27 is just maybe 1 million ton, 1.5 million tons. And then FY '28 is when we actually see an increase in coal?

Satish Pai: Yes.

Sumangal: Okay. Understood. Sir, how should we look at capex increasing over the next 2, 3 years? If you could just give some ballpark annual capex sense to us for the India business?

Satish Pai: Yes, I'll give you -- so this year, we are at INR 7,500 crores to INR 8,000 crores. Next year, we'll be around INR 15,000 crores.

Sumangal: Okay. And FY '28 would be the peak, somewhere higher?

Satish Pai: I don't think so. I think between FY '27, '28, '29, because we'll try to make sure that we phase the capex a little bit. Because -- next year will be the peak because Aditya refinery, copper recycling would be largely complete. And then the first part of the aluminum smelter expansion will be coming in. So the second smelter expansion and all that, which we have announced in our INR50,000 crores, we will phase it a little bit. So not ready to give you exact numbers for '28, '29, but next year will be INR15,000 crores.

Sumangal: Understood. And just, sir, one last question...

Moderator: Sorry to intervene, sir. Could you please rejoin the queue.

The next question is from the line of Mr. Prateek Singh from DAM Capital Advisors Limited.

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Prateek Singh: Sir, if you could elaborate a bit more on the -- so when we say copper and e-waste recycling, can we assume that the bulk of it would be e-waste? Or would we also be procuring scrap like used motors, mulberry scrap and things like that, given that e-waste still is something which is in nascent stages in India, procuring other kinds of scrap might be a bit easier. So that's the first question, to elaborate a bit more on the copper recycling part.

Satish Pai: Yes. I think that, first, by the way, e-waste is quite well available in India. And in fact, it gets exported to Belgium, Umicore, and all that. But to your specific question, yes, we will start with a lot more copper scrap and slowly build up the e-waste.

Prateek Singh: Understood. And the second one is on the copper business. What kind of hedging gains or losses

we booked this quarter? And does the guidance of INR 600 crores a quarter still stand?

Satish Pai: So copper is largely an offset hedging model. So there is not much gain or loss on copper hedging. Aluminum is the forward where we have that. And yes, the INR 600 crore guidance still holds.

Moderator: The next question is from the line of Mr. Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: I had a question on the acquisition of AluChem. Can you give us some color on the EBITDA of this company last year? And what is the scalability of this business? Because I understand specialty alumina is a high -margin business. So some color on that acquisition, please?

Satish Pai: Yes. So we bought this company, as we said, \$125 million EV valuation. The EBITDA is roughly \$25 million. But we made this acquisition more to get access to technology like tabular alumina, low soda, high purity, because these are the products that actually today are imported into India.

So we want to bring that technology to India very quickly as well. So if you remember from the April investor call, we are roughly selling 500,000 tons of specialty alumina, and we want to get to about 1 million tons over the next 3 to 4 years. So it's a part of that broader strategy to sell more specialty alumina, but we need to get access to technology.

So we are actively looking to make technology acquisitions as well. So this was not really an acquisition to gain large volumes in the U.S., but more to gain access to technology that we can then deploy in India.

Rajesh Majumdar: Just a follow -up question. Are we looking at incremental capex in this area? And any kind of numbers on that, or even acquisitions?

Satish Pai: So we are actively looking, but I can tell you the capex in this type of businesses is more like the INR200 crores, INR 300 crore type of deal. So it's not large numbers. It's a high- tech business, so that technology is very critical. It's not a capital intensive, it's more a technology -intensive business.

Rajesh Majumdar: Right, sir. My second question is for Novelis team. So I was in the call yesterday to ask this question.

We've seen a number of your U.S. peers repeatedly giving strong guidance for 1Q, 2Q

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and for calendar 2025 as well. And since a large part of our business is in the U.S., we have, for the last 2 quarters, refrained from doing so. Is there any great difference in our business and say, your peers in the U.S., more who have been like Constellation, who've been repeatedly increasing their guidance and giving a better picture of 2025? Yes.

Devinder Ahuja: I think that we have already indicated that we are bottoming out at this EBITDA level, and this is despite all the headwinds that are coming at us, whether it is tariff or whether it is the continued scrap situation, which is better, but still elevated.

Now what is specifically impacting us is the fact that given the constrained capacities in the U.S. -- so this is something important for you to understand. At this moment, we are capacity constrained in the U.S., which is forcing us to have more inter -region movement of products in a tariff regime. And that is what is muting things. And that is exactly what we are working on right now with tariff mitigation actions.

And I want to be very clear because I think there was some confusion from the notes that came out from yesterday's call that our tariff mitigation actions are absolutely distinct and over and above the cost takeout plan. So this is a separate set of actions to be able to have some more access to manufacturing capacity in the U.S., which will be a tariff mitigation plan.

Now to your question, why are we not giving guidance? We simply see moving parts and therefore, we want to refrain getting too much ahead of ourselves, does not mean that we will not have all the improvement actions playing in. We are very confident about our execution.

And from here, things will look up to the point about EBITDA bottoming out.

So just because we're not giving guidance, given the number of variables, we want to be a bit prudent, does not mean that we don't have a plan of action. In fact, we have a very robust plan of action in progress in order to defend margins and improve margins. So that's really the plan.

And we have always said that our anchor is \$600 per ton, and our confidence level that we have all the actions in place to get there is very high.

Satish Pai: So just to add to that, remember that the other people don't have a shipment coming in from other countries into the U.S. We have coming from Korea and Canada, and that is actually the negative impact that we are dealing with. The others don't have that point.

Rajesh Majumdar: Can I just ask a follow -up on the total volume that we ship in from Korea and Canada?

Devinder Ahuja: Yes. So altogether, from Korea and a little bit from South America, altogether, it is about 170 Kt approximately that we bring in into the U.S., which just shows how we are addressing the volume of demand supply gap that we are addressing ourselves. And from Canada, it is of the order of about 90 kilotons annual.

Moderator: The next question is from the line of Mr. Parthiv from Anand Rathi.

Parthiv: This is pertaining to the captive coal blocks, especially Chakla and Bandha. I believe a couple of quarters back it was indicated that some cost savings from Chakla would be around \$7, right?
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I just wanted to understand if you can quantify what would be the cost savings from Chakla, Bandha and Meenakshi when all ramps up on a per ton basis?

Satish Pai: So actually, just to be on record, we have never given exact number of how much the saving will be. So I think that the way to look at it is that today, the cheapest coal that we have is on the linkage side. And we have said that when all our captive mines come on, we should get about a 30% reduction in the cost level. But specific mi

ne by mine, we have not given any guidance.

Parthiv: Sure. And sir, my second question is pertaining to the copper. Considering the crunch globally, can you help us understand by when can we get back to that -- surpass that INR 600 and INR 700 levels and go back to that INR 800 EBITDA level per quarter?

Satish Pai: So I think that it will be fair to say that TC/RCs are going to remain quite subdued even next year because supply/demand is not balanced. But I think the way we are trying to mitigate that is by getting into copper scrap. So we are putting 50 Kt of copper scrap that will come online by December of next year. That 50 kt, then we will expand up to 200 Kt in modules of 50 Kt. So that is one way that we are going to get a sustainable increase in the EBITDA of copper.

The second is we are getting into more value add. So even if we don't make much money from copper, TC/RC and cathodes, we are expanding downstream of copper, to copper IGT, to copper foil, to copper alloy rods. So that is a more downstream of copper that gives us the additional EBITDA per ton coming in. TC/RCs themselves difficult to predict till more new mines come in. But I think that the next couple of years, TC/RCs are going to remain subdued.

Moderator: The next question is from the line of Mr. Satyadeep Jain from AMBIT Capital.

Satyadeep Jain: First question on the smelter. We understand you've already placed an EPC order for the alumina refinery to L&T. Just there's no news flow around the smelter. Just you're talking about phasing of the smelter also. Maybe can you talk about the plan, the contracting and all, what's the update there?

Satish Pai: So alumina refinery, copper recycling, all orders placed, construction started. These are the 2 projects that are ongoing at peak right now. The aluminum 180 -pot expansion, we are now starting to place orders and we will move fast ahead.

I think that the next pot addition that we had already put in and the copper smelter that we are doing in -- copper smelter, we still have to go to the public hearing and EC process there. Those are the ones that are going to be FY '28 onwards. The alumina refinery and the copper recycling is FY '26, '27 peak spend.

Satyadeep Jain: Okay. But you expect both refinery and smelter to get commissioned in FY '28?

Satish Pai: The 180-pot will come in more or less with the refinery, yes. Because the refinery project, we already got the EC, and we have started to place the orders. So the peak spend of that smelter will probably happen in FY '28. The copper smelter is the one that we will probably -- we'll give you the timing when that comes in.

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Satyadeep Jain: Okay. And the other one was the RERTC. I just want to check, I think it was earlier expected to commission earlier this year. What is the update there? And would that be ready by the time the smelter comes online?

Satish Pai: So unfortunately, all these renewable power projects in India are running late. So we had expected June that we would start to get 100 megawatts of RTC. Now we expect it to be more like October, November. So I think that the renewable power mix is going to take some time to come in, because in India what is happening is that grid connectivity approvals are becoming quite slow.

Now I think that what we will do is that as long as we have thermal power, we will not slow down our expansion projects. We will continue to strive towards the 30% renewable target. But it would be fair to say that as long as we have coal and thermal power, we will not slow down our projects because of that.

Satyadeep Jain: Okay. Because in the cost -- earlier you had indicated that given RPO obligations and coal cost increase, generally, you don't expect any meaningful change in cost. Is that stand still there in terms of cost for power from this ?

Satish Pai: So if two years

out we look at, and with our own coal mines coming in, we expect our coal cost to be about 30% lower than linkage prices.

Satyadeep Jain: So this would be higher versus captive power, right?

Moderator: Participants, please give us a moment while we reconnect the management.

Satish Pai: All right. So Satyadeep, I don't know if I -- I'm just going to repeat the answer -- sorry, your question. You were saying what power is cheaper than captive power?

Satyadeep Jain: The new RERTC coming in, that would be captive power using captive coal using captive mines, they would be materially cheaper versus the RERTC power coming in even after you factor in RPO and...

Satish Pai: It is true that the power from the captive sources will be cheaper than RTC power, yes. But the advantage of RTC over 10 or 15 years is that it does not inflate. So when we do the math over a 5- or 10 -year period, then the RTC power is also attractive.

Moderator: The next question is from the line of Mr. Pallav Agarwal from Antique Stock Broking Limited.

Pallav Agarwal: So the first question was on the copper business. So you mentioned that probably spot TC/RCs were somewhere in the negative region. So how much exposure do we have in our business to the spot TC/RCs, or none at all?

Satish Pai: Very little. Very little, because more than 85% to 90% is long -term contracts. And when we go on the spot, we are looking for specific cargoes that are heavy on gold, et cetera. So we have not got a single supply on negative TC/RC is what I can tell you.

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Pallav Agarwal: Sure, sir. And have most of the lower contract TC/RCs, are they already flown into the business or probably some of them will still flow through in the next quarter?

Satish Pai: It will still flow through, because if you look at the effective TC/RC this quarter, it was about \$0.11, whereas the benchmark is \$0.05. So we are also taking concentrates of different qualities and trying to maximize our return. So we sometimes look -- because it's in India, we look for more gold- heavy concentrate. So we try to do different things to mitigate, but it has not all flown in yet.

Pallav Agarwal: Yes. But we're still maintaining a INR600 crore guidance factoring all this.

Satish Pai: Yes, because we have the sulfuric acid and the downstream chain that is actually providing the bulk of our profits.

Pallav Agarwal: Sure, sir. Lastly, in the accounts, we mentioned we've taken an impairment loss of INR 160 crores for certain coal mines. So which coal business, if you can share...

Satish Pai: Kathautia. We are in the process of returning Kathautia. So for that, we had to write off some of the mining rights, et cetera.

Pallav Agarwal: So out of the earlier coal blocks that we had won, so are we running any of those mines or most of them have already been surrendered?

Satish Pai: So out of 4, 3 have been -- 2 have been surrendered. The third one is going to be surrendered, Kathautia. So we are running only IV/4 right now. That too at a limited amount based on need.

Pallav Agarwal: Sure. So obviously, the linkage coal probably is more beneficial compared to those captive coal, right?

Satish Pai: Correct. But sometimes in the monsoons and all that, then IV/4 for the last 4 monsoons has come useful, because the quality of coal is much better. And normally, Coal India coal during monsoons, the GCB drops a lot. So then rather than get imported coal to mix, we use IV/4.

Moderator: The next question is from the line of Somaiah from Avendus Spark Institutional Equities.

Somaiah: Sir, my first question is on Novelis. So if you see, quarter -on-quarter amongst the regions in terms of drop in EBITDA, LatAm and Asia lately has been better compared to Europe and U.S. So are we relatively insulated in terms of scrap spread decline here? That's the first part of the question.

Sec

ond, if you could just help us understand a bit on the sourcing of scrap within these regions in terms of contracts. I mean, typically, what is the span for a contract? And what is the price lag at which it comes?

Devinder Ahuja: So your first question was whether Asia and South America are relatively insulated. Is that your question?

Somaiah: Yes.

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Devinder Ahuja: Yes. So let's talk about Asia. So Asia, the markets are doing very well. And also Asia is getting the benefit of the demand in North America because, as I already alluded to earlier, we are using Asian capacities to meet North American demand. Now you see that volumes sequentially are up in Asia, 201 Kt to 215 Kt.

So you know by now that in our case, operating leverage works very well on incremental volumes. And between the 2 quarters, the overall situation on recycling is stable to positive. So basically, because of better scale, better volumes, we have got the benefit of that. And so you see a steady EBITDA performance sequentially.

As far as South America goes, well, I mean, I would say that the market is doing pretty well. It is like steady. I mean, seasonality apart, because fourth quarter is seasonally the best quarter in South America. It is slightly lower in this quarter. So it's basically steady performance, and that just shows up in the steady EBITDA. The overall scrap situation, again, is stable to positive between the 2 quarters. So these are all the factors to understand for Asia and South America.

Somaiah: Sir, just a clarification there. So one, in terms of volume and operating leverage, I get that part. But in terms of, let's say, absolute increase in scrap prices quarter-on-quarter across these 4 regions, where LatAm and Asia are relatively, I mean, lower in terms of increase compared to Europe and North America, does that also play a part?

Devinder Ahuja: You are saying, on scrap prices?

Somaiah: Yes, yes, correct.

Devinder Ahuja: I mean, I would say that between the 2 -- overall, globally, I would say that it has been kind of steady between the 2 quarters, steady to improving. The one which has benefited for some part of the quarter, the full benefit will come in the current ongoing quarter from the much higher premiums.

We will see a more distinct benefit of that in the current quarter. But let's say that between the 2 quarters, the overall scrap availability, spreads, et cetera, have been kind of steady to positive. So that has not played a major negative role for sure between the 2 quarters. And I can make this comment across geographies. Now in Europe, we have been impacted by the drop in the local market premium, E CDP. There is a bit of an impact of that. But largely, I would say, stable situation to a bit positive is the way to think about scrap between the 2 quarters.

Somaiah: Got it, sir. Sir, in terms of U.S. scrap sourcing, if you could just help us in terms of roughly what level of sourcing is contracted? And how much do we buy on spot? And I mean, how much is kind of getting imported for us and how much is domestically sourced?

Devinder Ahuja: Yes. So before the start of the year, in the U.S., we have contracted well over 50%. And the reason for that is very clear. We don't want to take volume risks. We want to make sure that we have access to scrap. And just given the situations we have been seeing, it is always prudent to make sure that we have secured supplies and some certainty in the spread. So by implication, the rest of the scrap is procured in the spot market.

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Somaiah: And this 50% what we have contracted, the pricing for this will be a 3-month average, 6-month average? I mean, how does it work for pricing?

Devinder Ahuja: Look, we are getting into details that we normally don't. But indicatively, w

hat I can tell you is

that we contract spread percentage in most of the cases. And in some cases, we link it to external indexes, not too many of those cases. But in some cases, we do link it to external indexes. So

there are different kinds of contracting. But these are the 2 ways in which we do it. Somaiah: Helpful, sir. One clarification. So we did speak about this \$60 million impact. But otherwise, let's keep aside taking quantities from other regions, but left alone, the U.S. operations for someone who's procuring scrap in the domestic market and getting the benefits of higher Midwest premium, we should have seen a Q-o-Q increase in backward integration profitability.

That's the right way to understand?

Devinder Ahuja: So you are saying that we should have had a lot more improvement because of the higher Midwest. Is that the implication of your question?

Somaiah: Yes, yes. So I mean, compared to scrap price increase, the Midwest has kind of done well. So we should have ideally flown. So is this part of the reported EBITDA or because we are getting via the metal price lag, it's not actually getting reflected?

Devinder Ahuja: Yes. So metal price lag is a completely different matter, and I can quickly explain that to you. But coming to your underlying question or concern, Midwest basically went up much later in the quarter. The increase to levels of \$1,500 that we have seen came towards the later end of the quarter. So we are yet to see the full benefit of that. That would be sitting in the scrap inventories and will get unlocked as we get into this quarter. Yes, so that's what it is.

And metal price lag, we should not mix -- and all that is in EBITDA. To your point, does the scrap benefit and all the benefit of the Midwest going up, widening spreads, does it get captured in EBITDA? Yes, it does. There is a bit of a timing element to that. And metal price lag is a very different thing.

Metal price lag and the benefit that you see there is because the Midwest goes up, we see the benefit of the inventory which we have bought at lower Midwest and we sell at higher Midwest,

that is what creates metal price lag. So that's really what it is.

Somaiah: This is basically for the non-integrated part, which we have bought at the lower end...

Moderator: Sorry to interrupt, sir...

Somaiah: Yes, no problem. I'll take it later.

Moderator: The next question is from the line of Ms. Raashi from Citigroup.

Raashi: Could you please just repeat the India cash number?

Satish Pai: You mean how much cash we have in the treasury?

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Raashi: Yes, please.

Satish Pai: Yes, it's about INR 18,000 crores.

Unknown Executive Net INR11,000 crores.

Satish Pai: Net is INR 11,000 crores of the debt. The treasury has about INR 18,000 crores.

Raashi: Okay. So this is just at the India level, right, INR 11,000 crores net?

Satish Pai: Yes. Long-term debt is about INR 7,000-odd crores. Treasury is about INR 18,000 crores.

Raashi: Okay. And the capex in India in the first quarter?

Satish Pai: INR1,273 crores. Guidance for the full year is about INR 7,500 crores to INR 8,000 crores.

Raashi: Got it. And for the hedges, you said 20% of the commodity is hedged at \$2,666 per ton and 18% is at INR 87 for the second quarter, right?

Satish Pai: Yes. Correct.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.

Satish Pai: So thank you for your attention. I think that on one hand, the India business is doing very well. On the other hand, I think Novelis has a clearly outlined plan of how they're going to handle the headwinds with the measures that they are taking. And I think that based on that, I think second

half of this year, you're going to see an improvement in the Novelis perform

ance. So with that, I thank you for your attention, everyone. Thank you.

Moderator: Thank you, sir. In case of any questions, we request you to connect with the Investor Relations team at Hindalco.

On behalf of Hindalco Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Hindalco Industries Limited

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November 13, 2025

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Q2FY26 Earnings Conference Call held on November 7, 2025, for the quarter and half year ended September 30, 2025, is enclosed herewith.

The same is also available on the website of the Company i.e. www.hindalco.com.

This is for your information and record.

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript of the Q2FY26 Earnings Conference Call of Hindalco Industries Limited ["Company"] for the quarter and half year ended September 30, 2025.

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;

b. ISIN: INE038A01020 and

c. Our Intimation dated October 31 2025 .

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Hindalco Industries Limited

"Q2 FY26 Earnings Conference Call"

November 07, 2025

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

M R. BHARAT GOENKA – CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

M R. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER – NOVELIS

MR. SUBIR SEN – INVESTOR RELATIONS – HEAD –

HINDALCO INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Hindalco Industries Second Quarter Results for FY26. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you and over to you, sir.

Subir Sen: Thank you and a very good afternoon or morning everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the second quarter of financial year 2026. In this call, we will refer to the second quarter financial year 2026 investor presentation posted on our company's website. Some of the information on this call may be forward-looking in nature and is covered by the safe harbor language on Slide number 2 of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the second quarter of financial year 2026 versus the corresponding period of the previous year. A segment-wise comparative financial analysis of Novelis and the Indian aluminium and copper business is also provided.

The corresponding segment information of prior periods have been restated accordingly for a comparative analysis. Today, we have with us on this call from Hindalco's management, Mr. Satish Pai, Managing Director; Mr. Bharat Goenka, Chief Financial Officer. From Novelis' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer.

Following this presentation, the forum will be open for questions and answers. Post this call, an audio replay will also be available on our company's website. Now let me turn this call to Mr. Pai to take you through company's performance and key highlights in the second quarter of fiscal 2026.

Satish Pai: Yes. Thank you, Subir, and good afternoon and morning to everyone. Thank you for joining Hindalco's earning concall today. On Slides 5 to 9 of this presentation, you can see our progress across quarterly metrics of safety and sustainability for this year versus prior periods. I'll now take you through the key highlights of these initiatives.

At Hindalco, safety is always our highest priority, and our LTIFR for this quarter stands at 0.27. To reinforce leadership commitment and safety engagement, we have now told every unit head to serve as a night duty officer on the shop floor once every 10 days, followed by their direct reportees.

At Hindalco, we continue to make strong progress on circularity and responsible waste management. In this quarter, 78% of the total waste generated was recycled or reused, indicating stronger waste management performance in this monsoon period. We achieved 104% recycling of bauxite residue, excluding Utkal, 96% recycling of ash and 119% recycling of copper slag this quarter.

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Our specific freshwater consumption in aluminium has reduced year-on-year with the implementation of the tertiary water recycling unit and zero liquid discharge system at Aditya and kuppam, along with condensate polishing unit at Utkal Alumina. In copper, the specific freshwater consumption has also reduced compared to prior period on account of higher production volumes. We remain deeply committed to preserving and enhancing our biodiversity in and around the areas of operation.

We have created a green wall at Aditya by planting 1,500 fully grown trees to reduce dust emissions and support Hindalco's mission of clean air. In H1 FY26, we expanded green cover with 11,150 square meters of Miyawaki plantation

and planted about 4.41 lakh saplings across locations to strengthen greenbelts, boost biodiversity and improve environmental quality.

Additionally, we launched our 'No Net Loss' initiative with habitat restoration near Aditya Aluminium in Odisha and Bharuch in Gujarat reviving degraded forest and enhancing native biodiversity. At the end of this quarter, our renewable energy capacity stands at 292 MW powered by solar, wind and hydel resources.

We are on track to add another 230 MW in the coming quarters and are well advanced in our

round-the-clock renewable energy initiatives with 130 MW of storage-based power to be deployed this year, taking our total renewable capacity to 522 MW by the end of this financial year. This achievement reflects our commitment to clean energy and reducing carbon intensity as we move towards a greener and more sustainable future.

Our aluminium-specific greenhouse gas footprint for the quarter was 19.47 tons of CO₂ per ton of aluminium produced. Now let me give you a glimpse of the current broader economic environment on Slide 11. According to IMF's October 2025 update, growth is projected to ease from 3.3% in 2024 to 3.2% in 2025 and further to 3.1% in 2026.

This slowdown is broad-based. Advanced economies are projected to grow by 1.6% in 2025, down from 1.8%; and the U.S. growth easing from 2.8% to 2%. Emerging markets and developing economies are also expected to soften slightly from 4.3% to 4.2%. While the U.S. introduced higher tariffs earlier this year, subsequent trade deals and policy adjustments have helped temper some of the extremes.

Still uncertainty around global economic stability remains high. Some protectionist policies have been reversed and global economic activity has shown temporary resilience, supported in part by the frontloading ahead of impending tariff deadlines.

Global trade and immigration policies will remain key drivers of economic outlook going forward. Headline inflation is forecasted to decline from 5.7% in 2024 to 4.2% in 2025, although U.S. inflation may rise in the second half of the year due to tariff-related cost pass-throughs to consumers.

Amid a tepid global environment, India continues to demonstrate resilience. Real GDP grew by 7.8% in Q1 FY '26, supported by robust growth of 6.3% in industry and 9.3% in services. While external headwinds, 50% U.S. tariffs and weakening global demand pose challenges, a strong set of domestic tailwinds is sustaining momentum.

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A series of measures have been introduced to unlock the potential of the industrial sector and enhance competitiveness, including the rollout of a simplified GST 2.0. Our front-loaded monetary policy easing is lowering borrowing rates with financial conditions improving in recent months and recent regulatory easing supporting credit availability for corporates.

The service sector continues to perform well, underpinned by strong business sentiment. The agricultural sector is benefiting from a strong monsoon, healthy progress of Kharif Sowing, which is also supporting the rural demand outlook. Household purchasing power is being lifted by income tax cuts announced in the budget and GST rate reductions.

Early signs of this impact are visible as the festive season consumer demand reached a record INR6 trillion, up from INR4.25 trillion last year. However, geopolitical tensions, uncertainties around global trade policy and volatility in global financial markets remain key downside risk.

In this context, the RBI expected the FY '26 growth to be 6.8% with the second half expected to be slightly softer than the first, primarily due to tariff-related developments.

Inflation is expected to remain benign at 2.6% for FY '26. The monetary policy stance remains neutral with RBI committed to supporting growth while maintaining price stability. Moving on to the industry outlooks on Slide 1

2 to 14. On Slide 12, here, you can see the LME price trends continue to be impacted by a mix of factors.

Aluminium prices continue to be fundamentally supported by the global shift to electrification, EVs, infrastructure investments and sustainability-linked demand. However, geopolitical uncertainty and investor sentiments are also playing a role in price resilience beyond just supply-demand fundamentals. In the first 9 months of CY 2025, both global aluminium supply and demand grew by around 1% year-on-year.

In China, aluminium production increased by 1% to approximately 32.5 million tons, supported by capacity additions in Yunnan, Sichuan and Inner Mongolia, though partially offset by closures in Shandong. Consumption grew faster by 3% to 34 million tons, driven by sharp rise in solar installation and a 37% surge in new energy vehicle production.

However, the consumption sector remained weak with declining investments, resulting in a cumulative deficit of nearly 1.6 million tons in China. In the rest of the world, aluminium production rose marginally to 22.5 million tons, while consumption grew 1% to about 21 million tons.

This demand was supported by India, Brazil and Indonesia, but offset by weaker demand in Europe and North America. Segment-wise, packaging, construction and consumer durables showed recovery, while transport remained subdued. This led to a surplus of roughly 1.5 million tons in the rest of the world.

Consequently, the global aluminium market remained broadly balanced with China's deficit offset by the surplus in the rest of the world. Turning to aluminium demand in India, as shown

in Slide 13. Q2 FY '26 demand is projected at 1.5 million tons, an 8% growth year-on-year. This momentum is driven by strong performance in the electrical and solar sectors, along with robust growth in automotive supported by GST 2.0 reform.
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These factors continue to position India as a key driver of global aluminium demand. Turning to Indian copper industry on Slide 14. In the domestic copper market, demand this quarter, including domestic supply, scrap imports and imports excluding scrap rose by 11% year-on-year, reaching 420 Kt compared to 380 Kt in the same period last year.

This strong growth was driven by infrastructure investments, increased electrical application and strong sectoral demand, particularly from white goods and winding wires. These trends underline copper's critical growth in India's industrial and energy transition. The annual benchmark TC/RCs commonly referred to for the calendar year 2025 have now been finalized at 5.45 cents per pound.

This represents a sharp 73% decline from the 2024 benchmark of 20.5 cents per pound, underscoring the significant supply side pressures currently impacting the global copper concentrate market. Spot TC/RCs have dropped to record lows, driven by intense competition and aggressive bidding from traders across the board.

That said, we are beginning to see the early signs of stabilization. Spot smelter buying terms have now settled around negative 10 cents per pound, which may indicate a potential floor in the current pricing environment. As we move forward, our focus remains on maintaining operational efficiency and navigating this market dynamics with agility and discipline.

Let me now give you a glimpse of our quarterly consolidated and business segment-wise performance this quarter versus the same quarter of last year on Slide 16. Our consolidated business segment EBITDA was up 6% year-on-year at INR9,104 crores this quarter. The consolidated net profit after tax was up 21% on a year-on-year basis at INR4,741 crores this quarter.

That underscores the resilience of our integrated business model. Novelis recorded shipments of 941 Kt in Q2 FY '26, nearly flat compared to 945 Kt in the same period last year. Adjusted EBITDA of \$476 million, th

at is \$506 per ton was up nearly 3% year-on-year, excluding the tariff impact of \$54 million.

Novelis made strong progress towards fully mitigating the tariff impact in the second half of FY '26. Back in April 2025, we had set an FY '26 exit savings run rate target of \$75 million, which we raised last quarter to \$100 million. With another quarter of solid execution behind us, the run rate is now \$125 million as we accelerate all cost efficiency initiatives.

Looking ahead, we remain committed to our 3-year goal of permanently reducing our cost structure by \$300 million FY '28 exit. Additionally, scrap prices continue to move in a positive direction, supporting margin improvement. At Hindalco India business level, our business segment EBITDA was up 15% year-on-year at INR5,419 crores this quarter. The net profit after tax was up 7% year-on-year at INR3,059 crores.

Coming to our business-wise performance this quarter, India Upstream Aluminium, performance shipments were up 4% year-on-year. Revenues were up 10%. Our quarterly EBITDA was up 22% year-on-year at INR4,524 crores, backed by resilient performance across Hindalco Industries Limited
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the value chain, fully aligned with our philosophy of operational excellence by design. This helped us deliver an EBITDA per ton of \$1,521 in a monsoon quarter.

EBITDA margins were at 45% this quarter and continue to be the best in the global industry. On our hedging position for the third quarter of FY '26, we are currently hedged at around 31% on commodity at around \$2,700 per ton and 26% on the currency at INR87.5 per dollar. This quarter 2, the Indian Downstream Aluminium business delivered a record performance.

Quarterly shipments were up 10% year-on-year at 113 Kt. Aluminium Downstream delivered an all-time quarterly high EBITDA of INR261 crores, up by 69% year-on-year this quarter versus INR154 crores in the prior period, driven by higher value additions on innovations and premiumization.

The resultant EBITDA per ton stood at a record \$265 a ton, higher by 49% on a year-on-year basis. On Hindalco's copper business performance this quarter, our overall metal shipments were at 113 Kt, down 3% year-on-year, of which CCR volumes were at 97 Kt, up 8% year-on-year. Our quarterly copper EBITDA stood at INR634 crores, down 24% year-on-year on account of

lower TC/RCS, offset by better realization in byproducts and operational efficiencies. Coming to Slide 19. In the first half of FY '26, we delivered a robust cash generation of INR8,762 crores, marking a strong 45% year-on-year growth, reflecting the strength of our operating model and disciplined execution.

At the same time, we continue to invest in future growth with capital expenditures rising 23% year-on-year to INR11,330 crores, primarily directed towards capacity expansions across Novelis and India business. These investments are aligned with our capital allocation priorities to unlock shareholder value.

To recap our capital allocation priorities require maintaining the consolidated net leverage below 2 as we invest growth capex of \$10 billion. As of September end, consolidated net leverage was at 1.23 and a strong track record of healthy ROCE shows that we are progressing well in this journey.

The revised capital cost of Bay Minette has been built in our \$10 billion capex plan during FY '26 to FY '29, and we are confident to keep our consolidated net leverage below 2 times. Details of the operational and financial performance in each of our business segments this quarter compared to the corresponding period last year as well as previous quarters are covered in further slides and annexures to this presentation.

Now let me conclude today's presentation with some key takeaways. At Novelis, our second quarter results underscore that the fundamental drivers of our business remain strong, even as we navigate some market softness and tariff

headwinds. Excluding the target tariff impact, adjusted EBITDA per ton came in at \$506, exceeding the \$500 mark.

We are executing on our 3-year \$300 million structural cost reduction program targeting FY '28 exit through organizational restructuring, manufacturing footprint optimization and process enhancements, all aimed at driving long-term efficiency and margin improvement. With

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expectations to start the Oswego hot mill next month, the outage impact is primarily a timing issue, a headwind this fiscal year that will largely be recovered next year.

Meanwhile, our Bay Minette greenfield rolling and recycling facility in the U.S. is progressing well, building a strong foundation for the future as this industry needs more domestic capacity to meet growing customer demand for beverage packaging, automotive and specialty aluminium products. The total project cost will be now in the around \$5 billion.

On the project IRR, I would like to reaffirm that this is above the cost of capital. More importantly, we see upside potential, especially with the Phase 2 of the project, which involves expanding coal mill capacity by additional 600 Kt. This phase is highly lucrative, requiring substantially lower capex. The strategic rationale for building a large-scale rolling mill in the U.S. is stronger than ever before.

Coming to the India business in Q2 FY '26, we delivered global industry-leading aluminium upstream EBITDA per ton, reaffirming our position in the first decile of the global cost curve. This performance reflects our strong operational efficiency, cost discipline and consistent execution. Our key upstream expansion projects like Chakla, Meenakshi, Bandha coal mines, Aditya Alumina Refinery, Aditya Aluminium Smelter Phase 1 and the recently announced Phase 2 expansions, along with the copper smelter are progressing well.

On the downstream front, Hindalco reported its highest ever quarterly aluminium downstream EBITDA. Aluminium downstream EBITDA grew at 69% year-on-year in Q2, supported by strong volumes and better product mix. Our copper business remains resilient with our e-waste and recycling project that remains on track for an FY '27 recommissioning, reinforcing our commitment to sustainability-driven growth.

Hindalco is future-ready staying true to our core philosophy of 'Engineering Better Futures'. Our strategic focus remains clear, doubling down on capacity expansion across aluminium and copper upstream while driving a fourfold increase in downstream EBITDA by FY '30 in India. At the same time, Novelis is advancing its 3x30 strategy, building on 3 key priorities to deliver sustainable growth and profitability by 2030. These commitments position us strongly to capture emerging opportunities and create long-term sustainable value for our stakeholders. Thank you very much for your attention and the forum is now open to any questions you may have.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: So my first question is a few clarifications. So sir, when we say hedging 31% for '26, now are we implying for the second half, say, 31% of the volumes we will sell in the second half or it's I mean, how can you just explain that?

Satish Pai: Yes, let me explain. So Q3, it's 31% at 2,700. Q4, because of the recent LME run-up, we have

been adding to our positions. We are now at 49% at 2,760. So on top of our previous positions,
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as the LME has gone up to 29%, we have been adding to our position. So Q3, we have had 31% at 2,700. Q4, we have now 49% at 2,760.

Sumangal Nevatia: Okay. And sir, how is FY '27? Have you started locking in '27 volumes also?

Satish Pai: Yes, we have started to lock in FY

'27. We currently have roughly 10% at 2,800.

Sumangal Nevatia: Understood. Sir, my second question is on Novelis. Now one clarification, which we're not able to understand. What is our net impact on the tariffs on the earnings of Novelis? Assuming today's tariffs, today's scrap spreads, here, I'm not asking for any speculative future scenarios of tariff reversals or something, but just want to understand on today's scenario, adjusting for all the lead and lags, which we kind of witness, what is the net impact?

Satish Pai: Yes. Dev, you want to take that?

Dev Ahuja: Yes. So basically, we said that this quarter impact is \$54 million. Remember, we had guided to \$60 million net impact of tariffs at our last quarter earnings call. So the second quarter came at \$54 million. The first quarter was at \$28 million. It was a part of the quarter impact.

Now we have already been telling you that we have a mitigation strategy in place with relocating more getting access and relocating more manufacturing in the U.S. versus Canada and that will help us to continue mitigating more impact to the extent that towards the end of the year, towards the end of this fiscal, a very significant part of the mitigation would have happened, Sumangal.

So that is really what it is.

Sumangal Nevatia: And Dev, just to understand, are we factoring in the benefit of the scrap spreads in the North America because of these tariffs in this net impact or that scrap spread is outside of the net impact?

Dev Ahuja: The scrap spreads per se is outside of this impact. We don't factor that in. We do factor the benefit of the higher Midwest Premium, both in terms of getting the arbitrage. And also, there is a factor of scrap benefit just because of the elevated Midwest. So that's the way we do it.

Sumangal Nevatia: Okay. I understand. My next question is just one last one on, overall, our leverage and what is the peak level of debt we are estimating over the next 2, 3 years at Hindalco console level. Just want to understand, given that we are seeing various cost overruns at Novelis and till today, we have just spent around 50% of the Bay Minette project capex. And then at the same time, we are taking up more expansions in India. So as per our budgeting estimates, I mean, what is the net level of debt we are looking at in terms of peak?

Satish Pai: So Sumangal, if you remember, in April, when we did the investor call, we committed that the console net debt to EBITDA will not cross two. So what we are doing now is as we do any of the India capex announcements, we are taking the Bay Minette number of 5 is already in our calculation.

So all I can tell you is that we will not cross 2 in the next 4 years. We will make sure that the console net debt to EBITDA is kept below 2. And our Indian capex is what we have announced

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already, that is already in our calculation. And we will make sure that we will phase the capex so that we will as on a console level, we won't cross 2.

Sumangal Nevatia: Understood. And just one accounting clarification. There's a lot of intersegment profit and unallocated income expense, which where there's a lot of swing every quarter. So I want to understand, are these noncash items or cash items?

Satish Pai: No, Sumangal, I guess you're talking about the India business, right?

Sumangal Nevatia: Yes.

Satish Pai: The only swing is when we sell metal from upstream to the downstream. So that is the only thing that happens because just like Novelis has, when you sell upstream to downstream, the metal sometimes if it does not get sold, then it will come up in that unallocable because it's in the inventory of the downstream. Whereas on the upstream side, we have to take it as a metal sold and book the profit. So that's the only correction that we do in that annexure side for you to get that number right. Otherwise, there's not any other thi

ngs going on there.

Moderator: Our next question comes from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: Mr. Pai, just wanted to understand the thought process on the doubling down of aluminium smelter. So on one side, you are hedging the second half exposure, you're increasing hedging,

which means which sends a signal that you're cautious on this study. And on the other hand, you're doubling down on the smelter, which seems to suggest you're positive. A very conflicting message. I'm just trying to understand the thought process. And tied to that would be, when you're looking at expansion in India smelter, did you consider recycling at these spreads, the thought between recycling versus smelter in terms of expansion, just on the this expansion, just trying to understand the thought process?

Satish Pai: Yes. There's a lot of points you're covering. So the first thing is the hedging part, if you remember, our strategy has not changed. Every year, we try to do about 20% as an insurance hedge for the next year. So say, roughly by December, January, we would like to be at 20% for FY '27. So that's an insurance hedge, and it has not changed. As we get closer quarter-on-quarter, if there is a run-up like we see now, then we add because we want to lock in Q3 and Q4 numbers. Now the smelter expansion is a much longer-term strategy based on the EBITDA and the LME projection. So we are fairly confident now that our cost curve will remain with our coal mines coming in at the first quartile. We are fairly confident that the LME will at the lower end of the LME, and I've said this many times, is now going to be more like 2,200 to 2,400. And at that level, when we budget, we can see a very good return.

Now if LME continues to be strong, then it is very good. But it's the fact that we have coal and bauxite backward integrated makes us go into the smelter expansion. And the third part is we are expanding downstream in India. So as we expand that downstream, you see we already reached 600 Kt of downstream capacity.

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And we are aiming towards an EBITDA per ton of \$300 per ton and higher. So all these put together gives our strategy of leveraging the upstream because of the integration strength and then expanding the downstream as well to take into account as the Indian economy grows, more manufacturing comes to India. So a long answer, but it's a complex question you asked.

Satyadeep Jain: And on between recycling and smelter, the entire capacity expansion?

Satish Pai: Yes. So recycling, we are also going into recycling. So the 50 Kt recycling on Aditya boundary has already started. So we are committed to get the recycling volumes up to 100 Kt in the next few years. The copper recycling plant will get commissioned next calendar year. So even in copper, we'll have 50 kt of recycling. So we think that recycling and primary both will have a role to play going forward. Recycling is where India has to catch up a lot, and we are actually going to be leaders in both copper and aluminium recycling.

Satyadeep Jain: Secondly, on the de-risking of the project in the context of Novelis also, initially when the cost overrun happened, I mean, we assume that this is engineering, there was some, I think, flow over or I'm not sure which one, something on the engineering design. But again, that has come up as 50% of the cost inflation this time is again because of engineering.

So what has really happened that this happened the second time the same reason? And how do you look at de-risking the India projects? I know that's maybe you're going into Alabama was somewhat greenfield. This would be back in your own backyard. But just what really surprise happened the second time, which you already had figured out the first time? And then how do you de-risk the India projects, large capex happening there?

Satish Pai: Yes. I'll let

Steve take the first part, and I'll take the second part. Steve, go ahead.

Steven Fisher: Yes. So thank you, Satish, and thanks for the question. With the advancement of Bay Minette, we've made great progress over the past 12 months at the site. We're about to commission the cold mill next quarter and then the rest of the equipment through the remainder of next year. The strategic nature of this project in ensuring that we're ready to continue to expand, as Satish talked about, because of the situation in the U.S. being very significantly short of capacity for beverage packaging, for auto and specialty products.

And then with the tariff situation, this project becomes even more strategic. And so the elements of the increase from roughly 4 to around 5 is 50% of it is inflation, standard inflation as it relates to some of the equipment and materials, but mainly around contract labor because of the significant industrial construction projects going on in the U.S.

So that's the big driver. And then we have recognized that there is some complexity as well associated with some parts of the facility that we were still finalizing up until just this quarter. And so as we saw that, that also increased the cost, and that was roughly probably 30% to 40% of the additional increase.

And then the remainder is ensuring that the site and plant is ready to be quickly expanded in the event that we are successful in some U.S. tariff relief with the administration and so that we can continue to catch the significant growth that we see over the next 5 years in the U.S. market.

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Satyadeep Jain: So just wanted to check on this only. I know when the entire inflation happened in the first instance to \$4.1 billion, we would have thought that the entire on the engineering side would have been de-risked. So maybe taking the cost inflation bit out.

But again, what is the complexity you saw in the final stages that the \$4.1 billion would have already accounted for a lot because that was a time when you saw the engineering issues. What is something that even you could not see and these issues cropped up at the later stage? Just trying to understand especially that engineering issue complexity that happened the second time?

Steven Fisher: Yes. So as we talked 1.5 years ago about the increase to the \$4 billion number, we said we had a significant portion of engineering completed. We did not have 100% of engineering completed. And so as we continue to work towards getting that fully completed. That's where we saw some differences in quantity and variances occurring, whether it be in amount of cement, amount of steel and other materials or amount of hours required from contract labor to construct the plant. Now we are 100% complete in engineering. And so we are confident in the \$5 billion number as we sit here today.

Satyadeep Jain: Okay. And maybe Satish on India, if you can.

Satish Pai: Yes. Let me take the India question now. So I guess we have unfortunately learned many lessons along the road. So we have set up a very strong project team and a project monitoring team for all the India projects that I'm personally sort of reviewing regularly.

But taking Steve's point, we have hired quite a few people on the civil electrical side who are looking at many of these engineering drawings and the conversion of these engineering drawings to release for construction type where the cost inflation or the numbers go up.

So we are trying to get to a high degree of maturity on the conversion of engineering drawings to the release for construction for the India projects to not fall into the same issue. So a lot of hiring of experienced people from the industry with civil, electrical because it does not normally come from our equipment. A lot of these things come from the civil side. So we are plugging the gap to make sure that the Indian projects do

not have this issue.

Moderator: Our next question comes from the line of Amit Lahoti from Emkay.

Amit Lahoti: My first question is on Novelis. So with the implementation of tariffs in the U.S., clearly, the capex intensity and the cost of doing business has gone up. And we have 420,000 tons of volumes contracted for \$1,000 margin. So for the remaining 180,000 tons, can we seek higher margin to pass through the tariff and capex inflation?

Satish Pai: The answer is yes, but I'll let Steve say the yes. Go ahead, Steve.

Steven Fisher: Yes. No, it's a great question. And obviously, with the tight market in North America and the tariff regime that's been put on, especially with the 232 aluminium tariffs at 50%, there will be opportunities to see price increases on uncontracted and ultimately likely when those contracts come up for renewal as well. So I think the overall price outlook in North America is to the upside.

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Amit Lahoti: Okay. And then my second question, again on hedging. So see, in a way, the market waits for a good cycle for a long time. And when it actually comes, the companies are found on the short side of it through hedging. So how should one think about the investment case given that the upside is deliberately capped, how do we think about it?

Satish Pai: So no, I don't think that you should look at this deliberately capped because the LME is very volatile and can go up and down. So if you take a look at it, I think that when you hit \$2,800 levels in the short term, it becomes, I think, for us, very important to lock in that because you see Q4 is a quarter where normally the Chinese shutdown happens because of New Year and LME can come off a few hundred dollars.

So which is why we think we took that up in the Q4 because Q4, we want to lock in the numbers to have a strong quarter. So in the long term, as I repeat again, we do only 20% to 25% and keep 75% open. In the short term, when we get very close, we try to catch the thing going up.

Moderator: Our next question comes from the line of Indrajit Agarwal with CLSA.

Indrajit Agarwal: I have two questions. First, Mr. Pai, if you can explain what is happening in the MJP premium market, while LME is holding up much better, MJP has kind of collapsed. So what exactly is driving this weakness?

Satish Pai: So you see the difference in the aluminium versus copper is that the regional issues get resolved in the regional premium. So on one hand, MJP is low. Because of the tariffs, the Japanese, the Korean auto companies got impacted. In Q2. So the aluminium demand in Asia was low, especially East Asia. So the MJP is sub 100.

But then you switch to the U.S. because of the tariffs, the Midwest is running at \$1,600, \$1,700. But the LME remains the price across the world the same. So what you're seeing in MJP is a reflection of the aluminium demand. Now that South Korea and Japan have signed deals with the U.S., we are assuming that in Q3 and Q4, the MJP will start to go above 100 where it should normally be.

Indrajit Agarwal: Sure. Second question is to Steve. If you can remind us again the beverage can sheet market in U.S. So what is the demand? What is the import like? And would there be enough demand for the additional 600 kt Phase 2 that we are planning at Bay Minette?

Steven Fisher: Yes. Sure. So the overall beverage packaging market globally is very strong. We see that growth at 3% to 4% over the next 5 years on a CAGR basis. In the U.S., it's extremely strong as well. And we're starting from a base of being short can sheet in the U.S. market by somewhere between 400 to 500 kt.

So alone, as with the tariff situation, that will all get domesticated between Bay Minette and the new ADI mill as well. From there, we see strong growth and ability that as we get into 2030 that the market will be short again, not just beverage packaging, but clearly in a

utomotive as well

and some specialty products. And this mill would have the capability to serve all 3 of those. I hope that helps.

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Moderator: Our next question comes from the line of Pinakin from HSBC.

Pinakin: My first question is that you mentioned in your opening comments that to do the capex, you would want to keep the net debt to EBITDA at 2x or below 2x. And the India capex will be the one which could get phased out. So just trying to understand that if over the next 1 to 2 years, profitability at Novelis does not improve for whatever reason, should we expect a delay in the India project commissioning time lines?

Satish Pai: So first, welcome back, Pinakin. So just to answer your question, roughly the projects that have already been announced will continue. The ones that we will look to phase are things that we have not yet taken a call on such as the Mahan 360 Kt smelter expansion. So the ones that we have already announced are already booked into the projection to say, and we are comfortable we'll stay below two.

Pinakin: Got it. My second question is, sir, if you go to '27 and where you have given the India project expansion schedule, can you give us a sense of the India business capex next year and thereafter, including the \$750 million of equity infusion that is to be done at Novelis?

Satish Pai: Sorry, the question was in FY '27, what is the capex?

Pinakin: '26, '27 and '28. How should we look at the capex given the projects that are on committed to in India and the \$750 million of equity infusion at Novelis?

Satish Pai: So Pinakin, let's take the capex part first. So this year, we have said the capex is going to be around INR8,500 crores. I think that next year, we are expecting around INR11,000 crores. I think that is FY '27. FY '28, stay with me because I'll have to give you a number maybe next year.

But this year, about INR8,500 crores, next year about INR11,000 crores is what we have put into our projection. The INR750 crores that we would raise at the AV Mineral level for the equity infusion has also been put into our calculation when we talk about the consolidated net debt to EBITDA staying below two. Because anyway, the net debt to EBITDA is a console number.

Moderator: Our next question comes from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, you indicated that our intent is to cover up for the cost of capital at Novelis. Sir, what is the underlying assumption on the cost of capital that we are taking in?

That's one. Second is you did indicate about the second phase of expansion. Any time lines to that, which will help us improve the return ratio profile? And third, related question, what's the rationale of infusing \$750 million from India if one had to take into account the cost of debt and cost of equity?

Satish Pai: Yes. Maybe before we go to the Bay Minette cost of capital and IRR to Dev, the \$750 million, we are going to raise as debt at the AV Mineral level and put it as equity into Novelis because a couple of things. I think that the strength of the Hindalco balance sheet means that we can raise

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money on the Hindalco side at a much more attractive cost. Number two, we don't want the net debt of EBITDA of Novelis to go too high.

We have bond owners that we are worried about. We don't want the ratings of Novelis to get negatively impacted. And fourthly, we believe that showing parental support at this time would be a strong positive for Novelis. So which is why for a variety of reasons, we want to raise the debt at the Hindalco AV Minerals and put it as equity into Novelis. I'll let Dev now answer the IRR, cost of capital for Novelis and the Bay Minette project. Dev?

Dev Ahuja: Yes. So Ritesh, so typically, as a policy, we don't give out the WACC, but let me give yo

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enough inputs to at least make you comfortable on the intent of your question. So you know all the debt raises that we have done. I mean, our cost of debt in the U.S. is somewhere in the 5 handle, low 5 handle consolidated cost of debt.

The point I'm making is that the cost of capital in the U.S. is very efficient. Now I understand, I mean, in the WACC, you'll have the cost of equity, but still cost of capital is very reasonable. And then what we have told you is that even with the Bay Minette overrun, we will not be exactly on double-digit IRR, but a wee bit below double-digit IRR.

So again, I'm just asserting the point that we have a safe margin versus the cost of capital when it comes to Bay Minette. And I mean, as we have assessed the project cost of Bay Minette, we have also assessed opportunities and learning from all the things that we have done on cost efficiency projects, we discovered that there was even more opportunity in Bay Minette for cost optimization.

There are pricing opportunities, which was already alluded to earlier by Steve. So all in all, we are discovering more efficiency opportunities even in Phase 1 of Bay Minette. So it makes us feel comfortable that besides the strategic rationale, even the financial rationale of Bay Minette is fairly intact even with the first phase.

Ritesh Shah: Sorry to harp on this. But again, like I think when we indicate cost of debt closer to 5% or less than 5%, then probably we don't...

Dev Ahuja: I said it's a 5 handle. Yes, go ahead.

Ritesh Shah: Yes. Then we don't need the \$1,000 EBITDA per ton number because it more than adequately covers up for the cost of capital because if I just put 60-40 debt equity, if I assume cost of equity at 11%, the number comes closer to 6.5%, assuming, say, 5% handle. Then how should we put the 2 variables into the equation? One is when we say covering up for the cost of capital and the number of \$1,000?

Dev Ahuja: Yes. I mean well, I don't know how where you're going with this, but you are just on the point that the cost of capital is indeed very efficient, probably a little bit above the WACC that you have calculated. But the point that we are saying is exactly what you're also getting to that the \$1,000 and now with cost efficiencies that I spoke about, it is not just \$1,000. It is decently above \$1,000 with pricing and cost. So essentially, that's the whole point I'm making that there is Hindalco Industries Limited

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enough spread between the WACC and the IRR that we are getting based upon all the updated assessments that we have done, Ritesh.

Ritesh Shah: Sure. That's helpful. Just a small clarification to what Mr. Pai indicated, raising debt at AV Minerals, I think the last bond issuance, what we had at Novelis was at around 6.375% coupon.

So when you say something at Hindalco AV Minerals, at attractive debt, what is the coupon what we are hinting at because...

Satish Pai: It will be lower than that. My treasury guy is waving his hand, don't give a number, but it will be lower than that.

Ritesh Shah: That's great. Just a second question on Europe, probably Steve can take it up. Sir, how are we looking at the impact of CBAM in Europe? Specifically, if you could highlight our sourcing of scrap within Europe? And if you're sourcing any metal from outside Europe, what would it mean to the premiums and the underlying economics for the European operations?

Satish Pai: Dev, do you want to take that? This is scrap.

Dev Ahuja: Yes. So I can surely talk about the scrap and we have enough scrap availability in Europe to be able to take care of all our needs. We don't depend upon imported scrap in Europe. In fact, as a policy, we are kind of encouraging the regulators to think about not letting scrap go out of Europe because there is some scrap leakage that happens. So Europe is self-sufficient. And so we have no concerns on that.

We would like to

sort of see if the policymakers would react positively to not letting scrap go out and let the scrap remain in Europe. And then that indirectly also addresses your CBAM question, I guess.

Moderator: Our next question comes from the line of Somaiah V from Avendus Spark.

Somaiah V: Sir, first question is on the India business. On a Q-o-Q basis, the EBITDA per ton increase of

close to \$40, \$50. This seems to be lower when compared to the LME increase. If you could just help us understand the bridge here, impact of cost of production of the review premium that you are referring to earlier?

Satish Pai: So look, the EBITDA per ton, you also have to take into account the alumina sales that we do where the index has come down. So that has got an impact. The second thing is Q2 coal costs, while they have been attractive, it's a monsoon quarter. So coal costs Q-on-Q, meaning sequentially are higher. So the cost of production in the Q2 level, I was expecting that question really is about 3% to 4% higher than Q1.

When you do the math, we have had a positive write-back of the RPO obligations that we have put in. But if I take that out, the cost of production has been about 4% higher in this monsoon quarter. So alumina and the cost of coal going up is why the cost the margins would not have been as high as just the straight LME going up. And the other part, of course, is also the regional, meaning the India premium that we realized also has been slightly lower in Q2 versus Q1.

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Somaiah V: So on that note, what is the expectation in terms of cost of production for the current quarter, Q3?

Satish Pai: The Q3 should be flattish to 1% is what we are assuming. Coal costs will come back, but CP coke prices have gone up a bit. We do have some planned shutdowns. So it should be flat to 1% in Q3 versus Q2.

Somaiah V: On Novelis, I just want to understand the scrap-led benefits in Q2. Obviously, from the industry pricing that we track, it seems to be a very sharp improvement in scrap spreads between Q1 and Q2. Scrap prices not going up to the levels of NWP increase. So is the full impact of the scrap spreads already shown up in Q2 or if there is a lag impact.

So what would be the drivers? If you could just help us understand the nature of the contracts.

Are contracts linked purely to LME as a percentage of LME or there's an LME plus Midwest Premium angle? Some color on the scrap spread impact or what one should expect in Q3 versus Q4?

Satish Pai: Dev, do you want to take that?

Dev Ahuja: Yes, I will take that question. All right. So one, I think you have captured it very well. I mean, we have not yet seen the full upside of the rise in Midwest because it kept rising during our September quarter. And so there is some more benefit to come. Also because of the fact that we have some contracted volumes from contracts that were locked in earlier, we were not able to take the full benefit of the falling spreads.

So there is, in short, more benefit to come. And this is a wider point that I want to make to everybody who is listening that the underlying positivity in the business is becoming better. Unfortunately, we are having extraneous events, whether it is the customer facing a shutdown in Europe or Oswego fire and so on.

But when you take this out and you think about the underlying health of the business, things are really looking pretty positive. Now so there's more to come. That's the short answer. Now just keep in mind also that while Midwest is doing very well and the scrap availability and spreads are benefiting, in the non-U.S. geographies, there has been some softening of premiums, particularly in Asia, where MJP is very soft.

So some of the benefits of the Midwest do get taken away. But net-net, the positivity of Midwest takes over all the others, and it's a net positive, and there is more to come.

Somaiah V: Sir, one

clarification there. So I just want to get this part a bit more clearer. So in terms of sourcing of contracts, I understand we would have had some long-term contracts in place where we would have had a higher scrap price compared to what probably spot is. If that is the case, you might let us know that is one, which could lead to a lag impact.

But from getting the benefits of Midwest, it's more with passing on to the end consumer. So that could be more or less captured on a spot basis. Just want to understand how the lag impact on capturing the Midwest benefits comes in the equation?

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Dev Ahuja: Yes. So I think we are getting into two areas. One is the metal price lag, which is below EBITDA. So that is basically in a rising premium market. you benefit because between the time you purchase and between the time you sell, the premium has gone up. So that is what is metal price lag and you would have already seen how strong the benefit from metal price lag is.

Now at some point, things will go in the other direction and so on and so forth. But the point I'm

making is that when Midwest or any premium goes up, as we buy as a percentage of the total aluminium cost, the dollar benefit expands, right? And that dollar benefit expansion from Midwest is what I was alluding to earlier that in a rising market, there is a bit of a lag in the expansion of the spreads, yes. And that lag will benefit us.

Somaiah V: So sourcing contracts generally are tied as a percentage of LME or is it as a percentage of LME plus Midwest for scrap?

Dev Ahuja: Yes, it is as a percentage of total BMC in the U.S., total LME plus Midwest. And remember, I mean, this is not like as cut and dry as you're making it out to be. Even the availability, there are also demand-supply factors and the availability situation in the U.S. has been getting better. And so that also creates some softening outside of just the price impact. So it's more complicated. But yes, net-net, I think you have captured what I'm trying to tell you.

Moderator: Our next question comes from the line of Amit Kumar Murarka from Axis Capital.

Amit Murarka: So my first question is on alumina volumes that you booked in the quarter. Could you provide that number? And also, what's the outlook for the same in 2H?

Satish Pai: So I think the sale for the quarter was 199 Kt in Q2. And in Q3, it will be about 170 Kt because we have a little bit of a shutdown planned in Utkal.

Amit Murarka: Okay. And then otherwise, the quarterly run rate can be taken as like broadly 200 Kt then otherwise, except the shutdown?

Satish Pai: So we normally sell roughly about 700 to 800 Kt in a year. It's not exactly 200x4, but yes, 700 to 800.

Amit Murarka: Understood. And just quickly on the aluminium Phase 2 expansion project that you just announced. So beyond this, like which other sites will have scope for expansion for you?

Satish Pai: See, we have 2 new smelters, Aditya and Mahan, both we had planned for 720 Kt. So both are running at 360. So Aditya, we did the first 180 is in progress. We announced the next 180. The only remaining one for expansion is Mahan, which can go up by another 360 Kt.

Amit Murarka: And that, I believe, will be taken up once the Aditya project is getting through or towards the end of that?

Satish Pai: And we will look at balancing out cash flows, many other things that we will also look at. But just to be clear, we are starting the initial engineering, land preparations. So all that we will keep ready. So it will just be a timing issue when we announce that.

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Amit Murarka: Sure. And just to be very clear, we are no longer like pegging or attaching the growth in aluminium capacity to renewable power as what we were doing in the past?

Satish Pai: No. I think that we will continue our journey to try to in

crease as much renewable power that is

practical and makes sense, but we are not going to tie it. That's fair to say.

Amit Murarka: Got it. And lastly, any update on the Chakla mine? I think it is the box cut, I think, was guided by the end of this calendar year earlier.

Satish Pai: Yes. I think that we should be doing the box cut somewhere around December, January. That is still on track. Both Bandha and Chakla box cuts are in this coming few months.

Moderator: Our next question comes from the line of Tarang Agrawal from Old Bridge Asset Management.

Tarang Agrawal: Three questions. One, how fungible are cash flows between Hindalco and Novelis, I mean, from a tax leakage standpoint and various FEMA regulation standpoint?

Satish Pai: I think that this is to be taken fungibility, tax things, we look at it in the way we do. Like the example we just gave you is we can raise debt in AV Minerals and put it across. We have been doing a return of capital from Novelis to Hindalco many times without any tax leakage. We have been doing so I think that overall, this is something that we will continue to look at on a case-by-case basis.

Tarang Agrawal: Basically, I was coming from the point of view that given that these are two standalone businesses, but when you try to look at a console net debt to EBITDA of less than 2, it is essentially inferring that the fungibility is extremely strong. So I just wanted to verify if that's really the case?

Satish Pai: Well, it is. I mean we are demonstrating that in these times. You're right. we look at it as one consolidated. That's how the shareholder will look at it. And then depending on strength of the balance sheet and the market conditions, we will use for financing reasons.

Tarang Agrawal: Got it. The second question, sir, is on the specialty Alumina business. And to the earlier participant's question where you essentially alluded that external alumina sales are in the ballpark of 700 to 800 kt per annum. Specialty capacity has been expanding. FY '25, you ended at about 560 Kt. So would it be fair to presume that 80% of those or 70% of those 800 Kt are actually in the form of specialty alumina?

Satish Pai: No, I think you're mixing 2 things. We have a specialty Alumina business, which is based out of Belgaum and Muri where we sell about 400, 500 of specialty. What I was talking about was the

excess metal grade alumina from Utkal that we sell. So these are 2 different things. The specialty alumina business out of Muri and Belgaum is, as you said, in the order of 500 Kt. We are trying to use up all of Muri to do specialty, which will take some time. Now the one part on this whole specialty alumina business, it has been doing well, but still many of the specialty aluminas are tied to the alumina API. And as you know, from the \$600, \$700, it has dropped to

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\$350. So the pricing of the alumina, specialty alumina, some of our products is also impacted by the alumina price coming down, which has had an impact in Q2.

Moderator: Sorry to interrupt, Tarang, sir, we had lost the audio for your line. If you can just please repeat the question once again.

Tarang Agrawal: Yes. So if alumina trades at about INR350 per ton, typically or 35 cents a kg, what would be the realizations in your broad basket of specialty alumina?

Satish Pai: It's not you can't go broad basket. There are a lot of value-added products where the EBITDA per ton will be another INR20,000 above the alumina prices. So it's better to look at the specialty alumina separately. We will start to separate that out sometime next year, just like we have done downstream alumina. The Utkal alumina is metal-grade alumina sold to smelters outside of ours, and that is sold straight at the alumina index price like Nalco does.

Tarang Agrawal: Okay. Wonderful, sir. And last, sir, when you're baking in the IRRs for the aluminium

upstream expansion, both at Aditya and possibly at Mahan eventually, given the volatility in LME prices and given the backward integration that the business is undertaking, is it fair to presume that a baseline through cycle of \$1,000 per ton is a reasonable number to work with?

Satish Pai: \$1,000 is a good number to work with, but we get a reasonable return even slightly below that. So the alumina LME projections we take are roughly \$2,500 LME when we do those calculations. And remember, though, that \$2,500 number is from FY '28 onwards, not today because those projects come in from FY '28. So we are assuming around \$2,500 as the base case there.

Tarang Agrawal: Okay. Got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we will take that as our last question for today. If you have any further questions, please get in touch with the Hindalco Investor Relations team. I would now like to hand the conference over to Mr. Pai for closing remarks.

Satish Pai: Yes. Thank you. So I think that our integrated business model advantages are seen in a quarter like this where the India business has performed very well. Novelis also on an underlying basis, had a very strong Q2 with an EBITDA per ton above 500. I think that we have quite a lot of confidence that the Bay Minette project when executed is going to be a significant game changer for us in the U.S. market. And I believe that the Indian expansion projects are on track and on budget.

So overall, we think that the Hindalco business is quite poised over the next 2 years to become a high-performing business. I just wanted to add, we also believe that once the Bay Minette project is over, Novelis will turn cash positive as well and the net debt-to-EBITDA will start coming down. So all these are on our mind and we are quite conscious that the next year, our execution capabilities will be closely watched by you guys. So thank you very much for your attention.

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Moderator: Thank you. On behalf of Hindalco Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 6, 2025

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Novelis Inc. , a wholly owned subsidiary of the Company has published its Q2FY 26 Earnings call webcast at its website www.novelis.com. In this regard, please find enclosed herewith Transcript of the aforesaid call.

The same will also be available on the website of the Company i.e. www.hindalco.com .

This is for your information and record .

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript of the Q2FY26 Earnings Conference Call of Novelis Inc., a wholly owned subsidiary of Hindalco Industries Limited ["Company"]

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ;

b. ISIN: INE038A01020 and

c. Our Intimation dated October 29, 2025 .

Novelis Inc. Q2 2026 Earnings Call

November 4, 2025

Operator

Greetings, and welcome to the Novelis Q2 Fiscal Year 2026 Earnings Conference Call and Webcast. At this time, all participants are in a listen only mode. A question and answer session will follow the formal presentation. (Operator Instructions) As a reminder, this conference is being recorded. It's now my pleasure to turn the call over to your Host, Megan Cochard. Please go ahead, Megan.

Megan Cochard

Thank you, Kevin, and good morning or evening, everyone. Welcome to Novelis' second quarter fiscal year 2026 earnings conference call. Hosting our call today is Steve Fisher, our President and Chief Executive Officer; and Dev Ahuja, our Chief Financial Officer. Following the presentation, the call will be open to analysts and investors for questions. This conference call is being broadcast on the Internet at novelis.com in the Investors section. A replay of this call will also be available on our website. Before I turn the call over to Steve, let me remind you that today's earnings release and presentation include forward -looking statements, as defined in the Private Securities and Litigation Reform Act of 1995. These statements are subject to risks and uncertainties. These

risks and uncertainties include, but are not limited to, those factors identified in the release and in our filings with the Securities and Exchange Commission.

Today's presentation also includes certain non-GAAP measurements. Reconciliation of these measurements is provided in the financial statements included with our earnings release, as well as in the appendix of our presentation.

Now, let me turn the call over to Steve.

Steve Fisher

Thanks, Megan. Good morning, or evening, everyone, and thanks for joining us today. Our second quarter results demonstrate that the fundamental drivers of our business remain strong, contributing to solid quarterly results, despite facing some pockets of market softness and tariff headwinds.

Adjusted EBITDA improves sequentially, as expected, reflecting solid execution in a continued dynamic environment. Excluding the net tariff impact, adjusted EBITDA per ton would have exceeded \$500 in the second quarter. With the unexpected Oswego plant fire in mid-September, we are intensely focused on the safe and quick recovery of operations. We are first and foremost thankful there were no injuries as a result of the event.

We are also grateful for the swift response and collaboration between our teams, customers, industry peers, and equipment suppliers who w

orked tirelessly to restore the hot mill and

minimize customer disruption. With expectations to restart the hot mill next month, the impact from the outage is primarily a factor of timing, with a headwind this fiscal year to largely be recovered next year.

Turning back to the quarter, Q2 shipments were in line with the prior year, mainly due to Novelis' production timing, as demand for infinitely recyclable, lightweight aluminum products continues to grow globally. We continue to see strong demand, particularly for aluminum beverage packaging sheet, which is our largest in market. While aluminum scrap prices are higher than prior year in some regions, they have continued to stabilize and have even turned favorable in North America, as scrap supply and aluminum local market premiums have increased.

As anticipated, adjusted EBITDA was impacted by a net negative tariff impact of \$54 million in the second quarter. However, we continue to expect our mitigation strategy, accessing more U.S. capacity, customer pass-throughs, and advocacy with the U.S. Administration on fair tariff relief will reduce the net tariff impact over the next couple of quarters. Earlier this year, we announced a \$300 million three year cost efficiency program to defend and improve our margins. We have already taken a number of actions around organization redesign and footprint rationalization visible in our Q2 results that accelerate our savings expectations this year. We now anticipate exiting fiscal '26 at a run rate savings level above \$125 million. We also continue to make significant progress constructing a state-of-the-art plant in the U.S., to bring much needed capacity to an undersupplied domestic market.

Our Greenfield Rolling and Recycling Plant in Bay Minette, Alabama is on track to hit some exciting milestones. We will begin commissioning the coal mill at Bay Minette next quarter and the rest of the plant to follow as we track toward total project commissioning in the second half of 2026.

I'll cover our business and market outlook in more detail in a few minutes, but first I'd like to turn the call over to Dev for a more detailed review of our current quarter financial results.

Devinder Ahuja

Thank you, Steve, and good morning or good evening. Let's turn to Slide 5 and our Q2 financial highlights compared to the prior period. As Steve just outlined, excluding some extraneous factors, our underlying business is performing well. Net sales increased 10% to \$4.7 billion, primarily driven by higher average aluminum prices.

Total rolled product shipments were in line with the prior year at 941 kilotons, but could have been higher if not for capacity constraints at Logan as we ramp-up post its de-bottlenecking expansion and a customer disruption in Europe. Slightly lower beverage packaging and specialty shipments were offset by higher automotive and aerospace. The 1% decrease in beverage packaging shipments were due to the Logan ramp-up and unusually cool and wet weather in Brazil in the quarter, which has since improved.

For the first six months of the year, beverage packaging shipments are up 3%. Adjusted EBITDA was down 9% year-over-year to \$422 million in the second quarter, including a \$54 million net negative tariff impact. Adjusted EBITDA per ton was \$448, but excluding the tariff is \$506 per ton. Net income attributable to our common shareholder increased 27% to \$163 million, primarily driven by favorable metal price lag, and Sierre flood-related charges in the prior year, partially offset by lower adjusted EBITDA and Oswego related charges, amongst other items. Net income, excluding special items, decreased 37% year-over-year in Q2 to \$113 million. Turning to the adjusted EBITDA bridge for Q2 on Slide 6, the lower EBITDA result versus the prior year is primarily due to tariffs. The year-over-year tariff impact on this bridge is higher than the c

urrent

\$54 million impact due to a timing related positive tariff reimbursement in the prior year.

Looking at the operational drivers excluding tariffs, we see the benefit from higher product pricing and our cost-efficiency actions, which are ramping up quickly. In addition, we have seen stable to improving scrap prices in recent months, particularly in North America, where scrap benefit and availability is now better than the prior year. However, scrap benefit in other regions were less favorable than the prior year, driven by a drop in local market premiums and were the primary driver to higher operating costs in the EBITDA bridge.

Let's look at Q2 performance year-over-year by segment beginning on Page 7. North America shipments were down 7% year-over-year, despite broadly favorable market demand. Operational limitations as we ramp-up Logan resulted in lower beverage packaging shipments, while footprint rationalization and some weaker macro conditions led to lower specialty shipments. These shipment decreases were partially offset by higher automotive shipments on strong demand.

The 28% decrease in adjusted EBITDA is driven by tariffs.

As better scrap prices, favorable product mix, and higher product pricing were partially offset by the lower volume. In Europe, shipments improved 12% and adjusted EBITDA 29%, as compared to the prior year, which was impacted by flooding in Sierre. The increase in shipments was primarily driven by strong demand for beverage packaging, though shipments increased in each product and market and would have been even stronger if not for production disruption at one of our automotive customers.

The improvement in EBITDA was primarily driven by volume and higher product prices, partially offset by elevated scrap prices. Turning to the next slide, we had another strong shipment quarter in Asia, growing 12% year-over-year, driven by higher beverage packaging specialty, and aerospace shipments partially offset by lower shipments of automotive products. Adjusted EBITDA increased 9% as higher volume benefits were partially offset by less favorable product mix and higher scrap prices compared to the prior year. In South America, beverage packaging shipments were down 2% as regional consumption trends were affected by adverse weather conditions that have since improved. Adjusted EBITDA was down 12% primarily as a result of higher scrap prices compared to the prior year.

Now, let's turn to cash flow on Slide 9. Year-to-date adjusted free cash flow is an outflow of \$499 million compared to the prior year outflow of \$345 million, mainly due to lower adjusted EBITDA and higher capital expenditures for strategic growth investments underway. Partially offsetting this was significantly favorable metal price lag as a result of the rise in the Midwest premium. For fiscal 2026, we continue to expect total capital expenditures to be in the range of \$1.9 billion to \$2.2 billion, including approximately \$300 million for maintenance CapEx.

We ended the second quarter with a net leverage of 3.5x and liquidity of \$2.9 billion. We have completed a number of financing and refinancing activities over the last few quarters that provided a staggered term debt maturity profile with no near-term maturities. Our ongoing focus on balance sheet discipline will support us as we navigate through the near-term pressure resulting from the Oswego outage.

We expect the impact on near-term EBITDA could elevate net leverage into the vicinity of 4x for a short period of time before returning quickly towards a level around 3.5x. Cost efficiencies on the next slide. So, Novelis has been working on a number of strategic initiatives to defend and improve our margins, thereby building more resiliency in the business.

Earlier this year, we set a three year target to permanently reduce our cost structure by \$300 million through operational efficiency, footprint rationalization, and SG&A streamlining actions. We

had also set an initial target to exit fiscal year 2026 at a \$75 million savings run rate, which last quarter we raised to \$100 million. With another quarter behind us, we are again raising our near-term target and now expect to exit this year at a savings run rate above \$125 million. This is a result of further acceleration of all the cost efficiency initiatives underway. We believe these actions will drive simplification. Better leverage technology and automation to gain efficiency and drive margin improvement.

I'd now like to hand the call back to Steve for a market and business outlook.

Steve Fisher

Thanks, Dev. First I want to take a moment to address the fire at our Oswego, New York plant on the evening of September 16. Again, we're relieved that all employees were safely evacuated. And there were no injuries among our people or first responders. We are deeply grateful for the partnership, their partnership and professionalism.

Since that night, our focus has been on ensuring the safety of our people and the stabilization of the site and restoring operations and rerouting material from around the world to serve our customers. The fire impact was contained to the hot mill and the building structure surrounding it. All other areas of the plant, recycling and casting, cold rolling, automotive finishing and shipping were unaffected. And production in these areas has continued.

We are dedicating the full strength of our resources to restore the hot mill. And minimize disruption with the help of on site stadium lighting. Work to repair the roof and adjacent structural

damage is able to continue 24/7. We have installed new roof trusses. Procured all the nearly 7000 parts needed for repairs. And large seal cleaning continues across the facility.

We have made considerable progress over the past month. Which has allowed us to accelerate our timeline. And we currently expect the hot military start in December. We regret the impact this is having on our customers, and we are continuing to take steps to minimize this disruption. To do this cross functional teams have been working diligently to identify and qualify other avenues of supply from Novelis plants around the world. As well as industry peers to ensure consistent quality and delivery.

I want to recognize the hundreds of employees, contractors. And partners working around the clock safely, efficiently. And with remarkable collaboration, as a result of this event, we recognize \$21 million in charges in the second quarter. The plant is insured for property damage and business interruption losses related to such events. But there will be some timing lag between the cash impact and our ability to recover the insurance claim. We estimate will have a total negative free cash flow impact in the second half fiscal 2026 from this event of approximately \$550 million to \$650 million, which includes an estimated adjusted EBITDA impact of \$100 million to \$150 million. We currently estimate approximately 70% to 80% of these impacts will be recovered through insurance in future periods. While this event represents one of the toughest moments for Novelis, it's also a defining one. We're rebuilding stronger with tighter global integration and an unwavering commitment to our customers.

Now, let's take a look at our in -market outlook on Slide 12. We believe our diverse portfolio mix and geographic footprint positions Novelis well to capture the favorable long -term fundamental demand for aluminum products across in -markets, driven mainly by sustainability and lightweighting preferences. Long and near -term demand for aluminum beverage packaging remains strong across regions and continues to be driven largely by favorable package mix shift towards aluminum.

In automotive, aluminum continues to win in the marketplace as it offers signif

icant advantages

over other materials. For example, aluminum's lower weight improves agility, acceleration, and braking performance, resulting in safer vehicles, while its strength -to-weight ratio enables higher payload and towing capacity. Demand for SUVs and pickup trucks in North America, vehicles that use a higher share of aluminum, continues to grow.

However, the softer European macroeconomic environment and a recent European OEM disruption limits near -term demand in that region. In China, smaller, lower -priced Chinese vehicles that use less aluminum content are winning share of automotive sales in Asia and Europe. We estimate this will soften the longer -term aluminum demand growth rate to a range of 3% to 5% and is the strategic rationale behind our decision earlier this year to idle one of two cash lines in China.

Turning to aerospace, structural demand for new aircraft sustains the aluminum aerospace plate and sheet market, but OEM supply chain challenges continue to constrain near -term demand. And lastly, for specialties, demand in the building and construction market has modestly improved but remains suppressed. Meanwhile, economic and tariff uncertainty are muting demand in some markets, including truck/trailer and light gauge products, and slower EV rollouts are constraining demand in the battery market. Turning to Slide 14. We continue to make good progress on the construction of our greenfield rolling and recycling facility in Alabama. As a highly sophisticated and automated plant, Bay Minette will soon -- will serve as a cornerstone of our operations and a bold step forward transforming the future of sustainable aluminum manufacturing.

We anticipate that approximately two -thirds of the production at this plant will be for the North America beverage packaging market where demand currently outpaces local supply. The remaining capacity will primarily be targeted to the automotive market with flexibility for specialties production. We have secured long -term contracts for all the new beverage packaging capacity at this plant and continue to make good progress on the automotive contracting side. The team continues to advance steadily across all fronts. Installation of both the hot and cold mill is in progress and hiring and workforce training is well underway. We will reach an exciting moment next quarter when commissioning of the cold mill is set to begin. Commissioning assets in other areas of the plant will follow over the remainder of the year as we track towards full project commissioning.

With the project now at a very advanced state and in line of sight to commissioning, we now estimate the total project capital cost will be in the order of \$5 billion. This increased cost estimate is a result of a combination of factors including inflation, both traditional inflation as well as tariffs, and higher costs due to competition for contractors and labor given the number of significant construction projects going on in the U.S. We also have more clarity into the requirements of very complex packages as we have advanced construction at the site. And importantly, we are laying a robust foundation on which we can expand and grow in the future.

The aluminum industry needs more domestic capacity to meet growing customer demand for automotive, beverage packaging, and specialty aluminum products. And we're building this now at Bay Minette. We are in ongoing discussions with the U.S. administration on tariff relief and the

need to be ready to invest further considering the demand projections suggest additional capacity will be needed. As such, we need to ensure the site is best designed now so we can quickly begin future investment at Bay Minette when the time is right.

In summary, our underlying business is performing well in a dynamic environment. The fundamental drivers of our business are solid, supported by continued strong dem

and,

particularly in the beverage packaging segment. Our cost efficiency program has accelerated and is now expected to deliver run rate cost savings in excess of \$125 million this year. In addition, overall scrap prices continue to trend in a positive direction. We are dedicating the full strength of our resources to Oswego recovery with a hot mill restart expected next month and leveraging all available options to minimize customer impact.

We have tariff mitigation actions underway primarily by accessing more U.S. capacity to reduce the net tariff impact starting in Q3. We are advancing strategic investments like Bay Minette that drive value, achieve sustainability goals and capture growing demand for sustainable aluminum FRP.

With that, we're happy to take your questions. I'll turn it back over to the operator.

Questions And Answers

Operator

Thank you. We'll now be conducting a question -and-answer session. (Operator Instructions). Our first question is coming from Indrajit Agarwal from CLSA. Your line is now live.

Q - Indrajit Agarwal

Yes. Hi, good morning team. Two questions from my side. First on Bay Minette, we have seen another CapEx escalation. Now the cost being almost twice of the initial CapEx outlay of \$2.6 billion. When we initially announced it was a high -teen IRR project, does that mean it's now a single -digit IRR project for us?

A - Steve Fisher

Yes. So we've made really good progress on this project. This is a project that's really a project that comes along every four decades and will be here for the domestic U.S. supply for the next 50 years. And in this investment, the first phase has come at a higher price. But we do know that we can efficiently expand off this as we've done at other facilities around the world, which makes this a great overall investment.

We're still very confident in the greater than \$100 per ton EBITDA.

A - Devinder Ahuja

\$1,000.

A - Steve Fisher

\$1,000, I'm sorry. Greater than \$1,000 EBITDA per ton. And overall, we think the returns will be very solid on this. Dev, do you want to add?

A - Devinder Ahuja

Indrajit, so first, one quick correction. We never said high teens IRR. It was mid -teens IRR, I mean, just for record. Having said that, we did tell you that we are still in double -digits after the last cost escalation. Now we are telling you that we will drop a slightly below double -digits, but we are going to be above the cost of capital that I'm telling you. And why? Because as we have been looking so intensely at our cost efficiency activities, you saw what I said earlier about how well those activities are doing.

We are also therefore discovering more opportunities to drive more efficiency in the operating cost of the project. In the uncontracted business, which is about one -third of the total -- of the total volumes in Bay Minette, we see pricing opportunities most of the auto business basic -- most of the uncontracted business is basically auto and a lot of manufacturing is going to come into the U.S. Automotive manufacturing is going to shift into the U.S. It's already starting to happen. So we are seeing opportunities which are helping us to still have an IRR, which will justify the attractiveness of the project, i.e. We will still be above the cost of capital. So this is all the background for you.

Q - Indrajit Agarwal

Sure, thank you for the detailed explanation. My second question is on the cost saving. While congratulations on a higher saving run rate for fiscal '26, is there any change in the ultimate saving of \$300 per tonne run rate or that remains as is?

A - Devinder Ahuja

We are saying about \$300.

A - Steve Fisher
\$300 million.

A - Devinder Ahuja
\$300 million, sorry. Yes. \$300 million. We are saying we'll achieve about \$300 million and so basically as we are accelerating our actions, as we are getting good results, we will come back to you. I mean, we are confident that we are on a very good track. So that's why for now, let's call it above \$300 million and in time, we will come back as we progress.

Operator
Thank you. Our next question today is coming from Prateek Singh from DAM Capital. Your line is now live.

Q - Prateek Singh
Hi. Thanks for the opportunity. So with the Bay Minette plant still one year away almost from commissioning, how confident are we of this \$5 billion number? Can we expect another small escalation from here or is this the final number as it stands right now?

A - Steve Fisher
Yes. So we're well along now. We're excited that we'll be commissioning the cold mill next quarter. All the other pieces of equipment will start right thereafter through the second half of 2026, where a full plant will be commissioned. So we're near the end. So around \$5 billion is the right number. Can it be a couple percentage higher or lower? Yes. I mean, it's all about execution now. But the \$5 billion is a very, very good estimate at this point in time.

Q - Prateek Singh
Understood. And on the tariff side, a few quarters back, I think we were quite confident of the U.S. and Canada reaching a deal. Of course, there's something not in our hands. But are we now seeing it as a new reality that this is something which will continue in the medium to long-term? And this impact would likely be permanent. And hence, we are making plans to go away from tariffs or any such measures that we're thinking of taking over the next few quarters.

A - Steve Fisher
Yes. So all we can do is put mitigation plans in place for the current regime of tariffs. And that's what we're doing. And so we've said it's \$60 million net tariffs per quarter, of which we have actions of which we believe will significantly start to mitigate that in the second half of fiscal 2026. As it specifically relates to U.S., Canada, and what might happen there, it's purely speculation. And we'll have to wait and see once a bilateral is ultimately put in place. The sentiment that we get is that, that would be an opportunity at least to relook at the 232 aluminum overall tariff percentage. But we'll have to wait and see what happens.

Operator
Thank you. Next question today is coming from Amit Murarka from Axis Capital. Your line is now live.

Q - Amit Murarka
Yes. Hi. Thanks for the opportunity. Just on the Oswego facility guidance of \$550 million to \$600 million to cash flows in FY '26, I just wanted to understand, one, what does it do to your net debt guidance, which I think you were giving at 3.5x debt EBITDA? And secondly, like how certain are you of the 70% to 80% recovery through the insurance which you're guided?

A - Devinder Ahuja
So let me start with the last point first. How confident are we? Well, I mean, not very long back, we have gone through the Oswego experience, where we saw the recovery in this range. We know our insurance policy and the terms of the insurance policy. So we have a reasonable basis to talk about the 70% to 80% recovery. Now, your other question was about the size of the impact, which is, as you will understand, is timing. The \$550 million to \$650 million, you heard our liquidity number. And so it's not like liquidity in itself is a concern. Having said that I mean, in a -- in a sooner than later time frame, the parent is going to support us by way of some equity infusion. The intent of the equity infusion of like \$750 million dollars is basically to make sure that we Both our parent and us sort of want to make sure that we don't go too far from our commitment of the 3.5 years temporarily because of the pressure on EBITDA from Oswego. The leverage may seem elevated not because of debt, but because of the short term impact on EBITDA before we get the insurance recovery.

So add up all this in a sooner than later time frame. We will have an equity infusion. Prim

arily, it will

help us to take care of the rest of Bay Minette with the cost escalation. But it will also allay any possible questions around sort of meeting the needs of putting Oswego back in action. So I hope that that clarifies.

Q - Amit Murarka

Sure. So by when do you expect the \$750 million?

A - Devinder Ahuja

I mean, in a sooner than later time frame, I don't want to put a month or a date on it, but it's in a sooner than later time frame is what I would say.

Q - Amit Murarka

So is it March '26 should be a fair assumption that.

A - Devinder Ahuja

Yes. I mean, if you insist, yes, I mean, but I'm telling you, it's in a shorter than later time frame. But yes. I mean, if you want to put that date, I think that's reasonable.

Operator

Thank you. Our next question today is coming from Abe Landa from Bank of America. Your line is now live.

Q - Abe Landa

Hi. Good morning. Thank you for that information, especially around the equity infusion. I think previously we had talked about raising kind of an additional \$350 million of debt. I know you raised \$100 million in a solid waste disposal revenue bond recently, even \$250 million, I guess. In light of like the Oswego fire, the increase in Bay Minette CapEx. And I think also what you just said, the parent infusing \$750 million. Kind of what are your debt raising plans? For the foreseeable future.

A - Devinder Ahuja

Right. And so thank you for the question. And just to be clear, we are not going to raise any more debt than we had planned earlier, directionally. We have \$250 million left. Remember, we said between last and this fiscal year, we'll be raising \$1.5 billion. We raised \$750 million in January. Through the mini bonds, we raised \$400 million plus \$100 million, the most recent \$100 million that you referred. So we have raised \$1250 million -- \$250 million to go. And also comes the equity infusion.

The long and short, what I want to tell you is that we will basically go a little up, maybe hover around four on the net leverage, primarily because of the denominator impact of EBITDA from Oswego, and not the numerator impact, but the denominator impact. So we will hover around four for a short duration in the next calendar year. And by the end of the next fiscal year, we are pretty much going to be back at 3.5x. And after that, we will kind of get on to a journey of kind of positive free cash flows and de-levering.

So this is a picture for you. So we are not going to raise, to be clear, we are not going to raise any more than the debt that we had already planned. And that is the reason why this parental support by way of equity infusion is happening so that we are able to respect the commitments on debt.

Q - Abe Landa

Thank you. That's very clear. That may be my follow-up. Is there a way to describe or just kind of talk about the cadence of the EBITDA and cash flow impact from the Oswego fire? It sounded like it's going to hit you in the back half of fiscal 2026 and then start to become more of a benefit in fiscal 2027.

And then I guess is the net impact, call it \$110 million, which is 20% of \$550 million to \$195 million, which is 30% of \$650 million. Like, is that how we are supposed to think about the net impact from a cash flow perspective and maybe what's the net impact from an EBITDA perspective?

Thank you.

A - Devinder Ahuja

I think you got it pretty right. So the cash flow impact is going to come within fiscal year FY '26. And in FY '27, we hope to get recoveries. I wouldn't be too optimistic. I would say the recovery in FY '27 will be more back-ended towards the later part of the fiscal year. So let's say Steve said \$550 million to \$650 million. So let's take the midpoint of that, which is \$600 million, take about \$150 million plus, minus, right? So that's really how you should think about. So eventually, the total net cash flow impact will be \$

450 million, and plus, minus. But I think that you pretty much summarized it pretty well, I would say. And remember that in the beginning, as I was alluding to earlier, that there'll be a short-term pressure on the EBITDA, because until the time we have insurance confirmations, we cannot book, we cannot book the claim receivable. And so it will kind of show up in EBITDA, starting from, starting from the third fiscal quarter, the December quarter so something to be clear about. That will be timing. But in the beginning, it will pressure the EBITDA to the extent of volume impact, et cetera. But going back, I think you captured it pretty well when you were asking your question.

Operator

Thank you. Our next question is coming from Satya deep Jain from Ambit, your line is now live.

Q – Satya deep Jain

Hi. Thank you. First, we wanted to ask on the, on the comment on scrap, you seem to allude that there is some improvement in tightness in North America, but at the same time, you're seeing tighter availability in South America. Just want to understand, because when going into the year, the expectation was you'll see greater tightness in scrap in North America, given competition is also starting.

And given this, the prices are, it would seem to indicate that South American profitability would be very high at these aluminum prices and scrap, but actually, it's continued to erode in the last couple of quarters at \$680 per tonne now. So what's happening on scrap between different markets? And given where scrap spreads are, you've seen improvement from 2Q now into 3Q. Your commentary doesn't sound very bullish in terms of improvement in profitability. Just wanted to see what's, what's going on in terms of the scrap spread, scrap prices, availability across markets.

A - Devinder Ahuja

Yes. No, I mean, you should not read anything negative. That was not intended at all. So let me give you some context and background. So first of all, the U.S. conditions on scrap spread, margins, et cetera, is pretty positive. In fact, so much that net-net, it is creating a globally positive situation. As far as the other regions are concerned I mean, the primary reason, I mean, the availability is not a problem. The markets are very steady. So we are not talking about anything from the point of view of concerns. We did have a bit of sort of pullback in availability in the quarter of, in Brazil, local scrap availability, there was a bit of a pullback, but we are now back, and there is no long-term concern. So, overall, the scrap conditions are, I would say, net-net very positive, subject to the only thing that premiums in the non-U.S. Regions are a bit depressed, and that is affecting some scrap margins.

So, net-net, we feel good about scrap. The point that you made about sort of the depressed Brazilian, the depressed South American profitability, I mean, there is a bit of a timing. There was a maintenance shutdown in this quarter, and therefore you see some quarter-on-quarter, sort of impact. You know, metal conditions are back, the market is looking good, it is picking up, so we really do not have any fundamental concerns overall, either on scrap availability, margins, or on South America margins.

Q – Satya deep Jain

When you put this all together, given you have the outage impacts from Oswego, but you have some of the other tariff mitigation measures and implement, how would you look at this trying to get a picture of how 2Q could look at, talking about depressed EBITDA and leverage, just trying to understand how to look at EBITDA for the second, given different moving parts.

A - Devinder Ahuja

Yes. So, the way to look at the second half is the one outlier in the second half will be the impact on EBITDA from Oswego. So, the impact on EBITDA on Oswego between Q3 and Q4 could be of the order of \$100 million to \$150 million. And so, that is the ou

tlier that you need to take into account.

The rest, I can tell you, I mean, you see the underlying performance of the business, net of tariffs. I mean, we are at \$505 per ton, tariff mitigation actions will progressively happen, overall scrap market conditions are positive, canned demand is really good. In a sense North America is looking good overall. So, if you add up all the factors, all that you need to think is that there will be a short-term pressure on EBITDA because of the timing of the Oswego impact. Otherwise we are in pretty good conditions in terms of the momentum.

Most importantly, keep in mind the cost takeout actions, they are going very well. And progressively, we will start seeing the impact of that. So overall, net-net, I would say we are in a pretty good situation overall. Keep in mind the seasonality of Q3, that we always talk about. But overall, we feel overall good.

A - Steve Fisher

And of the Oswego impact, \$100 million to \$150 million, the majority of that will be Q3.

A - Devinder Ahuja

Exactly.

A - Steve Fisher

We'll probably be in the ballpark of losing about 75 KT in Q3. There could be a little bit of spill over into Q4, but the majority of the \$100 million to \$150 million would be Q3.

Operator

Thank you. Our next question is coming from Sumangal Nevatia from Kotak Securities. Your line is now live.

Q - Sumangal Nevatia

Thank you for the chance. My first question is on the delimited cost escalation. I just want to understand better what are the reasons for this cost escalation. Is it the plant equipment, construction cost, or some other element? And then generally, what is the learning for future expansion? What can we do different to better estimate the capital cost before digging up a project?

A - Steve Fisher

Thanks. Sumangal. As we said, we've made very, very good progress at Bay Minette, excited about starting to commission equipment next quarter, so very positive on the progress the team's made on the ground. As it relates to some of the escalation, approximately 50% of the escalation of the cost is inflation.

Normal inflation, tariffs, competing for subcontractors in a very, very difficult tight market with all the projects in the U.S. going on. The next large bucket is probably 30% to 40%. This is a mega complex project, and as we got into it and we're getting there to commissioning, we realized that there was going to be more cost associated with some of the package complexities that we were putting in, and so that's the other big bucket.

And then we also are making it future ready. We see the market continuing to grow. We want to make sure that we can be in a position to accelerate investment to capture the market through the next decade. And so that's the third bucket. As far as learnings, I mean, the biggest learning is really getting much more advanced in the detailed engineering before giving out cost estimates publicly before maybe starting the project.

And I think that's the big learning. This is obviously a project that was the first one in four decades, either in the U.S. Or Europe. So it's a mega project. And, yes, as we got into it, we did realize that there's additional cost there.

Q - Sumangal Nevatia

Understood. Understood. Just a follow -up, do we expect I mean, what sort of commercial volume do we expect in fiscal year '27, given that we will have this planned sometime maybe for more than a quarter and my second question is generally on tariffs and scrap spread.

Now assuming the tariffs continue and the spreads where it is today. On a steady state basis, I mean, do we benefit out of this? Or what is the net impact? Because initially, we did quantify an impact and then our communication has been in the second half, we will mitigate and as a scrap spreads kind of benefiting us, we will kind of mitigate it. So from a FY '27 point of view, I mean, what is th

e net impact of tariffs we are likely to witness?

A - Steve Fisher

Yes. So on the first one, I'll take the Bay Minette question and hand over to Dev for tariffs. I would not project a lot of third party sales in FY '27. Remember, we've got a commission and then we've got to qualify with our customers. But we'll do everything we can. And to the extent we can get some, that's great. But I think, as an assumption, I would not factor anything significant into fiscal '27. And then as we get into '28, then I think that's when we'll start to see the volumes for Bay Minette come in.

A - Devinder Ahuja

So yes. So Sumangal, I'll take it in two pieces. So one is, what is the volume expectation for fiscal year '26? Well, had it not been for what happened in Oswego, we would have seen slight growth, some growth over the full year, the last year shipments of 3,757 KT. But because of the Oswego impact, we may see a little bit of a decline. So subject to outlier from Oswego, we would have seen some nice growth. And that's primarily because the beverage packaging market is doing extremely well.

Now, your question about what should one expect when it comes to tariff impact and for next year, I think that will be very speculative because we simply don't know what kind of trade deals will happen and so on and so forth. So we would rather not kind of speculate on that. We do what we control. And what we are doing right now is really working to implement the mitigation actions where we should be pretty advanced towards the end of this fiscal year, based upon what we know for now. So with that, I mean, we should be pretty well set. The fact that Midwest is at a high level and is of benefit but honestly I mean, these are all how they will pan out, what will happen, are all very speculative. We are addressing the fundamentals of the business, and our entire focus is on driving cost actions, efficiency actions, so that we have enough defensiveness in the system to be able to take care of any ups and downs. And then on tariff, we are doing whatever we can do within our control. We will see how it all goes.

Operator

Thank you. Next question today is coming from Ritesh Shah from Investec. Your line is now live.

Q - Ritesh Shah

Yes. Hi. Thanks for the opportunity. A couple of questions. First is for Dev. On the slide, we have indicated negative free cash flow impact of \$550 million to \$650 million, including adjusted EBITDA of \$100 million to \$150 million. This is with respect to fire at Oswego. I just wanted to understand the bridge, and why are we stating adjusted EBITDA over here given this is for FY '26?

A - Devinder Ahuja

So, when you say bridge, you are saying what? I mean the bridge between sort of when the cost will be incurred, when the cash flow impact will happen, and when it will come back? Is that what you mean by bridge?

Q - Ritesh Shah

No, not from a timing standpoint. If one had to look at or if one had to dissect \$550 million to \$650 million among the different components, how should one dissect this negative FCF number?

A - Devinder Ahuja

Okay. Okay, got it. All right. So, basically, the way to dissect it is that there will be an EBITDA impact of \$100 million to \$150 million. The rest of it is going to be largely repairs some CapEx. A good part of it will be cost to serve, which means to say that we are trying to buy every possible material from our own facilities or from others across the industry, and that will come at a higher cost because, in many cases, we will be even forced to air freight the material.

So, a majority of the cost or the cash flow impact out of this will be related to really helping our customers in the best possible way to be able to procure materials. There will be some CapEx for reconstruction. So, all that I can say in summary is that if you take \$600 million and take \$100 million to \$150 million out

of that, a majority of the rest is going to be towards servicing customers with more expensive material in these circumstances and repairs and CapEx costs for restoration.

So, at this point in time, it is still a work in progress. As we advance, as we close third quarter, we will give you some finer breakdowns.

Q - Ritesh Shah

Sure, just to get comfort on this number, should one presume that this is the outer limit of the impact, \$650 million, the number won't be higher than this and it won't spill into next fiscal?

A - Devinder Ahuja

Yes, it won't spill into next fiscal, that I can tell you with a high level of confidence. I can also tell you with a high level of confidence that we have been very, very thoughtful in giving this range of \$550 million to \$650 million. So we have a very strong level of confidence that there will not be much surprise in this number.

Operator

Thank you. Next question today is coming from Vikash Singh from ICICI Securities. Your line is now live.

Q - Vikash Singh

Thank you, sir, for the opportunity. I just wanted to understand, in Slide 13, you have written that the China, you are shutting down two Chinese automotive lines, citing low aluminum adoption. So just didn't understand why you think that there would be a low adoption in China. And secondly,

can you, from a major confidence, can say that now this is the last escalation in the Bay Minette Phase 1 CapEx?

A - Steve Fisher

Yes. So starting with the automotive sheet in China, we didn't say that there would be no aluminum. We had previously saw growth in aluminum electric vehicles of larger sizes. And what's happened is most of the domestic Chinese OEMs are building much smaller vehicles that do not require the light weighting as it relates to aluminum. And from a cost standpoint, they are trying to protect their margins.

So the level of adoption of aluminum penetration has come down. There's been more fierce competition for aluminum sheet inside of China. And that led us to make the decision earlier this year to take one of our cash lines out of service, not both. So we still have a cash line there that we believe has the capacity of 100 KT to continue to compete in what we're seeing in that market today. So that's on China auto growth and the adjustment we're making.

As it relates to Bay Minette, yes, we're confident in the \$5 billion. And we don't see a significant move really one way or the other, off the \$5 billion. So we do have a high degree of confidence in this assessment.

Operator

Thank you. Next question is coming from Tarang Agrawal from Old Bridge. Your line is now live.

Q - Tarang Agrawal

Hi. I'm audible?

Hello.

A - Steve Fisher

Yes.

Q - Tarang Agrawal

Okay. So I got two questions, one each on Bay Minette and Oswego. So firstly on Bay Minette, Dev, when you suggested that now the IRRs on the project have reduced to high single digit, my sense is this would be pertaining only to the first phase.

A - Devinder Ahuja

Correct. Correct, and with the second phase, yes, it's going to be a lot more attractive in the second phase. So yes, you got it right.

Q - Tarang Agrawal

Okay. And our initial understanding here was that with the second phase, this project can handle a capacity of about 1.2 million tons. Is that the outer threshold or could that number be higher eventually?

A - Steve Fisher

So, so that is the rated capacity of the hot mill. So that's why we said we can add a second cold mill and get to approximately 1.2 million metric tons. What we've seen with all of our facilities, we continue to find ways to get additional capacities out of these assets. So over multiple, multiple years after commissioning this, we do believe that there are still efficiencies that can be gained. But for now, for the next 10 years, the 1.2 million metric tons is a good number to be thinking about.

Operator

Thank you, next question today is coming from Raashi Chopra from Citi. Your line is now live.

Q - Raashi Chopra

Thank you very much. Just on the Oswego, the impact of \$150 million to \$100 million on EBITDA and the cash flow impacting \$550 million to \$650 million. You mentioned that the cost to serve will be part of the balance after subtracting the EBITDA, but wouldn't cost to serve be kind of part of the EBITDA impact, but that's really to do with just the volumes as well as the general costs that are going up.

A - Devinder Ahuja

The cost to serve is not going to be EBITDA. It is going to be below EBITDA. The EBITDA impact of the \$100 million to \$150 million that we were talking about is basically all the volume that we have to, the net volume that we have to give up, to be clear.

A - Steve Fisher

And the cost to serve is extraordinary, well above what normally would be the cost to serve our customers. So it's, as Dev highlighted before, air freighting, coils from overseas, tariff impacts that are coming in, even moving coils by boats. So all of that is the additional cost to serve that would be extraordinary, and we would not be recording it in EBITDA.

Q - Raashi Chopra

Understood. And when you say that the insurance covers business interruption losses, would this cost to serve also be captured in that? I mean, I'm just trying to understand that because you're importing from overseas and you're getting impacted by tariffs, does insurance help you there? Or that's, I mean, that's really not part of it.

A - Devinder Ahuja

Yes. Yes. I mean, insurance will cover all the legitimate costs that we have incurred to keep the customer serviced to the best possible extent. So the volume that we will not be able to produce, the cost to serve, all this is part of the coverage, Raashi. So yes, the answer is yes.

Operator

Thank you. Next question today is coming from Dhawal Doshi from Diamond Asia. Your line is now live.

Q - Dhawal Doshi

Okay. Thanks a lot for the question. I just wanted to check a couple of your peers in their call have mentioned or have called out that they're going to be benefiting from the unfortunate incident that has happened at Oswego, and those benefits are likely to go through from the next calendar year. Do you expect these to be temporary or these could be a lasting impact as far as NOLIS is concerned?

And one more question following this is in terms of the working capital impact, because of the tariffs and the scrap spreads, do you expect the working capital to get further going ahead?

A - Steve Fisher

Yes. So on the first one, obviously, as we said in our comments, we looked for all options for our customers, routes through other Novelis assets in our system globally. We reached out to all of our peers to see what open capacity they might have that we could qualify as well. So there's no doubt that our peers, and I thank them, have stepped up and helped in this unfortunate period of time for our collective customers.

And ultimately, I think it's a show of strength from the aluminum resiliency as an industry to work together. I would expect most of that to be temporary to your question of long -term loss, but would be over the next few quarters as we catch up our customer backlog that's needed now.

A - Devinder Ahuja

And on the working capital, when we gave you the number, we already took into account that there'll be a temporary elevation in working capital needs over the next couple of months, mostly this quarter and spill over into the next quarter. And then that working capital cash will come back as we get into the full cycle of Oswego starting to produce. So there will be an impact on the working capital. It will be short -term and it will start coming back fairly soon.

Operator

Thank you. We reach into our question answer session. I'd like to turn the floor back over to Mr. Fisher

for any further closing comments.

A - Steve Fisher

Yes. Thank you, Kevin. And thanks to everyone for attending our call today. Again. The fundamental drivers of our business remain strong. And while the unexpected fire Oswego has been a difficult challenge, I have no doubt that our collective resilience and discipline will guide us through recovery and position Novelis and aluminum industry for continued success in the years ahead.

So, again, thank you for your support. And we look forward to providing another business and financial update on our Q3 earnings call in early February. Thank you.

Operator

Thank you. That does conclude today's teleconference webcast. You may disconnect your line at this time and have a wonderful day. We thank you for your participation today

Call: Feb 2026

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February 18, 2026

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Q3FY26 Earnings Conference Call held on February 12, 2026 , for the quarter and nine months ended December 31, 2025, is enclosed herewith.

The same is also available on the website of the Company i.e. www.hindalco.com .

This is for your information and record .

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript - Q3FY26 Earnings Call.

Ref: a. Regulation 30 of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ;

b. ISIN: INE038A01020 and

c. Our Intimation dated February 5, 2026 .

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"Hindalco Industries Limited Q3 FY '26 Earnings Conference Call"

February 12, 2026

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HINDALCO INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Hindalco Industries' 3rd Quarter Results for FY '26.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you, sir.

Subir Sen: Thank you, and a very good evening, everyone. On behalf of Hindalco Industries, I welcome you all to the Earnings Call for the 3rd Quarter of Financial Year 2026.

In this call, we will refer to the 3rd Quarter of Financial Year '26 Investor Presentation posted on our company's website. Some of the information on this call may be forward-looking in nature and is covered by the Safe Harbor language on Slide ##2 of the said presentation.

In this presentation, we have covered the key highlights of a consolidated performance for the 3rd Quarter for Financial Year '26 versus the corresponding period of the previous year. A segment-wise comparative financial analysis of Novelis and Indian aluminum and copper business is also provided. The corresponding segment information of prior periods have also been restated accordingly for a comparative analysis.

Today, we have with us on this call from Hindalco's Management, Mr. Satish Pai – Managing Director, and Mr. Bharat Goenka – Chief Financial Officer. From Novelis's management, we have Mr. Steve Fisher, President and CEO, and Mr. Dev Ahuja, Chief Financial Officer.

Following this presentation, this forum will be open for questions and answers. Post this call, an audio replay will also be available on our company's website.

Now, let me turn this call to Mr. Pai to take you through the company's performance and key highlights in the 3rd Quarter of Fiscal '26.

Satish Pai: Good afternoon and morning, everyone. Thank you for joining Hindalco's Earnings Con Call today.

On Slide #5-10 of this presentation, you can see our progress across quarterly metrics of safety and sustainability for this quarter versus prior periods. I will now take you through the key highlights of these initiatives.

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At Hindalco, safety is always our highest priority. Our LTIFR for this quarter is at 0.22, showing significant improvement over the prior period. During the quarter, we regret to report a road safety incident that resulted in a fatality at one of our Indian operations. We deeply regret this loss and are committed to taking all necessary corrective actions to prevent such occurrences in the future. To further strengthen road safety audits, we are implementing measures to prevent man and machine interface risks across all our manufacturing units.

Let me now share one good news:

Hindalco has scored 89 out of 100 in the S&P Global CSA 2025, the highest ever score achieved by the company to maintain its leadership position in the aluminum industry. This recognition emphasizes our unwavering commitment and comprehensive strategy towards our long-term ESG excellence.

At Hindalco, we continue to make strong progress on circularity and responsible waste management. This quarter, 82% of the total waste generated was recycled or reused, indicating stronger waste management performance. We achieved 126% recycling of Bauxite residue, excluding Utkal, 105% recycling of ash, and 126% recycling of Copper slag this quarter.

Our specific water consumption in aluminum has further decreased, driven by the installation of an RO ZLD Plant and Tube settler, along with runoff recovery systems at Hirakud, as well as the commis-

sioning of a condensate polishing unit at Utkal Alumina. Additionally, the cycles of concentration optimization projects implemented across 11 cooling towers at Aditya and Hirakud have contributed to higher water savings in these units. In Copper, freshwater consumption intensity has also

reduced compared to the prior period, supported by higher production volumes.

We remain deeply committed to preserving and enhancing our biodiversity in and around the areas of operation. During the quarter, we planted 70,000 saplings across our mines and plant locations. Of these, 32,000 saplings were planted in our mining areas, significantly higher than the 23,000 planted in the previous year. These efforts are expanding our green belt coverage, supporting local biodiversity and enhancing overall environmental quality across our operations. We are also progressing a flag ship coastal ecological initiative, transforming 50 hectares of barren coastal land into a thriving mangrove ecosystem. Further, we have launched the No Net Loss on Biodiversity project across 350 acres in Belagavi, Karnataka. These projects are designed to deliver measurable ecological benefits while empowering local communities as stewards of restoration.

At the end of this quarter, our renewable energy capacity was at 418 Megawatts, powered by solar, wind, and hydel resources. We are on track to adding another 103 Megawatts in the following quarter and are well advanced in our round-the-clock renewable energy initiatives,

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with 130 Megawatts of storage-based power to be deployed this year, taking our renewable capacity to 522 Megawatts by the end of this financial year.

These achievements reflect our commitment to clean energy and reducing carbon intensity as we move towards a greener and more sustainable future. Our aluminum specific GHG footprint for the quarter was at 19.11 tons of CO₂ per ton of aluminum produced, which is lower than the quarter period of the last fiscal year.

Now, let me give you a glimpse of the current broader economic environment on Slide #12:

IMF expects the global growth to remain steady at 3.3% year-on-year across 2025 and 2026.

This steady performance results from balancing of divergent forces. Headwinds from shifting trade policies are offset by tailwinds from surging investment related to technology, as well as fiscal and monetary support, and broadly accommodative financial conditions.

The U.S. is expected to grow 2.4% in 2026, assisted by fiscal stimulus, lower policy rates, and easing trade-related drags. Meanwhile, China is projected to expand 4.5%, supported by stimulus measures and easing trade tensions, although structural challenges continue to weigh on medium-term performance.

The risks to global growth outlook remain tilted to the downside. The main concerns stem mainly from AI investments, overcorrection, renewed trade tensions, geopolitical flare-ups, and rising fiscal and financial vulnerabilities. Global inflation is projected to moderate to 3.8% in 2026, from 4.1% in 2025, as softer demand and lower energy prices persist. However, the U.S. is expected to see a more gradual return to the target.

In this global environment, India's growth momentum remains strong. Real GDP rose by 8.2% in Q2 on the back of resilient domestic demand and strong industrial and services sector performance.

The economy is benefiting from supportive factors like GST rationalization, softer crude oil prices, and improved financial conditions. Manufacturing activity has held up well in the past few years, supported by healthy bank credit flows to key segments.

On the demand side, urban consumption is steadily improving, while the rural demand continues to hold firm. However, external risks in the form of geopolitical uncertainties and commodity price volatility could weigh on the growth outlook.

Against this backdrop, the RBI

projects FY '26 growth at 7.3%, while economic survey forecasts

FY '27 growth in the range of 6.8% to 7.2%. RBI also expects the inflation to remain low at 2%, supported by softer food prices and easing crude oil prices, with an uptick towards the 4% target in FY '27. This gives RBI the room to stay supportive of growth. The monetary policy stance remains neutral, balancing growth and price stability.

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Moving on to the industry outlook on Slides #13 to #15:

On Slide #13, you can see that the aluminum prices have strengthened during this quarter. The demand conditions remain steady across primary end use segments such as packaging, electrical, machinery, and transport. On the supply front, concerns over potential smelter shutdowns and delay in capacity ramp-ups continue to support prices.

Furthermore, accommodative monetary policy, improved investor sentiment, and a broader upswing in commodity markets, most notably in copper, have collectively bolstered aluminum price levels. In Calendar Year '25, global aluminum production and consumption each grew around 2% year-on-year to nearly 74 million tons, resulting in a broadly balanced market.

In China, production rose 2% year-on-year to about 44 million tons, driven by capacity additions in Yunnan, Sichuan and Inner Mongolia, partially offset by rationalization in Shandong.

Consumption increased to around 3% year-on-year to approximately 46 million tons, mainly

supported by around 30% surge in new energy vehicle production in China. Building and construction activities, however, remain subdued due to lower real estate investments. As a result, China closed the year with a deficit of roughly 2.3 million tons. In the rest of the world, production grew by around 2% to nearly 30 million tons, while consumption reached around 28 million tons, up 1% year-on-year. Stronger demand in Brazil and Indonesia helped balance softer trends in the U.S. By segment, packaging, construction, and consumer durables showed improving momentum, whereas transport stayed subdued. This led to an overall surplus of about 2 million tons by end 2025. Overall, the global aluminum market remains balanced, ending Calendar Year '25 with a modest deficit of around 240 Kt, with China's deficit largely offset by a surplus in the rest of the world. Turning to aluminum demand in India: As shown on Slide #14, Q3, FY '26 demand is expected to reach 1.5 million tons, reflecting a robust 9% year-on-year growth. Growth remains broad-based, with autos buoyed by GST 2.0 reform, strong momentum in solar, driven by rising investment and steady demand in packaging. Overall, India continues to outperform the global market. Turning to the Indian copper industry on Slide #15: In the domestic copper market, demand this quarter, including domestic supply, scrap and imports, and imports excluding scrap, rose by 10% year-on-year, reaching 402,000 tons, compared to 364 Kt in the same period last year. This strong growth was driven by infrastructure

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investments, increased electrical application, and strong sectoral demand, particularly from white goods and winding wires.

On the TC/RC front, the Chinese smelters have finalized the 2026 long-term copper concentrate contracts with Antofagasta Minerals at 0 cents per pound, underscoring a sharply tightening near-term structural deficit in the global concentrate market.

In contrast, smelters in Japan, Korea, Europe, and India remain in negotiations as they seek more favorable terms than those agreed in China. Notably, this year's talks are being conducted separately by Chinese and non-Chinese smelters, signaling a potential shift away from a single global benchmark towards more region-specific pricing. Meanwhile, in the spot market, buying terms have settled around minus \$0.10-\$0.11 per pound, reflecting

continued supply tightness.

Let me now give you a glimpse of our quarterly consolidated and business segment-wise performance this quarter versus the same quarter of last year on Slide #17:

Our consolidated business segment EBITDA was up 6% year-on-year at INR 8,762 crores this quarter.

The consolidated profit after tax was down 45% on a year-on-year basis to INR 2,049 crores this quarter, due to the impact of exceptional items, including the impact of the Novelis Oswego plant fires. So, if we adjust the impact of this exceptional item, our consolidated PAT would have been INR 4,051 crores this quarter, up 8% year-on-year versus the prior period.

At Hindalco India business, our business segment EBITDA rose by 10% year-on-year at INR 5,660 crores this quarter, whereas our quarterly profit after tax was at a record INR 3,581 crore, up 24% on a year-on-year basis this quarter.

Coming to our business-wise performance this quarter:

The India Upstream Aluminum shipments were up by 2% year-on-year, while revenues were up 6% year-on-year. Our quarterly EBITDA was up 14% year-on-year at INR 4,832 crore, backed by our resilient performance across the value chain, fully aligned with our philosophy of operational excellence by design. This helped us deliver an EBITDA of \$1,572 per ton this quarter. EBITDA margins were at 45% and continued to be among the best in the global industry.

Our hedging position for aluminum in the 4th Quarter of FY '26 stands at around 64% on the commodity at \$2,807 per ton, and 26% in the currency at INR 88.18 per dollar.

Our Indian Downstream Aluminum business continued to deliver a strong performance, where quarterly shipments were up 9% year-on-year at 108 Kt. Aluminum Downstream delivered a quarterly EBITDA of INR 233 crores, up 55% year-on-year, versus INR 150 crores in the prior

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period. This was driven by higher volumes, product mix, and premiumization. The resultant EBITDA per ton stood at \$241 a ton, higher by 35% year-on-year this quarter.

On Hindalco's copper business performance, our overall metal shipments were up at 122 Kt, up 1% year-on-year, of which CCR volumes were at 82 Kt, down 14% year-on-year, due to weaker domestic market on account of higher LME and higher channel inventories.

Our quarterly copper EBITDA stood at INR 595 crores, down 23% year-on-year on account of lower TC/RCs and copper concentrate mix, offset by better realization in byproducts and operational efficiency.

Novelis' recorded shipments of 881 Kt, after adjusting for 72 Kt lower shipments due to Oswego fires, reflecting a decline of 3% year-on-year over 904 Kt shipments in the same period last year. The adjusted EBITDA stands at \$436 million, which is \$495 per ton, up 22% year-on-year, excluding the impact of \$54 million from Oswego fires and \$34 million from tariffs this quarter. Back in April 2025, we had set an FY 26 exit savings run rate target of \$75 million, which we raised last quarter to \$125 million. With another quarter of solid execution behind us, that run rate is now \$150 million as we accelerated all cost efficiency initiatives.

Looking ahead, we remain committed to our 3-year goal of permanently reducing our cost structure by \$300 million by FY '28 exit. Additionally, scrap prices continue to move in a positive direction, supporting margin improvement.

Coming to Slide #20, Hindalco, at the consolidated level, continues to maintain a strong balance sheet with net debt to EBITDA well below 2x at 1.73 at the end of December 2025. Underlying cash generation momentum from our businesses is strong, and we continue to invest in growth projects in line with our capital allocation policy. Despite the temporary impact of Oswego fires, we remain committed to maintain our net leverage around 2x at the consolidated level.

During the quarter, Hindalco's wholly-owned subsidiary, AV Minerals, raised \$800 million at

SOFR plus 105 basis points. Of this amount, \$750 million was infused into Novelis as equity in December 2025. Additionally,

on 10th February, AV Minerals upsized the facility by a further \$200 million at the same pricing. This additional amount will also be infused as equity into

Novelis during the current quarter.

Details of operational and financial performance in each of our business segments this quarter, compared to the corresponding period of last year, as well as the previous quarters, are covered in further slides and annexures to this presentation.

Let me now conclude today's presentations with some key takeaways in Slide #27 and #28:

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At Novelis, our 3rd Quarter results underscore that the fundamental drivers of our business remain strong, even as we navigate through the current challenges of tariffs and the restart of Oswego facility post-fires.

In Q3 FY '26, excluding these impacts, our underlying adjusted EBITDA per ton would have been nearly \$500. Our Oswego hot mill is expected to start in late Q1 FY '27. Oswego outage impact is primarily a timing issue, a headwind this fiscal year that will largely be recovered in the next financial year. Our long-term guidance of \$600 per ton remains intact as we advance on accelerated pace in our \$300 million structural cost reduction program, driving sustained improvements in operational efficiency and margins.

Our Bay Minette 600 Kt greenfield rolling and recycling facility is scheduled for completion this year to meet growing customer demand for automotive, beverage packaging, and aluminum specialty products.

Coming to our India business in Q3 FY '26:

We delivered a global industry-leading Aluminum Upstream EBITDA per ton, reaffirming our position in the first decile of the global cost curve. This performance reflects our strong operational efficiency, cost discipline, and consistent execution.

Our key upstream expansion projects of Aditya Alumina Refinery and aluminum smelters are progressing well and remain on schedule as we move ahead with our objective of doubling down on our upstream capacities. Our captive coal mines of Chakla, Meenakshi, and Bandha coal mines shall lower upstream costs, leading to higher EBITDA margins.

On the downstream front, the ramp-up of our Aditya plant is now contributing meaningfully to the scale-up of overall FRP production. Our battery enclosure facility has achieved full ramp-up and is operating at optimal levels. Commissioning activities have commenced at both the Aditya Battery Foil unit and the Taloja AC Fin facility.

In our Specialty Alumina business, precipitated hydrate facility is expected to be commissioned in Q1 of FY 2027. Our copper business remains resilient, with the copper smelter inner groove tube, e-waste and recycling projects being on track, reinforcing our commitment to sustainability-driven growth.

Hindalco is future-ready and steadfast in its core philosophy of engineering better futures. Our strategic priorities are clearly defined, accelerating capacity expansion across the aluminum and copper upstream businesses, while driving a fourfold increase in downstream EBITDA in India by FY '30.

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Concurrently, Novelis is progressing its mid- to long-term 3 by 30 strategy anchored on three

key priorities to deliver sustainable growth and enhance profitability by 2030. Together, these commitments position us strongly to capture emerging opportunities and create long-term sustainable value for all our large stakeholders.

Thank you very much for your attention, and the forum is now open to any questions you may have.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go

ahead.

Ashish Kejriwal: Sir, three questions for me. One, is it possible to explain the net debt bridge? Because we saw that net debt has increased by almost INR 18,000 crore on a quarter-on-quarter basis. So, we understand that \$0.4 billion was on Novelis, and then \$750 million we have paid to Novelis. So, roughly around \$1.2 billion we can understand. But what about \$0.8 billion extra? So, first question is on reconciliation of net debt bridge, please.

Satish Pai: Let me get Bharat to take you through that. Bharat?

Bharat Goenka: So, if you look at for the first 9 months, the net debt has gone up by INR 24,000 crores. And as we discussed in the Novelis call yesterday, the nine-month FCF for Novelis was a negative \$1.7 billion.

Ashish Kejriwal: Sir, is it possible to share around quarter-on-quarter, from 2nd Quarter to 3rd Quarter?

Bharat Goenka: Yes. So, let me just give you the nine-month picture, and then from there, I will deep dive into the three months. So, that \$1.7 billion, it translates to, in INR terms, around INR 17,000 crores because there is an exchange rate difference on the opening balance as well. So, INR 17,000 crores really came in from the Novelis FCF, which was a mix of the Oswego impact, around \$485 million, the higher CAPEX in Bay Minette, as well as the increase in material price, that is the LME-driven price impact on the working capital. So, that is on Novelis. In the India business, the net debt increased by around INR 7,000 crores, which was coming really from the copper business layer, because of the increase in the LME, as well as some increase in stock because of the concentrate arrivals. The net debt increased by INR 7,000 crores, but in Q4, we are confident of liquidating or reversing that part of the copper increase. But overall, this is the breakup of the INR 24,000 crores of increase in net debt.

Satish Pai: So, largely, working capital requirements for copper concentrate in India, which will reverse in Q4. And on the Novelis side, it was really driven by the cash flow requirement on the Novelis side, so we had to use the ABL line as Dev had told yesterday.

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Ashish Kejriwal: Thanks. But as Novelis has mentioned around \$0.4 billion incremental net debt from Q2 to Q3, and on that, \$750 million we have paid as an equity, which I can consider as net debt position. So, 750 plus 400, which is around \$1.15 billion. Let's say another, I don't know how much working capital is involved in copper concentrate, but still after making so much profit, our net debt has increased by almost \$2 billion. So, I am unable to reconcile that.

Bharat Goenka: Yes. So, on this INR 18,000 crores, I think the broad breakup is, in the India business, there was a INR 4,000 crores because of the copper working capital, it will get reversed. And if you look at in rupees, INR 1,000 crores, what happens is, the opening net debt also gets reconverted from dollars into rupees, because of the Forex impact on the opening. So, INR 14,000 crores was the impact which came in from the Novelis FCF for the quarter.

Ashish Kejriwal: Secondly, in, sir, hedging, you have said Q4, what was the hedging loss in Q3 and anything on FY '27 also will affect?

Satish Pai: So, I think in Q3, the hedging, I wouldn't say loss, but the notional loss was INR 245 crores.

And in FY '27, we have now hedged about 21% at 2,925. And we will take it up to 25% at the current 3,100 levels. We are trying to catch it, so we will probably be around 25% at about 3,000 by the end of March. That is our plan.

Ashish Kejriwal: And sir, lastly, on account of our EBITDA per ton, when I look at last three quarters' EBITDA per ton on aluminum, I am including both upstream and downstream. We are getting EBITDA per ton of something like \$1,550, \$1,560 per ton, which is hardly any increase in last three quarters, despite the fact that LME

prices have increased by more than \$300 per ton. So, partly we understand because of hedging, but still it is difficult to look at that when LME prices have increased by around \$400 per ton, but our EBITDA does not have any change in that in last three quarters. So, how can you explain?

Satish Pai: Yes, I think that when you look at it, you have to get, see, the upstream EBITDA in Q1 was INR 1,467. In Q2, it was INR 1,521, and Q3 is INR 1,573. And you also have to go back and look at my commentary, because we have, along with that, the Specialty Alumina EBITDA, that when we sell, we add. But from Q2 to Q3, there was a sharp drop in the alumina prices. And if you look at my commentary in Q2, we had also got the RPO benefit, which I had talked about in the

cost.

So, there are many. Besides the thing, there are a couple of moving parts, which I try to be as transparent when I do the quarterly calls. So, if you go back and reconcile all this, you will see that the pure upstream part has been going up. The cost of production has been about one or two points higher as we have gone along the quarter.

Moderator: Our next question comes from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

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Pallav Agarwal: So, the first question was on, with the significant rise in copper prices, are we seeing any substitution happening from copper to aluminum?

Satish Pai: I think that broadly you can say that wherever possible, the substitution has been happening over the last few years already. So, long-distance conductor cables, many wiring systems have been switching to aluminum, but it is not in the last quarter.

But of course, there are certain applications where copper still holds, and that is why if you look at electrification, you look at electric vehicles, motors, harnesses, there the copper demand remains extremely strong. So, some amount of substitution has been happening over the last two years from what we have seen.

Pallav Agarwal: The other question, with the CBAM coming in, what proportion of our aluminum exports are exposed to Europe? And you mentioned some level of emissions that we have. So, are those in compliance with what the guidelines are for the CBAM?

Satish Pai: So, look, one thing you have to realize. In aluminum, CBAM power is not included right now. So, the Indian aluminum, carbon per ton is no different from Middle East, no different from anywhere else, because power is not a part of CBAM yet. So, till that gets included, the CBAM is not a restriction for any Indian aluminum imports. In fact, I am little bit positive with the current trade agreement that has been signed, because I think that exporting to the Europe will become more attractive for us.

Pallav Agarwal: Sir, lastly, if you could just also give us a guidance on the 4th Quarter COP, will there be an increase in cost take, etc?

Satish Pai: Yes, I think that we are expecting 4th Quarter cost to be about 1% higher, largely driven by CP Coke. CP Coke prices, which goes into making the anode, has sharply risen due to what is happening, I think, in the demand and supply in China. So, we are expecting costs to be about 1% higher in Q4.

Moderator: Your next question comes from the line of Pinakin from HSBC. Please go ahead.

Pinakin: Question on Novelis. There is 180 K volumes, which have not been contracted at Bay Minette, and they are for the auto segment. So, just trying to understand, given the Oswego fire, given the disruption it has caused to the largest customer of Novelis, when would this open volumes for the auto sector be contracted? Is there a risk that these volumes are not contracted till Oswego is fully up and running well into next calendar year?

Satish Pai: Yes, Steve?

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Steve Fisher: Thanks for the question, Pinakin. So, obviously, OE

Ms are continuing to contract, because they have already made choices as to their material on their vehicles, and will have started production dates over the next several years. We are very positive on our Bay Minette progress and the commissioning in the second half of this year. As we said before, we feel really comfortable about the overall contracting as we ramp up the overall plant over the timeframe of 18 to 24 months.

We also think, as OEMs, look at the fire and think about risk management, I think, of course, aluminum has significant advantages, like weighting, for strength to weight ratio, better agility, better braking, better higher payload, towing, all these benefits have to go under their decisions, especially on the larger vehicles in the North America marketplace.

And from a risk management standpoint, Novelis will be the only aluminum provider with three hot mills capable of providing these technically sophisticated products, both beverage packaging, automotive, and then also specialty product sheet as well, as well as multiple locations of finishing capacity at both Guthrie and at Oswego and Kingston.

So, while everyone will be looking at their overall portfolios associated with the Oswego fire, the growth that we continue to see because of the attributes of aluminum, advantages aluminum brings, we still see the growth, and we think Novelis is in a very strong position to continue to capture that growth and contract into it.

Pinakin: So, do you expect to contract these volumes in Calendar Year '26?

Steve Fisher: A combination of already contracted '26 and '27.

Dev Ahuja: By the way, Pinakin, it is not such a bad thing at this point in time to have open capacity, because there could be portfolio and pricing opportunities, because overall, the North American markets are in a pretty good place from a demand-supply balance perspective. So, having some open capacity may turn out to be a good strategic opportunity. So, it is not like a concern or a bad thing in the market conditions in which we are.

Pinakin: My second question is for Mr. Pai. Now we understand that some of the net debt would reverse, as the working capital gets released. But given there was a past CAPEX cycle, aluminum prices did not do well, and Hindalco's debt had surged. At this point of time, the cycle is slightly different, but given what is happening at Novelis, would the company look at pushing out or delaying some of the CAPEX programs, either at Novelis or India, in the course of Calendar Year '26?

Satish Pai: So, the way, Pinakin and we are looking at that, and that is why in the prepared remarks, we are sticking to our commitment of 2 or below at a consol net debt to EBITDA level. And I think that
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that is the only way I can answer, because the Novelis CAPEX is largely Bay Minette. After that, they are going to go on a deleveraging cycle.

And the India CAPEX, the projects that we have, you know very well, we are going to be spending around INR 10,000 crores a year, which right now, for the next two years, I don't see a problem with the cash that we have. But if we can or do get into trouble, we will take the decision so that the consol net debt to EBITDA does not go above 2. I think that is the best way I can answer.

Pinakin: That is very helpful.

Moderator: The next question comes from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Sir, my first question towards Novelis. Since we are buying the slabs from outside and to meet the customer requirement, had the insurance covered the additional premium or the cost which we are paying from the buying slab from outside as well, or is it over and above what we have estimated in terms of the hit we have to take?

Dev Ahuja: Yes. So, the insurance does cover the cost of all the external sourcing that we are doing. That is part of the policy.

Vikas Singh: Noted, sir. Sir, my second question pertains to the Bay Minette expansion. While I noted that we have spent only 54% of the CAPEX till date, and our starting time is second half, FY '26, is probably hardly 6 months down the line. So, is the project has been delayed? Or how should we look at the aggressiveness of the capital CAPEX basically in the next 6 months?

Because I am confused that you would be able to spend that, even that had assuming 15% to 20% payment after the commissioning, 30% in next 6 months, spending would be pretty high, which would reflect on your debt as well. So, are we confident of commissioning it on time now?

Dev Ahuja: Absolutely. And so the cash flows reflect exactly the way things should be. Now we are in a phase where you will see an acceleration. There has already been some acceleration of the cash flow, and it will keep happening as we approach our commissioning dates towards the later part of this year. So, there is nothing abnormal about the way the cash outflows are going, and it is not just because of the percentage. It is not indicative of any slowness in the project.

You see, right now, we are in an intense construction phase. And therefore, this is where we need to pay contractors because they need to pay the labor. So, as you get into this intense construction phase, cash flows rightly tend to accelerate. But I don't want you to kind of think that just because we are at \$2.7 billion, there is some slowness in the project versus the projected cost of around \$5 billion. Not at all.

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Vikas Singh: Noted, sir. And sir, just lastly, since next 6 to 7 months, basically, most of this \$2 billion of Bay Minette would be spent, even after the copper working capital getting diluted, we could expect the overall debt levels to remain at current levels, or you are expecting on a consolidated level, it should be coming down?

Satish Pai: I think, Dev, just answer on the Novelis debt side, and I will take it.

Dev Ahuja: So, let me clarify something. It is not like all the cash flows will go completely out at the time of the commissioning. No, the cash flows will lag the commissioning. So, I want to be clear about that. The cash flows will go into the next calendar year, even up to, let's say, beyond the first quarter of next calendar year. So, please don't assume that all the \$5 billion is going to be out by the end of this year, okay? So, I just want to clarify that.

And before I hand over to Satish, I just want to clarify that, once we complete Bay Minette, our deleveraging cycle starts almost immediately after that. So, basically, after Fiscal Year '27, we enter, from Fiscal Year '28, we enter a deleveraging cycle, because this is really what is peaking our cash flow, cash outflows. So, just two things to note.

Satish Pai: And look, on the India side, the gross debt will not go up. So, right now we have got long-term debt and short-term, where the working capital requirements that Bharat mentioned, we have taken, but that will reverse as the copper concentrate is consumed in Q4. So, at India level, there will be no increase in debt. Again, I repeat, the overall way to look at it is that on a consol level, we will try to keep that gross net debt to EBITDA around 2.

Vikas Singh: Noted, sir.

Moderator: The next question comes from the line of Parthiv Jhonsa from Anand Rathi. Please go ahead.

Parthiv Jhonsa: Just continuing on the debt question, considering yesterday's call on, at Novelis, you already have a net debt of about \$6.2 billion. Considering you have some undrawn limit and which you will be drawing for working capital, and also, I agree that you just clarified that there will be a certain lag to push out the CAPEX amount going forward.

However, just considering next, say, 6 months or 9 months, is it possible to quantify the net debt at Novelis? Can we assume that

it grow, going to about \$8.5 billion odd number? Because yesterday on the call, you said that the leverage would actually go towards the higher end of the

4x, basically.

Satish Pai: Dev?

Dev Ahuja: So, I clarified yesterday on our call that from a net debt to EBITDA perspective, we will go into the high 4s. And yes, I want to be clear that our debt levels could be going up, will be going up

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further from this point in time. And they could be for a period of time until the insurance recoveries come, they could be going well above levels of high \$8 billion. That is going to be timing, and as the insurance recoveries start coming, we would quickly see that falling below \$8 billion.

I would say even by the end of FY '27, our gross debt could kind of be sort of coming towards \$8 billion or below \$8 billion after going much higher than that into the high \$8 billion. So, yes, there will be an increase, in short, in the gross debt, for a while.

Parthiv Jhonsa: So, sir just mentioned that your consol net debt would be around, you will not try to surpass 2 on the medium term. But considering insurance would take about 18 to 24 months, which was pointed out again yesterday on the call, would it be fair to assume that that actually the threshold would surpass in '27 and say mid of '28, considering you will be surpassing \$8 billion of net debt in Novelis?

Dev Ahuja: No, I said this.

Satish Pai: No, I think, Dev, I think the point that we will have to look at is, post Oswego start up, how this thing develops, because the net debt to EBITDA, of course, takes into account the trailing 12-month EBITDA. I think what Dev is trying to give you is the absolute levels of debt. So, I think that, to take your point, is it possible in one quarter that it may go above? Fair enough.

But I think that what we are trying to give you is a little bit of a longer-term perspective over a year. There will be and can be some amount of spikes or so during a month or a quarter, but there are pluses and minuses. We are quite hopeful that Oswego will start up. So, I think you will just have to bear with us over the next 6 months as we get through this issue of getting the Oswego start up.

Parthiv Jhonsa: That's helpful. So, my second question is pertaining, yes.

Dev Ahuja: Just to be clear, when you say insurance monies will take a longer time, it does not mean that everything just comes all at once. That is what I clarified yesterday, that insurance payments keep coming progressively, and we are working very closely to make sure that we do everything to accelerate those payments. We have already started getting some monies. And so you should not think about insurance monies as something that will all come at the end of 15 to 18 months.

That is not a right assumption.

Parthiv Jhonsa: So, my second question is pertaining to Bay Minette. Now, when we announced Bay Minette a couple of years back, the entire macros, especially in U.S., were quite different, right? And purely for that reason, we were able to contract almost what, 70% of the volume. When the second escalation of CAPEX happened, there were a couple of reasons being given that there is some civil work escalation which has happened and so on, so forth.

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How confident are we to take up the next phase of expansion of, say, going from 0.6 to 1.2? And also considering the global macros, what is the kind of IRRs you are expecting, say, beyond '28? Because I think at '27, you are not expecting any volume. '28 will start volume, you can expect volume from Bay Minette from '28 but just want to get your longer-term perspective on this.

Dev Ahuja: Yep. All right. So, again, the IRR picture, we will be just below double digits. We will be

covering the cost of capital. And so from the point of view of, does the project still make

good

financial sense? The answer is clearly yes. It will be accretive in a very nice way to the EBITDA story, and it will be a key enabler for us to get to that over \$600 per ton EBITDA, which Satish earlier alluded to.

Steve Fisher: As far as the macros, we still are very confident the drivers of demand, especially in beverage packaging. I talked about automotive earlier. So, we are still very confident that the overall supply-demand picture with Bay Minette first phase and ADI's aluminum expansion in the U.S. will bring further opportunities for Phase 2 by the end of the decade.

And of course, we talked before that in the second phase, the utilization of the hot mill with the second cold mill is very accretive from a return perspective, but nothing to announce as far as timing or anything at this point in time.

Parthiv Jhonsa: Sure, but when we speak about a \$600 or \$525 kind of an EBITDA number in medium to long term, a couple of your competitors, global competitors, I am not talking particularly your U.S. competitors, but global competitors have already surpassed the \$630 kind of a number last quarter. Is there a room for improvement? Just wanted to understand where are we lagging or what can be done to reach that \$600 number in as fast as possible?

Steve Fisher: Yes, we stay committed to the building blocks, to the \$600 per ton long term. We would have to understand which competitor you are referring to, that they might have a very different product mix from us. But from the underlying efficiency of our business, the target that we have set is a very strong operational performance and very much on the back of the \$1,000 plus per ton of EBITDA coming off of the Bay Minette project itself.

Parthiv Jhonsa: And just one request. In the presentation you used to give, yes, just quickly. You used to give the global deficit and surplus for aluminum and copper. If possible, from next quarter, if you can give, that would be really helpful.

Steve Fisher: I did give the global...

Parthiv Jhonsa: No, the slides, basically, the slides. The slides.

Steve Fisher: All right. We will give that.

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Moderator: Your next question comes from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Sir, couple of questions. One is, how should one understand the capital structure at Novelis? I understand it is an equity injection of \$750 plus incrementally \$200. So, how should we understand that? And what is the plan to repay this \$950? That is one.

Second is, why did we come to this number of \$750 + \$200? And what gives us confidence that there won't be need of anything beyond this \$950? If you could put that into context with the covenant that we have on, I think, 2032 term loans, which I read is at 3.5x on net leverage. Does it necessarily mean that there won't be further need of infusion, and any comfort over that if you could provide us with? That is the first question.

Dev Ahuja: Satish, you want me to take it?

Steve Fisher: Yes, take it. I mean, yes.

Dev Ahuja: So, let me try to answer all parts of your question. So, we are looking at \$750 million and potentially another \$200 million of equity infusion. Now, what is the thinking, rationale, logic around it? Essentially, this is going to go towards funding the announced higher cost of Bay Minette, i.e., from \$4.1 billion to around \$5 billion. That is essentially the logic behind infusing this equity between us and our parent. We agreed that it is not good to go into the debt market to fund this increase.

Now, this would have, in the normal course, happened at a bit of a later point of time. But given what happened with Oswego, and we will have a \$1.3 billion to \$1.6 billion gross outflow until insurance money comes, this also now becomes a bridging money to a very large part to be able to really fund that short-term need, and then insurance money

will start coming in. And it will basically, once again, the point is that basically eventually go towards Bay Minette.

Now, I want to be clear that during the year, there could be some timing challenges, and those timing challenges we will solve by using some short-term working capital or structured financing facilities. As I have been saying, even yesterday at our call, the only debt that we will go for externally now will be the planned debt raise of another \$500 million. That should happen between now and the middle of the year, and that was planned debt.

In short, in terms of how we will manage the capital and the structure, we are not going to be going out to raise any more debt other than the already planned debt that we would have raised.

I hope that that is helpful.

Ritesh Shah: Yes, and just a follow-up. So, this \$750 plus \$200 what we have raised, what is the cost of fund over there? And is there a tenure, because for insurance, you indicated that the money can continue to trickle in. So, is there a timeline on this \$750 plus \$200 to be returned?

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Bharat Goenka: Yes, it is five years.

Satish Pai: Yes, I will let Bharat answer about the cost.

Bharat Goenka: Yes. So, the cost is SOFR plus 105 bps.

Ritesh Shah: Sir, I couldn't get you. Sorry.

Bharat Goenka: It is SOFR plus 105 bps.

Ritesh Shah: And the tenure?

Bharat Goenka: Five years.

Ritesh Shah: Perfect. And would it be possible for you to indicate what is the overall cost of debt at Novelis, and how are we looking at the cost of capital at Novelis? The reason to ask this question is, when we look at Bay Minette, and when we indicate that we are comfortable on covering the cost of capital, just trying to play around the numbers over here.

Satish Pai: Dev? So, just, maybe we will, when Dev comes on, he will answer that question, but let's go to the next one.

Ritesh Shah: Mr. Pai, in the interim, if I can just ask a question, like, why is the tenure of 5 years for the return of \$950 million? And do we have adequate comfort that this number won't go beyond 950?

Because, there is a covenant which is there, which says 3.58. So, looking at the cash flow profile, I think the denominator is adjusted EBITDA. But are we comfortable, confident, that there won't be further need beyond this 950?

Satish Pai: No, I think that right now we are looking at the situation and the way we have modeled it, we are fairly confident. And I think that a five-year tenure is fine because we really believe that the next 6 to 8 months, by the time we get Oswego back up and running and Bay Minette commission, we will all be talking something quite different. So, the next 6 to 8 months is our critical period, and I think that we will be out of the woods then.

Ritesh Shah: I will wait for the answers on cost of capital.

Satish Pai: Dev, cost of capital of Novelis was his question.

Dev Ahuja: So, the cost of capital of Novelis is in the mid-8s.

Ritesh Shah: And the cost of debt? Sorry.

Dev Ahuja: The cost of debt, the weighted average cost of debt would be somewhere around 5.3%.

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Ritesh Shah: Perfect. And last question. The debt maturity profile for 6.2 or the gross number, if you could just help on Novelis, that would be a great help.

Dev Ahuja: You are talking about Novelis maturity profile?

Ritesh Shah: Yes.

Dev Ahuja: Well, most of it is towards the end of the decade. We have no early maturities. After we did the last refinancing of the \$750 million in September last year, our debt maturity profile is now approaching towards the end of the decade. The only renewal that we can talk about is the ABL renewal, which will happen in the middle of this year, but we are very comfortable with the maturity profile of our debt.

Moderator: Our next question comes from the line of Rashi from Citi. Please

go ahead.

Rashi: Just a couple of questions. On the CAPEX side, we have an idea of the Novelis CAPEX. So, for India, what has happened so far in the nine months? What is the target for this year and next year?

Satish Pai: So, this year, our target is about, we will be finishing the year at around INR 8,000 crores, and you need to add to that the INR 2,000 crores we paid to get the Bandha Mine. So, roughly this year will be INR 10,000 crores, and next year we also will be in the same range, about INR 10,000 crores to INR 12,000 crores, because the Aditya Refinery recycling plant projects will be going. So, that is the next year's forecast as well.

Rashi: How much have you spent in the 9 months?

Satish Pai: In 9 months, we have spent about 7,000, I think. So, we will be finishing the year. Not 7,000, I think it is about 6,000. We finish the year at 8,000, plus the 2,000 of Bandha, which will take it to 10,000.

Rashi: And what is in the current split of the INR 59,000 crore of net debt, how much net debt is on India books?

Satish Pai: India is a negative 4,000. You are talking about gross or net? Because net in India is negative now. So, negative INR 600 crores.

Rashi: INR 600 crores of cash on India books?

Satish Pai: Yes.

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Rashi: Just one question on the cost side. This quarter, your cost also went up by 1%, and next quarter also you are expecting a 1% increase?

Satish Pai: Yes. This quarter, just let me now clarify. Last quarter, when I talked about the cost, I said the cost had a one-time impact of an RPO reversal. So, if you look at it quarter-on-quarter, the way it stands, it is 2% up this quarter versus last quarter. But if you take out that impact of the RPO that I mentioned in the last quarter, the cost was flat. But as you will see, it is real numbers, it is 2% higher, because last quarter had a one-time write back of the RPO that I did mention in the script.

Rashi: Has there been any delay in the Chakla mine? I think earlier we were talking about a start end of FY '26, and now the presentation is saying the first half of FY '27.

Satish Pai: So, we are still trying to get the certain clearances sorted out. We thought we would do the box cut in January. The box cut now looks like more likely like April. So, yes, there has been about a quarter delay.

Rashi: And just last question, alumina sales for the 4th Quarter expectation?

Satish Pai: Alumina sales for the 4th Quarter should be around 170 Kt to 180 KT. We did 160 in Q3.

Moderator: Our next question comes from the line of Prateek Singh from IIFL Capital. Please go ahead.

Prateek Singh: Much of the Hindalco India questions have been answered. Two questions on Novelis. First, given record high scrap spreads in North America right now, want to get a sense as to when they will start reflecting in North American EBITDA per ton, sitting on a lot of high-cost scrap inventory?

And if you could just help us with what is the recycled content in North America. I mean, we talked about 63% across the globe, but what is the recycled content in North America, if that is something which can help us add the benefit on a monthly basis given the high scrap spreads--

Dev Ahuja: So, the line was not very clear. We were not able to fully hear the questions. We only got some words. Subir, can you just translate the question for us? The line was not good.

Satish Pai: I think the question was, he was asking when will the EBITDA per ton of North America increase, and what is the recycled content in North America, if I got it right?

Prateek Singh: Yes. So, increase because of high scrap spreads. The scrap spreads are quite high right now, at record highs because of the Midwest Premium in North America. So, when would that start reflecting?

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Satish Pai: Already.

Dev Ahuja: Yes. So,

they are reflecting, but the point is that our ability to use scrap in North America today is impaired because of the Oswego plant being down. So, had it been a situation where we were under these pricing conditions, had we been fully up and running, we would have seen some very, very nice impacts from the current metal prices and therefore the scrap spreads, but we are being impaired by that.

Now, if I were to say in Q3, despite not being able to use the scrap volumes that we would otherwise have done, as compared to the previous year's same quarter, because of the high metal prices and the resultant spreads, we are still in a pretty good place on an overall metal performance, right? So, that is something that I just want you to know.

Now, at a company level, we are still at a recycling rate of around 63%. So, we are still at that point. Of course, North America is lower, but then it is not right to look at North America in this situation. It does not represent the reality.

Prateek Singh: No, I understand right now North America might be lower, but let's say before the Oswego incident, what was the recycling content in North America? Maybe ballpark numbers.

Dev Ahuja: It is pretty much close to the company average, you know. I mean, it will be very close to the company average, which is around 63%.

Prateek Singh: And my second question is, your cost of service this quarter, because of Oswego, was around \$186 million. Assuming a 20 Kt volume impact, that comes to around \$9,000 per ton. I am not sure if my understanding is correct here. But safe to assume these will be lower on a per ton basis going ahead, given now you had time to optimize supply chains and the Midwest Premium arbitrage also kind of now facilitates imports. So, is that the understanding, how we should look at it?

Dev Ahuja: You are talking about several things together. I am not really sure how I should address the question, but let me try my best. I don't know the 20 Kt that you talked about. Well, the impact of the Oswego fire is like 72 Kt, right?

Now, as we are undergoing Oswego remediation, I mean, the fixed cost of Oswego are now not reflected in the EBITDA. Until the time Oswego comes back, we will be reflecting Oswego costs below EBITDA. And you can look at our filings. I mean, all the numbers are there in the

filings. But basically we have reclassified about \$61 million as idle costs below EBITDA. But, honestly, I mean, it is not a great time right now because of the distorted situation from Oswego shutdown for the time being. It is not a good time to really make any conclusions from

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the cost structure because we have reoriented supply chains. We are producing material in different regions to supply to North America.

Net-net, I think that as a reminder, if you really exclude the impact of all the different ongoing events and just look at where we are on an EBITDA per ton basis, the underlying is 495. Last quarter was around 506. So, minus the noise, our cost structure, EBITDA per ton, is in a pretty good place.

Satish Pai: Dev, the question is more on the cost to serve, you were just saying, going forward, how do you see the cost to serve versus Q3?

Dev Ahuja: So, the cost to serve will steadily continue like we have seen in this quarter. And, so that is the best estimate that we have right now. Now, depending upon the timing of the sourcing, when we are able to actually procure the material, there could be some timing differences. It could be a little bit higher as compared to the current run rate, but a lot of it depends upon the logistics and the ability to have the material coming in. For the time being, I would ask you to kind of just think that the cost for Q4, cost to serve will be on similar lines or a little bit higher as compared to Quarter 3.

Prateek Singh: Noted. Yes, so the idea was that in Q3, you would have

faced two things which you may not

face in Q4. Q3, obviously, you would be desperate to procure material. That supply chain might be becoming more streamlined right now.

And second, the Midwest Premiums right now at 72% are much higher than the tariff rate. So, imports may not be as costly versus Q3. So, net-net on a per ton basis, your cost to serve ideally should be going down. So, that was the point of the question, but I get what you said now.

Steve Fisher: Yes. So, to be clear, the cost to serve actually, the amount that we are bringing in increases in this quarter and next quarter compared to the December end quarter. Why? Number one, we had finished good inventory both at the OEMs as well as at Oswego.

When the second fire occurred, we did not have any more finished goods inventory. We were hand-to-mouth, as was the OEMs. We have created those supply chains through the first fire that now are stable and actually will bring in more hot band in Q1, Q2 of Calendar 2026. So, cost to serve, the quantity in Kts will increase. Yes, there is potentially some offset with higher Midwest Premium, but the overall dollars will increase in the next couple of quarters.

Dev Ahuja: I can make it a little bit simpler for you. It would be okay for you to kind of assume the overall run rate of net income impact to be on pretty similar lines as we have in Q3 with all the puts and takes. So, we can make it simpler if your intention is, how do I model? So, that is one input that I can give to you. You can take a pretty steady number, comparable to what was in Q3 on an overall basis.

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Moderator: Our next question comes from the line of Rajesh Majumdar from 360 ONE Capital. Please go ahead.

Rajesh Majumdar: So, one question on Novelis and one on standalone. We see a kind of 11% volume decline in Novelis in this quarter. And if we go by the history, normally 4Q and 1Q are heavy quarters for the company. And you hinted at yesterday's call at some mitigating measures to external suppliers at all in terms of how to address the customer volumes. So, will we see a similar kind of volume decline in the coming two quarters before our Bay Minette is up? Or will we see some kind of reduction in the decline due to the mitigating measures? And a follow-up question, at what cost will it come? Will it be more margin dilutive for us?

Dev Ahuja: So, the volume impact was 72 Kt. In this quarter, you can expect a pretty much similar volume impact because of Oswego in the 4th Quarter. And that is net of sort of the production loss. So, the net volume loss, i.e., low production, less all the procurement that we are able to do, we will be pretty much close to 72 Kt. And Quarter 4 is always one of the peak quarters that we have. So, you are right to think that in Quarter 4, we will see significantly higher volumes as compared to Quarter 3. But I am just trying, and we don't give you a quarter by quarter forecast in any case. But all that I can tell you is that it is very safe to assume that the impact on volume from Oswego in Quarter 4 will be similar to Quarter 3 at around 70 Kt.

Rajesh Majumdar: And the mitigating measures you suggested yesterday in terms of getting material from external suppliers, etc., will that kind of contribute to some kind of volume addition? And at what cost will that be?

Dev Ahuja: Well, the implication, that is what I am saying, that the net impact will be 72, which includes all

the mitigation measures that we will be taking. So, based upon the impact net of mitigation measures, we will have a similar net impact of 72 Kt. That includes the mitigation.

Rajesh Majumdar: And on the price, on the EBITDA, more impact on the EBITDA mitigating measures or it will be similar?

Dev Ahuja: So, the EBITDA will be, again, the impact in 4th Quarter will be a little bit higher. I mean, 3rd Quarter was, as you know, net \$54

million. This could be more in the \$60 million to \$65 million in the 4th Quarter on EBITDA. That is the guidance I can give to you.

Rajesh Majumdar: Thanks, sir, for the clarification. And one question on the India business is that you mentioned in your PPT that there is some kind of demand destruction happening on the copper side because of the price rise. And from 3Q to 4Q, we have seen an even further increase in the copper prices.

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If we were to combine that with the lower TC/RCs, could we see a kind of combination by which our EBITDA from the copper business can fall substantially into, say, half the peak level we were ever achieved? Yes, some clarity on that.

Satish Pai: I didn't talk about any demand destruction of copper. I think that Q3 volumes are a bit low because it was the Diwali season, and the copper prices sharply ran up. So, people just ran down a bit of inventory. In fact, we are predicting Q4 will be an extremely strong quarter for copper.

The demand is very strong, and the EBITDA guidance of INR 600 crore is completely comfortable in Q4.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. You can connect with the Investor Relations team for your further queries. I now hand the conference over to Mr. Pai for closing remarks.

Satish Pai: Yes, I think I would just thank you all for joining. I think that both the India business, we see Quarter 4 being a very strong quarter. And I think that for Novelis, the point that we made out is the underlying business is extremely strong. And I think that the next 6 months is going to be critical for us to get, number one, Oswego up and running, and number two, get the hot mill in

Bay Minette commissioned in the second half of this year. I think that after that, we are very comfortable that you are going to see a very strong performance from Novelis going forward.

So, thank you very much for your attention. Thank you.

Moderator: Thank you, members of the management. On behalf of Hindalco Industries, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2026

Hindalco Industries Limited

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May 26, 2026

BSE Limited

Scrip Code : 500440 National Stock Exchange of India Limited

Scrip Code : HINDALCO Luxembourg Stock Exchange

Scrip Code: US4330641022

Pursuant to the above referred, the transcript of the Earnings Conference Call held on May 22, 2026 , for the quarter and year ended March 31, 2026, is enclosed herewith.

The same is also available on the website of the Company i.e. www.hindalco.com .

This is for your information and record .

Sincerely,

for Hindalco Industries Limited

Geetika Anand

Company Secretary & Compliance Officer

Encl: a/a

Sub: Transcript – Q4 and FY2025 -26 Earnings Call.

Ref: a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 ;

b. ISIN: INE038A01020 and

c. Our Intimation dated May 13, 2026 .

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Hindalco Industries Limited

"Fourth Quarter FY '26 Results Call"

May 22, 2026

MANAGEMENT : MR. SATISH PAI – MANAGING DIRECTOR – HINDALCO INDUSTRIES LIMITED

MR. BHARAT GOENKA – CHIEF FINANCIAL OFFICER – HINDALCO INDUSTRIES LIMITED

MR. STEVE FISHER – PRESIDENT AND CHIEF EXECUTIVE OFFICER – NOVELIS

MR. DEV AHUJA – CHIEF FINANCIAL OFFICER – NOVELIS

MR. SUBIR SEN – INVESTOR RELATIONS – HEAD – HINDALCO INDUSTRIES LIMITED

Hindalco Industries Limited

May 22, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Hindalco Industries Fourth Quarter Results for FY '26. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference call over to Mr. Subir Sen, Head of Investor Relations at Hindalco. Thank you, and over to you, sir.

Subir Sen: Thank you, and a very good morning and evening, everyone. On behalf of Hindalco Industries, I welcome you all to the earnings call for the fourth quarter of financial year 2026. In this call, we will refer to the fourth quarter financial year '26 investor presentation posted on company's website. Some of the information on this call may be forward-looking in nature and is covered by the safe harbor language on Slide 2 of the said presentation. In this presentation, we have covered the key highlights of our consolidated performance for the fourth quarter financial year '26 versus the corresponding period of the previous prior year.

A segment-wise comparative financial analysis of Novelis and Indian aluminum and Copper business is also provided. The corresponding segment information of prior periods have also been restated accordingly for a comparative analysis. Today, we have with us on this call from Hindalco's management, Mr. Satish Pai, Managing Director; and Mr. Bharat Goenka, Chief Financial Officer. From Novelis' management, we have Mr. Steve Fisher, President and CEO; and Mr. Dev Ahuja, Chief Financial Officer. Following this presentation the forum will be open for questions and answers. Post this call, an audio replay will also be available on the company's website. Now let me turn this call to Mr. Pai to take you through company's performance and key highlights in the fourth quarter of financial year 2026.

Satish Pai: Yes. Thank you, Subir, and good morning and evening, everyone. On Slide 5 to 10 of this presentation, you can see our achievements and progress across quarterly metrics of safety and sustainability for this quarter versus prior periods. I will now take you through the key highlights of these initiatives.

Let me begin with a positive highlight. Hindalco has once again been featured in the S&P Global Yearbook 2026 ranking among the top 1% in S&P Global ESG scores within the aluminum industry. Notably, only 11 Indian companies have achieved this distinction. This recognition reinforces Hindalco's leadership in the aluminum sector and underscores our strong commitment and strategic focus on delivering long-term ESG excellence. At Hindalco, safety is always our highest priority.

LTIFR for this year stood at 0.23, showing significant improvement over the prior period.

During the year, we sadly report the 3 fatalities at our Indian operations. We deeply regret this loss and remain firmly committed to implementing all necessary corrective actions to prevent such incidents in the future.

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We have significantly strengthened our safety capabilities by developing 295 safety SMEs, enhancing the effectiveness of risk controls across operations. This has been complemented by over 0.6 million line management-led safety interventions, which have helped sustain ALARP risk environment while reinforcing overall operational safety resilience. In parallel, we are driving real-time experiential learning through the development of safety theme parks across multiple units, embedding a culture of proactive and hands-on safety awareness across the organization.

We are also implementing measures

to prevent man-machine interface risk across all our manufacturing units. At Hindalco, we continue to make strong progress on circularity and responsible waste management. This year, 88% of the total waste generated was recycled or reused indicating stronger waste management performance. We achieved 131% recycling of bauxite residue excluding Utkal, 106% recycling of ash, and 126% recycling of copper slag in fiscal 2026.

Ash utilization has increased at Aditya, Renusagar and Utkal driven by strong demand from the cement industry as well as offsite low-lying area filling. At the same time, bauxite residue recycling has scaled up, supported by growing demand from cement manufacturing, road construction and quarry backfilling applications. In addition, recycling of copper slag has also improved, led by higher offtake from abrasives and ready-mix concrete industries, further strengthening our overall waste-to-value initiatives.

We have made consistent progress in improving water efficiency across our operations. In the aluminum business, specific water consumption has steadily declined over the years, driven by

a series of focused interventions such as adoption of zero liquid discharge systems, optimization of cooling tower operations and reuse practices. These initiatives have helped us significantly reduce dependence on freshwater sources while improving overall process efficiency.

A similar trend is visible in the copper business as well, where freshwater consumption has also reduced over time, supported by better water management practices, recycling measures and operational efficiencies. Together, these efforts underscore our strong commitment to

sustainable water stewardship and resource conservation across the value chain.

We remain deeply committed to preserving and enhancing our biodiversity in and around our areas of operation. Under our no net loss approach, we planted 1.3 lakh mangrove saplings near Dahej, along with 0.2 lakh saplings at Aditya Aluminum, while total plantations increased to 8.7 lakhs across sites versus 5.3 lakhs in FY '25.

Through our Biodiversity Management Plan, we have transplanted over 1,600 trees, developed 1.6 hectares of butterfly gardens and removed invasive species across 7 hectares to restore

ecological balance. Additionally, under our Red to Green initiatives, we have converted -- we are converting legacy sites into green ecosystems, including transforming Muri's residue pond into a 17.4 -hectare bio-park and undertaking the country's first quarry restoration using over 1 lakh tons of bauxite residue. At the end of this year, our renewable energy capacity stands at 470 megawatts powered by solar, wind and idle sources.

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We remain on track to add other 53 megawatts in the coming quarter. At the same time, we are making strong progress in round-the-clock renewable energy initiatives with 30 megawatts of storage-based power scheduled for deployment this quarter, taking our total renewable capacity to 523 megawatts by the end of Q1 FY '27. These achievements reflect our unwavering commitment to clean energy and reducing carbon intensity as we move towards greener, more sustainable future.

Our aluminum specific GHG footprint for fiscal 2026 stood at 19.2 tons of CO₂ per ton of aluminum produced, marking the lowest level achieved. Importantly, this reduction is not a one-off outcome, but a part of a structural and consistent downward trajectory and emissions intensity, underscoring the effectiveness of our decarbonization road map. It reinforces our commitment to building a globally competitive low-carbon aluminum business aligned with evolving customer expectations and long-term sustainability goals.

Now let me give you a glimpse of the current broader economic environment on Slide 12. The current economic scenario is shrouded in geopolitical conflict

and uncertainty. The IMF's

reference forecast for 2026 pegs the global growth at 3.1% lower than earlier expectations. This slowdown reflects the impact of the conflict in West Asia, in the absence of which the outlook would have been stronger. Advanced economies are expected to see a relatively modest impact from the conflict with growth easing slightly from 1.9% in 2025 to 1.8% in 2026.

In contrast, growth in developing economies is projected to slow down from 4.4% to 3.9% in 2026, largely driven by the Middle East region where growth is expected to moderate significantly from 3.6% to 1.9% due to the more direct impact of the conflict.

The U.S. is projected to grow at 2.3% in 2026 versus 2.1% a year ago, supported by energy exports, fiscal policy and tax initiatives and technology-related investments. China is projected to slow to 4.4% from 5.5%, while policy stimulus and lower U.S. tariffs on Chinese goods are expected to cushion some of the negative impacts of the Middle East conflict.

Global growth remains vulnerable to a combination of geopolitical escalation, energy shocks, inflation persistence and financial tightening with risk reinforcing each other. Global inflation is expected to rise in 2026 to 4.4% from 4.1% in 2025 due to higher energy and food prices with strong upside risk in geopolitical disruptions persist.

India has entered this crisis with a relatively stable macro performance. The National Statistical Office estimates the FY 26 growth at 7.6%, implying the Q4 FY 26 at 7.3%. The economic momentum from the first half of FY 26 continued into the second half with fiscal measures like GST rationalization and monetary policy easing supporting the economy. Manufacturing activity remains steady and business expectation and leading indicators point towards stability. On the demand side, the urban consumption is steadily improving, while rural demand continues to hold.

Sustained performance in the services and agricultural sectors continue to support economic activity. Against this backdrop, the RBI expects a GDP growth of 6.9% in FY 27. However, the risks are tilted to the downside, with the growth conditional on further escalation and widespread

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of conflict, heightened volatility in the global financial markets and weather -related events. Inflation is projected to more than double to 4.6% in FY27 versus 2.1% in FY 26 with heightened upside risks.

Moving to the industry outlook on Slide 13 to 15. On Slide 13, you can see that the aluminium prices have continued to strengthen during the quarter, supported by steady demand across key end use segments such as packaging, electrical, machinery and transportation. On the supply side, the conflict in West Asia, which has led to one of the most significant supply disruptions in the aluminium market. This is expected to tighten availability, particularly through Q2 and Q3 of calendar year '26. As a result, the market has moved from an earlier expectation of 0.3 million tons deficit to 1.5 million tons deficit for calendar year '26, which should support prices and drive visible inventory drawdowns.

At the same time, we do expect a supply response to higher prices, including restarts in Europe and West Asia along with faster ramp -ups in Indonesia and Southeast Asia, which should help rebalance the market over the medium term.

Looking at the global aluminium market in Q1 calendar year '26, Chinese production stood at 11 million tons with increase in Yunnan largely offset by closures in Shandong. Consumption also moderated to similar levels impacted by softness in building and construction, solar and new energy vehicles, resulting in a broadly balanced market in China.

In the rest of the world, production increased marginally to about 7.5 million tons, led by capacity additions in Indonesia and Spain, partially offset by

lower output from West Asia. However, consumption softened to around 7 million tons, primarily due to continued weakness in transport, although packaging and electrical demand remained resilient, leading to a surplus of 0.5 million tons. Overall, this resulted in the global market also being in a surplus of 0.5 million tons during this quarter.

Turning to India, as shown in Slide 14. In Q4 FY 26, aluminium demand is estimated around 1.6 million tons, reflecting an approximately 9% year -on-year growth. This growth remains broad-based, supported by structural drivers in automotive, continued strength in electrical demand and stable packaging demand. Overall, the Indian market continues to outperform global markets backed by stronger underlying demand fundamentals.

Turning to the Indian copper industry on Slide 15. In the domestic copper market demand this quarter, including domestic supply, scrap and imports and imports excluding rose by 10% year -on-year, reaching 402 KT compared to 364 KT in the same period last year. This strong growth was driven by infrastructure investment, increased electrical applications and strong sectoral demand, particularly from white goods and winding wires.

The global concentrate market remains in an unprecedented tight phase in 2026, driven by a structural mismatch between smelting capacity and mine supply. Spot TC RCs are crunched to record lows in the range of minus \$0.21 to \$0.25 per pound as stronger sulfuric acid realization have partially offset weaker treatment terms, thus sustaining smelter buying interest.

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This tight market environment is expected to persist through the year. However, any restart or ramp -up of key mining operations in Africa or Central America could provide some relief and lead to some recovery in TC RC levels.

Let me now give you a glimpse of our quarterly consolidated and business segment wide performance versus the same quarter last year on Slide 17 and 18. Our consolidated business

segment EBITDA was up 11% year -on-year at INR 10,812 crores this quarter. The consolidated profit after tax was down 51% on a year -on basis at INR 2,597 crores this quarter due to the impact of exceptional items, including the impact of the Novelis Oswego plant fire.

If we adjust the impact of this exceptional item, our consolidated PAT stands at INR 5,796 crores this quarter, up 10% year -on-year versus the prior period. At Hindalco India business, our business segment EBITDA was up 17% year -on-year at INR 6,610 crores this quarter, whereas our quarterly profit after tax was at INR 3,549 crores, up 11% on a year -on-year basis.

Coming to our business performance this quarter on Slide 18. The India upstream aluminium shipments were up 2% year -on-year, and revenues were up 11%. Our quarterly EBITDA was up 13% year -on-year at INR 5,448 crores, backed by our resilient performance across the value chain, fully aligned with our philosophy of operational excellence by design. This helped us deliver an EBITDA of \$1,756 per ton this quarter. EBITDA margins were at 48% and continued to be among the best in the global industry.

Our hedged position for aluminium in FY 27 stands at around 29% of the commodity at \$3,013 per ton and 14% in currency at INR 90.13 per \$1.

Our Indian downstream aluminium business continues to deliver a strong performance, while

quarterly shipments were up 18% year -on-year at 124 KT. Aluminum downstream delivered a quarterly EBITDA of INR 255 crores, up 16% year -on-year versus INR 219 crores in the prior period. This was driven by higher volumes, product mix and premiumization. The resulting EBITDA per ton stood at \$226 a ton this quarter. On Hindalco's copper business performance, our overall metal shipments were at 128 KT, down 5%.

Moderator: Sorry to interrupt, ladies and gentlemen, we have lost line for the manage

ment. Please stay

connected while we reconnect the line for the management. Ladies and gentlemen, thank you for patiently holding. We have the line for the management reconnected. Yes, sir, please go ahead.

Satish Pai: Okay. So I'm not sure where I got disconnected, but maybe I'll just start with the copper business performance this quarter. Our overall metal shipments were at 128 KT, down 5% year -on-year, of which CCR volumes were at 91 KT, up 11% year -on-year with market recovery this quarter. Our quarterly copper EBITDA stood at a record INR 907 crores, up 48% year -on-year on account of better realization in byproducts and operational efficiencies. Novelis recorded a shipment of 917 KT after adjusting for 73 KT lower shipments due to Oswego fire, reflecting a decline of 4% year -on-year over 957 KT shipments in the same period last year.

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Adjusted EBITDA for the quarter stood at \$498 million or \$543 per ton, reflecting a 5% year -on-year. This excludes the impact of \$53 million related to Oswego fire and \$27 million from tariffs, partially offset by \$41 million positive from the Sierre flood insurance recoveries.

Back in April 2025, we set an FY 26 exit savings run rate target of \$75 million, which we raised last quarter to \$125 million. With another quarter of solid execution behind us, that run rate is now \$200 million as we accelerate all cost efficiency initiatives. Looking ahead, we remain committed to our 3 -year goal of permanently reducing our cost structure by \$350 million to \$400 million by FY 28 exit. Additionally, scrap prices continue to move in a positive direction, supporting margin improvement.

Coming to Slide 22 in FY 26, our businesses continued to generate healthy cash flows amounting to INR 21,858 crores. This represents a strong 11% year -on-year growth. This performance underscores the strength of our operating model and disciplined execution. At the same time, we continue to invest aggressively in future growth with capital expenditures of INR 31,619 crores, up 47% year -on-year.

These investments are focused on capacity expansion that will drive long- term growth. The resulting increase in net debt is in line with our long -term value creation strategy, ensuring that we maintain a strong balance between growth investments and shareholder returns.

At the consolidated level, we continue to maintain a strong balance sheet with net debt-to-EBITDA below 2 times at 1.83 at the end of March 2026. Despite the temporary impact of Oswego fires, we remain committed to maintain our net leverage around 2 times at the consolidated level. Details of the operational and financial performance in each of our business segments this quarter, compared to the corresponding period of last year as well as previous quarters are covered in further slides and annexures to this presentation.

Let me now conclude today's presentation with some key takeaways in Slide 29 and 30. At Novelis, our fourth quarter performance continued to highlight the strength of the underlying business, even as we navigate near -term headwinds from tariffs and the temporary outage of the Oswego facility following the fire.

In Q4 FY 26, adjusting for these impacts, our underlying adjusted EBITDA per ton remains close to the \$500 mark, demonstrating the resilience of our operating model. The Oswego Hot Mill is on track to restart in the next few weeks, and we view the outage largely as a timing -related impact with the current year headwinds expected to substantially recover in the next fiscal year. Importantly, our long-term guidance of \$600 per ton remains intact, supported by accelerated execution of our \$350 million to \$400 million structural cost reduction program, which is driving sustained improvements in efficiency and margins. In parallel, we continue to invest for growth with our 600 KT greenfield rolling and recycling facility at Bay Minette scheduled for

completion this year. This will position us well to meet growing demand across automotive, beverage packaging and specialty aluminum segments further strengthens our long-term growth outlook.

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Coming to our India business in this quarter and fiscal 2026, we once again delivered global industry-leading aluminum upstream EBITDA per ton, re-affirming our position firmly within the first decile of the global cost curve. This performance is a reflection of our strong operational efficiency, disciplined cost management and consistent execution across cycles.

All our key upstream expansion projects, including Aditya Alumina Refinery and Aluminum Smelters are progressing well and remain on track as we advance with our strategy of doubling our upstream capacities. In addition, our captive coal mines are progressing well across stages

where Chakla received Stage 1 forest clearance, Meenakshi is currently under Stage 1 approval and Bandha has completed its box cut this quarter. Once operational, these mines will help reduce our upstream costs and support margin expansion and strengthen EBITDA.

On the downstream side, we see strong momentum in scaling up operations. The Aditya FRP plant is ramping up well and contributing meaningfully to overall production. Our battery enclosure facility has reached full ramp-up and is operating at optimal levels. The Aditya battery

foil unit has been commissioned this quarter, while the Taloja AC Fin F acility has begun commissioning with customer qualifications underway.

In our specialty alumina business, the precipitate hydrate facility has also been commissioned this quarter and is currently undergoing customer approvals. Our copper business continues to remain resilient with copper smelter expansion, e-waste recycling, and other sustainability-led initiatives progressing as planned. The inner grooved tubes project is also in trial runs, further strengthening our downstream portfolio and value-added capabilities. Overall, Hindalco is well positioned for the future, driven by our core philosophy of engineering better futures.

Our strategic priorities are clearly defined in our accelerating upstream expansion in aluminum and copper, while driving a fourfold increase in downstream EBITDA in India by FY 30. In parallel, Novelis continues to execute its mid- to long-term 3 by 30 strategy, focusing on delivering sustainable growth and enhance profitability by 2030. Together, these initiatives position us strongly to capture emerging opportunities and create long-term sustainable value for all stakeholders. Thank you for your attention, and we'll now open up the forum for any questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. [Operator Instructions]. Your first question comes from the line of Sumangal Nevatia with Kotak Securities. Please go ahead.

Sumangal Nevatia : Yeah. Good evening and congratulations on a very strong set of numbers. A couple of questions. First one, I just want to understand the hedges better. We understand the aluminum part. So the currency part, when you're saying 14% of the currency is hedged at INR 90. So is this broadly the right understanding when we say that, say, half of the aluminum hedges, the dollar is also fixed, currency is fixed, and half will be at the spot currency rate for the 30%?

Satish Pai: Sorry, Sumangal, so in FY 27, I'm just going to repeat, we have 29% hedged at \$3,013. And the currency, we are 14% hedged at INR 90.13. The hedges are done for the commodity and the currency separately.

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Sumangal Nevatia : And the currency is full India level or only aluminum?

Satish Pai: No, it's at the India level because it's a Rupee. But it

's with the hedge accounting, it will be towards the aluminum sales. It won't be applied towards copper.

Sumangal Nevatia : Okay, alright. Okay, that's clear. On overall, on the cost, can we share what is our outlook on the aluminum cost of production going up or down in the coming quarters? And with respect to the coal mines, given now we are very close to commissioning, is it possible to share what sort of volumes we are expecting in FY27, FY 28 from captive coal?

Satish Pai: So on the cost first. In Q4, the costs were up 2.5%, 2.4% versus Q3. And in Q4, we were just starting to see the impact of the war. So I think in Q1, we are anticipating a 5% increase over Q4, and the majority is driven by furnace oil. Furnace oil prices have really gone up high, followed by CP coke and pitch, but furnace oil being the biggest one.

The coal prices are more or less still under control. So we think that Q1, we are going to see about a 5% inflation in cost versus Q4. On the coal mines, we did the box cut of Bandha, but it's a very high strip ratio, so you're going to see first coal only in FY 28. Chakla, we are expecting to box cut in the next 2 months and the first coal may start to come from Q4 itself. So that's the plan on the mines.

Sumangal Nevatia : Okay. So '27 also given it is back ended, very minimal incremental volumes from captive coal, right?

Satish Pai: That's correct. You're going to see meaningful coal starting to come in only in FY 28. And that too Chakla will be the main one because Bandha has a high box, high strip ratio. It will take us a while to ramp up the production there.

Sumangal Nevatia : Okay. And just one last question. For the Aditya Refinery, which is coming up, is the margins

completely linked to the index alumina prices?

And at the current spot levels around \$300, what sort of margins do we expect from a thumb rule perspective from specialty alumina?

Satish Pai: No, it's nothing to do with the specialty alumina business, there are two bits of it. Some part of it is linked to the index, some part, which is especially the very high value -added VAPs are not linked to it at all.

So, in our specialty business, probably roughly 50% is index-linked and 50% is value -added, which is not linked to the index. So as the precipitated hybrid project comes in and other, slowly, our plan is to move the specialty business completely away from the index -linked business.

Moderator: The next question comes from the line of Pinakin with HSBC.

Pinakin: So, my first question is the copper EBITDA rose sharply Q -on-Q, and you highlighted higher sulfuric acid prices. So just wanted to understand the sulfuric acid prices have gone parabolic.

So, does Q4 reflect the entire surge in sulfuric acid realizations? Or should more of it come through over the next 2 quarters?

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Satish Pai: So, Pinakin, the sulfur prices are up largely because of the conflict in the Middle East. So Q1 prices are looking slightly higher than Q4 as well. But I wanted to caution that the moment any Strait of Hormuz opening or thing comes, then you will have to see there will be a correction in the sulfur prices because they're really high right now.

Pinakin: My second question is FY 26 capex was INR31,619 crores, primarily given the surge in capex at Novelis. Now can you give us a sense of the consol capex across India and Novelis over the next 3 years, how it will play out between the two businesses?

Satish Pai: Next three years, maybe not -- let me give you next year's. In FY 27, the India capex will be about INR12,000 crores, and the Novelis capex will be between, I think, Dev has already announced on the call about 2.3 billion to 2.4 billion, largely Bay Minette.

I think it will be fair to say that when you go into FY 28, Novelis capex will sharply drop once Bay Minette is commissioned and they go into

more of a maintenance capex frame. The India capex will go much higher than INR12,000 crores because we'll be then getting into the full copper smelter, the Aditya Phase 2 ramp -ups. But I think FY 28 numbers, I'll give you more closer to Q3 or Q4.

Pinakin: Sure, sir. So, is it fair to say that the consol capex should broadly remain in the INR 30,000 crore s range for the next few years? Or will the pickup in India capex would still be lower than how -- where Novelis capex is today?

Satish Pai: India capex, Pinakin, INR 12,000 crores this year, next year will be, I don't know, INR 15,000 crores to INR 17,000 crores, but it's not going to be at the same level as Bay Minette was. So, I do think the consol capex of the two will be lower.

Moderator: The next question comes from the line of Raashi Chopra with Citi.

Raashi Chopra: Could you just tell us a little bit about the TC/RCS?

Satish Pai: Yes, the spot TC/RCS are running at negative \$0.21, like negative \$100 right now. And that's largely because the supply and demand is completely out of skew. There's a shutdown or problems in Grasberg. The Cobr e mine in Panama is down. So, TC/RCS are right now at a negative and probably this year will continue to be negative.

Raashi Chopra: Okay. So, for this year you haven't contracted yet or?

Satish Pai: No, we are contracted. More than 85% is contracted at the benchmark. So, we are going to frankly get TC/RCS at close to zero or slightly negative.

Raashi Chopra: Okay. What was the fourth quarter hedges in aluminum?

Satish Pai: Fourth quarter, we were hedged about -- where is it, yes, 64% at INR 2,807, and currency was 26% at INR 88.

Raashi Chopra: Fourth quarter alumina sales was how much? And what are you expecting going forward?

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Satish Pai: Yes. The fourth quarter alumina sales were 211 KT, and in Q1, we expect to sell about 170.

Raashi Chopra: 170 you said?

Satish Pai: Yes.

Raashi Chopra: Okay. And just last question from me. How do you break up the net debt for the company on a consolidated level? I think what was the India cash and Novelis net debt we have, what is the India cash?

Satish Pai: Yes. So, India gross debt is INR 12,200 crores, cash is INR 18,000 crores, so net debt is minus

INR6,000 crores. Novelis gross debt is INR 75,000 crores, cash is INR11,000, gives you a net debt of INR63,000 crores.

Moderator: The next question comes from the line of Indrajit Agarwal with CLSA.

Indrajit Agarwal: Congratulations on a good set of numbers. A couple of questions. Can you throw some light on the mid-Japanese port premium that we are seeing? It has rocketed up? And how do you see that panning out? And are we better off more in the export market than domestic as of today?

Satish Pai: It's a good question. I think Midwest are now at \$380. So, the delta between domestic realization and exports has narrowed down. So, it's a call -- I mean, I guess in Q1, probably our exports may be slightly higher. The Midwest, the MJP has jumped up because of the supply tightness as well as the freight prices going up, which is what the premiums reflect.

Indrajit Agarwal: Sure. And secondly, do you have a peak net debt number in mind? I understand you have a net debt-to-EBITDA number in mind, but absolute net debt number, do you have something in mind on that?

Satish Pai: Absolute gross debt or net debt?

Indrajit Agarwal: Net debt?

Satish Pai: So consolidated net debt peak should be between INR 80,000 crores and INR 90,000 crores over the next 2 years.

Moderator: The next question comes from the line of Vikash Singh with ICICI Securities.

Vikash Singh: Congratulations on a very good set of numbers. Sir, my first question pertains to Novelis. This Bay Minette cold mill, which we are going to operationalize, just wanted to understand how would be the spreads on the cold rolling only

until your hot mill comes into play? And given that the overall commissioning would take a year's time, how should we look at the fixed cost

associated with that startup?

Satish Pai: Steve, do you want to take that?

Steve Fisher: Sure. So, when we talk about commissioning, we're just commissioning each asset as it comes up. So, we started commissioning the cold mill. The commissioning process is typically in the

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4- to 5-month timeframe from cold commissioning to -- and through hot commissioning. So, we will begin commissioning of the hot mill next month.

And so, as that finishes commissioning, we will then also complete the commissioning of the remainder of the equipment. So, by the back half of this year, the full calendar year, we will have all the equipment needed and commissioned so that we can begin qualifying coils or product with our customers and believe that we will enter fiscal '28 with commercial coils being sold at that point in time.

Obviously, we've also talked about 18 to 24 months to fully ramp up and get to the capacities that we've talked about of 600 KT. So, as we continue to ramp up the facility, we'll size our labor force as much as possible towards what we need at that point in time. So, there will be some start-up costs that get excluded from EBITDA as we fully commissioned the plant. I don't know, Dev, if you want to add anything more on the fixed cost outlook.

Dev Ahuja: Yes. So, when it comes to start-up costs during the ramp-up phase, principally the fixed costs that are not getting absorbed from the point of view of the low-capacity utilization are typically in principle, classified as start-up costs and they would basically go below the line, below EBITDA. That is the way we would do it.

And as Steve mentioned, our ramp-up period is 18 to 24 months. So, by implication, we will reach the full potential of Bay Minette on a run rate basis somewhere in that timeframe as we ramp up. That's really how it is.

Vikash Singh: So just a follow-up. When we talked about the \$600 per ton long-term plans on a blended basis, do we factor in the start-up cost below the item as well as the current scrap spreads or the scrap spread is lagging behind a couple of quarters in our assumptions?

Dev Ahuja: Yes, absolutely. We factor in the fact that during the ramp-up phase, the fixed costs that are not getting absorbed are below the line in net income. We have not factored in current scrap spreads. I mean these current scrap spreads and the current scrap market conditions; we take it as not sustainable. Things will come back to normal, and there will be some tightness, which we are aware about.

We have factored that in all our plans, including when we talk about \$600 per ton. To your specific question, no, we are not assuming such optimistic metal prices nor are we assuming spreads staying at current levels. We are assuming that there will be tightening both on pricing as well as on spreads. So, \$600 per ton is more like we will achieve it on a sustainable level, not with special tailwinds that we are enjoying now.

Vikash Singh: Noted, sir. My second question pertains to our coal. Once we get our own coal, given the current prices between the SSAs and e-auction versus our old coal extraction. On a landed cost basis,

any idea what kind of savings we could still make because coal prices when we bought the coal mines versus right now spot prices, there's a huge difference.

Satish Pai: Well, the whole point about having your own mines is that the coal prices go up and down in the market. So, you're absolutely right, Q4, the coal prices were low, but we are heading into a

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monsoon quarter. All we need is one good hard rain in some NCL mine and suddenly, the spot premiums will jump up.

So, I think

the way we should look at our captive mines is that our cost curve gets completely standardized and flat because we control the coal and the pricing for the next 15, 20 years with these mines. So, to your point, if we take today's price of coal on the sort of auction price, yes, it is low.

So Chakla and Bandha will probably be at the same level. Meenakshi will still be substantially lower than today's prices. But I again urge you to look at what it's doing to our cost curve on a sustainable basis.

Moderator: The next question comes from the line of Parthiv Jhonsa with Anand Rathi.

Parthiv Jhonsa: My first question pertains to the copper business. Now considering Grasberg is not ramping up as expected, number one. Number two, your asset prices are up and your TC/RCs are -- because as you mentioned, you are 85% already contracted.

So do you expect that this INR 900 crores of EBITDA on a quarterly basis is a new normal till the time global headwinds are not clear? Or should we expect this...

Satish Pai: Our guidance has been INR 600 crores is what we were targeting.

Parthiv Jhonsa: Absolutely. Yes, absolutely. That is the reason. INR 600 crores and INR 900 crores, there is a substantial gap between the two. And considering the global macros where copper is already sustaining over \$13,300, \$13,400 level, and also the crunch is expected to continue for some time now. Do you expect this to remain around say, INR 900 crores to INR 1,000-odd crores on a quarterly basis?

Satish Pai: No. I think that Q1, to be fair, will also be in the same range because sulfuric prices are high.

But I'm not going to stick my neck out to Q2 and Q3. I would still go back to the 600, 700 per quarter there.

Parthiv Jhonsa: Okay. That's actually helpful, sir. And just continuing on the question around Novelis, considering 18 to 24 months of a timeframe for completely ramping up the facility. And would

it mean that you would have a certain timeframe to actually ramp it up beyond a certain level would take at least another 2 to 3 years. So, will the volume expansion remain within a certain band for next 2 to 3 years?

Satish Pai: Actually, Steve, if you got the question, you can answer it.

Steve Fisher: Yes. So, the ramp-up from -- once we get to fully qualified coils, we will -- it will ramp fairly evenly over those 18 to 24 months. At times, we'll have to add a shift here or there as we go up.

But the guidance that Dev said that as we complete the full commission or the full ramp-up after 24 months, we would be at the run rate of 600 KT and the overall EBITDA per ton that we've been talking about off that facility would be north of \$1,000 per ton.

Parthiv Jhonsa: And is it possible to quantify the start-up cost? Just wanted to check on?

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Dev Ahuja: We will do that closer to time. But it's not going to be a humongous number. I mean it will be - if you ask me to say it now, it will be more like in the 100 million to 150 million range annually.

But let's just park that for closer to time as we commission Bay Minette.

Moderator: Your next question comes from the line of Satyadeep Jain with Ambit Capital.

Satyadeep Jain: Just another question on sulfuric acid, the most topical thing right now. So, you talked about the West Asia crisis leading to these prices. Also wanted to understand there's a lot of news flow around China restricting export of sulfuric acid. Have you started seeing that in the market? Is that impacting supplies?

And I believe most of sulfuric acid that you said is it to Indian fertilizer and chemical industries.

And if that is the case, is government worried about prices or looking at controlling prices in any way? Just trying to understand what's happening on sulfuric acid.

Satish Pai: The sulfuric prices actually are set by a global index on a dollar term just like LME is. And China

a restricting exports means that in the current April month and all the sulfuric prices have actually gone up further. And no, we don't only sell domestically, we also export sulfuric acids

abroad as well.

Satyadeep Jain: So, let's say, you mentioned if West Asia crisis, if Strait of Hormuz opens, then sulfuric prices will come down. But this China restricting export of sulfuric acid, is there a possibility that these prices stay elevated?

Satish Pai: So Satyadeep, I have no problem if they stay elevated because it helps us because TC/RCs are negative.

Satyadeep Jain: That I understood. I was just asking for your opinion on...

Satish Pai: Sorry, go ahead.

Satyadeep Jain: Secondly, on the Meenakshi mine, I know you mentioned Bandha has high strip ratio, it's going to take a long time, slightly longer ramp -up for some box cut. Meenakshi has a very low strip ratio. So, should we assume -- I know it's still early for clearance, but should we assume some volume in FY 29 and the ramp -up from there would be similar to Chakla?

Satish Pai: It would be even faster than Chakla because it's got less than 1 strip ratio. So, you should see a reasonably substantial volumes coming in, in FY 29 from Meenakshi.

Satyadeep Jain: Lastly, the aluminum smelter that you're expecting in '28 and the other one in '29, can you maybe talk about -- you placed some purchase orders, but what is the visibility in terms of civil construction and all for this smelter to get commissioned in FY28?

Satish Pai: So, calendar year December '27, the first 180 pots of Aditya will get commissioned. And calendar year December '28, the next 180 pots of Aditya will get commissioned. We are -- the timelines look fairly firm to us. The first 180 for sure by next year, December.

Moderator: Your next question comes from the line of Ritesh Shah with Investec.

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Ritesh Shah: A couple of questions. Sir, first is on Novelis. We have operations in Ontario. Trump tariffs are still there. There are shipments which move from US to Canada and back. Is there any derisking mitigation moves at your plant, specifically with this particular aspect?

Satish Pai: Steve, do you want to take that?

Steve Fisher: Sure. Yes, we do have a rolling facility in Ontario, Canada, Kingston. It is fed from our Oswego, New York facility, and then that product is then dispersed primarily into the auto industry, some specialty products as well. So, as we've been talking about on the last several calls, we have an overall mitigation strategy as it relates to tariff impacts by sourcing more domestic coal mill capacity inside of the US.

So that now we can -- as Oswego comes back from the fires here in the next few weeks, we're able to utilize some of the cold mill capacity in the US to mitigate the full impact associated with the tariffs, and we continue to work with both governments for further potential scenarios of relief associated with that.

Ritesh Shah: So just to take it further, with the new cold mill expected for 6 months out, is it fair to assume that we won't ship cargo to Canada and there could be incremental savings given we will say something on the tariffs?

Steve Fisher: So, the cold mill capacity that I'm referring to is not the Bay Minette cold mill capacity. So that is even additional. We've secured additional cold mill capacity with our partnership at Logan.

So that's the cold mill I'm referring to and it is more key to getting Oswego hot mill back up and running so that it can be supplied. And then we just need to work through the longer -term planning associated with the Kingston mill that also does serve out with some finishing equipment.

Ritesh Shah: Perfect. That's helpful. Mr. Pai, a few questions for you, sir. Current coal mix, if you could please highlight, I think that's the first question. Second is if you could give some sense on bas

ically

where is -- where does the 90th percent of the cost curve currently stand?

And the third question is power has been chased by several other industries, primarily data centers globally. Given we have the advantage of procuring local coal, how do you see the cost of differential, say, for Hindalco versus Rest of the world? How structural you see and some outlook over there would be quite helpful.

Satish Pai: So, the coal mix for quarter 4 was 61% linkage, 30.7% e -auction and the last few were sort of own mines. Your second question was where is the larger cost curve of the aluminum? So, I think it would be fair to say that the majority of the Western smelters, etcetera, they are at least \$300, \$400 higher than what we have in India. So that cost curve is, I think, more about \$2,000 to \$2,200 per ton.

Your third question, I think, was on power costs. So, you're right. If you are drawing power from the grid, then you are competing with hyperscalers of data centers. But generally, aluminum

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smelters, whether it's Middle East, us, Norway, Canada, have long-term PPAs with the government, and hence are not really buying power from the grid.

Where they have a problem like Mozal, they have already shut down or where you have a grid-based power, there the prices of power are going way higher than what a smelter can sustain.

Ritesh Shah: Sir, any sense on what percentage of global production or as a percentage of, say, million-ton capacity, which would be on grid-based power wherein we will see this escalation?

Satish Pai: Sorry, it's based on what green power did you say?

Ritesh Shah: Grid-based power?

Dev Ahuja: It's a grid-based.

Satish Pai: Even if it's grid, let's take Dunkerque or it is based on the grid, but it has a long-term PPA with the energy provider. So even if it's on the grid, a smelter will not be running on spot power, let me tell you that. So, they'll have a long-term, whether it's 2 years, 3 years, they will have a long-term contract with the provider. So, I think that the hyperscaler demand is largely a US phenomena right now.

And there are very few smelters in the US, as you know, there's only Century and probably Alcoa has a small one. So that hyperscaler power thing is largely a European thing where there's very little smelting today.

Ritesh Shah: Perfect. Sir, just last question. Would it be possible to provide some color on off-the-shelf inventories? And secondly, you did touch upon Midwest. If you could provide some color specifically on Europe and MJP premiums as well. The reason to ask this is hypothetically, if Fed increases rates, where do you see the larger impact? Will it be on premiums? Or do you see it on LME?

Satish Pai: So, look, that's -- I will let Steve talk about Midwest. But generally, aluminum inventory worldwide is around 8 million tons, which is 40 days. So, it has dramatically come down, especially with the West Asia conflict. The second thing is the premiums generally reflect local phenomena. So MJP is up because of freight going up and Japan availability being low.

ECDP will go up because of other factors. Midwest is up because of the Trump tariffs of 50% have been baked into the premium rather than the LME because it's a regional issue. So, the

LME tends to work on the supply/demand, whereas the premiums reflect local availability and the cost of transportation. Steve, do you want to add anything more on the Midwest?

Steve Fisher: No, no. I think you've highlighted the tariffs because the majority of the primary aluminum coming from Canada into the US, the 50% tariffs is what's driving the higher Midwest premium.

Moderator: The next question comes from the line of Tushar Chaudhari with Prabhudas Lilladher Private Limited.

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Tushar Chaudhari: Congratul

ations on good set of numbers, sir. Sir, can you give us some detailed update on our mitigation efforts for scrap sourcing, which we discussed last year, for example, diversion of landfilling scrap. Do we get any approvals on it? Has it started? Some details will be helpful.

Satish Pai: Steve?

Dev Ahuja: I'll take that.

Satish Pai: Dev, okay.

Dev Ahuja: I'll take that. Okay. So, we are working on a number of fronts, as we have been saying to diversify scrap sources. So, to some of the things about landfill, no, we don't need any approvals. Here, it is more about working with the municipal recycling facilities, putting in technology and extracting UBCs or scrap that would otherwise go into landfill.

So, this is not like a few months' initiative. This is an initiative that we have started to pilot, and then over time, we will expand it to a larger number of these facilities. But the main thing, which

is actually very exciting, and that is what we should be really feeling very good and positive about is that we will have a lot more scrap inputs coming from end-of-life automotive where we already have a partner who has brought in the technology for scrap sortation.

As we speak, the aluminum intensive vehicles, which have been produced over the last about 15 years, will start more and more to reach scrap yards. And that is where we are creating a supply chain to be able to get very valuable end-of-life scrap for automotive, and that will have a very positive impact on the margin. It is part of the strategy that will give us access to over \$600 per ton of EBITDA.

On the other side, our initiatives are focused on more diversified scrap versus overdependence on UBCs. So basically, we want to really get into more scrap types. So, there's a pretty comprehensive slew of initiatives on all the matters that I just mentioned, and we are expecting to get positive results from that over time in short.

Tushar Chaudhari: Understood. And sir, on domestic, can you give some more details on the smaller projects which we are doing on copper side. So, we are around spending around INR 5,000-odd crores like

battery grade copper foil, e -waste IGT. So, any EBITDA potential at full ramp -up will be helpful.

Satish Pai: So, one by one. Copper inner grooved tubes project is undergoing qualification with customers today. So that's 35 KT of copper tube that will go for air condition manufacturing. 50 KT

recycling Pakhajan plant will commission in August. So once that is commissioned, we are going to process copper, then e -waste scrap to get 50 KT of copper.

So, these are the two projects that are in the immediate horizon that are going to immediately impact the copper performance over the next year. The copper smelter will be a few years out.

We are just starting that, that will take 3 years.

Tushar Chaudhari: And the battery grade copper foil is FY 28, which we had given earlier?

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Satish Pai: Yes, we are going to commission a much smaller one because honestly, we are seeing that the battery manufacturing in India has not really taken off as fast as we expected. So that's why we are going to time it a little bit, but a smaller capacity based on even exports, we will be coming up with in the next 2 years.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question. You can connect with the Investor Relations team for your further questions. I now hand the conference over to Mr.

Pai for closing remarks.

Satish Pai: Yes. Thank you, everyone. So, as you can see, I think the India business is on a solid footing. But I think more important is that Novelis is now coming back. Q4 was a good quarter. And then

if Oswego starts in Q1 of this quarter and Bay Minette gets commissioned. So, I think that Novelis is heading to a recovery year in FY 27. So, I think overall, that's an important po

int for

us. So, thank you very much for your attention.

Moderator: Thank you. Ladies and gentlemen, on behalf of Hindalco Industries, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines .